Aurionpro Solutions (AURIONPRO)

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7th November ,2022

To,
Deptt. Of Corporate Services - Listing
BSE Limited.
1st Floor, Rotunda Building,
Dalal Street, Mumbai – 400001.

Sub: Transcript of earning call held on November 1, 2022 f or the Q2 FY 2022 -23

Dear Sir/Madam,

In accordance with Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed please find transcript of the earning call held on November 1 , 2022 for the Q2 of FY 2022 -23.

Kindly take the above information on record and confirm compliance.

Thanking you,

Yours faithfully

For Aurionpro Solutions Limited

Ninad Kelkar
Company Secretary

NINAD
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Moderator: Good day ladies and gentlemen and welcome to the Investor Call of Aurionpro Solutions Limited to discuss the Q2 and H1 FY 23 Results. Today we have with us today from the management Mr. Ashish Ra i, Vice Chairman and President ; Mr. Vipul Parmar , Chief Financial Officer ; and Mr. Ninad Kelkar , Company Secretary. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by p ressing “*” then “0” on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Ms . Aashvi Shah from Adfactors P R. Thank you and over to you, ma'am.
Aashvi Shah: Thank you, Michelle. Before the call, we w ould like to point out that certain statements made in today’s call maybe forward looking in nature. And the disclaimer to this effect has been included in the earnings presentation shared with you earlier . The i nvestor call may contain forward looking sta tements based on the currently held beliefs and assumptions of the management of the company, which are expressed in good faith and the opinion reasonable. Forward looking statements involve known and unknown risks, uncertainties and other factors, which may cause the actual results, financial condition, performance or achievements of the company or industry results to differ materially from the results , financial condition, performance or achievements expressed or implied by such forward looking statement . The risks and uncertainties relating to these statements include, but are not limited to risks and risks for expansion plans , benefit s from fluctuations in our earnings, our ability to manage growth and implement strategy, competition in our business, in cluding those factors which may affect our cost advantage , wage increases in India, our ability to attract and retain highly skilled professionals and our ability to win new contracts, changes in technology, availability of financing, our ability to succes sfully compete and integrate our expansion plans, liabilities, political instability, and general economic conditions affecting our industry . Unless otherwise indicated, the information contained herein is preliminary indicative and is based on the managem ent information, current plans and estimates.

I now hand over the conference to Mr. Ashish Rai for his opening remarks. Thank you and over to you sir.
Ashish Rai: Thanks, Aashvi . Good afternoon everyone. Welcome to the earnings call for Q2 -FY23. This is my first interaction with you since my appointment in the last quarter. The company has so far Page 2 of 14 of course been communicating actively with the investor community through releases and announcements, but we've not held an interaction like this for a long time. Going forward, we plan to continue such engagement regularly for every quarter as we go through. Before we get into the financials, let me spend a few minutes to update you on the developments within the firm. Over the last three years that w e've not posted a call like this before.
Three years back, we started our current journey to revisit our strategic direction, and focus on building out a global IP led products and platforms provider, sharply focused on a few chosen segments. These segments are banking, smart mobility , payments and smart cities. This strategy leveraged heavily on our established track record and capabilities in working with clients across banking , across transit and government institutions across the globe. So a s you can see, the strategy has worked very well for us and you can see this reflected in this sharp improvement in our performance across every parameter that we track , more materially revenue, profitability, and the increasingly strong balance sheet that we have. We've now registered 10 consecutive quar ters of strong positive quarter -over -quarter growth, as you've seen and we continue to see a strong growth momentum in the business and very healthy and sustainable profit margins.
Another key part of our growth strategy over the last few years was to de-focus from businesses which either did not fit the target segments or the target economic profile. And you've seen this in ter ms of some divestments from non -core businesses that we've done such as cyber se curity . This has allowed us to get to this point where we are building out industry leading IP and capabilities in our chosen sector. Each of these segments enjoy very long demand runways from what we can see and we feel very confident that all our busines ses are poised for a long phase of high growth. We also feel great about the growing external validation of our strategy to build out leading global IP, for example our banking and Fintech segment, our solution for loan origination , for collateral management and limits management. We passed it for the first time in Chartis RiskTech Quadrant reports. Chartis is a highly respected independent global analyst and we were the only Asian software provider to be squarely in the leaders quadrant worldwide i n each of the three categories, the loan origination, collateral management and limits management. This is a huge validation of our strategy to build out tier one industry leading IP in that space.
Similarly, if I look at the technology innovation group t he TIG segment, we focused on building out one of the most complete cutting edge end -to-end highly integrated offering in the transit

payment space. A great proof point of the competitiveness of our technology was our win in the highly competitive global tender for state of California, competing with leading players across the world that we won . We have logged an impressive number of wins in this space across US, across Latin America, Africa, and of course a number of wins that we announced in India in transit space.

 So going forward, we will continue to focus on strengthening the economic moat that we have in these businesses through the IP edge, and keep executing with discipline so that we capitalize fully on the really large, long term growth opport unities that we see in front of us. If I get briefly into the key financial metrics for the quarter, Q2 FY 23 we saw very strong gr

owth in the key metrics on a year -on-year basis. Revenue for the quarter stood at 155 crores is a 26% year -on-year growth and 6% on a Q-o-Q basis. This is solidly in line with the company's estimates for FY 23. EBITDA for Q2 FY 23 stood at 35 crores as compared to 27 crores in Q2 of FY22, which is a growth of more than 30% on a year -on-year basis, and again a 6% sequential Q-o-Q ba sis.

EBITDA margins for Q2 stood at a healthy 22%, which is comparable to t he level we've been at in Q2 FY2 2 as well. Profit After Tax, Q2 FY 23 stood at 25 crores, which is a growth of 32% on a year -on-year basis, and on a Q-o-Q basis that the growth of more than 4% . The margin for profit after tax stood at 16%, which is higher by 100 basis points if you compare year -on-year. On a half yearly basis, the company has exhibited significant growth as well , the revenue for H1 FY 23 was higher by 25% on a year -on-year basis . The EBITDA and the PAT respectively higher by 31% and 44% for H1 FY23 on a year -on-year basis, you can find all the details in the investor presentation that we sent across.

So while we have seen strong growth in the business on all fronts, there have been some execution delays in the quarter that have affected the cash flow and working capital. As you can see, the receivables and working capital loans have increased during the quarter. Some of this expansion is purely because of the organic growth as the size of the business grows. And some of it is caused by a working capital mismatch that we've seen due to execution delays in the quarter. We've seen some inordinate delays in arrival of materials due to global supply chain disruptions in som e large product and execution, which ultimately delayed the project milestones and billing . The teams have since been working on this , they've executed very well, to resolve these issues. And most of these projects are expected to go live very soon. So we will have the better position for the business back to the normal averages soon as the projects go live.

During the first half of FY 23, we also successfully completed our investments, the strategic investments that we announced in Aurionpro Toshi Automatic Systems (ATAS) and in Hello patients in the US. And we are fully on track to complete acquiring 100% ownership of SC Soft in Singapore in the next few months. We expect to finish the year with a significantly stronger balance sheet to the combined effect of one strong second half that we can see a full resumption of the normal business cycle across all the segments and completion of these strategic investments that we talked about.

So overall, as we enter the second half of the year, we feel we ar e well positioned to meet our performance target s of gro wing the top line by 30% for FY 23, while sustaining the margin profile for the business that we sustained so far in the year. We continue to see very strong

 demand across the key segments and as a bus iness we remain focused on continuing the growth trajectory through the year and into the next year. That's all from me for now. I hope this has given you a useful overview of the overall business context and our strategy and performance. I look forward to addressing any questions that you may have.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Umesh Matkar from Sushil Finance. Please go ahead.

Umesh Matkar: I have just two questio ns. First, if you could provide the breakup of order book segment wise as on da te. And also in data center, we are seeing huge investments like the UP government inaugurating its first hyper scale data center. So what sort of opportunity do you see in data center, as well as in other segments like kiosk Murex, s mart city and smart mobility ? Thank you.

Management: Thanks Umesh, great question . Thanks for joining the call. So let me start

with the data center question first. So as those who've been tracking t he business would have known we got into this business over the last couple of years and over time, we've brought together a very strong set of capabilities. One of the most respected teams in the country, as well as some serious IP that we are building ou t in this space. So we've been going out and logging a number of very notable wins in this space. You are totally right , this is a space which is seeing explosive demand , there is a lot of investment that's happening in the country and we see that happening through the years as we go on. So we will continue to capitalize on it. It's a business that is certainly growing, it's a very strongly growing business for us we do not declare growth rate at a sub segment level. So , I will leave it at that remark that it is growing at a faster pace than the combined business for us. And we con tinue to see very strong demand, w e've been growing capacity in the business and I'm sure it will be a strong driver of growth for us going forward. On the Murex business again, it's a very specialized business for us it's a symbiotic relationship for us in which case we are looking at bundling some of our solutions, especially on the effects distribution side together with Murex as well as working wit h Murex on implementing projects we've seen again it's one of the businesses that outpace the overall business growth. And we see it keeping a very strong strategic relationship for both of us, which will drive growth for us in the future . Coming into the breakup of the order book. We again, we will probably not declare the order books exactly at the segment level, but one will declare the overall size of the order book it standard s at 700 crores plus right now, North of 700 crores and we continue to add to it every quarter. The second thing to look at would be TIG is about two third of the book, and banking and Fin Tech is about 1/3 of the book and both the segments continue to add do it as we go on so every quarter as we go forward. We are accumulating on to the order book right as we go. That's book hopefully that gives you a good flavor of where we are.

 Umesh Matkar: Okay . And I had just one question on the presentation that you're given. So there TIG , this includes which segment s. So T IGs sale of software and sale of equipment, sale of equipment would be Toshi I guess right ?

Management: Yes, partly so TIG, s o the technology innovation group for us , that segment includes transit, which includes Toshi i n it as well, as well as the validator’s side of the hardware that goes into transit payments thing. So one part of it is the Toshi side, we manufacturer as well as the validators which can come from us from our Singapore subsidiary which is SC Soft . So that goes in, plus it also includes our smart city business and the data center business as well.

Umesh Matkar: Okay . And what would be the sale of software and sale of equipment?

Management: So what does it mean , so the sale of software and equipment sho ws up on the license, the sale of equipment and product license is number that we are showing on the slide, so that is one the software licenses from both sides of the business, which is banking as well as TIG, and plus the equipment that's going through o n those deliveries .

Umesh Matkar: Okay. And also if you could quantify on the opportunity that you see on the segments that you have mentioned, that would be great , to what is the pipeline going forward for the segments?

Management: So, two ways to look at it. So, one is, as I said the order book most of which, which is executable over the next four quarters, it already stands at 700 crores plus and keeps on increasing every quarter as we go. So that points to a good level of demand as well as a good abilit y for us to convert that demand so that is one and that keeps on cli

mbing. We will not declare the pipeline numbers explicitly, because pipeline is function of conversion, but I would put it as several times the order book that is staying there . So we are converting at a good clip and the pipeline stands at several times the order book . The reason we don't want to get into quantifying the actual overall demand for these segments is the following . As you see in banking for example the intent is to build a globally competitive IP business and that's a good proof point for me, I say lending it's a large global segment we are absolutely tier one , the only Asian vendor sitting squarely in the leaders quadrant, in loan origination on the banking book side of collateral management and limit management. This is a huge space as you would know, corporate loans is the heart of any wholesale bank. It's a very large segment, I have a globally competitive IP, which gives us the right to win. So no w the problem is not the demand , the idea is how much of that demand can we tap into , because when we compete given how competitive we are , we will win our fair share. So what we are focusing on is now expanding the distribution of this product out to US, out to Europe , out to Middle East, out to market we've traditionally not been in. If I quantify the target addressable market, it would be a very large number. I don't think that is a constraint for us. The idea is let's capitalize on the demand by expandi ng distribution. So that's why we don't get into declaring the overall size of the market. Same thing with transit , it's a very large global segments running into billions. We are building out one of the most competitive, fully integrated stacks in the spa ce. And we will go out and compete as you can see, we're already winning in US, we are already winning in Latin America, we are winning in Africa and we strongly believe we are just about scratching the surface. It's again a question of strengthening the d istribution and capitalizing on the demand. So, I would probably summarize saying demand is many orders of magnitude more than the PV order book or what we are selling right now. So the question is, how much of the demand can we tap into?

Umesh Matkar: Okay, that's great to hear. I saw in the press release where you mentioned good growth expected from the kiosk segment. But however on the latest quarter there hasn't been any traction. So going forward do you expect that segment to pick up ?

Management: So we are seeing a very strong demand in terms of pipeline growth in the segment, I again at a sub segment level will probably not explicitly call out numbers. But as you would have seen the recent guidelines from the Reserve Bank of India around digital ban king units, and we see a lot of momentum within the banking space, we see a lot of momentum within some of the other segments as well, in terms of the demand coming through. Again, we are working on expanding

out the scalability of the business , but we fee l very good about the growth in that business if you start looking out two to four quarters.
Moderator: Thank you. The next question is from the line of Umang Shah from India Bridge Capital. Please go ahead.
Umang Shah: Sir, m y first question was, SC Soft we were one of the three vendors selected in California mobility marketplace. So two parts in this question , one was how is the response that you're getting from the local transport authority there, a nd the second part was here applying for both processing and validator suppliers, but we were selected only in validator segments and not in transaction processing segments. So what was the reason for the same?
Management: Okay, so that's a very good question. So, when we were getti ng into the RFPs, we chose to participate on the validator side of the business because of the relationships that we had and the POCs that we had done to support it right , we did not parti

cipate on the other side of the business due to strategic reasons on the bit. So we see very good progress in terms of rollout on that contract. So it was obviously a very competitive win for us and now that we are in California, and I may be off by this in a little bit, but give or take 300 transit operators, and we are a lready on the rollout o f the first five or six that we started working on. This would be a pretty long term project for us and we are investing quite significantly in building out the business in California and in US overall for that space.
Umang Shah: Sir, what was the revenue from this marketplace , sitting in the books ready for the quarter or for the half year ?
Management: The revenue projection?
 Umang Shah: No, w hat is the current revenue , you said started working with five, six operators. So what will be the revenue that had currently accrued to us or the account ed for?
Management: For us, it's North of a million dollars so far.
Umang Shah: And sir one more question was, after 2017 Nagpur Metro we have not really won any new deals i n the Indian metro system at least , in 2018 Noida was the last one that we won, while there are different players catering to different Metro projects, and the entire stack is based on NCMC what I understand. So do you envisage that the entire system will go to one player eventually or all of it co -exist and her e what stops us from winning new contracts ?
Management: So it's a question of where we participate and where we do n't Umang, but we have one of the most compelling competitive offerings in the transit space in India today. And we've blogged a fair number of wins after Nagpur and Noida which are obviously they continue to expand as well but they're fully live. We were in Kanpur as well which together with our partners in a consortium basis which we've again rolled out, we've also announced wins in the space for UP transport, we announced for Haryana transport as well. And we continue to participate in a number of other b ids. So In dia, transit is a very strongly growing business for us, we see a very strong momentum on the demand side, we actually see very strong conversion rates from our side on the bid that we want to participate in. We need to expand capacity which we are working on to again continue to capitalize on demand and the growth but again that's a business that's been growing very strongly for us.
Moderator: Thank you. We have the next question from the line of Darshil Z averi from Crown Capital. Please go ahead.
Darshil Zaveri: So my question is about our long term vision which maybe in the next three years, where do we envision ourselves because we've been growing at a good rate and we have made some decent acquisitions also. So what kind of growth lever do we look for in the next upcoming three years or a long term plan that would be helpful?
Management: Okay, good afternoon Darshil and thanks for the question. So what we have done so far right, and I covered some of it in my opening remarks, we are building out a global IP led products and platforms provider. We chose a few segments to operate in , each of these, we believe our segments with one very large demand runways. Second, w e believe fragmented or uncontested leadership in some of those spaces. So , I don't see it as a demand which will go away in let's say three years or five years or 10 years this is very long term very, very long demand run rate . So we chose those segments , this is banking, this is transit , this is smart cities, and the government work that we do , within the TIG group there were few segments like data center, the partnership with Murex, et cetera where we again look to capitalize on demand . So these are very, very long demand, we will continue to reinvest back in these businesses to keep on growing at a level as we said 10 strong consecutive quarters of strong Q -o-Q g

rowth, and
 we will continue to press the pedal on growing these businesses. When we talk about what strategic M&A for example as a lever that we use, we are sharply focused on completing out the offering. So how do I increase my wallet share with the same customer , so if you actually look at most of the announcements that have ha ppened from us, we are looking at fleshing out the offering so it will increase our wallet share . So two things , one is what is an adjacent space to where we already have an IP that we can expand to. So that's the adjacency part of it.

Second is , where can I backward integrate my offering, for example Aurionpro Toshi , to again increase the wallet share on the same segment. So that's essentially the focus for the firm , we believe each of these segments is so large that it will keep on expanding the IP both o rganically , the IP and the offering and the capabilities around it , both organically as well as through strategic M&A, where we can find an adjacency or opportunity to backward integrate, we will flesh out the offering and grow in those cases. So that is e ssentially how we see ourselves as growing.

The third aspect to it is , being able to bring our IP from various businesses together to create wider industry platforms in the form of now each of these is almost like a FinTech by itself. For example, the announcement we made around Aurobees , where we bring in our capabilities across payments , across digitization , across supply chain into one integrated offering for the SMEs. From an R&D standpoint that's not a significant or a material spent because all we are doing is bringing IP together, but from an industry impact standpoint that is very, very significant. Similarly hello patients play in the US. S o, if I bring it back, we've chosen the segments, we have chosen to build IP in those segments, the focus would be continue to add to it, and keep expanding to the adjacent spaces and continue to integrate the offering to get more and more of the wallet share . We really , strongly believe in all of it coming together in the service of the strategic clients that we go after. So most of the offerings, that if you look at it, the end economic buyer for us is the same. So we are looking at focusing on the set of buyers that you already worked with, and how can I keep on adding to the offering set in the service of th ose clients . Hope that makes sense.

Darshil Zaveri: Yes, thank you so much for the detail answer and that gives me a very good broad idea which is, so in terms of numbers could we expect a 100 million revenue in the upcoming three years and what about the margin s that we because we've been adding new offerings maybe our wallet share is increasing so margins might increase also so could you give some color on that , that would be very helpful ?

Management: Okay, good. So , I don't think we want to, or we are in a position to give very long term guidance on multiyear numbers. What I would say there is, you've seen the last two and a half years of this journey, and we feel we are able to sustain momentum going out into the fu ture. So , that's where we are , we as a team are focused on capitalizing on the opportunity and continue to sustain the growth levels that we are at over the past couple of years, and well into this year and the next year. So , in terms of numbers that's ess entially what we would say . Sorry, what was the other part of the question ?

 Darshil Zaveri: In terms of margins, because you have made some acquisitions , so that would be margin accretive, or going forward our new products because you're developing them so would that hamper the margins, or you will be able to sustain the margin maybe even better than ?

Management: So good question Darshil . So in terms of growth rate, we sustain the growth rate. And then when you see the margin profile of the business, s

o what really happened is , we bet on segments where we said the economic profile of the business matches our ambitions around margin. So you would have seen the last several quarters margin has come up to a fairly healthy level, it's improved and it's sustai ned at that level . We inten d to operate within the margin thresholds for the existing businesses. So we will be able to s ustain where we are, the economic profile may improve over time, but we are not really looking at a significant especially doing any ac quisitions to help with expanding those margins, because we are very comfortable with where they are and the growth rate will result in the growth in earnings that will come with it while we sustain the margin s. The other aspect to the business is that . So we are at about 22 % odd EBITDA margin, and that's where we were more or less. The other aspect of the business is, the investment in R&D that goes in, we are able to add the current margins, keep up a healthy level of investments back into the products th at we need to sustain the growth. So we will continue to keep that up at the current margin level without necessarily affecting it as you would have seen we are depending on who's looking at it, we were completely expensing out our investments right now , or majority of the investments . So that's again a poin t to the fact that the excess as the economic profile improves goes back into R&D, and we expense it out and we sustain the current EBITDA levels.

Darshil Zaveri: If I may can I just squeeze in one more question?

Management: Sure.

Darshil Zaveri: So, I just wanted to ask about our geographical mix. So do we see increasing in maybe US and that might so how would we just a geographical level we might be seeing slowdown somewhere or something. So that's my final question.

Management: So two parts , one is across the geographies we are in we see reasonably robust growth potential pretty much everywhere we are, but we have a heavy concentration in Asia at the moment. In many of our segments, we are recognized as or have built up a very strong reputation as one of the top vendors in the space and our ambition is to increasingly expand both the channel in US, and in Europe for at least the banking and the transit segments to go and sell more in those regions at t he moment. We are very Asia heavy, but that is the plan for

the future.
Moderator: Thank you. We have the next question from the line of Hiten Boricha from Joindre Capital .
Please go ahead.
Page 10 of 14 Hiten Boricha: Sir, I have one bookkeeping question in your opening remark you mentioned our receivable
has gone up due to increase in revenue or some delayed in the business. So can you throw
some more light on this , what will be our normalized revenue by this year or which segment
has led to increase in receivables?
Management: Yes, so it doesn't really impact the revenue per se, because project execution by and large, it
affects it slightly but not hugely , the project execution by and large goes on . What I meant
there was , we are in the middle of executing some very large projects and in the quarter we
faced. So these projects include material that we need to secure from some OEMs, these are
very large reputed global OEMs. And we faced or they faced temporary supply chain
disruptions in the quarter which delayed the arrival of that material, and hence delayed some
of those projects. We are working through those and we actually resolve d most of those
already and the projects are set to go live in the quarter. So , I don't beli eve it has a huge
material impact on revenue but it does impact the debtor days that we have which have gone
up a little bit by 10 or 12 days. So that's the impact , we do expect the revenue momentum to
get stronger as we get into the second half, as these projects also go live, as well as we continue
executing on the new projects that we are wor

king on. So that's about it on the revenue impact
it's not material in my view.
Hiten Boricha: Okay . So actually, my question was on the receivables number itself, so it will be normalized
10- 12 days it will be normalized by the end of this year itself?
Management: Yes, absolutely.
Hiten Boricha: Okay. And, sir I have one more question. You gave the order book breakup of TIG is two third
of our books and ba nk is 1/3 , so can you also give the margin difference between this , so what
kind of margins we make in TIG and in banking ?
Management: So, I'm not at the moment prepared to make a segment margin description , I don't think we've
declared that before what I will do , it's a good question what I'll do is we'll take it back to the
board to see whether in the future we want to start breaking up the margins, more or less the
comment I would make is both the businesses have a fairly consistent margin profile, they' ve
held to it for the last 10 quarters that I can see. And it's not really changing well and our
averages hold within the threshold so you can look at the enterprise margin number and say
that we are within range of that enterprise number in both those seg ments. We will take it
back to the board and probably for the next call we'll see if we want to declare margin levels
at the segment level.
Hiten Boricha: Sir, I have a follow up question on the earlier question. So , I just want to understand receivables
is from which segment sir, banking or data center or maybe TIG, just wanted to understand this
receivables your from which segment.
Page 11 of 14 Management: It's TIG, i t's some specific projects in India, where we have a dependence on some large OEMs.
So this is much narrowed down to some specific large projects for TIG in India. And the project
is with very so it's typically with very large organizations as well. So it's very high quality debtors
we have no concerns at all on the end client or the OEMs in the space.
Moderator: Thank you. We have the next question from the line of Swechha from ANS Wealth. Please go
ahead.
Swechha: Sir I've very recently started to look at your company , so I have may have few basic questions ,
so apologies. Sir, just wanted to understand what is it that comprises in the revenue for sale of
software services, and sale of equipment and product license , if you could just help me
understand the difference ?
Management: So, those two categories the sale of products, the sale of software services is essentially any
services that go into enabling our products to the end client. So this will include
implementation services, this will include ongoing enhancement and customization services.
And this will include the AMCs that go with the software that we sell . So any services required
in enablement of the software and the overall offering that we sell so that is it any services .
The product and licenses is essentially the one off sort of payments that the client makes to
acquire the rights to use this , so which is where we sell a lot of software, for example on the
banking side we will sell a loan origination software or a transaction banking software, we
normally charge a license for it. And then we charge an implementation fee. So the license will
show up on the license breakup, and the implementation services and the ongoing support will
also show up on the services side, does that clarify.
Swechha: So in our presentation on slide number #7, you have given the break up, where we've
differentiated banking and Fintech , tech innovation, group revenue, and sale of software
services, and sale of equipment. So the banking and Fintech revenue will comprise the portion
of software and a portion of sale of equipment right ?
Management: Correct.
Swechha: Okay , got it. Thanks. S o other thing I wanted to understand is, we recently won an order the

BEAM order so wanted to understand the 700 crore s order b

ook that you've mentioned, does
that include this order and does that order book also include we have a big order from a PSU bank and also we are doing something for the diamond industry in Surat . So does the 700 crore include these three orders?
Management: It includes the last two , the BEAM is a very specific partnership that we announced only today. So that is something that we have to build out , it's more of a partnership to really build out an ecosystem and over time it will add to the revenue, but the last two are orders we announced and that included in th e order book.
 Swechha: Okay . So the BEAM partnership , so can you guide us on the revenue potential for this partnership ?
Management: Okay. So, I probably cannot be very specific on the answers. But let me give you the context , so a couple of months back we launched a platform called Aurobees , it is a very specialized platform where we pooled our IP from across various businesses in Aurionpro as well as with a partner to create something which we believe the industry needed. Now, what does the industry need , if you look at the digital economy in India, we've heard Mr. Modi talk about $1 trillion digital economy. We've heard for example I'm just taking an example of India it's not an India specific platform, but in India how does the digital economy increase. Now SMEs are the heart of any economy and we found the SME participation in the digital space as very, very low. So we don't believe we will achieve the ambition of a trillion dollar digital economy easily without the SMEs parti cipating in the economy. So what we did was , we went back and we created a platform which we believe is very unique. It includes digitization, which is a digital storefront so if you are SME, you want your own e -commerce storefront, or you want to go into a marketplace like Amazon or Flipkart, or on ON DC. So we enable you to have that digital storefront.
The second part of it is financing, where we go in and tie up with a number of banks and financing partners to help you manage your working capital which we believe is of great need to the SMEs. And the third part is enterprise grade supply chain functiona lity which we have for partner anyway. So this is tier one supply chain functionality no matter where you are in the chain, you are a manufacturer, you are a trucking operator, you are a freight forwarder, you are a warehouse operator, we've got the functi onality for you to run your business. And this is tier one enterprise functionality , but thanks to the benefit of the cloud, we bring it at a very, very cost effective per user price point. So now in digitization with financing with supply chain into one p owerful offering that allows the SMEs to embrace the digital economy. So we took this and we’ve now tied up with BEAM to kind of enable this same functionality for the wider agricultural ecosystem, which is where we can have organizations , we can have SMEs who operate on the agricultural economy to use the same platform. So that is essentially what we've built out. It is, we believe a platform with a huge impact , but we are now building out the critical mass in that space, and hence the partnership and henc e a few other partnerships we've done to start building out the critical mass and we get the revenue depending on the number of users that come on in the potential is very large. But right now, we will not give specific numbers on the space, you have to th ink of it as a very fully fleshed out Fin tech in its own right, that we build out and we are incubating within the business.
Swechha: Sir, so what kind of order pipeline are we trying to build like across which sectors or which geographies and how many cus tomers did we acquire , did we acquire any customers in current quarter?
 Management: So we have not been . So pipeline is very strong so we will again, it's one of the op

en questions
with us to take back and say whether we want to declare the pipeline numbers, but it's a few thousand crores as it stands right now so it's a very big pipeline, we obviously need to convert it to add to the order book and we've seen a strong conversion momentum every quarter. So we feel very good about where the pipeline stands. I will take the question back on declaring the size of the pipeline. Sorry, the second part of the question was ?
Swechha: Any customer s or any new orders , or customers we have added?
Man agement: The number of new customers we added in the last quarter is close to double digits. Again, that's a number that we don't declare out fully. But overall, the number of important sort of key clients for us is now north of 100 and that's a very stron g base for us to drive the recurring revenues.
Moderator: Thank you. We have the next question from the line of Ganesh Shetty, an Individual Investor . Please go ahead.
Ganesh Shetty: So my first question is regarding the link of a talent pool , because now as we are moving to next phase of course we have a lot of challenges on talent pool, with a strong technological background , so how we are going to sustain that capability and build a strong growth for ourselves. Is there any strategy at high top management level , to build a trajectory so that we can be assured of meeting the growth in our future , can you please explain sir.

Management: Great question thanks Ganesh . So on talent, up a few points , One, we face less challenge around talent as compare d to some of the or a large part of the IT industry which are the most services focused players, we on a productivity basis because we drive a much higher productivity given the IP that we've built out , for us the talent challenge is actually not as seriou s overall, but of course we are growing at +30% for some time, so we do need to keep growing the talent base . We feel we have become one of the more attractive places for the right kind of talent to come in and join . Why is this , this is because one as an employer focused on building out products, building out platforms , and building out IP we believe we are a very unique place for the right kind of talent to come in and do their best work. So , we see a lot of traction increasingly for talent coming in from global firms , for talent coming in for us across the globe in most of our resource cent re so we of course have a huge concentration in India, in terms of the resource base, but we also have a fairly significant resource bases in Vietnam, in Singapore, in Malaysia, in some of the other Southeast Asian countries, as well as some places in the Middle East. So it's BBC One, because of the geographical distribution of talent, we find it relatively easy for us to get the right kind of talent. And second, our positioning as a as a sharply IP product focused setup gives us a little bit of an edge in terms of getting the right talent from tier one from so , we continue to focus on one, building a good pi peline to support the growth that the enterprise sees right now, which is we expect to be clocking 30%. So we have to keep the talent base fresh for it. And the second piece is we've also had, a great help from our geographical distribution as well as some of the strategic M&A that we did. So we feel very good about the position where we are and we'll continue to work on becoming a more and more attractive place for the right kind of talent to come and join us.
Ganesh Shetty: Thank you for that . My second q uestion is regarding our Toshi Aurionpro , although it is a part of TIG growth , there is a very great potential in developing Toshi Aurionpro as a separate business unit, which can be very profitable for us because it can find application in many of the industries. And do we have any plan to expand the manufacturing base of Toshi Aurionpro . Can we p lease h

ave som e light on this?
Management: Okay, so why did we acquire Toshi Aurionpro , first of all it was essentially for us to backward integrate into an en d-to-end offering in the transit space, we believe together with ATAS , which is Aurionpro Toshi System, we have one of the most integrated end -to-end offering in the transit space. And that itself has significant potential. So, compared to what we are doin g right now it really enhances the ability for us to take a much larger share of the spend. The second part is actually very interesting in the businesses that we are in, we are actively looking at expanding the manufacturing capacity to support some of th e businesses within the enterprise. Now we don't really have a plan to go outside into unrelated areas, but even within the enterprise to grow capacity , to support the data center work , to grow capacity to support the kiosk work , to again grow capacity to support the transit business t hat presents a very large potential for Aurionpro Toshi it presents a very large potential for us to go in and take a much , much bigger share of the pie. And that's what we're working on , as your question is very relevant we are actively working on expanding the capacity in that business to meet the demands of the business that we see.
Moderator: Thank you. Ladies and gentlemen, that was the last question that the management could answer today. I would now like to hand the con ference over to Mr. Ashish Rai for closing comments.
Ashish Rai: Okay, thanks. So, thank you everyone for joining the earnings call. We recognize we've hosted this after some time , going forward , the intent is for us to build out on this and host a call every quarter. The goal that we have as a management team is to build out as transparent a mode of communication with our shareholders as we can and as we go out into the future, which we feel very, very optimistic about. We will continue to share a lot more information with the participants and with the investor community, both through the formal releases and announcements that we make as well as more of these calls going forward. Thank you everyone for taking time out to join this call today and good afternoon.
Moderator: Thank you. On behalf of Aurionpro Solutions L imited that concludes this conference. Thank you for joining us and you may now disconnect your lines .

Call: Feb 2023

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2nd February, 2023

To,
Deptt. Of Corporate Services - Listing
BSE Limited.
1st Floor, Rotunda Building,
Dalal Street, Mumbai – 400001.

Sub: Transcript of earning call held on January 25, 2023 for the Q3 FY 2022 -23

Dear Sir/Madam,

In accordance with Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed please find transcript of t he earning call held on January 25, 2023 for the Q3 of FY 2022 -23.

Kindly take the above information on record and confirm compliance.

Thanking you,

Yours faithfully

For Aurionpro Solutions Limited

Ninad Kelkar
Company Secretary

Encl: as above
Ninad Prabhakar
KelkarDigitally signed by
Ninad Prabhakar Kelkar
Date: 2023.02.02
17:17:43 +05'30'

Moderator: Ladies and gentlemen, good day, and welcome to the investor call of Aurionpro Solutions Limited to discuss the Q3 and 9-months FY '23 results. Today , we have with us from the management, Mr. Ashish Rai - Vice -Chairman and Director; Mr. Vipul Parmar - Chief Financial Officer; and Mr. Ninad Kelkar - Company Secretary.
As a reminder, all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance duri ng this conference call, please signal an operator by pressing "*" and "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Aashvi Shah. Thank you , and over to you, Ms. Shah.
Aashvi Shah: Thank you, Niraj. Before the call, we would like to point out that certain statements made in today's call may be forward -looking in nature , and a disclaimer to this effect has been included in the earnings presentation shared with you earlier.
The investor call may contain forward -looking statements based on the curren tly held beliefs and assumptions of the management of the Company, which are expressed in good faith and in their opinion reasonable.
Forward -looking statements involve known and unkn own risks, uncertainties and other factors which may cause the actual results, financial condition, performance or achievements of the Company or industry results to differ materially from the results, financial condition, performance or achievements expre ssed or implied by such forward -looking statements.
The risks or uncertainties relating to these statements include but are not limited to risks and risks for expansion plans, benefits from fluctuations in our earnings, our ability to manage growth and im plement strategy, competition in our business, including those factors which may affect our cost advantage, wage increases in India, our ability to attract and retain highly skilled professionals , and our ability to win new contracts, changes in technology , availability of financing, our ability to successfully complete or integrate our expansion plans, liabilities and political instability, and general economic conditions affecting our industry. Unless otherwise indicated, the information contained herein is preliminary indicat ive and is based on the management information, current plans and estimates.

I now hand over the conference to Mr. Ashish Rai for the opening remarks. Thank you, and over to you , sir.
Ashish Rai: Thanks, Aashvi. Good afternoon everyone, and welcome to this Earnings Call for Q3 FY23. The results for Q3 continue our strong growth momentum of the last thre

e years, reflecting an
exceptionally disciplined execution from our team at a time when we are se eing a significant growth in demand across most of our key offerings. During the quarter, we saw very healthy growth in our key business lines which ensures that we remain firmly on track to meet the 30% growth target for top line and earnings.
I am sure , by now you have received the Investor Deck that details our performance in the quarter. Allow me to briefly summarize the key performance highlights.
The revenue for the quarter stood at Rs. 169 Cr, a strong 30% growth YoY and 9% on a sequential QoQ basis. EBITDA grew 23% YoY to Rs. 37 Cr, and PAT stood at Rs. 26 Cr, which is a growth of 30% YoY. EBITDA and PAT margins for the quarter remain at 22% and 16% respectively, in line with the same quarter last year.
On a nine -month basis, the Company has posted a revenue of Rs. 469 Cr, which is a growth of 27% YoY. EBITDA for the nine -month period was higher by 30% , and the PAT was higher by 39% YoY.
EPS for the quarter stood at Rs. 10.97 , and for the nine -month period , it stood at Rs. 31.69, which is an increase of 40% on a YoY basis.
This growth is the result of strong performance across all our core business segments, with exceptional growth in the TIG segment on the back of accelerating execution against the order book. We are very proud of this execution from our teams, especially in the backdrop of a tough global environment and I think it's a great validation of the competitiveness of our offerings and the resilience of our chosen strategy to build world -class IP -led s oftware products and platforms pro ducts .
Q3 was a significant quarter for us in terms of achievements across several business lines. Transit business had phenomenal successes in the quarter and an especially proud moment when Her Excellency President Drou padi Murmu launched the cutting -edge open -loop ticketing system in Haryana, powered by Aurionpro. Launch in Maldives together with Mastercard and MTCC was another significant achievement for the transit business.
Banking and Fintech business saw the launc h of AuroDigi, a significant investment from Aurionpro to create the next generation of Corporate Digital Banking. Aurionpro Fintech in US also signed the largest order win till date for us with a USD 18 Mn win, with one of the largest payment facilitators in the US.

Aurobees' signing with the BSE E -Agricultural marketplace , that we announced and Auro pay launching B2B payments and partnership with global leaders such as FIS Worldpay and Stripe provide great proof points on the impact and success of our bets on next -generation Fintech platforms.
We have also seen a healthy expansion of pipeline in the last quarter as well as a strong expansion in the order book. The signed order book now stands at Rs. 760 Cr, a very large part of which will be executed over the next four to six quarters. We have been expanding our

capacity to execute this order book, including a net addition of over 400 staff over the last two quarters. We are confide nt that this sets us up to have a sustained growth over the next few quarters and beyond.

This quarter also saw a significant expansion in our sales force with some exceptionally well -regarded sales leaders joining us across India, Southeast Asia and the US. These leaders are building out the next phase of expansion of our sales channels . I am confident that these additions will really deepen our leadership pool and over time contribute to accelerating our growth momentum in these markets.

If the last 12 months have taught us anything, it's that we can't accurately predict what the macro environment will be in the short term. While any significant deterioration in the economic environment can throw challenges for the industry, we believe that our strategy of creating a well -diversified portfolio of highl

y differentiated, IP -led products and platforms will allow us to continue to outperform our peer group and grow at rate significantly faster than industry growth as we have been doing the last three years.

The competitiveness and depth of our IP portfolio is thanks to the dedicated efforts and focus of our teams over the last several years. This gives us a very strong defensive moat and will allow us to continue to clock above average win rate when we compet e and a pricing power way above the average undifferentiated offering providers . We feel confident that our IP portfolio will allow us to grow the earnings power of our business much faster relative to the industry and will help us to significantly expand the intrinsic value of our business over time.

All our key segments continue to witness strong demand momentum and we will remain sharply focused on execution to keep expanding our market share and create significant value for all our stakeholders.

That's all from me for now. I hope this has given you a useful overview of the overall business context, and our strategy and performance. I look forward to addressing any questions that you may have.

Moderator: Thank you very much. We will now begin the q uestion -and-answer session. The first question is from the line of Swechha Jain from ANS Wealth. Please go ahead.

Swechha Jain: Hi, sir. Thank you for giving me this opportunity. I have a few questions. So, first, if you could just give me the cash positio n and receivables as on 31st December? And along with that, if you could just help me understand, you know, what kind of orders have you bid for in Q3? And how does the bid pipeline look like, if you could give a number to it?

Ashish Rai: Hi, Swechha. Good question. So, look, overall , so we published a half -yearly balance sheet that gives you the kind of cash position. We had a bit of issues with DSOs in Q2 as we mentioned in the last call. We have resolved most of those now and overall, I think the DSO has remained stable. It's not materially changed from where we were end of Q2. We will publish the balance sheet again end of March, and there you will see the accurate positions, right. But I think some of the sort of execution issues that we had pointed to the last quarter have now been resolved, and the DSOs are stable at where they were .

The pipeline and the order book, so as you would have seen, the order book has grown quite materially from three months back we were talking about. So, that points to how strong the execution has been. The pipeline has grown for us quite significantly. There is a reason why we do not publish pipeline numbers. In our business , there tend to be some very large deal sizes that will, we believe, put a misleading sort of repres entation of where it is. So, that's why we like publishing signed orders instead of pipelines. But I would say, the pipeline has climbed up significantly over Q3 , and we see very strong momentum on a few places.

I think the transit side of the business is doing very well. The Fintech business in the US is doing very well. And some of the latest initiatives that we have had around banking products, both on the lending and transaction banking side, we see increased momentum on the pipeline.

It's also partly because our sales channel has expanded. So, last time around, we were talking about increasing the sales force on the ground. Now as I mentioned, we have added more feet -on-the-street and experienced leaders in India, Middle -East, Southeas t Asia , and the US over the last three or four months. And part of the pipeline increase is coming from that. I would say it's materially , it's become quite a bit bigger over Q3, but we will not publish a number.

Swechha Jain: Sir, my second question is , you know, actually if you could help me understand the order book split between Banking and TIG. And also, if you could g

ive , if you could help me understand the order book split between software services and equipment and license ? The reason I am asking is because , you know, we report our revenues in the presentation , we have given software business and equipment , and then we have given revenue split in Banking and Tech Innovation and I am sure there might be some overlap. So, if you could first give me the order book split and also understand what kind of revenue is billed in what? Because we report in these two

ways , and I'm just trying to understand as to , you know, what's going where.
Ashish Rai: Sorry, Swechha, I got the first part of your question . You were asking for the order book split. Can you repeat the second part? I didn't get it.

Swechha Jain: So, second part was, in our presentation , we gave a revenue split in two ways, right ? One, we report as software business and equipment license, how we report in our this thing . And we again s plit the same revenue between Banking and Tech Innovation , right. So, I just want to understand, you know, when we look at the revenues in these ways, what exactly goes in software business and equipment, and what exactly goes in Banking and Innovation? Because I understand there might be some overlap, correct ? Tech banking also would have software and equipment , and tech would also have software service, right?
Ashish Rai: So, just coming to the software service and equipment and product licenses, that is more or a revenue type split. So, there are three types of splits that we publish. One is a split between the businesses . So, that is Banking and Fintech and TIG. Second is a split by revenue type . That is the other disclosure we do , which is the way to look at it is more of what is a one -off versus what is more of a continuing service more or less . So, that is the second disclosure. And the third way we started disclosing now based on the last feedback was on geographies, right ? So, the way to look at it is, these are three , all of these three overlap with each other in the sense that they are three independent, mutually exclusive distribution of re venue, right .
Coming to the question on order book, roughly , right now it is split 40% for Banking, 60 % for Banking and Fintech , and 60% for TIG. And the reason for that is Banking has a deeper base where we sign orders more frequently, especially a lot o f the AMC contracts and recurring service contracts that get signed every year. So, the size of the order book doesn't need to be a lot bigger to deliver , because the execution cycle is very tight. On the TIG side, the size of the order book is bigger. And also, as you would have seen from the Investor Deck , the growth in the business is a lot more. So, that sort of explains the disproportionate share in the order book.
Swechha Jain: So, just a small clarification, sir , between Banking and TIG, can you give the revenue split, like , into Banking, how much is on the software side and how much is on the equipment side? And in the TIG, what would be the software component and what could be the equipment component for this quarter?
Ashish Rai: That we will have t o come back to you on that.
Swechha Jain: Fair enough.
Ashish Rai: Honestly, I think , broadly , the licenses component is a bit heavy on banking. We will come to look at it, but I don't believe that really will give you materially different information in t erms of quality . Because ultimately , I think the split would more or less be the same across the businesses. So, when we sell, it's important to understand a part of our sale ends up being one - off, which is especially when we are acquiring a new customer, which is where there is a license sale or an initial setup , and then the rest of it is implementation. Typically, you would split a third on the one -off, a third on the service , and a third on the ongoing AMC, and more or

less

that split sort of adheres. B ut we will see if we can get a split on those lines for the sub - segments.
Moderator: Thank you. A request to all the participants . Please restrict it to two questions per participant. If time permits, please come back in the question queue for a follow -up question. The next question is from the line of Dani sh Jain from A ssie Capital . Please go ahead.
Danish Jain : Congratulations for a good set of numbers. Sir, I have two basic questions. The first one is on revenue guidance for a range of next two to five year on the basis of the company extending new employee base , as well as the strong order book plus company having a very robust pipeline. So, I want to know, how long it takes to convert into numbers, if you could provide the long -term guidance for revenue growth. This is my first question.
The second question is on segment revenue side. If you see , the sale of the equipment and product license s is down in the December quarter is it like that the company is focusin g more on product license to maintain the growth trajectory or is this just one -off and it will improve in the coming quarters?
Ashish Rai: Well, let me attempt to answer that. So , first, about the revenue guidance we do give out an outlook, especially in terms of our target , more in terms of our plans 12 months out . So, that we have given, which is grow at about 30% or thereabouts this year. We do not really give out a long -term three to five -year guidance . But I think I am happy to explain the philosophy that we have overall, right. So, if you see, when we started the strategic pivot for the enterprise three years back, we had an ambition to create a global IP -led products and platform vendor that is a leader in a few chosen spaces not a leader in India o r Southeast Asia, but essentially, a global leader in those spaces, right ? And we set about saying, one is it my chosen space, the

right space with the right size of the market , and a long enough demand run rate , right ? Second, if I find that segment , can I build an absolute tier one product in that space that can go and compete globally , example, lending, we mentioned that last time around in Chartis , we are in the Leaders Quadrant on corporate loan innovation , collateral management, limit management . So, it is not Leaders Quadrant in Asia or in India, but Leaders Quadrant globally competing with the biggest vendors in the world.

Similarly , on the transit side, like we mentioned, win s in places like California , which are some of the most competitive RF Ps in the world, tells us I can go and compete anywhere. So, the idea was tier one IP in segments which are big enough , and then I want to get to a leadership position in those spaces, right ? So, these are very large spaces and the leadership position in those spaces can be very large numbers . Hence, the hesitation to really try and chalk out a three to five year thing.

Our ambition right now as an enterprise is to grow in the range of 25% to 30%. We have now been doing it for 11 quarters , and we expect to continue to do that. I do expect we will have

an inflection point , at which point our platforms are really ready to compete globally , and are acquiring scale , and the growth rates can go up. As and when we get to that inflection point, we would come in and advise the shareholders and investors on that. At the moment, I would say, a good ballpark in terms of our planning is to continue to try to grow at between 25 and 30%, both on the top line as well as earnings , right . So, that’s the firs t part.

The second part in terms of how much and I will apologize if I did not get the question right, how much of this growth comes in from, for example, one -off kind of services, sales in licenses and in equipment, and is the growth dependent on that. S o, typically, a lot of our growth co

mes

in from the existing base, which is where, once we are in with the client, especially with, let’s say, a very large size bank like the largest bank in Southeast Asia, for example, that we work with, and we are provid ing a mission critical system to them , they will need us to provide an ongoing service. And a lot of growth for us comes in from the existing relationships, just adding in terms of a new functionality needed or a service needed to maintain and things like that, right. So, I think there is less dependence on one -off.

A part of the growth comes in from new sales . And new sales , one-off is a portion of that, right ? So, I would say, it’s hard to assign a number to it . But I would say roughly, 35 to 40% of our revenues come in from new sales and a portion of that , with new sales as in net new sales , and a portion of that comes in from the one -offs. It 's not a such a significant , you know, it's something that will always be there, but it 's not a significant portion of the overall growth that one should think we will not be able to continue or will change in either direction by a huge number, right, either positive or negative. Hope that makes sense.

Danish Jain: Yes, sir. Thank you very much for your detailed answer. All the best, sir. Thank you very much.

Ashish Rai: Thank you, Danish .

Moderator: Thank you. Next question is from the line of Neha Jain, an Individual Investor. Please go ahead.

Neha Jain : Good morning, sir. Congratulations on a good set of numbe rs. I just had couple of questions. So, the first one is regarding the TIG business. Can you throw some light on which are the new state governments we are planning to tie -up with for that business segment?

Ashish Rai: So, look, I think typically we will not talk about deals which are in place for various reasons, including both confidentiality as well as comp etitive reasons. We have had our share of success in the Indian transit space. The goal that we have for the transit business is to create the most integrated end -to-end offering in the space . And I think we have succeeded there. We operate today with the most integrated solution stack as being the most cost -efficient provider as well, including the hardware stack, right ? So, I think , that is very, ver y important, which makes us very competitive. And you have seen the success in terms of on the Metro side, Nagpur metro, Noida metro, Kanpur metro, Haryana transport, UP transport. So, we are very competitive in

India. We are seeing a lot of success global ly now including US, including LatAm, including Africa, a lot of places. The success in Maldives that we talked about. So, I think , the trick with the business right now is to balance the growth out. And we will continue to win a share of the Indian deals. But we are also trying to balance that out . We are going out and competing a lot more on the global deals, especially expanding our channel out in the US and a few other places, right.

So, yes, I think , I can 't talk about specific deals, but we have been proven to be one of the most competitive players in India. We will continue to win some more business in India . But we are trying to go out and win a lot more globally now.

Neha Jain: Sir, just adding on to this previous question, sir since we are with the government, is there any lag that we see in our payment cycle, I mean in terms of receivable days? And is it impacting the working capital as well?

Ashish Rai: So, not so much on the mobility side . Mobility side , the payments are pretty transparent, whether it 's the metro operators or the transit operators in the states. There is absolutely no issue at all in payments. On the Smart City side, which is a smaller portion of the business, it is dependent on the payme nt cycles in the government . So, yes, as an overall part of the business, it's not large enough to really move the nee

dle. But from time -to-time, you know, the payment cycles may stretch in that business. But it 's not on the transit side, more on the Smart City side, which is smaller.

Moderator: Thank you. Next question is from the line of Umesh Matkar from Sushil Finance. Please go ahead.

Umesh Matkar: Couple of questions. How are you seeing the global slowdown impacting business right now? And once the gr owth picks up globally, do you see growing at a much faster pace? And for that, are you done with the investments in people and technology or it could be that the investments are still at the initial phase ? That is first. And you also spoke about doing pro jects globally and also in India. So, how are the margins on both the fronts? Thank you.

Ashish Rai: Hi, Umesh. So, first on the global slowdown . For us, we do not see a huge material impact. Now, any global recession, if things are really tough, it's a painful thing for the economy , and I feel for people who get affected. But for us, from a demand standpoint, I do not think it materially changes anything. So, there are two ways of looking at it. One is, if there is a widespread global slowdown, I thin k it affects everyone across. I believe given the nature of our model, which is where we are not a run -rate generic IT services company or a single - product , software product s company . We are essentially a , one, we are a n IP-led products and platforms compa ny. Second , we are not just dependent on one product . We have got a diversified portfolio of products . So, I believe this model, regardless of what is happening to the industry, we will be able to outperform bulk of the players in the industry, purely beca use

of the nature of the IP -led business, which is higher margin, more stable . And our biggest challenge right now is fulfilling demand, not so much demand itself, right ?

The second part is, we are today a very small player in very, very large segments. S o, we happen to be one of the most competitive players in the segments we chose, but we happen to be also very, very small. So, for us to keep growing, again , is more a function of how much of demand can be fulfilled, not so much the overall segment slows down . Because if the overall segment slows down , I think the weaker competitors will lose share , and we will get the opportunity to continue to keep on growing . And hopefully , you know , the capacity also shapes up in terms of growth so that we can continue to capitalize on it . So, I believe, an overall slowdown sort of allows the strength of the model to stand out a lot more compared to a normal situation where everything looks the same, right ? So, I believe we have sort of built the model to outperform in situations like these.

The second is , you know, growth picking up globally . As I said, you know, as and when that happens, very good. Right now, we don 't see a slowdown in demand in the first place. So, it 's not really a material question overall. Our big ger problem right now is capacity, not demand .

To address the other part to it, about the investments being done, we are growing at 30% now for three years which puts a lot of sort of need in terms of expanding the scale. I don 't think we are done. I think our expense line will keep on climbing as we keep on adding people. But the revenue line will keep on climbing as well proportionately. And we will continue to invest. It 's almost a continuous process. You know, i f you keep on growing at 30% , roughly, I will say 50 to 60% of the growth we still need to add capacity. The other 40% we don 't. So , it will probably not increase in line with the revenue growth, but it will increase. So, that 's one.

On the technology side, I think , bulk of our investments are do ne. So, most of the products are fully built out. We launched new versions of the bulk of our products including on the lending side, the cloud version ,

so, that investment is done. The corporate , digital banking products, that investment is done. On the t ransit side, we have made bulk of the investments. What we need to do now is more incremental R&D investments , by and large. It doesn 't mean we will not find a new sort of area to come, but I think our sort of R&D spend will remain stable for the next coup le of years. I hope that I have addressed all the points.

Umesh Matkar: Just had one question on the margins. How are those if you compare global projects versus the Indian?

Ashish Rai: So, look, at the overall level, as you would have seen over the last three years , we have probably one of the better margins in the industry, probably one of the best margins overall. We intend to keep that stable at around 22% to 23% on EBITDA and 15% to 16% on net. The reason for that is we 've been able to balance out th e product lines and the geo split of the businesses. So, we do see the margins that we are seeing in US and Southeast Asia and Middle -East, they tend to be better than what we get in India, So, I think , that is one geo split. And second , there is a

sort of marginal split across depending on the product and the service you are talking about.
So, on the one -off license -base d products , you wi ll see a slightly better margin that quarter . On a recurring business, you will see a more steady -state margin overall, right ? But balancing this portfolio out, today , we are one of the highest margin shops in the Indian IT , and we intend to continue to where we are, right, so which is at about 16% net.
As I said on the last call as well, we expense most of our investments . So, typically, there is always a R&D spend as a percentage of top line which is pretty significant, which goes on top of that. So, as we get more room to scale up the R&D spend, we will do that , and we will try and keep the margin stable.
Moderator: Than k you. The next question is from the line of Ganesh Shetty, Individual Investor. Please go ahead.
Ganesh Shetty: Sir, c ongratulations for a great Q3, also for taking the Company to a new great growth. Sir, my first question is regarding our acquisition in the US that is Hello Patients , is it contributing in any way to our revenue this quarter , or we may have to wait for some more time?
Ashish Rai: Hi, Ganesh. So, Hello Patients is more of a strategic long -term bet for us , and that 's why , you know, we represent that as a part of the Fintech platforms. It 's not material to our revenue at the moment. In terms of strategy update, what we are doing with Hello Patients is we believe it has an opportunity to fundamentally change the patient management , practice management space in the US. We have got a very experienced management team in that business , and we are working together to create the next -generation experience in that space.
We have got some sort of clients who live on the platform, but we are l ooking at creating a next generation of it and launch it very soon. As and when we are ready to launch the next -generation of the product out there, we will announce that. I think we are a few months away from it.
Ganesh Shetty: I just wanted to know about our data center business that is seeing a great demand across the country . So, how that business is shaping up ? And what is the margin picture over there? Can you please ?
Ashish Rai: So, look, data centers, we believe we now have one of the strongest teams in the business in this industry. We have invested heavily in that space. And I think , it is showing up in terms of some fantastic wins that we have announced from time -to-time, including some highly competitive , very prestigious wins where we have p robably not been able to announce the client name because of confidentiality reasons, but like the most prestigious wins in the industry. So, I think we are ve

ry well -placed in that business , I believe for quite some time. So, that business will win more m arket share than what is in the peer group.

And, you know, the other thing is, you are totally right. I think there is an explosive demand in the country in that space in terms of new investments coming in, multiple players coming in, and a specialized pl ayer with very high -end consulting skills like us has a lot of share to win. So, I believe , for the short -to-medium term, that business will grow way above the enterprise growth rate that we have.
Ganesh Shetty: Sir, we all experienced that Aurionpro is moving from one stage of growth to second, the next to the third stage. So , now we can see a very explosive growth in all our products as we have an array of software products and platforms. So, how we position ourselves to make ourselves equipped to ha ndle those challenges where the Company is shaping from a small company to a big company to a large , very large company ? So, do we have certain plans for these initiative with us or we are yet to make all those decisions? This is just a qualitative questio n regarding our business.
Ashish Rai: So, we are being very deliberate in where we want to be. As I have said, we started this strategic pivot three years back. We were very, very careful on where we want to be, the kind of business we want to build. We ar e looking at the very long -term . We want to build a business that really materially enhances the long -term intrinsic value of the firm over extended periods of time .
So, we went in and carefully selected the segments we want to be in . And then we carefully selected the model that will allow us to perform over the long term, which means there were issues with the pure -play, single product software game , so we said we will diversify the portfolio out. There were issues with the pure -play services gam e, obviously in terms of increasing costs and al l. So, we said okay, we will be very IP -focused so that we can always have a pricing power way above the commoditized I T services player, right.
So, we very deliberately chose the current model, which is wh ere I am in the focus segments, whether it 's banking , whether it 's transit. I am creating multiple levels of leverage. Leverage number one, we create absolute tier one IP in the product space that we are in . That itself will allow us to win a lot of busine ss. Then leverage number two, we wrap that IP up in a whole set of services, whether it 's cloud, whether platform services to create platforms. For example, if

you look at transit, it 's an end -to-end platform, not just a single -product like an AFC or somet hing, and across both hardware and software , which allows us to get even bigger pricing power and margin power overall.
And then a third level of leverage where we say, we will bet on the convergence of these platforms . So, we'll build , go and work with industry leaders worldwide to create ecosystem leverage, which explains the Fintech platforms we have like Aurobees, like Auropay , like Hello Patients, which is where the IP is ours . We have wrapped it with services , and then we are collab orating with industry leaders to make it even wider . So, those three levels of leverage in the chosen segments will allow us to command both growth , as well as pricing power disproportionate to pretty much anything else we see in the market. So, that is th e game.

Now, are we ready for it? I think we have got three years track record in terms of what we have delivered. Second, we have shown some of this . We have a top -class management team that we announced. We had a significant expansion in capacity. And w e believe , now we see increasingly we have become a magnet for the right kind of product talent to come in, because there are not so many alternate options who are doing anything similar, wheth

er it 's banking
or transit .
So, I think , we are going about this in a very deliberate way. We are not trying to overstep by trying to grow at 50, 60% , because it 's not a services game. We need to protect our delivery reputation . We need to protect the scale. So , we are going about growing in a very balanced fashion , grow at 25 to 30%, and grow our capacity. The management team is in place. I believe we now have the structure to support a much bigger business than what we have. So as a management team, we feel very good about our preparation for scale, our preparedne ss for it . And I think , our goal is to continue to lo g the growth rates and continue to show that we are ready for that leadership position that we aspire to.
Moderator: Thank you. Next question is from the line of Keshav Garg from Counter Cyclical PMS. Pl ease go ahead.
Keshav Garg: Thank you very much for providing me this opportunity. I wanted to understand that what is our Capex plan for the next one, two years and what is the net cash that the Company has as of 31 st December 2022?
Ashish Rai: Capex plan, first, we 're not really capitalizing any of the software investments , so, we basically expense them out. We are at the moment expensing at the rate of roughly about 7% of our top line. That may go up or down, you know, a little bit as we go. But as w e said, we want to sustain the margin levels we are at so, it will typically be 6.5 to 7% and climb up slowly as the economic profile of the products keep on improving, right, as we get scale. So, no capitalization on the software side , barring some very s pecific situations , which are non -material in nature.
On the actual other Capex, I think it 's more or less scaling with the expansion in capacity . So, it's not something abnormal. So we publish the balance sheet half -yearly , and we will publish at the end of full year . So, you know, we will not get to end of Q3 sort of announcement on where it is . But I would say , if you go back two years, three years, we had a large amount of debt sitting on the balance sheet . Now , that debt is very, very low compared to the size of the business. We have been publishing the debt -to-equity number . It's 0.12 or 0.1 something . It's not material in any case , and the cash position has steadily been building up.
So, I would not answer a specific question . But we will do a disclosure as we normally do with the full -year balance sheet when we publish. And I think , overall, the debt position in the business has reduced over time , and the cash position has gone up.

Keshav Garg: Sir, I am trying to understand that in this third quarter , our tax rate was 14% . And for the nine months of this year , it was 15%. So , sir, going forward, what will be the effective tax rate applicable to our Company on a consolidated basis?
Ashish Rai: So, typically , the tax rate, we will be between 17 to 20%. You wi ll see a little bit of variance quarter -to-quarter, I mean , especially , depending on the skew of the global business . I would expect, let 's say, to get to 17, 18%, but it depends on the mix of business over the quarter. And what is happening to the business overall is , I think , last few quarters , we have been overall steady . But as we increase the size of the global business, you probably see us climb do wn a little bit. But historically, I think we have typically budgeted for being at around 17, 18% and going up to 20%.
Keshav Garg: And lastly, I just wanted to touch upon one thing that , like you mentioned , that our operating margin and other parameters a re amongst the best in the industry. Sir, but if you see at our valuation then, despite being almost debt free and with constant improvement on all parameters, we are still trading at single -digit price -to-earnings, which is the cheapest among the industry . And plus we are expecting a glorious future , an

d we are showing a steady growth
rate of 25 - 30% . So, that make s the stock even cheaper . So, if the Company can buy back its shares and extinguish the same, so our EPS going forward will increase faster than the profit . And it will be a permanent thing for all times to come. Sir, if you could kindly consider that suggestion, it will be very beneficial for the shareholders. Thank you.
Ashish Rai: Yeah . So, look, I think we would consider it. Thanks for tha t. It's been around , look, valuation , ultimately , market is the determinant of valuation . So, the management has no contribution to that fact. Our goal is to play for the long term and to enhance the long -term intrinsic value per share for the shareholder of Aurionpro and we will continue to work on that. I think we could get to a stage where we saw the best use of cash to go and buy back the share . But I think we as a management team around the Board of Directors table , I think there is absolute clarity that we are managing this business for the long term. There probably is a short -term benefit to buying back shares, but the rate at which we are g rowing and the size of opportunities that exist in front of us, at least in the near term we believe the best use of our investment is to invest in growt h. I think , that is what serves the interest of the shareholders the best . If you see over the last 12 months, even on the inorganic side, right, whether it 's our investments in Toshi, our investments on SC Soft, our investments on Hello Patients, right, even the inorganic side, they have been to finish off the product stack . They have been to finish off the offering so that we generate incremental intrinsic value for our shareholders.
I don 't think buyback would have , I mean, did we have cash to do that? Of course we had . But we would much rather go and use that to invest in finishing up the product stack, completing that end -to-end offering. So , essentially, in any part of the value proposition, we go for what is the adjacency, can I backward integrate . And whenever we do that, we extract more margin. That is the reason why we have one of the best margin shops today. We extract more margin ,

and we become more competitive on the chain . So, I believe , for at least the short -to-medium term, the management belie ves that is the best use of our investments. I think , if we got to a stage where we really had growth slowing down , or we had no other revenue to invest, I do agree that that may make sense . But ultimately, I b elieve the market would over the long -term value all prices fairly. Over the short -term, I don 't think that valuation really matters a lot to the management team.
Moderator: The next question is from the line of Ankit, Individual Investor. Please go ahead. Aniket, may I request you to unmute your line from your side and go ahead with your question , please ?
Aniket: Good evening sir , and congratulation s on the good set of numbers. So, I have two questions basically. So, what is the current debt on the books? And are we planning to raise the funds?
Ashish Rai: So, debt number, as I said, we have progressively brought that number down. We will still continue to have, I suppose, some . There's a bit of long -term debt that we have a problem retiring, as well as we will continue to have some short -term debt to manage the growth, just the growth in working capital. But it 's not material to the size of the business now. At the moment, we find no real need for excess capital to maintain our current growth rates on each of the lines of the business. So , as I said, product investments largely done, inorganic investments largely done. So, unless there was a specific opportunity to significantly expand value somewhere, we don 't really see any use for excess capital the business is kicking up enough capital to reinvest back and continue to compound the growt

h in the business overall ,
and as I said, bulk of our investment cycles are done . So, now it 's more execution mode for us to capture as much growth as we can . So, there is no immediate plan. I mean never say never, but unless it has to be some significant opportunity for value creation. So , at the moment, we don't see any need for it.
Aniket: So, sir, my second question is, as you mentioned about the global environment bein g recessionary, so as far as our business is concerned , what kind of slowdown are we seeing? And is it impacting our ru n rate for achieving our target for next two years?
Ashish Rai: Yeah . Look , honestly, we don 't see any material slowdown anywhere. We hear talk like , you know, everyone on this call does about a recession possibility globally. If it happens, very good . The goal of the management team is not really to judge whether it 's high tight or low tide. The goal is to swim as easily as we can , righ t. I think we are executing well. We don 't see a slowdown in demand. As and when there is a slowdown in demand, I believe we will outperform our peer group. So, we will continue to convert when the weaker players have stopped converting. That is what we be lieve.
The other thing is, if you see what is causing this global sort of noise around recession, a large part of it is around increased interest rates in the Western world . Now, as the cost of money increases, as interest rates increase, a large part of our offering, if you see, for example, the

corporate lending side, we believe banks will normally do well in a high -interest rate environment. Corporate loan s is the heart of a wholesale bank. So, we believe banks will continue to spend on transformation t here . Banks will continue to spend on the , for example, the corporate banking products that we have. So, we don 't believe a high interest rate environment is necessarily bad for the parts of the banking industry that we address. I can understand it 's bad for, for example, investment banking, the transaction volumes have dropped. There is no M&A . And I get that. But it 's not necessarily bad for the corporate bank that we serve , right .

So, I would expect that demand to continue to hold. We would expect the transit demand to continue to hold. So, we honestly right now don 't see a reason for slowdown. If we see one, we will come and talk to the shareholders about it.

Moderator: Thank you. Ankit , may I request you to come back in the question queue. The next q uestion is from the line of Swechha Jain from ANS Wealth. Please go ahead.

Swechha Jain: Sir, I have a follow -up. Sir, one was, I wanted to understand , what was our investments in SC Soft and Toshi Auto that we have done ? I wanted to understand how do you think these two investments are going to help us strategically? And another question that a follow -up I had was from your commentary that you said that , you know, we have been maintaining a growth of over 30% over last 11 quarters. So , I wanted to understa nd, for how many more quarters do you see us growing at a 30% kind of a number?

Ashish Rai: So, we don 't see a slowdown at all. So, we expect to continue to grow at 25 to 30% in the next several quarters and beyond. What we don 't give is a forward guidance going several years out so, we don 't want to do that. What we share is an insight into our planning for the next several quarters , and our performance target for the next several quarters is to continue to grow at the same rate as we have been growing the last three years. We don 't see a need to slow down the growth rate at the moment, either from a demand standpoint or a capacity standpoint. We believe we can keep scaling capacity at the current growth rate. Of course, if we were to accelerate, it can bec ome a challenge , and hence , our choice of growing 25 to 30%, which is where we believe capacity can keep up with

our conversions. So, that 's essentially the story there.

SC Soft and Toshi, that 's a great question, Swechha. Look, I think , it's important to understand what we are trying to create on the transit side . Under the leadership of Sanjay who is the President of the business, we promoted , you know, we have built out today one of the most integrated end -to-end stack in the transit space . We believe it is a multi -billion dollar space globally. We see a huge momentum across the world in terms of transformation of transit payments from the legacy closed -loop systems to open -loop systems where we happen to have a cutting edge tech stack.

When we say we want to build -out the most end -to-end offering, it means we need to capture parts of the value chain where we are not there. And that explains SC Soft. SC Soft is a Singapore -based provider, very strong . A lot of our transit technology has come from there and being developed out of our R&D centers in Singapore and Istanbul , as well as in India , right . This is where the hardware stack comes in, which is the Validator and we are increasingly backward integrating that piece going down to a lower level, buildin g more and more of our stuff and replacing the component s. We will continue to build out global class Validator and tech stack from the Singapore setup . That's where SC Soft comes in. We have more or less finished the acquisition. We acquired 90% of it with a 10% that will put in the cash over the next couple of quarters.

Toshi fits in again in terms of completing out the offering stack in that business. So, where Toshi comes i n is, a lot of the contracts come out not just for techno logy, but also for things like the turnstiles and the gates and the actual core hardware component. And Toshi will help us capture that portion of the contract, so when we go out , we can actually have an o ffering for pretty much everything that a bid is co ming out. So, some bids come out purely for portion of the stack, so like just the Validator s, for example, or just the software, AFC, or the larger transformation contract comes for everything end -to-end. So, it gives us the ability to play in the large t urnkey contracts , as well as play in any part of that chain.

So, Toshi takes up the manufacturing side, hardware core manufacturing side. SC Soft provides the electronic manufacturing, the hardware , and the tech stack, right. And we bring it together with , wrap it around with a set of services that we have , and that is what allows us to go in and win a disproportionate share of business in that space.

Moderator: Thank you very much. I now hand the conference over to Mr. Ashish Rai for closing comments.

Ashish Rai: So, thank you everyone for joining the call. Hope it has been useful , and I look forward to see you back next quarter. Thank you.

Moderator: Thank you very much member of the management. O n behalf of Auionpro Solutions Limited that concludes today’s conference call. Thank you for joining us and you may now disconnect your lines.

Call: Jun 2023

“Aurionpro Solutions Limited
Q4 & FY23 Earnings Conference Call ”
May 17, 2023

Management Participants
Mr. Ashish Rai – Vice Chairman & Director
Mr. Vipul Parmar – Chief Financial Officer
Mr. Ninad Kelkar --Company Secretary

Aurionpro Solutions Ltd
May 17 2023

Moderator: Ladies and gentlemen, good day and welcome to the Investors Call of Aurionpro Solutions to Discuss the Q4 & FY23 Results. As a reminder, all participants lines will be in a listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note this conference call is being recorded. I now ha nd the conference over to Ms. Aashvi Shah from Adfactors PR. Thank you and over to you, ma'am.
Aashvi Shah: Thank you, Vikram. Good afternoon, everyone. This is A ashvi Shah from Adfactor s PR. We represent investor relations for Aurionpro Solutions Limited. On behalf of the company , I welcome you all to our earnings conference call for Q4 and FY23.
Today , on this call, we have with us from the management , Mr. Ashish Rai -- Vice Chairman and Director ; Mr. Vipul Parmar -- Chief Financial Officer and Mr. Nina d Kelkar --Company Secretary.
We will begin the call with brief opening remarks from the management, followed by a Q&A session.
Please note that certain statements made during this call may be forward -looking in nature. Such forward - looking statements are subject to certain risks and uncertainties that could cause actual results or projections to differ materially from those state ments . Aurionpro solutions will not be in any way responsible f or any actions taken based on such statements and undertakes no obligation to publicly update these forward looking state ments .
I would now like to hand over the call to Mr. Ashish Rai for his opening remarks. Thank you and over to you, sir.
Ashish Rai: Thanks, Aashvi. Good afternoon, everyone and welcome to this Earnings Call for Q4 & FY23.
We are of course very pleased to announce these results. FY23 was in many ways a landmark year for us in terms of execution on pretty much all aspects of our revamped strategy that we've communicated before and we can't be more proud of the disciplined execution from all our businesses.
We met or exceeded our targets on every operational parameter that we track actively. Both of our core divisions exceeded their operati onal targets for the year, which points to the exceptional execution from Aurionp ro teams across the world.
I'm sure by now you received the investor deck that details o ur performance in the quarter , allow me to briefly summarize the key performance highl ights : Revenue for the quarter stood at Rs.191 crore s which is a growth of 39% on a year -on-year basis and 13% sequentially on a quarter -on-quarter basis which is one of the strongest sequential growth we have for some time.
EBITDA for Q4FY23 stood at Rs.40 crores as compared to Rs.30 crores in Q4FY22, which is a growth of 33% on a YoY basis and a 9% sequential QoQ basis. EBITDA margins for the quarter stood at 21% .
Aurionpro Solutions Ltd
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PAT for Q4FY23 , stood at Rs.27 crores which is a growth of 23% on a year -on-year basis and 2% sequential .
In FY23 , the company achieved its revenue target of Rs.659 crores, which is a 31% growth YoY. EBITDA and Profit after tax for FY23 were higher 30% and 35% respectively on a YoY basis . Earning s per share for Q4 FY23 stood at Rs.11 and for FY23 it stood at Rs.42.69 , which is an increase of 38% on a YoY basis.
Let me move on to updating you on some of the k

ey strategic priorities, especially around the channel
and capacity, which are more immediate in terms of impact , as well as the p roduct build which is more mid to long term in terms of impact . Over the last few quarters , we've highlighted our focus on building out the sales channel and expanding outside our established home markets, which is primarily Asia.
We've gone about building this with a very sharp focus and I'm pleased to report that we've made very strong progress in building out an exceptionally high quality sales team across US, India, Middle East as well as core Asia. So the channel is more or less fully built out as well as bringing on board some incredible partnerships with tier -1 technology partners, which will greatly enhance our reach as well as impact globally.
What makes FY23 performance stand out for us and makes it even more special is that the teams achieve d this while also meeting our long term objectives of accelerating R&D to create next -generation platforms.
While our core platforms are pretty much fully built out across banking as well as TIG , as we expand our

markets, there is a level of incremental build th at does consume material effort s. So in FY23 , we have surpassed pretty much every year in our history in terms of progress ing o n the product build and the new product launches .

If I highlight a few of these, we launched a brand new corporate digital banking product , Auro -Digi, that's already won its first client which is really encouraging for us. We launched SME platform , Auro bees during the year , that's again seeing significant traction . We've made some announcements on this from time -to-time. We we nt live with the payment offerings , B2C live in India , B2B in Singapore . We had great additions to our solution sets in lending and transit as well. On the platform services in India, we launched a hybrid cloud services offering that adds significant value to our existing platform offerings. So, all in all , a very large number of launches, probably the most we've had in our history in a single year. We also made great progress in adding capacity across the enterprise . We've added 500 -plus people in the seco nd half of the year that allows us to progress our product build agenda aggressively. We also added manufacturing capacity for the hardware divisions to allow them to scale more aggressively in the current year.

So if you take all of these together, these achievements now allow us to be ready for a phase of rapid as well as sustained growth, through both increasing our market share in the home markets where we are already quite significant in terms of our presence as well as expansion in the identified grow th markets for each of the businesses.

So, as I look ahead to FY24 , we started the year with a strong pipeline, thanks to both the direct sales channel as well as our partnerships now firing on all cylinders. We enter the year with a strong order book

of about Rs.820 crores. Most of the order book is executable over the next four quarters , so that gives us very strong visibility into the next four quarters. We also feel very good about the execution machine walking into this year.

We have driven strong gr owth for the last two years now. And while we needed a lot of work last year in terms of building out capacity , channel , as well as the o rganiza tional framework to handle the growth , this year we are a lot better placed in terms of both capacity and talent. We expect to maintain the growth trajectory going forward and we expect that FY24 growth to be in the range of 30 % to

35%, which is a
slight uptick on our growth last year. Buildin g a technology business that can create and preserve value over the long term , needs one to have a durable defensive modes and an ability to adapt to the changes that we see in the industry from time-to-time.

We feel even more strongly now than before that our chosen strategic framework centered around highly differentiated products and platform s, allows us the ability to react much better to the demand environment as it evolves, which in turn will allow us to deliver medium to long term superior returns on capital compared to the industry.

We want to be in the top 10% of the tech industry in terms of both growth as well as margins . We've done that for the last two years and we will remain focused on continuing this well into the current year and far beyond.

I hope this has given you a useful overview of the overall business context and our strategy and performance. I look forward to addressing any questions that you may have.

Moderator: Ladies and gentlemen, we will now begin the question -and-answer session. We will t ake a first question from the line of Mitul Mehta from Lucky Investments. Please go ahead.

Mitul Mehta : Just wanted to get some sense on both your businesses with respect to working capital. So if I clearly compare it with the wor king capital of last year to this year, this year the working capital has slightly deteriorated. Last year, our cash flow conversion was significantly higher, this year that has not come through. So can you please make us understand as to where this workin g capital is stuck, I mean is it more in the banking products of business or your infrastructure business, which is the payment gateway business ? Secondly, sir, we've invested some capital into building manufacturing capacity and capabilities. Are we going to further invest in that area, and if yes, how much? Is it possible for you to also help us understand the return on capital employed in both the businesses so that we can dissect a much better?

Ashish Rai : Working capital is essentially two things, right , so working capital broadly is inventory and its receivables, right. So obviously since we got into manufacturing the hardware side of the business, we are now carrying a bit of inventory which will add to the working capital in the business , bulk of it still is the receivables and receivables for us , our DSOs has gone from something like 94 last year to about 110 that it stands on right now, it had been going up to about 115 in September , it came down to 110 now. We'll

see that come down in another 5 or 10 days over the next six months. What is happening to the enterprise right now is , since we are growing at a pretty fast pace , in some cases we will use working capital as a competitive tool for the busine ss, and in some cases we want to carry inventories , in some cases, we want to agree to their payment cycles . The product business typically would tend to skewed that way.

The other side to it is , we are starting off way more projects than we can fin ish. And that again, given the kind of business that we built up , around essentially product deliveries and making customers live on the products , finishing projects is again very important. So , we've been building capacity through the years. A lot of that has been built out , so we feel the first half of the year would be a lot better in terms of actually finishing of project s and hence getting the DSOs down. I think our ability to generate return on any capital employed by the e

nterprise is very high. We believ e we can drive pretty much industry -leading returns on capital. So we don't really get too worried about working capital getting stretched from time -to-time . So it's not necessarily a bad thing if we can drive 25 %, 30% returns on any capital employe d. So we will probably see it come down by another 10 days in the next six months , but in our business, I think one has to be prepared for DSO s staying at 9 0-100 day level at Least , right and then time -to-time, we'll use it as a competitive tool as we said . So th at's basically on working capital . I can through the call maybe explain more if someone has another angle to it .

On the second question , so you're right, we made investments in two firms over the last couple of years ; SC Soft in Singapore and Tosh i, which is ADAPT , Aurionpro Toshi Automatic Systems now out in India. And both of them , we are building out in our heads the most integrated end -to-end stack when it comes to transit payments. So we don't want to sit in the box and say we make software or we make the payments back or validate this or we make the case , we essentially span the whole value chain, which gives us immense competitive power . Hence the reason to invest in manufacturing . The return on capital that you will get from it , will come from the transit businesses that we have across . So basically we believe we will be able to drive very high margins from the transit business in steady state , right now we're rapidly growing, but at some point in time over the next few years, the business acquire scale and it's a lot more steady. And then we believe it will match the 25% ask we have across the enterprise from all the businesses , the ROC E ask, the transit business as a whole will make that. So , manufacturing is a critical part of that cha in. It allows us to be a lot more competitive and the overall business will drive the 25% ROC E.

The last part , “are we going to invest in scaling up capacity? ” We announced a little while back expansion in Malaysia, we announced this tie up with contract manufacturers out in Malaysia, which allows the scale that capacity on the validator side . It's already kicked in ; we did our first deliveries over the last couple of months an d that really allowed us the way to scale significantly compared to where we were. The setup out in India as well , we will continue to expand , because we too see that growing at rates far faster than overall Aurionpro growth rates, although it's a small bu siness right now. I hope I've covered all the points and through the call you know if there is any follow ups, I'm happy to take those.

Aurionpro Solutions Ltd
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Mitul Mehta: Let's s ay, this year we ended our sales at Rs.650 crores. Can you give us a break up between the two business, the transit payment business , I mean of course that includes the manufacturing business also ?
Ashish Rai: Yes. So we published that. So look, I think the split is roughly 52% is banking and fintech and 48% is technology Innovation group which embeds the manufacturing assets, the transit assets, the smart mobility, smart city assets in India as well as the hybrid cloud and data center businesses. So it's essentially Rs.340 Cr for banking and about Rs.315 Cr for TI G.
Mitul Mehta : I'm a ssuming that both the businesses would be having similar margins ?
Ashish Rai: Not really , banking is, let's say about four or five points more than TI G.
Mitul Mehta: The technology innovation margins would be approximately, let's say, 18%

-19%, would be higher ?
Ashish Rai: So look, I think in the range of let's say 15 % -16% on TIG and certainly above 20 s in the case of banking and fintech , so closer to 25 or so .
Mitul Mehta: I just wanted to understand your strategy going forward. Clearly , the technology innovation business seems to be a capital -intensive business. So how are you directionally investing in your business , would you be investing a lot more in your technology innovation business or you pretty more or less hit the peak in te rms of manufacturing capacity?
Ashish Rai: Look, it's not a capital -intensive business I would sort of d iffer on that. I think it will consume capital at a little bit of a n elevated rate , while we are growing rapidly. But in a steady state, if you look at the transit businesses that we run , and especially now we are going a lot more global , earlier we were doing contracts in India, now we are out in the US , Central America, Latin America , so we're out competing and winning globally , the business is extremel y profitable. So , we believe from a capital intensity standpoint and given the fact that we can give high inventories off to contract manufacturers and stuff, we can run it in a fairly capital efficient fashion and still drive good margins. The thing about TIG right now is , there is element of business in India, which has elongated payment cycles and probably a little bit lower margin, but over time you'll see the mix changing. T IG is essentially the group in which we incubate a lot of different businesses, so there is always a few mature businesses , which can become independent divisions by themselves over time and then the re are a lot of small businesses , where we are investing capital initially , and as they mature, it will really not be a problem.
I think one thing to understand about Aurionpro is by and large, we expense all our R&D spend . So we are not really capitalizing our assets. If we were capitalizing it, you will see profitability probably 9 to 10

points better than what it actually is. So in Q4 R&D is about 8 .5% but it's g oing up. So the thing to look at is because we don't capitalize and we expense all R &D from time to time some businesses appear to have a different economic profile than what we think th ey will be long term when they're st abilized. So we

believe transit is a very strong business , we believe we can drive good margins on the hybrid cloud services, on the data center design business as well and I don't think it's seriously capital -intensive.
Mitul Mehta: Is there any retention money which is stuck in the TI G business?
Ashish Rai: So we have something of the range of Rs. 30 crores stuck as retention money.
Moderator: We take a next question from the line of Vivek Gautam from GS Investments. Please go ahead.
Vivek Gautam: Our company has been listed for quite some time now , but improvement in performance has been happening for the last few quarters. So , what is the change which has happened which is responsible for it and how is the future looking like in terms of opportunity siz e for us? And how's the competition scenario for us , who are our major competitors in both the segments we are operating in?
Ashish Rai: Thanks, Vivek . Good question. So yes, we've been listed since 2005, and we have evolved over time as the enterprise. I think what's more relevant to answering your question is , we started a strategic pivot about three years back as an enterprise , where we revamped our strategy and what we are focusing on is becoming a

Global IP-led products and platforms vendors right, which is sort of focused on a few chosen segments , I will probably come to that. But first, why build out global products and platf orms vendor? Our core thesis was one, we don't want to be a commoditized IP serv ices vendor over the long -term as we feel margins in that business over time go down , whether it's because of structural cost issues, whether it's because of AI, whether it's something else , we don't believe we want to be a commoditized services vendor. So we said we want to be centered around IP and build our own. The second is , when we say we want to build out a product business, we said , we don't want to be a single product business , so we don't want to be a one trick pony because that exposes our shareholder in the business to a lot of lumpiness in revenue streams , cyclical sort of demand. So we said , we want to have multiple IP assets , right , we want to be diverse enough. Third, we said we don't want to be in a single sector and hence we said, what are the adjacent sectors we can be present in, right? So that sort of brought in to say, okay , you are centered on product, you are multi -product , second, you are across multiple sectors . For example , we use the same payment stack, but transit is slightly different in terms of economic behavior compared to banking . So, we went that way. So that is what brought to our ambition to become a global products player. Where are we in terms of banking ? We've got absolute tier -1 assets again lending as well as transaction banking , you probably saw charges with tech leaders quadrant product on the lending side. There's basically no software provider from India or even Asia who is in the l eaders qua drant and we are the only one . And similarly on the transit side , we believe we are building out one of the most integrated end-to-end stacks , what proves us, we are tier -1, California for example, total competitive Global RFP and we are one of t he three winners in that and we are already rolling out in five-six Californian cities , so if I can win there, we can win pretty much anywhere. So , I think a lot of proof points as to why we believe we are absolute tier-1 in terms of IP?
So essentially the segments that we chose , one, the segment should have a very long demand runway, which is corporate loan origination which is transit in our view, etc ., right? Second, we said , the leadership in the space should be contested enough for us to go for a global leadership position. So , it should be

fragmented and contested enough for us to go for it. Third, it should be a segment in which we can build out a tier-1 IP asset like I explained on the l ending side right. So as long as it meets those conditions, we go in and we try and build a business out . So that's essentially what the play has been on the strategy side.
Who do we compete with ? Banking , we compete with probably the largest global vendors , in some cases we collaborate with them , in some cases we compete with them, which is the likes of Fiserv , Finastra, FIS. On the transit side , we compete with most o f the biggest players in global , Ellis, Wakes , a lot of players, right, but we also collaborate very actively with them. So , for example, we collaborate very actively with Finastra , we collaborate very actively with MasterCard . So we play on the global field, we are fairly smal l in very large spaces , but we have absolutely top class products to go out and compete. S

o we feel good
about where we are .
The last point probab ly was what I'll close with is your point , the last two quarters we are doing well . Actually we put the strategy in place almost three years back. It takes us time to do the product b uild, product is not an easy business , services is a very linear business , I hire a 1,000 people , I can get 1 ,000 people of revenue , product takes capital to build , it takes time to succeed. It's harder, but still I believe at least 10 or 11 quarters of consecutive 25 % to 30% growth and we feel we can continue this for a fairly long time. I hope that answers .
Vivek Gautam: My question is that, the slowdown in the very small banks in US getting impacted due to the recent

banking crisis. Is it impacting us in any way? That was the number two and number three was about the opportunity size for our transaction banking , metro station , rapid rail transportation and other ticketing solution s we are offering , how is the opportunit y size over there ?
Ashish Rai: I take the first one . I don't know whether it's a banki ng crisis or not , but there is a high interest rate environment in the western world. There is a lot of talk around recession. We hear as much about recession as you hear about recession. If it happens it happens. We don't sell to small and mid -sized banks . The product we have is around corporate loan origination, which only the largest banks need. We believe a high interest rate environment is generally a good thing for corporate loan books in general for corporate banks . What we see at least so far , is th e large banks that we serve are doing pretty well, able to drive margins and what also is happening is in a high interest rate environment, typically the investment bank side slows down. So , there is less fee income, there's less M&A transactions and banks seem to invest even more on the corporate loan side because I think that's the size of the bank that that is making mone y. So far from what we have seen , we only see an increased demand , we don't necessarily see any reduction in dem and. Our pipelines are the strongest they've ever been. So we'll see if there is a worldwide global recession or even a big one in the western world, it probably affects everyone. But we would believe we have the ability to outperform the industry no matte r what comes. So , I think that's number one .

Second part to it , I think there were several products mentioned, so probably it's hard to address the target size market -by-market. So , I'll come back to what I was saying on the previous question. We selected segments where we believe the addressable market is very large. If you look at each of our products, even products which are the leading products in Asia. So if you say lending is act ually pretty big in core Asia on a global basis, we probably have less than a 4% to 5% market share , in some cases even less than 2% market share. So , we happen to sit in a very unique spot where the segment sizes are all double -digit billions, very large. Second, we have a very competitive products stack. Third, we have very small market share. So if you have a very small market share and a very competitive product, logically you should be able to expand for a very long time. And I think that's what we bel ieve will happen as we go forward. So segments very large , market share very small , product proven to be competitive on a global level in many cases where it is not , we are working towards makin

g them globally co mpetitive . So we
would believe the product that we are left with right now, we would fancy our chances in terms of continuing to grow fairly strongly in each of those segments.
Moderator: We take our next question from the line of Hiten Boricha from Sequent Investments. Please go ahead.
Hiten Boric ha: I have a couple of questions. First question is on the order book , you mentioned we have around Rs.800-820 crores for F Y24, which will be executable for next four quarter s. So can you share some color and what kind of order inflow or enquiry on orders we are getting for next year F Y25? My second question is on the division , you mentioned we are looking for a growth of around 30 %- 35%. So if you can help with which division is going to contribute more , banking or the TIG ? And the third question is you also mentioned something on capacity addition in hardware . So some more comments on that?
Ashish Rai: So order book , Rs.820 crores as it stood end of March, we believe at least about Rs.700 crores from it should be executable over the next four quarters. It obviously depends on capacity and how we plan our projects . The rest of what we are projecting , we will deliver next year , will have to come from the sell and deliver that we do within the year. So , that's essentially how the order book pans out. How does it look for FY25? FY25 is we'll probably spill over Rs.120, 130 crores from the current order book when we go into that year, but most of it will be sold this year . From a pipeline standpoint, we feel we are in a very good position ; the pipelines have been 40% bigger than they were, let's say six months back. So it's actually climbed up quite significantly. I don't think that's necessarily a reflection of just the demand , we have added a lot of sales people in US , India, Middle East, Sout heast Asia, as well as we've signed up some very, very i nteresting partnerships which give us a leg up in terms of demand generation. So , the pipelines are the strongest they've ever been by a mile. I think that should bode well for FY25 in terms of what w e convert and maybe middle of the year we will come in and provide an update on that.
The growth of 30 % to 35% how does it spread between divisions , so what happened last year was , banking ended at about Rs.340 crores and it grew about 15%. T IG stood at about Rs.315 crores or so and it grew at 55% . So, obviously TIG has grown very strongly. Banking is very software -driven, product -driven and banking was busy building capacity as well as launching new products. We expect to see the benefit

of those new product s launches , as well as the build out capacity in terms of project execution to come to us this year. So what I would expect or what we would expect is TIG to moderate in growth, so not grow at 55 but grow kind of materially lesser and banking to step up in growth. So both of them more or less converge at the middle, that's how we'll get to the 30 % to 35 %.
The third part about capacity manufacturing. We've added somewhat to the capacity in Ghaziabad in

terms of how efficiently we run it. A little bit of machinery and addition in terms of shift work , etc., and we will continue to scale that capacity a little bit more because the demand is just staggering. So we'll work on it. On the validator side out in Singapore and Malaysia, we've signed an agreement which we are also a few months back with the contract manufacture r. We got the capacity tied up. We got ze

ro
concern s about being able to scale up for the next few years actually with that capacity. So I think we are fairly sorted there.
Hiten Boricha : But on the capacity side, can you quantify the amount, what was the CAPEX in FY23 and what are we going to spend in FY24?
Ashish Rai: So capacity is multiple parts of CAPEX , one is these are acquisitions . So first I think between SC Soft in Singapore and Toshi plus the CAPEX you're talking at something in the range of Rs.50 crores which includes both the inorganic investments that we put as well as the CAPEX behind those.
Hiten Boricha: And the number for FY24, sir?
Ashish Rai: FY24 we are not really planning anything materially incremental. So we need to close off the SC Soft 10% , we now own 90% , we need to finish that off and we've got some incremental investment in Toshi. So I would say in the range of Rs.30 crores is what we should expect.
Hiten Boricha: So you have mentioned the margins in TIG is 15%, 16% and bankin g division is more or less around 20%. Is it EBITDA margin we are talking about or the EBIT margin? And the second, you made some comment on ROC E, I missed that comment. Can you please repeat it?
Ashish Rai: So that's EBITDA margin and essenti ally what is banking is five points above enterprise , TIG is five points below enterprise . The idea is for TIG to climb up, but it's a business that's growing at 55 % because we expen se pretty much most of the product build and all , it's hard to really get the margins up if you keep going at 55% . So as the growth moderates, the margin levels will go up . The second part on ROC E, essentially our expectation on ROC E is to drive 25% and above. So that is the ask. Any capital that any business wants to use , in the business, we demand a 25% at least. But in cases it's higher . As we get bigger , our ask on what RO I’s we need on any incremental capital that we reinvest back in the business, it's only getting more stringent for FY24, but last year we were keeping the threshold at 25 %.
Moderator: We take a next question from the line of Deepak Poddar from Sapphire. Capital . Please go ahead.

Deepak Poddar: I wanted to understand on the margin front, what sort of margins we are looking at in such growth environment ?
Ashish Rai: Look, our target remains at 21 % to 22% on EBITDA and 15 % to 16 % on profit after tax . At that level, we believe we would be totally the top 10% players in the industry , that's what the goal is. So we will be among the most profitable shops in Indian tech at least. And that's where we plan to stay. The thing to note about our EBITDA numbers compared to 99% of Indian tech is services , so probably it's relevant is that we also do R&D and the plan is to do 9 % to 10% next year around that , most of i t, unless there is some specific reason , we would not capitalize. So the actual EBITDA if you were capitalizing would probably be far higher the rate and that is the nature of a product business that tend to be pretty good on EBITDA as it stabilize s. So, our plan right now , while we expense most of our R&D is to 21 % to 22 % on EBITDA and 15 % to 16 % on PAT.
Deepak Poddar: But R&D of 9% to 10% of revenue, is that what we envisage in coming years to continue?
Ashish Rai: It probably will not continue, but I think it's not normal in the industry to get to. So , we were probably at about 7 .5%, 8%, I think it will climb up . The thing is for most of our products, the opportunities in front of us are so large that we will need to invest capital to capitalize on tho se opportunitie

s . And by and large,
we want to stay away from doing any major capitalization, creating sort of intangibles on the balance sheet . So, it can climb up quite a bit . The goal for us is to keep the EBITDA there and excess that we get round that into R&D, so keep EBITDA still at 21 %-22%.
Deepak Poddar: Because I thought generally because of your operating leverage, your margins can be much higher , even at the net and EBITDA level than what we are currently doing or what we envisage?
Ashish Rai: It could be . So if you really wanted to say , let's stop all R&D expense and let's just run the revenue streams as they run , of course , you can drive much bigger margins . For us, we feel at our current levels we are already one of the most profitable shops ar ound from a return on capital standpoint , from a return for shareholders standpoint, I believe that is the right spot for us and we use the incremental that over the '21-22 to keep funneling R &D. So what happens is unless you're capitalizing, no accounting report captures the value of IP . So what is the goal ? When you're looking at a capital allocation decision , the idea is what will drive the most long term intrinsic value for the business , for the shareholder . And for that one is obviously we grow faster than the industry which we are doing , industry g rowing at 10 %, we grow at 30%-plus, that is very good , we drive better margins than the industry , industry probably is at 16 %-17% EBITDA, we drive 22 %, that's good. The third part which no accounting report c aptures in terms of long term addition to intrinsic value is the value of the IP , which we are generating. And I think that is really, really important for us to generate long -term sort of additions to intrinsic value per share of the enterprise . So I think that's what we drive. So , I don't think I would want to ever get to a 0 or a 1% or 2%

R&D. I don't think it really makes sense from a long term sort of shareholder return standpoint.

Deepak Poddar: My second question is on your inorganic . Are there any plans of inorganic acquisition or expansion in the near term or medium term?
Ashish Rai: So look, we will always be open to the idea of inorganic acquisitions as we've shown in the past . For us, there is basically two things that drive that decision. So how we are running the business is we're not trying to sit in a box that says software or that says hardware or that says IT services, we are a tech vendor who occupies the whole value chain . So we will try and we sit o n as many points of the value chain as we can, whether it's around s ervice , hardware, software and that is what allows us to drive sort of industry - leading margins. So , in that sense two things important to us . On the value chain , if there is an adjacency or there's an opportunity to go backward integration, we will go and do an acquisition. So we will not acquire for revenue , we will not really acquire for clients , we will acquire for backward integrating into the value chain, enhancing the value that we a dd, which is like the SC Soft acquisition , it allowed us to get in on the electronic hardware validator side of the business and we k eep backward integrating that as well , sort of we keep building more and more of our parts, even inside the validator and d o less and less of outsourcing . So, that is essentially the hardware R&D site. Similarly, Toshi, we acquired because it allowed us to play on the vending machines, the gates and stuff like that. So if we find an adjacency, if we find opportunities to backw ard integrate, and o

ccupy more points of the value chain, we will go and do an acquisition , expect more of tuck -in kind of acquisition rather than big bang we buy for revenue kind of thing , we don't believe that's a good use of our share holders wealth.
Deepak Poddar: Sir, you spoke in length about your transit platform, currently, what percentage of revenues from this platform?
Ashish Rai: I think we don't declare that . We'll probably start doing that soon. It's an acquired scale. So TIG overall is now a lmost 50% of the enterprise and transit is a significant share of that. I am hesitant to give you an exact number , but it's acquired quite a bit of scale and in three to six months we'll probably consider whether we want to start reporting it separately.
Moderator: We take a next question from the line of Umesh Ma tkar from Sushil F inance. Please go ahead.
Umesh Matkar: You mentioned that banking to pick up growth this year . So are you hinting at entering into new markets like US? And also which products have you launched in the banking segment?
Ashish Rai: We definitely are planning for banking and fintech overall to grow for us much more significantly in FY24 . Where will it grow ? So one is we have taken the product out to more market s, we've got a bigger sales channel in Southeast Asia , we get into a bigger channel in Middle East and we are entering selectively in the US. US for sure, even with the current order book will grow quite materially in FY24, because I think maybe three or four months back, we a nnounced the USD 18 million deal in the US which will significantly convert to revenue in the year and that adds on top of the current business which is going on . In Southeast Asia, we are seeing very interesting deals in the pipeline and we are close to w inning a few of those and that will again add to the business.

The question about products . So we continue to sell loan origination, collateral management, limit management , we added corporate digital banking as a new product a few months back, we already have acquired our first client on that product. I think that is very relevant for the market right now. We also have co-developed a product with Finastra which is the number one trade finance solution p rovider in the world. And there again , we see significant traction in the pipeline and that probably over the next few years will go global , because it goes directly to the client base of that large vendor where our sort of licenses gets sold. So I think t hat again will scale up . So there is a lot of demand on the banking side that will translate over the next 12 - 24 months . So we do expect that set up to grow very strongly.
Umesh Matkar: TIG has witnessed a strong growth of 63% year -on-year, what led to a healthy growth ? Also, is data center included in it? What would be its contribution in this segment?
Ashish Rai: Within TIG, the main lines which have been growing is transit , it's the data center and cloud side of business and our smart city side is more or less stable, probably even slid down a little bit. So , we don't really declare explicit slices. So I would not give number, but the segments which have grown . Data center and cloud we built up probably on e of the most respected teams in the industry , that is really driving growth for us, it's certainly growing higher than the Aurionpro's rate of growth, probably higher than the TIG’s rate o f growth, the same thing with transit and smart cit y sliding down a bit. So I think overall two parts of that TIG business going very strongly.
Umesh M

atkar: My last question would be , smart city projects have witnessed a small slowdown in the past few months or so. So , are you expecting a pickup considering the election in next year ?
Ashish Rai: Look, to be honest, that's one of the segments which we' re not really planning any significant growth in

that business. It's an important business for us in terms of capability that we build that we can use elsewhere in enterprise , it's important for us to really go and do deals which are really interesting for us from both a margin standpoint as well as client relationship standpoint. So , we'll continue to do interesting things in the business. We are not expecting a significant ramp up in demand or our ability to service it for this year.

Moderator: We take a next question from the line of N eerav Timbadia , who's an investor. Please go ahead.

Neerav Timbadia : Just a couple of questions. One is around the borrowings, so this year we did borrow some additional funds , I see the debt going up . So what is the plan to make the company completely debt -free or do you see the borrowing going up this year? And second question is around some of the projects where we invested heavily like Noida Metro , Nagpur Metro , when do you think they would be able to contribute significantly?

Ashish Rai: So, we don't really have a big plan to go zero debt . We think the borrowing level in the business is pretty low depending on which metric you like using, coverage ratios are great, the debt -to-equity i s probably at 0.1 . So the long term borrowing in the business remains stable. I think it was probably 52 last year , it's

only 48 now or 47 , 48, so it's not significant. There is obviously a slight uptick in the short te rm borrowings, which is essentially vendor financing for projects which we are executing on which will taper off. It's a point in time thing, it's essentially, three, four, five months kind of thing when we are in the middle of some specific projects and t hose are short term vendor financing borrowing . In general , the leve rage level in the business is like really low. I don't think there is really much thought that we would give to when the long term thing retires and goes to zero. It will probably happen b y itself over two, three years, but it's not really a big concern for us .

On the Noida, Nagpur side, I think those contracts are doing fine , they are running , they are contributing to revenue , we have done upgrade , we've expanded those as well. So overall, the transit business in India has grown man ifold from the earlier Nagpur , Noida contract days. So those contracts continue to run very well. We expanded onto UP transport, Haryana transport, Kanpur metro . Since the glob al business has expand ed and we do see us being very competitive at a global level , we want to be very selective in terms of new business that we take on in India on the transit side. So , we will continue to remain on e of the most competitive people in the field , we will continue to win share, but we will participate in deals where we feel it aligns with the metrics that the organization expects , and will continue to scale the business globally in US , in Latin America, in Central America where we're seeing a lot of traction.

Moderator: We take a next question from the line of Tejas Boricha from NVS Brokerage . Please go ahead.

Tejas Boricha: Sir, my question is regarding the growth prospects as whether how will be your company in future into IT software and IT services , as sale of software

services have grown double th an sale of equipment and product license. What are the plans to expand into thes e both segments as our gross profit is around 29% and PAT margin is about 16%, which is equivalent to or similar as of the last year or so? So what are the future prospects?

Ashish Rai: Margin levels, we expect to keep at the level , we are very happy with the levels we are at . From time -to-time, we may need to move the R&D expense line a little bit here and there. So it may move a point in either direction, but we feel very happy with the margin level. So that's something we will want to keep . Growth in the business , we will want to continue accelerating as we go . So, like in response to one of the earlier questions , we have built up a great set of product assets , we are either already there or we have a very clear plan to get to building product sets which are globally competitive , one of the top products in the world and when you combine that with having very small market share in very large segments, we believe we can continue to power growth in the business quite rapidly as we grow, whether that's in banking, in transit, or in some of the services business. So I think that's essentially the growth plan and we got the talent to sort of back it up in terms of , we really know what it looks like , when we say a leading product in the world , we say this is what it looks like. If I'm not there already, this is how I'll get there . So that's essentially the plan and then we go and compete , we see a lot of success going th ere.

Tejas Boricha: As we can see that the future prospects of the company is about to grow , but I can see in the working capital changes that our receivables are three times higher than our trade payables, which are twice as

high as compared to last year. So , how will it be manageable with the working capital as we are growing in the year?

Ashish Rai: So you're right , last year, we were at about 94 DSO , now the DSO we finished at about 110, so that is clearly higher than last year. I would say , part of it is clearly attributable to growth in the business. What's really happening is when you are really running at breakneck speed, you are starting more pro jects th an you can finish , we've had Issues in terms of collecting payments . What we have done is over the last quarter , the capacity has really come up where we've been obviously finishing off the project. So , you'll see the effect of that . Second, as we are growing bigger, we're getting a lot more selective in terms of the business that we pick up . So I would expect that 110 to come down to 100 or so over the next six months and then we will revisit and see where we want to get to. One thing I would want to be very sort of transparent about is, I think given the current nature of the business stay at a 90 -100 days level, no matter how efficiently everything is running , that is the nature of our business , and we are very comfortable with that level. We beli eve the kind of returns we can drive on any capital employed in the enterprise are high enough for us to stay along with it . The thing is ultimately it's a question of return . A little bit more capital employed in the business is not really a concern if you can drive 25% returns on it . Because I can't think of many alternative users to that capital that will drive a 25% return . So if we are doing very high margin business, if we are winning, we are very comfortable with the 90 -100 days level , from time -to-time it will jump up depending on our capacity to ex

ecute well.

Moderator: Ladies and gentlemen, in the interest of time, that was the last question. I now hand the conference ov er to Mr. Ashish Rai for closing comments. Over to you , sir.

Ashish Rai: Thank you everyone for joining the call. We are very happy with how we executed last year and we intend to stay focused on executing with a very high level of discipline as we go and we will make sure we took some feedback on some of the information areas which are of interest and we totally don't disclose right now, we will go back and consider that and see whether we want to start disclosing some additional things which are of use an d we'll stay focused on executing.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Aurionpro Solutions Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2023

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August 02, 2023
To,
Deptt. Of Corporate Services - Listing
BSE Limited.
1st Floor, Rotunda Building,
Dalal Street, Mumbai – 400001.

Sub: Transcript of earning call held on July 26, 2023 for the Q1 FY 2023 -24
Dear Sir/Madam,

In accordance with Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed please find transcript of the earning call held on July 26, 2023 for the Q1 of FY 2023-24.

Kindly take the above information on record and confirm compliance.

Thanking you,

Yours faithfully

For Aurionpro Solutions Limited

Ninad Kelkar
Company Secretar y

Encl: as above

"Aurionpro Solutions Limited Q1 FY -24 Earnings
Conference Call"

July 26, 2023

MANAGEMENT : MR. ASHISH RAI – VICE CHAIRMAN & DIRECTOR
MR. VIPUL PARMAR – CHIEF FINANCIAL OFFICER
MR. NINAD KELKAR – COMPANY SECRETARY

Moderator: Good evening ladies and gentlemen, and welcome to Aurionpro Solutions Limited Q1 FY2024 Earnings Webinar.

Today on this call we have with us from the Management , Mr. Ashish Rai – Vice
Chairman and Director, Mr. Vipul Parmar – Chief Financial Officer, and Mr. Ninad
Kelkar – Company Secretary.
Please note that , any statements or comments made in today 's call that may look like
forward looking statements that are based on information presently available to the
management and do not constitute an indication of any future performance as future
involves risks and uncertainties, which could cause results to differ materially from
the current views being expressed.
At this moment, all participants are in list en only mode, a question -and-answer
session to be conducted towards the end of the opening remarks by the
management. At that time, you may click the raise hand icon from the toolbar or type
your text questions.
I now hand the conference over to Mr. Ashish Rai for his opening remarks. Thank you
and over to you, sir.
Ashish Rai: Thank you. Good afternoon, everyone, and welcome to this Earnings Call for Q1 FY 24.
I'll go through prepared remarks for about five minutes, and then we 'll open it up for
a Q&A.
We are pleased to announce the results for Q1, which show our continued growth
momentum that we 've seen across our core businesses for the last several years.
Every quarter that goes by gives us yet another proof point on our chosen strategy to
build a global products and platforms player centered around creating tier-1 IP assets.
Our strong performance this quarter, is a result of a good demand environment for
many of our core offerings and our expansion into new er markets through both
strategic partnerships , as well as the expansion in sales channel that we have talked
about in the past. This performance is also the result of increasing global
competitiveness of our products as they mature, and highly disciplined execution that
we saw from our teams across t he board from sales to R&D and delivery .
This quarter was an especially great quarter for our R&D teams, with some truly path
breaking product launches hitting the market after grueling multiyear build cycles.

While we expect commercial success, every time we launch a new product, what
really drives us is solving the hard problems that create net new capability and value
for our clients, our partners and society in general. What the numbers will not tell is
that the quarter go ne by was one of our most successful quarters from the standpoint
of bringing new products and offering to market across both Banking as well as TIG.
I will cover some of this as I go through the presentation. I 'm sure by now you have
receive the deck with details of our performance so allow me to deep dive into the
numbers a little bit . When we started the year , we had given guidance of our plans
for FY 24, which said we will grow our revenue between 30 % and 35%. We will deliver
EBITDA between 20 % and 22% and we plan to hit PAT margins of 15 % to 16%. We
believe these numbers put us squarely in the top 5% to 10% of the industry in terms
of delivering performance, we will do this while funding the R&D spends that as you
know, we fund from the excess in terms of product builds right and not recapitalize
investments.
So, revenue for the quarter stood at 199 Cr, which is a 36% Y-o-Y expansion and 4%
quarter -on-quarter . EBITDA 44 Cr, as compared to 33 Cr, which is 33% on a Y-o-Year
basis and 10% sequential. EBITDA margin was at 2 2%. PAT went to 32 Cr, which is a
33% Y-o-Y expansion and 19% on a sequential Q -o-Q basis. PAT margin for the quarter
stood at 16%. So, while we have worked hard over the last few years to reduce
lumpiness in our revenue streams by conv

erting where possible to recurring revenue
models, such as subscription licenses for example. There is still some seasonality in
our numbers. So , I personally think the Y-o-Y comparison is a more meaningful
indicator of relative performance than sequential Q-o-Q numbers. Overall, we are
very pleased with the execution in Q1. And we feel we are in a great place to deliver
on our guidance of 30 % to 35% growth for FY24, while delivering the margi n numbers
that we plan for .
If we move on to the key highlights so, as I said our R&D teams had a truly exceptional
quarter . On the banking and FinTech business, getting the in-principle approval from
RBI was a great demonstrator of our ability to not only build cutting edge tech
offerings, but also back that up with a strong mature operational framework.
Aurionpro FinTech in the US launched a brand -new next generation healthcare Saa S
platform called 'Revique '. We also had significant wins across Southeast Asia and

Middle East and Africa. As you can see, on the slide for the banking business, what we also saw was a dramatic uptick in the number of things that we are competing in,

and our w in rates going up. That's a function of both expansion in the sales channel, as well as demand in the corporate banking segment that 's coming through.
Similarly, we have significant product launches from TIG, nothing more prominent than ECR -One that we launched at UITP Summit in Barcelona last month, or the month before. This really is a great demonstrator of our ability to do hard R&D and break into large new market segments. We are the only Indian company to have designed, built and launched an EMV compliant card reader and that points to the strength of our ability to do hard R&D. We will continue to enhance our R&D spend this year as we continue to fine tune our bigger products for global markets, as well as key backward integrating into the v alue chain across both hardware as well as software. Our continued emphasis on building highly differentiated world class IP, as well as our ability to create joint value propositions with other leading industry players will continue to strengthen our abil ity to win on the global stage, as well as drive long term and earnings power for the enterprise.
As we go further into the year, we will remain sharply focused on executing with energy , with discipline to continue delivering strong revenue and profit gro wth in this year and beyond. I hope this has given you a useful overview of the overall business context and our strategy and performance. I look forward to answering any questions that you may have.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Vivek Gautam from GS Investment. Please go ahead.
Vivek Gautam: What is the opportunity size in the TIG segment?
Moderator: It seems that we have lost line for the current participant . In the meanwhile, we 'll move to our next question that is from the line of Kranthi Bathini from Wealth Mills Securities Private Limited . Please go ahead.
Kranthi Bathini: I just want to know about , as there are the big IT companies in India, they have been giving a pension and reducing their guidance. And there are some kind of implication about the global slowdown all these implications are impacting many of the IT companies and especially many ven dors have been reducing their banking and financial services budgets, what kind of impact and what kind of visibility as a company you are foreseeing ?

Ashish Rai: If you are a generic IT services company or a commoditized outsourcer or something right now, I suppose there is some uncertainty especially in the Western markets as the interest rates have gone up. That's particular to a v

ery generic services player. We
are highly specialized around a few segments that we have chosen, for example corporate banking transformations which we work in through our corporate loan originations product , collateral limit management, transaction banking, and transit payments , we honestly for these segments don 't see a demand slowdown at all. And there 's a reason for it , a high interest rate environment in general, is you have to understand the kind of clients we sell to on the corporate banking side, it 's typically you would have to be a large bank , tier -1 bank for you to need a specialized corporate loan origination system for example. A high interest environment is I don 't think necessarily bad for a tier -1 corporate bank, if you look at the results coming out of US, Asia, most large banks with large corporate loan books are actually doing exceptionally well. In a high interest rate environment, your investment banking side will come down , your M&A piece will come down , but actually, banks are doubling down on transformation in the corporate banking space. So, if anything, we 've seen a dramatic uptick in the number of deals sort of coming to the table . Same thing with transit , the transformation from closed loop to open loop we think is a decade long transformation. We are st ill in the early stages of it, like we won that deal in California. That 's just one US state, which is leading the charge, but there is a lot more of the market to come to the table. So, honestly, for most of the segments that we chose we see a fairly dece nt demand environment.
Moderator: Thank you. Next question is from the line of Mitul Mehta from Lucky Investment Managers. Please go ahead.

Mitul Mehta: Just wanted to get some sense on your order book, you highlighted that you have built a INR 800 crore + order book. Now, does this incorporate some of the deals that you have announced in your presentation like the one in Philippines or the Canberra deal or the one in Middle East do these deals are incorporated in these numbers or they are not ?
Ashish Rai : So, look, we announced INR 800 crore + order book at the end of March basically, that is what it stood. And typically, most of the order book that we declared almost 80% of it is a next four quarter order book so we would have retired close to INR 200 Cr from that order book in Q1, we added a little bit more than INR 200 Cr so we are at 800 crore +. Those deals that we mentioned these are new deals which are

essentially new additions to the order book. So, INR 800 crore number was on 31st of March, but the number is still of the same range.
Mitul Mehta: So, these deals are incorporated in all?
Ashish Rai: They are now in the order book, but not on that number that you are talking from 31st March .
Mitul Mehta: So, how much you would have ad ded?
Ashish Rai: So, we added something of the order of INR 230 Cr in Q1. So, we were at INR 820 Cr, you net out INR 200 Cr that we retired in Q1. So, the order book went up by about INR 20 - 25 Cr.
Mitul Mehta: Okay. S ir could you speak a bit more on your strategy in the develop country like US or Europe , when do you really go there and bid for larger orders because currently most of our business is concentrated in the Asia Pacific region. So, when do we actually get there and announce some large deal pipeline ?
Ashish Rai: Okay . So, the pipeline is already building up. Thanks for the question Mitul , that’s a good question. So, the way to look at it is this , our first focus is on building out a product / platform, which is really finished and can compete globally. It ’s easy to do product deliveries out in the US, if I wanted to supply bodies want to work for someone else, that ’s easy . Selling products in the US or in Europe, honestly, if you think of it how many India products do you act

ually see in the US and I don ’t even mean software , soap, shampoo anything. Today you go out to California, you do a tap-in tap -out on a fully finished Aurionpro validator unit that ’s sitting in the past in California. So, it takes a lot of hard work, a lot of fine tuning to get the products to a level where they can play in the advanced market . Same thing with the software , with bulk of our assets we are now getting there. So, corporate loan origination, by and large we are at a tier -1 level in terms of both depth as well as breadth of the offering and we are building out the sales channels to take it global. On our payment offerings , we are especially the license technology in the US market. We are already in the US market , for example Q4 or Q3 I may have mistaken we announce the USD 18 million around licensing or payment technology. That is a result of really getting the offering to that level . Transit again, we have broken into California, we announced a couple of other deals, we are n ow going out a lot more heavily, we ’ve built out the sales team to go out a lot more heavily in the market. So , for a number of our products we are

getting there . US is now up to almost 7% - 8% of our overall revenue . I fully expect over the next few years this number to keep climbing up. But the way to understand it is, because I know a lot of people do benchmark us against IT services , and it ’s just a very different game to get a fully finished platform or product out. We also launched a healthcare S aaS product last month , the month before in the US market called ‘Revique ’, which is very sharply targeted on practice management sort of offerings. So, we are slowly getting there in terms of launching our offerings . The other thing we are doing which not ma ny players do is license our technology to some of the other global players who will take it to the Europe and US and other market sites. For example, we announced the partnership we have with Finastra , where we are licensing our technology, we will do mor e and more of those arrangements as we go. So, we are by and large getting there from a product standpoint. So, now it ’s a question of really finding the right channel, either through a partnership, or go directly and sell.
Mitul Mehta: So, sir as far as your guidance is concerned, you pretty much enumerated about how

do you get to a 30 % - 35% growth in the current year . Now looking beyond 24 , could you spell out your sort of strategy or some degree of visibi lity as to where do we go in FY 25?
Ashish Rai: Okay . So, two ways to answer that question. One, last month we did an investor day where I did present the strategy that we have and articulated what we call the 'Vision 2030 '. If you have time, go down and find the video on YouTube or somewhere and proba bly that will help. The long term ambition is very, very simple. We 've chosen our segments, we made four large strategic bets in terms of what you 're going after transformation in the corporate banking space, we see a long demand runway transformation in the transit payment space , we see a long demand runway the licensing of technology to other global industries , we've just started when we see a lot of success ahead. So, we've enumerated what those bets are , we said in each of our offerings we want to be a top three player globally in the segments that we compete in. Now, this is not a one year , two-year journey this is going to take time but that is our ambition to get to and hence the desire to build tier -1 assets rather than something that 's good enough to compete in Asia o r something. So, that's one , so 2030 we 've articulated where we want to be.
In terms of immediate guidance, the numbers have been clear about what we hold ourselves to in terms of long -range planning , is target 25 % to 30% growth, target

margins of 20 % to 22% on EBITDA and 15 % to 16 % on PAT this is essentially how we plan for our business this is what we believe is the right level to keep growing at. We don't want to grow too fast and risk the delivery reputation because our product business is fundamentally hard, you want to really get a lot of pieces together before you go . So, 25 to 30 is the right level at which we plan for the medium to long term. This y ear, we had an exceptionally good demand environment and a fairly large order book. So, we guided 30 to 35 , but over the long range, the expectation should be for us to be in the 25 to 30 range rather than 30 to 35. I hope that answers the question.
Mitul Mehta: Yes. And sir if you can allow me one more question, if you can allow me sir.
Ashish Rai: Okay.
Mitul Mehta: So, as far as your banking product revenue business is concern ed, so let 's say currently our quarterly run rate is somewhere close to about INR 90 Cr and we are going to built it as we move along. Now, out of this total, let 's say about 400 to 450, about INR 450 Cr of product, banking product revenue, how much would be the licensing part?
Ashish Rai: Reason you ask is essentially what i s linked to IP and hence a different margin profile than the implementation part , is that the case? Is it a one off versus , is it a margin question o r a recurring versus one off question ?
Mitul Mehta: No, it 's a margin question is as well as a recurring versus a one-off question. So, I just want to understand the linearity of your banking product business ?
Ashish Rai: So, the way to look at it is this, when we sell new deals, typically 1/3rd is license and 1/3rd is AMC and 1/3rd is implementation . License and AMC are both linked to IP, hence a different margin profile than the 1/3rd which goes into implementation . On the overall book , almost 65 % to 70% is what you can call recurring or ongoing that 's going on and the other 30% is what we sell and deliver in the year . Out of the sell and deliver roughly half would come from existing and half would come from new . So, the actual new dependencies is very, very small . So, recurring roughly, let 's say 2/3rd, 1/3rd, recurring and ongoing versus one off, and in a deal licenses are third , AMC is a third , implementation is a third .
Moderator: Thank you. So, in the meanwhile while the queue assembles, we have a few text questions. The first question is from Varun Mohanr aj from Skaniva Capital . What is

the business model in TIG transit segment , do we get business from new metro projects alone or we get business for existing metro projects also. If so, what is tenure of such projects? My second question is on data centers, which part of the data center value chain are we targeting?
Ashish Rai: Thanks Varun. So, two questions. So, first coming tackling the transit side, typically so we do compete on new projects. The way to look at demand for the transit side is , there is t wo sort of parallel movements happening. One is you got the whole western

world which is largely an existing legacy technology which is usually close loop and there is a movement from close loop to open loop California being one example. So, a lot of the Western world is closed loop to open loop. So, old tech to new tech, a lot of the emerging world is when new projects are coming out. So, a lot of times it 's no tech to over loop tech so both of them are kind of very strong demand drivers for us. We will pl ay in both of those spaces. So, California is an example of old tech to new tech, something like a Haryana transport or a Noida metro or Nagpur m etro is an example of almost no tech to new tech. So, we'll play in both of those cases and in the revenue mode l typically, will depend on the nature of the transaction. Largely, we don

't do too many CAPEX deals , we've done those in the past we've also done some recently but then we will normally find a partner who will provide the capital and we will provide the t ech and usually outside of India, it 's a pure tech deal. California has proven , Canberra has proven, Central America, Latin America our wins even in Africa, it's proven that we can go head -to-head on a tech competition and win pretty much anywhere in the world. So, globally we will obviously collaborate with our larger partners like MasterCard for example. So, Maldives, for example if you look at it together in partnership with MasterCard. So, we will find partners where capital is needed, but by and large we will go and provide the tech . In India , we will do a larger CAPEX transactions as well, but then find the capital partner to work together with us on it. So, which is like Nagpur m etro , Noida metro , Kanpur metro , Haryana transport, etc. So, that 's essentially transit.

The segment has been going very, very strongly for us and we see a long demand as the world moves from closed loop to open loop tech , open loop tech basically is you used to pre -load a instrument and go to the metro gate. Now, you want to use your car d, you want to use QR code, you want to have account -based ticketing, you have all that stuff. So, essentially, moving from here to here, and that I don 't think is a moment that can be stopp ed. And that will go on for some time.

On data center , this is a specific bet we have on the digitization of India, we see a significant long term demand as well as we saw a gap in the market, so we built out what we believe is one of the strongest data center design teams in the country, one of the strongest t eams in terms of project managing a build , and there is a significant demand, we 've announced a lot of wins in that case, including some highly complex competitive projects that we 've won in the space and we 've got some fantastic strategic partnerships wit h a few clients who 've been investing heavily in the space. So, data center, we will play across the spectrum, we will normally maintain a mix between design and project managing a build essentially to deliver the net result which delivers to the enterpris e expectation on margins, because design would tend to the higher margin and the rest of the stuff would tend to be lower margin. So, you work on a blend which still delivers to the enterprise margin for sure. So TIG on the whole has been growing exceptionally strongly , this is a business which is probably growing even more strongly than the TIG growth .

Moderator: Thank you. The next text question is from Krupa Desai from Electrum Capital . So, on the banking side sir, in the US , Europe would you be replacing the existing competitor or find new customers because I believe large banks there would already be having such solutions placed?

Ashish Rai: Normally we get involved is where the bank is , so, if I take corporate banking is a n example where the bank is looking at a transformation on the corporate banking side. So, whether you go into US or you go in Asia, you will hardly find a bank which does not have existing technology. I don 't think such a bank exists so you will always have some tech to replace , typically what would happen in a c orporate loan origination space is, this is a space where a large bank believes its competitive source lies in the workflow process in the origination process. They ha ve built up a system largely in-house or use s an outsourcer to build it , which is a reflection of how they ran their process. Now there is a need to move to a best practice process , hence, do a transformation of the system move from a custom -built application to a n actual first grade product. So,

if you see corporate loan nomination space, we participate in Chartis with tech leaders quadrants, we are squarely in the leaders quadrant on corporate loan origination or collateral management or limit management. And this is the leader quadrant globally. So, we are one of the top choices the bank has in terms of if I wanted to incorporate best practice in my ordination process and move to a package product, we are one of the choices. So, typically, the move is not from some other produc t to us, typically the move is from a custom build job the bank did,

and which is 90% of it, or especially the product they bought long time back and move to an Aurionpro solution .

Moderator: Thank you. The next question is from a participant from Columbus Investments. Please share details of the new products that you have launched in this quarter, especially since you mentioned that it was a great quarter for the R&D team. Thank you.

Ashish Rai: Thanks for bringing that up. So, it really was an exceptional quarter right and numbers are numbers, but there 's some quarters that make you truly feel I suppose why you jump out of bed every morning and come to work right . So, it's ECR-one for example that we launched in Barcelona last month, Sanjay and his team launched that 's almost two years of grueling hard R&D, to go out and build a card reader which is EMV compliant and it does sort of things, one is it obviously completely changes th e margin profile of our own validator unit that we will be manufacturing because that 's a key component of the validator , so it immediately improves our margins on it. But the second thing is, you really need high quality card readers everywhere , so it just opens up a brand -new market , strateg ic partnerships of a very different scale for us once we roll these out and can manufacture them at scale, not just for our own validator units, but even for as a standalone product by itself. Similarly, we lau nched , so that is like, it is really exceptional I don 't think there are many firms , forget in India, even on a wider scale who can do it and that was a great achievement. We launched a health care S aaS platform in the US, Revique , which again has gone through a few iterations and finally, launched for a very specific segment of the market, we are already taking in a few clients and fine tuning the product further. So, that is a big one. We came up with core sort of new releases fo r a number of our products. So, w hat is happening to Aurionpro right now is , as we go into new market , so we did not really have till 9-12 months back when we started investing in the sales channels, we had a much smaller pipeline, which was a lot more nar rowly focused in terms of geography. Now, as we go wider, we enter new markets, even when you have the core product builds done, you need to fine tune the product for the market that you 're going to . Banking tends to be a highly regulated industry, a nd transit as well , will on the application side will need to do a bunch of work. So, we actually had new versions come out of a number of our offerings, we also are working with a few strategic partners. So, that is on the banking side . We also working with a few strategic partners in terms of , so like the Finastra partnership that we announced. And now by and large we will not announce new partnerships in the space for confidentiality reasons, but we 're

working on a number of other product releases which are s pecific to working , licensing our technology to other large global ISP. So, if I go back to the Finastra example for a second what is it that we are doing, we have a cutting -edge quick management solution. So, we know how we do that Finastra has a number one trade finance solution in the world. We are co -creating a re

al time limit management
functionality call it a module inside which will work together with the Finastra trade finance solution . Now, one we are already working on the first client on that on e. And once the integration is done, the product is generally available, it becomes accessible to the entire sort of client base for Finastra , if they want to get into real time frame limits. So, arrangements lik e those need the product to be fine -tuned and then release. So, we actually got three of our core offerings versions out as well in the quarter. So , there is a lot of work that was in the train for 12 - 24 months that came out in the quarter. And that is something that we are especially proud of, numbers are numbers and obviously that 's what we work for. But we also work for the impact that we make and that 's the sort of R&D success that I was talking about. Thanks for the question.

Moderator: Thank you. The next question is from Vivek Gautam from GS Investment . What are we doing to improve our perception due to past CG issues? Please highlight our USP and moat and how is the opportunity size in all our segments ?

Management: Past corporate governance issues . Okay, so unless there is something specific to answer, I don 't know what I can say about past issues . Look, the way we are running the business , is our goal is to be highly transparent. Our goal is to create net new value in the world. Our goal is to buil d out the global IP -led products and platforms player rooted in India , rooted in Asia, we don 't believe there are too many of those. And we believe there is a giant market opportunity. If we get our view right . We chose a few bets, we are building against those bets , we are running a highly transparent business, we have a very clean balance sheet , we had INR 170-180 Cr of debt, and we retired it down to a fairly low number. We don 't capitalize any , with the exception of the payment side where for regulatory reasons we capitalize a very small , not a material amount. We expense all our R &D so there is no significant intangible assets sitting on the balance sheet. So , unless there is something specific I can answer around corporate governance, we run one of the cleanest businesses , one of the most competitive businesses in the place . Our product have been on Chartis with tech leaders quadrants, there is no vendor in India, there is no vendor in Asia which can claim to be there, if you talk of a few competitors, they have far to the left not even

threatening to get anywhere close to the leaders quadrant in the next 10 years. So, we create real value, we run a competitive business, we have been very cl ear about where we want to be in 2030. I hope that is good enough , but very happy to take on any specific questions.

Moderator: Thank you. The next question is an audio question from the line of Sahil Sharma as an Individual Investor . Please go ahead.

Sahil Sharma: Yes, the question is, since we have tier -1 IP, and when I look at the distribution or geographical distribution of revenue, most of it comes from India, and then from APAC, we get a very small percentage from USA, and almost none from Europe. So , what I wanted to understand is, what is our strategic direction for growing that pie , selling our tier -1 IP to Europe and USA and increasing that and what could this look like in two to three years or whatever timeframe you can talk about?

Ashish Rai: Yes, t hank you Sahil . So, first our product businesses in Southeast Asia, Middle East and India, that 's where we mainly been centered, are highly profitable . We can drive margins in these markets, which are better than what most players can drive in USA or Europe. And I would say pretty much 98% of the industry would do lesser margins then us then what we can do in Asia typically the reason people don 't

like being in Asia and India is because they 're selling essentially services, which is selling work hours for someone and you don 't get the right realization on those hours in these markets. But when you 're doing product that is not a big problem. So, that's number one. So, we can run a highly profitable business in these markets but of course you 're right. We don 't aim to be just in Asia , our ambition is to get to like I said, top three in our chosen segments globally by 2030. Now, it is a long hard journey to get there. And to compet e in US and Europe there are two things that are needed. One is , the produc ts really need to be very competitive and suited to the banks or suited to the banks or the providers there. On the transit side, we are there; we can go out and compete with the best in the world and win. So, I keep coming back to California but if you lo ok at it, it 's a competitive global RFP. There is no choosing favorites on that one. There is no fixing the game , it's a competitive head -to-head and we go and win . Which means if I ca n win in California, going head -to-head with pretty much everyone in the world we can win anywhere . So, we believe from a product standpoint, we are very well placed on the transit side.

On the banking side we are very well placed in Asia so corporate loan origination is as deep a produ ct as you get anywhere in the world. But we want to really go market -

by-market, make sure we are suitable and then go. So, one is that making the product fit for purpose for the bank, it 's not a question of depth , it's a question of adapting to the market. And we will go slowly as we do that. The second is building a sales channel . Now building a sales channel , I'm not a huge fan of hiring 10 guys throwing them in the US and then hoping that works , selling in large banks is a, you need to play the long game here. So, what we are trying to do is we are saying, Yes we will organically build out our sales team, we beefed it up in the US, we don 't have any in

Europe right now. And we will support those teams to succeed as that unit succeeds we will scale up. So, we are not in a rush to scale up with a large sales team on day one, we will scale it up organically as we build a box, that box succeeds then we scale it up double the size, that box succeeds we will double it again. So, we will organically grow. But to speed our time to market, what we will do is we 'll go and focus on strategic partnerships that can take our products global, which is where in every large segment that we exist in, where our products can play together with a large global ISV, we will go and get into an arrangement where we develop IT. Because we are very good at building products, we are very agile, we are very cost efficient in terms of building it we know how to play the product game, we know what it takes to build a product, we know w hat it takes to manage it , we know what it takes to stand up an implementation team, we know what it takes to surround it with the API framework, we know what it takes to make it cloud native. There, i t's not a game that the commoditize outsourcers can play. So, we use our strengths, strike women partnerships and that will allow our products to go out with a lot more. So, Finastra, we announced we will probably announce a few more. But most likely without mentioning the names of those ven dors. And we 'll do more and more of those and those will also take our products to Europe and to US. And those will be , once you see the results of it and those results should come out much more sooner than 2030 , those would be exceptional win-win situatio ns which is a win for the client , win for both the partners working together in terms of co-creating those solutions. So , that is how we will go strategic partnerships, deep

partnerships, expand sales channel in
the US grow organically, and continue to drive the channel in Asia . Asia is also if you see most of our sales expansion is 9-12 months it's very new for us . So, we got a lot of headroom in Asia as well which we will keep tapping on to. So, that's essentially the begin .

Sahil Sharma: Sir, when we look at the licensee got for payment aggregation, can you just share like how we would leverage that and what is the business model there , for AuroPay ?

Ashish Rai: Yes, so AuroPay , look payment s, as you know digital payments is a vast market. We've applied for licenses in India which we got an in principle approval from RBI from and we applied for license in Singapore which is still in the process. The goal is not to become the 51st payment gateway in India and join the race to the bottom on margins. The goal is to strategically play in areas we are strong in. So, this is something that I 've explained before, what is the key strategy when we go into a segment , so first is we choose a segment, we choose a segment where we believe the demand runway is long, we believe the leadership is fragmented, or at least contested on a global basis and we believe we have the ability to build out a tier -1 asset. So, once those three conditions are me t, we are in that segment like corporate banking , transit, whatever . So, we choose a segment, when we go into that segment, then what are we trying to do, it 's not just building a product, what we are saying is , we're not that keen on sitting in a box that says software or hardware or services or whatever. So, we are a tech player, we will look at the whole value chain, we will look at how does the client buy in the case of a transit operator it goes from a validator to the software around AFC , to the payme nt stack , to gates, the whole thing . In the case of a bank, it goes from the software to the implementation to the cloud. So, we look at the value chain, we will try as far as possible to occupy every point on that value chain and become the most cost-efficient producer on every point of the chain that is what allows us to really build up a competitive advantage over everyone else who 's playing that game who thinks the re are a software , hardware or services vendors. And that allows you to drive margins , so that is the big game. Now coming back to your AuroPay point, transit for example, we are end -to-end and the payment offering can play very well with transit where we already hold the contracts , so allows us to expand the margin on the same business tha t we are doing anyways better. Second thing is, for example, the B2B SaaS platforms , we have enabl ed B2B payments which we believe is under served niche , so we 've chosen spaces where first, we have a competitive advantage , second we have a margin expansion game. Third, we have the ability to really differentiate ourselves and go after the underserved market. So, that is essentially the game for digital payments , we believe this is a huge market. Even when you get so specializ ed, you 're obviously competing with everyone else. But we are in spaces where we believe we are , once we have the offering fully ready so we got the principle approval but we still need to get the final one. So, then we

essentially play in spaces where we have that unique competitive advantage.
Moderator: Thank you. The next question is from the line of Suryansh from Bizx Enterprise LLP . Please go ahead.

Suryansh: So, I need to ask that after recent capital raise , do we need further capital raise in near time?
Ashish Rai: Thank you Suryansh. So, the short answer is no. The capital raise that we did is actually a very minor capital raise. It 's not a significant capital raise. A s a business , so like I 've said on pre

vious calls, we are kicking up enough capital to reinvest back in the business and can support the organic growth of 25 % to 30% levels. And the additional capital that we have raise d is, it sort of improves the strategic flexibility for us a little bit as we go into an environment where we see some very large opportunity, our ability to react to it improves slightly, but it 's not a huge amount of capital raise it's a very minor capital raise . So, that is the only ambition behind that it 's sort of improve the strategic flexibility over the next 12 months to react to significant opportunities which we think may appear. So, if they don 't appear it 's essentially using general corporate purposes. Do we need more capital long term , so this is what is happening to the business , what we said is first choose the segments, we did that . Second, build out assets initial segments that were completely done most of it . Third, go out and expand organically in each of those , be ready for scale . So, if you go back and see that Vision 2030, the period in the midd le is that scale readiness period where we say, because the product business is not the same, if I want to grow 30% doesn 't mean I have to go and hire 30% more people, I need to actually have far lesser people but then I need to tie the whole thing end-to-end right from how we design , how we fine tune , how we manufacture even, we 've got a bunch of manufacturing facilities for products in Southeast Asia as well as India, how we get the software side , how we get the operations right. So, need to get the whole thing fine-tuned as we really scale. So, we can see a situation where we have built out a lot of products and we are ready for scale from design to manufacturing, to software and we can deploy more than the amount of capital that the enterprise is kicking out. But , I would say if we ever reach that situation that would be to support growth rates more than the organic 25 % to 30% that we 've been committing. So, the short story 25 % to 30% to support that growth, I don 't think we need any excess capital.
Suryansh: Thank you, sir. And one last question was that sir, are we also playing something on insurance side or not like we are in banking , are we playing in something in insurance?
Ashish Rai: Not in any significant w ay at the moment, we 've been talking to a few insurance clients in terms of supporting the digital efforts, and especially on the payment side, but we are in the US it's by happenstance, but essentially we have become some sort

of a key link in the payment chain in the insurance business because of, our licensed technology being used by some of the very large payment facilitators to the insurance business in the US. So, we've been exploring some conversations in the insurance space around leveraging the payment technology further. But that 's not insurance domain offering that 's essentially a payment offering. It 's just that an insurer happens to use it.
Moderator: Thank you. S ir we will take the next questions from the line of Paresh Doshi. One, Next Generation Treasury Application , NGTA, issuance of R FP, a pre -bid meeting for the captioned e-tender was conducted at 3 :00 PM, on June 23rd, 2023. This was attended by the company , so when can we expect RBI license to operate as payment aggregator . Please throw light on the above two matter.
Ashish Rai: I don 't think the two are linked. The information that you picked up on the participation in the RFP, if that is an open thing then just go by what it says, I 'm pretty sure it doesn 't say anything about the payment licenses. So, the two things are not linked.
Moderator: Thank you. Next question is from Umesh Matkar from Sushil Financial Services Limited. Can you explain on Revique H ealth Care SaaS platform, and how it fits to your current business mod

el?
Ashish Rai: Just on the previous one , I missed answering the second part of the question which was how long does it take for us to get the license ? So, while I 'm pretty sure that especially RFP point made and the payment thing is not linked, we are going through the process in terms of fulfilling the operational parameters that RBI needs for them to come in and do the inspection and do that right. So , that will take a few months before we get into that inspection . As we get to that milestone, we will inform in the right forum as we get there . So, coming to Revique, it's a S aaS platform which focuses specifically on specialized kind of practices, we 've built up a platform that if you are a specialized health practice, or a med sp a you can actually use this as the main software to onboard new patients , to manage your practice and to enable all the payments around it. Now this platform has come out of an acquisition we did 12 months ago, I may be wrong with the time , but last year which was called 'Hello Patients '. And what we 've done is , we've combined our payment technology, with some of the software that was getting built around Hello Patients, we completed the software, we completed large parts of it to be releva nt to one part of the market and combine that with the payments technologies. And that 's what we 've launched. So,

this is still a soft launch where we are going out and fine -tuning it for the initial set of prospects and clients and then we tend to push it a lot harder . Even if you go after just the med s pa space in the US, that 's a huge space. And there is a clear edge we have on the payment side of things in terms of really enabling seamless transaction for the client. So , I believe we have some real value to add in terms of the experience that a client gets from the practice, both in terms of onboarding, regular user practice as well as the payment side. So, that's essentially the play.
Moderator: Thank you . The next question is from Mayur Damani, as an Individual Investor. Congratulations on a great set of numbers to team Aurionpro in spite of the biggies not able to deliver on a high base and business model. What is our strategic planning for future orders that is beyond 800 Cr and four quarters from now . Expanding in USA, MEA region and others ?
Ashish Rai: Okay, so thank you Mayur . I would not speculate on where the order book will be in 12-24 months , I don 't think that 's really very relevant to our planning. For the next 12 months, honestly we need very little sell and deliver to do the next 12 months. So, as I've said a few times in the past when we look ed in the near term, which is four to six quarters, demand is less of a problem than capacity. What we need to get this our capacity in order, what we need to get is end-to-end make sure the chain is so tight that we are growing while enhancing our delivery of patient not putting it at risk as we grow too fast . So, the ch allenge for us is not that , in terms of new business that we really need to close to deliver the next 12 months that is a very small amount. And 75% of that would come from the existing clients. So, it's really not a big thing in terms of order book expans ion. Over the longer term, we plan to grow at 25 % to 30% revenue, roughly 1/3rd of our revenue every year is new revenue. So, which is basically needs to come from the sell and deliver . To deliver that 1/3rd, you typically need to sell about kind of 17% more than that . So, that is essentially what the sales numbers should be at. But the way we go is , we rea lly go bottom up, we go product -by-product, we set a number of what we can take , honestly at the moment and then derive the revenue from that, and we wi ll sell correspondingly what is near to deliver that number . I don 't think we are in a situation to really go all out and

capture as much of
sales as we realistically can . Because the way to look at it is this , in most of the segments we are extremely comp etitive, whether it 's transit, whether it 's banking, extremely competitive . So, if your limit is your ability to take business, not you r ability to sell, you would want to calibrate sales to make sure you 're not sort of endangering the capacity. So , that is essentially what we are doing , it's not blindly sell as much as

you can, it is decide how much you need to sell to deliver the 25 % to 30% and then calibrate the sales there in terms of how much capacity you put on the field. Now, that does not take into account some of these new strategic partnerships that we formed, because honestly we don 't know what that would drive in terms of fu ture sales. So, that is one sort of variable which we are not planning for at the moment, which may increase the amount of sales we may have to take. But we will sort of cross

that bridge when we come to it.
Moderator: Thank you. Ladies and gentlemen, tha t would be our last question for today. I now hand the conference back to Mr. Ashish Rai for closing comments. Thank you and over to you, sir.
Ashish Rai: So, thanks everyone for joining the call. Q1 was a good demonstrator of , I suppose the continued success of our strategy, the journey we are on is a long journey so one or two quarters do not really , they are not so material in the larger scheme of things other than as proof points to say whether we are going in the right dire ction in that sense Q1 was encouraging quarter for us. We will remain focused on delivering to our plan of growing 30% to 35% this year and maintain the margins that we are at. I look forward to seeing you in the next earnings call. Thank you very much .

Call: Sep 2023

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September 13 , 2023
To,
Deptt. Of Corporate Services - Listing
BSE Limited.
1st Floor, Rotunda Building,
Dalal Street, Mumbai – 400001.

Sub: Transcript of Analysts or Institutional investors meet held on September 07, 2023
for business update call.
Dear Sir/Madam,

In accordance with Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed please find transcript of the Analysts or Institutional investors meet held on September 07, 2023 for the business update call.

Kindly take the above information on record and confirm compliance.

Thanking you,

Yours faithfully

For Aurionpro Solutions Limited

Ninad Kelkar
Company Secretar y

Encl: as above

“Aurionpro Solutions Limited
Business Update Call”

September 07th, 2023

MANAGEMENT : MR. ASHISH RAI – VICE CHAIRMAN & DIRECTOR
MR. VIPUL PARMAR – CHIEF FINANCIAL OFFICER
MR. NINAD KELKAR – COMPANY SECRETARY

Aurionpro Solutions Limited
September 07th, 2023

Aashvi Shah: Good Morning, ladies and gentlemen a very warm welcome to the Aurionpro Solution s Limited business update call. From the senior management we have with us today, Mr. Ashish Rai, Vice Chairman and Director, Mr. Vipul Parmar Chief Financial Officer and Mr. Ninad Kelkar, Company S ecretary.

Please note that this call is being held to discuss the INTERACT DX acquisition fo r which the release has been uploaded on the exchanges yesterday. W e request participants to restrict their questions related to this. B efore we begin the call, I would like to mention that some of the statements made during the course of today's call may be forward - looking in nature and may involve risks and uncertainties, including those related to the future financial and operating performances, benefits and synergies of the company 's strategies, future opportunities and growth of the market of the company, services and solutions.

At this moment, all participants are in listen only mode and the Q&A session will be conducted towards the end of the opening remarks by the management. At that time, you may click the raise hand icon from the toolbar or type your questions in the chat box. Please note this conference is being recorded.

I now hand over the conference to Mr. Ashish Rai from Aurionpro Solutions. Thank you and over to you Sir.

Mr. Ashish Rai: Hi, I am sure som e of you have seen yesterday the board approved and we announced the transaction to acquire Interact DX from Trejhara. Trejhara is related entity to us by virtue of being a spinoff from Aurionpro several years back. So the objective the call is to explain the transaction, provide any clarifications that the broader investor community may have arou nd it.

Let me start with the business and the transaction for the next few minutes and then we can jump into t he questions and see w hat we need more deta il. So in a nutshell, if I was to describe this, we are very excited about this digital engagement business that we take over , one this significantly enhances this solution footprint that we have in the banking and insurance space, which as many know is sort o f a target segment for us . So we feel

very good about the existing client base that we get, which is essentially the top players especially in the Indian market b oth the banking as well as the insur ance side.

The second thing for us is we feel very good in many ways. Indian market is actually ahead of most of the world when it comes to digital engagement. We feel very good that using Aurionpro sales channel outside of India and using the relationships we have using the partnerships that we have, we can expand t he business globally in a very significant way . So the oppo rtunity size for us in terms of future is actually very large . In terms of the revenue profile margin , profi le of the business i t has very similar to the software businesses that Aurion pro as a whole has. So that fits in very well, immediately accretive in terms of EBITA and start contributing to our impose profits from Q3. So we see significant not just the revenue synergy, the ability to expand on the earnings side. If you jump into th e product there are four major components to the product. It i s a complete digital engagement suite , targeted especially towards banks and insurance providers . So one part is the content management piece when it comes to all kinds of customer communications, which is the end clients of these banks and insurance companies b e able to make the passive interaction with the customer a lot more interactive when it comes to things like mo nthly statements, annual statements, portfolio analytics, and things l

ike
that. Be able to really allow the banks to do interactive marketing and go out to the wider customer and prospect base. So, from being a p assive cost centered that most st atements are make it a revenue c enter for the bank. So there is an immediate ROI that a bank or insurance institution would see when it comes to it and then essentially be able to manage all aspects of the customer interaction around it through that customer commu nicati on hub that we talked about it. So, a very powerful offering in terms of upping the game on digital engagement when it comes to a large bank or a large financial institution that deals with a lot of clients, especially on the retail side.

We move one more slide forward , if you look at the picture on the left, what that tells is that you are able to handle essentially all the channels that you would want to get to your customer in, whether it's a web channel, a mobile channel and an actua l print channel , be able to track and bring everything together n umerous use cases, any point of interaction that you can think of financial institution has with its end client. We can play a role in terms of making that conversation with the c ustomer a lo t more interactive in many ways, that's why I say how a lot of leading Indian banks are engaging their

customers right now is actually in m any ways quite a bit ahead i n terms of interactivity with compared to our client base the large regional banks that w e service outside of India, for example in South east Asia or Middle East . So there i s a case to be made to really take the solution out.

Let's keep moving forward. So one, I talked about the fits. In other digital offerings in the banking and financial services space fits in very well from a technology stack standpo int, the revenue profile behave s very similar to our revenue profile of the software business, the margin profile in many ways is at the same level or supe rior to our software businesses and we get access to. So there's a lot of shar ed clients in India, there's a lot of b anks that we work together with and I'll come to the client names in a bit and then there is a access to the insurance cl ient base which we've traditionally not served. So we get in, we get an entry on the insurance side and hopefully as we progress this, the Interact DX solution set, we'll get an entry on the banks outside of India that Aurionpro right now services . So ther e is a lot of synergy in terms of expanding the combined base of both the businesses.

A quick glance at t he client base that currently interact DX users. So as you can see, large banks in India, whether it's HDFC, Axis, large insurers in India, which is ICICI Prudential , HDFC Ergo , ICICI Lombard. So some of these are common clients. A lot of these are new relationships for us and then there i s an increasing presence now of the product in Southeast Asia and Middle East in a small way. So it's already proven to be useful in various use cases in Southeast Asia and Mi ddle East. So the business is v ery strong in India and it is already showing signs of being able to expand which we can really a ccelerate as we take over the b usiness.

Let’s move forward a nd to bring it together, what ex actly is happening, w e will have 30th of September as the effective date. The transaction value is important to understand that way th is transaction is getting done, this one is a related party. So you can see most of it in the related party disclosures that we would have filed. We had an outstanding for some time in terms of a recoverable from Trejhara, both in terms of investment as well as receivables , so the appro ximate value is Rs. 140 Cr. There is no cash that goes out of Aurionpro .

We essentially acquire the business and for the receivables that we already had from Trejhara. The revenue last year was approximately Rs. 44 Cr. It's a very profitable business, with an EBITDA in the range of Rs. 15 Cr. And we essentially settle the receivables that we had from the Trejhara return for it. The business is a strong growing business with 200 employees who will join Aurionpro as the transaction closes. So that's the transaction in a nutshell. No cash that goes out of Aurionpro and the receivables from the Trejhara get settled that we have in return for it I think that is essentially the transaction . With that I will open it up to any questions that you may have.

Aashvi Shah: Thank you, Sir. We request all the participants to raise the virtual hand and we will take the questions. So the first question is from Mr. Akshay Gupta .

Akshay Gupta: What sort of synergies do we see from this acquisition playing into the future and how do you see this entity going forward with this acquisition?

Mr. Ashish Rai: So good question. From a synergy standpoint on the revenue side , the business as I think right now it did Rs. 45 Cr last year, its predicting to Rs. 50 Cr this year so there's a plan to get that. We believe there is a definite market for the product. So we have a large client base both in Southeast Asia as well as Middle East. We believe there is a g ood demand for this solution in terms of those banks, whether it's Singapore, Malaysia or Thailand, Vietnam, Philippines . So once the transaction closes, we intend to really go and start having conversations with our existing cl ient base around this solution that's number one . As well as I suppose the insurance firms in the rest of the world f or example, we work with ICICI Prudential in India a nd we work with potential on a regional or on a global basis, if I can work with HDFC ergo or the Tata AIG ca n actually work wi th the global parents, that is one aspect . The 2nd is we do have some very large global partnerships with some enterprise fintech vendors which we announced from time to time.

A few of those, which are basically the largest players i n Europe and US. So there is a definite possibility of expanding into the bank as well as the insurance base in Europe and US overtime . So I think where this comes in for us is most importantly the business doesn't have a global sales team while Aurionpro has, it doesn't have a large global client base, while Aurionpro has and it's a very relevant solution for the time where banks and insurance firms are really f ocused on improving the level of engagement they have with

their clients. And this is a game changer in terms of converting what is a passive cost for the bank into an interactive revenue generator, w hich is a clear ROI w e can show to a prospective client.

So I believe that brings in a lot of scenarios. There is a little bit of synergy on the Aurionpro traditional solution set aside because all set and done. This solution h as a lot of presence with much banks and insurance firms in India and some of those are Aurionpro at the moment do es not have a footprint in . So, the Aurionpro tradition al solution set also gains a little bit of synergy on the revenue side . On the cost side, we really don't have much overhead in terms of doing it. So I would not really count on any m ajor synergies on the cost side, this is a very profitable business which will come into us with practically no additional significant overhead to manage that business. So it would be immediately accre tive on the earn

ing side for us .

Aashvi Shah: Next question is from Mr. Naveen. Go ahead with your question.

Naveen: My question is around the kind of product offering from interactive DX. So is it a cloud native subscription based offering or the traditional license based offering with some potential for revenue using the services during the implementatio n phase, can you get some more details around that?

Mr. Ashish Rai: Good question. So we will look like with the most ancient sets in the Aurionpro stack , we will sell in both the modes. So we will do enterprise on p rem deploy s. Like we've traditionally done, especially large banks tend to prefer it and we will go cloud plus services as well as we g o out to the wider market . This is true for the entire Aurionpro solution stack, we don't like sitting in a box which stops the clie nt from usin g us, saying the box says SaaS s o we only do SaaS or boxes. Enterprise license w e only do enterprise license. When you work with Aurionpro , you would typically have th e choice of deployment models a nd a choice of being between enterprise license and a subscription. Although these days we increasingly prefer subscription, as do our clients , but we would be open even to upfront license models. So that is essentially what you get as a client . So we'll do bot h the models and we will have e xactly the same pricing models and exactly the same license models as Aurionpro currently does.

Naveen: And with the existing customers that we have already for the product , what kind of opportunities we c an expect going forward. So our future revenue generation, is it purely based on adding the new clients. Can we get some light on that?

Mr. Ashish Rai: So you mean the incremental revenue additional or any future revenue?

Naveen: Yeah, correct.

Mr. Ashish Rai: OK, so look the way the mode l works in the business has a fairly high recurring stream. So that you build on top of that recurring stream , because it's an ongoing s ervices led model as well . So you would have a large chunk coming in as recurring . I would believe the recurring stream is slightly stronger than if you looked at Aurionpro software business as a whole t hen we build on top of that and incremental reven ue comes from two sources. One I sell more m odules to the same client as well as I index the price. So every year increas e the price a little bit that is #1 existing base and #2 is incrementally go and sell more new the way most of our b usinesses work. A large chunk o f our growth u sually comes fr om the existing base, which is model #1 . A little bit more in terms of additional modules and service and additional indexation and smaller chunk comes from new sale at least for the next 12 month period , because it takes time for sales to convert to revenue in our business.

Aashvi Shah: So the next question is from Ms Grishma Shah . Ma'am, please unmute yourself a nd go ahead.

Grishma Shah: Good morning to the management team and thanks for taking my question. Couple of questions, one obviously th is also ends the issue of receivables with the related party, but one had to understand what kind of improvements will you be able to do incrementally apart from wh at you highlighted in terms of synergy, product offering and is it going to cannibalize some of our exis ting offering s that is one and the other is there any low hanging margin lever s for this business which we are looking to explore?

Mr. Ashish Rai: Maybe I start in the reverse order. First, we don't see any low hanging margin levers right now. In general this business has slightly better profitability than Aurionpro as a whole.

So in that sense it drives the profitability up like marginally, but we don't see any cost levers and that's not the goal of acquiring this business. The goal is to dr ive growth. The business is quite profitable as it is operating at about 25% EBITDA margin s. So we intend to keep investing in growing the business rather than try and do much more to earning. The 25% or so would contribute directly to our imposed earnings the moment we close this transaction. So let's say 1st of October , it will start contributing to earnings straight away . The other part is actually pretty interest ing. So from the product stack standpoint we do intend to invest in this model, not so much from the standpoint of adding more functionality because what you're doing is , you are largely operating in a functionality sense, you're operating in a box whic h is fairly well defined. So what we can do is we do bring in a lot of i nternal skills around, for example, conv ersational AI and stuff where we do see the opportunity to add to t he product . Second, we do bring in a lot of capabilities in terms of understanding the Southeast Asia and the Middle Eastern markets. So we can fine tune the product incrementally in terms of making the product much more fit for purpose for the m arkets we go into, whether it's Vietnam, M alaysia and Singapore . So expect the product improvement to happen on those two axes . So you are not incrementally adding major functional modules which are already there, but you are either fine tuning it for a market or you are adding some of the technology stuff we are doing around c onversational AI and all which has a direct fitment into the communication model, s o I think essentially what will happen ed. I n terms of h ow does it interact with the rest of the solution stack, t his is a net new addition of capability we did no t have , so it doesn't overlap at all with our current solution stack, but we do have an increasing footprint in the digital banking space and this can become a nice add -on to a digital bank ing deal in terms of one more a spect of your digital communication with the customer that we can take care of, which traditionally a bank is not thinking about. So in that sense it can pla y alongside something we sell b ut there is zero overlap.

Grishms Shah: And just curious to know, this valuation wa s done independently with a couple of auditors, what was the basis of valuation?

Mr. Ashish Rai: Obviously we used fairly repute d independent values to help us in assessment of value. So we did valuation exercises independently. The number that you see out there it's not the final number because that's subject to audit and all the stuff but it’s essentially the recoverable number. So we don't pay any additional cash. We do it in return for the recei vables we had from Trejhara. I would say fr om a value standpoint this is e normous value to the Aurionpro shareholder overall . Right now , I would say everyone can have their own assessment of value . We have fairly reputed independent values give us an opinion which typically is a valuation number significantly better than the INR 140 Cr that you see out there.

Aashvi Shah: Thank you, Sir. We have a couple of questions in the chat box. I'll read them.

From Sahil Sharma: What sort of cross selling opportunities do we have for this product across our set of non-India clients? And the second question is, can you please outline the breakup of the Rs. 140 Cr transaction, what is the number for Trejhara receivables and what is the number for other current assets , so that we can ju xtapose the transaction

onto our FY 23 balance sheet, would this settle all the Trejhara outstanding dues ?

Mr. Ashish Rai: OK, perfect. So I think I already answered the question on cross sell. So I will skip that and if there is a further angle that I did not cover then please ask the question again. But cross sell essentially we take it to our global client base. We did not have this capability , so it gives us a net new capability t o sell to our existing clients and slightly smaller cross sell. We take Aurionpro solutions stack to Interact DX clients who we don't real ly have a footprint with. So that's basically I covered that som ewhere .

Coming to the second question, the breakup of the Rs. 140 Cr, these are essentially we would have published these . This is related party t hing we would have published. Basically it's a combination of a small amount of investment that was there and the other receivables in the form of loans and advances which ar e all declared out there. So Rs. 140 Cr I said is approximate number. It won't be mo re than Rs. 140 Cr, but there's some element of foreign exchange and all that stuff. So it would be approximately the total outstanding due. So yes, this settles all the Trejhara outstanding dues . So basi cally we will have no linkage t o Trejhara through any balance sheet item. So basically all the receivables, outstanding dues have been recovered through this transaction.

Aashvi Shah: The next question is from the Ankita Rathi.

Ankita Rathi: Sir, what is the timeline that you're expecting to add this year by this acquisition in FY24 and FY 25? And will the EBITDA margin be maintained that the company had previously?

Mr. Ashish Rai: From a top line standpoint, this business did Rs. 45 Cr last year. This year, th e planned number for the business is Rs. 50 Cr. I would say at least do the Rs. 45 Cr that's last year and what we hear from the management of that business is they're planning to hit Rs. 50 Cr this year . So before the transaction cl oses and I am not in a position to g ive any qualification on that number. So I would say at least Rs. 45 Cr that we should expect in this financial year for that business to d o.

On the profitability side a s I said, the margin s are slightly better than Aurionpro as a whole. So we should expect 25% odd of the top line coming in as EBITDA into the business. So FY25, I'm not going to get into guiding for future years because I think it's fundamenta lly unfair that we don't guide Aurionpro as a whole FY25 and I guide for this small part so we'll leave it, but we have a significant growth plans for the business. We intend to keep driving growth through our entire solution portfolio and which going forward we include this one as well.

Aashvi Shah: Thank you. Also the next question is from Mr. Venkateswarlu.

Venkateswarlu: How many customers it has, are you already working together with any of the customers? If so, which product of Aurionpro is integrated with INTERACT DX? What was its growth rate in the last three years? What is the growth rate expected for this product in the next couple of years? And what is the amount of outstanding payments from Trejhara ? Is there any pending outstanding?

Mr. Ashish Rai: The t otal of the investments plus the outstanding payments i s of the order of that Rs. 140 Cr number that we published. That Rs. 140 Cr is the absolute high case in terms of what that number is, depending on foreign exchange conversions and stuff so that is total. Is ther e anything outstanding from Trejhara that is? So there was an outstanding in terms of recoverable. And there was the investments, we recovered everything. So after this transaction closes, there will be nothing outstanding fr om t

he Trejhara . That's basically the transaction in a nutshell.

So there are customers that we are working w ith, who also happen ed to be customers of Interact DX. Are we really working closely together in the sense that an Aurionpro Solution is tightly integrated to the interact DX, are not really that I can think of ri ght now anyways. So we are not working with them in any major way, after the transaction closes, we do have a lot of ideas around where we can work together because there is a set of common clients and there is a set of clients that are strong clients for Aurionpro but not for Interact, and vice a versa but not for Aurionpro . So we do have those lists identified where immediately after the transaction closes the sales teams and the solution teams can get together and start looking at what are those cross lev erage opportunities .

Aashvi Shah: And further question on what was t he growth rate in the last three years? What is the growth rate e xpected for this product.

Mr. Ashish Rai: Yeah. So, growth rate has been n ot very high, not comparable to the Aurionpro growth rate in the past. So the business has grown in the range of 10 odd percent in the last few years while Aurionpro has been going as a range of 30 odd percent, our plan would be to really step up the sales effort o n the solu tion. We feel very good about h ow well it can sell in the global markets as well as where we can e xpand in the Indian market. So, I do believe in medium term for the solution to get up to the Aurionpro growth level, which is at least drive it up to something in the range of 25 % to 30% , but that is probably a medium to long term view . In the short term, the business has grown at 8 % to 10%. So I think that's what we should expect i n the short term.

Aashvi Shah: So the next question is from Mr. Vivek Gautam. Is this acquisition EPS accretive from day one, few pointers on that rational please?

Mr. Ashish Rai: Basically if you just look at last year , you're saying Rs. 45 Cr and then EBITDA in the range of Rs. 15 Cr. So we basically expect t o make that the moment we take over, this is a net new addition to the EBITDA stream that Aurionpro has. So it is immediately accretive in that sense. I don't know what more detail I can provide, but basically expect it to contribute day one . The nutshell the transaction is very simple. We recover what was due to us for many years from the entity it was sitting on the balance sheet sometimes. So we recover against those items. There is zero cash that leaves Aurionpro and once the

business comes in, the EBITDA is immediately accretive. So that's basically the transaction in nutshell I mean it's straightforward I think.

Aashvi Shah: Now we'll take the next question from Mr. May ur Damani .

Mayur Damani : Hello, I'm glad to hear this, in the markets also it is being told that M r. Ashish Rai and team they are the real catalyst of Aurionpro's next journey t hat is towards 2030. So this is maybe few of the initial steps, so congratulations on that. And my questi on is related to this Rs. 140 Cr valuation. So how did we arrive at the valuation of this 140 crores? Is it that we had recoverable to the extent of Rs. 140 Cr and we adjusted to that value of 140? And let me just recover this and then capitalize based on our improved strengths from here on. Means just wanted to know the valuation, how did we arrive at the valuation of 140 Cr?

Mr. Ashish Rai: So I think it is the sum total of the recoverable that we had from Trejhara we did independent valuation

exercise as well and I've told you the EBITDA levels of the business.
So I think there's a market benchmark for those as well. And those were, kind of a little bit higher than the 140 Cr number for this, but 140 Cr is essentially what is the sum total of the recoverable and the investments we had in the Trejhara.

Aashvi Shah: So we have one question in the chat box from Bhavik Mehta, how big the business can be in terms o f revenue over the next three t o four years. How much additional investment would it entail?

Mr. Ashish Rai: So, it's hard to size it at the moment. So I'm a little bit conflicted on this one. We don't give long term guidance. So I would park it. The 2nd is we have no t sized , we have a projection. We believe we can bring the business up to the 25 % to 30% growth benchmar k that we have as an enterprise . So we don't give any forward guidance. I'm not going to start in this call , but we plan to get all our businesses to that level of gro wth. We strongly believe this b usiness can get to that kind of growth . For this year w e probably should expect high single digits to 10%, but medium to long term our endeavor would be to drive that level of growth we believe the size of the market fo r a solution like this is very large.

So because what you a re talking about is something - one fundamental to what an insuran ce firm or a bank needs to do f irst of all, in today's day and age that's number one. Second you you're tal king about the ROI case where we can p rove almost instantly the ROI that is involved in this, because what we are saying is if you have a passive instrument going out to the customer, which is essentially just a cost element for you at the moment, we can c onvert that into a revenue earner for you. So which kind of completely c hanges the ROI. The third is, we believe the value of the offering in global markets is far more than what we s ell in the Indian market. So and which is not something unique to this solution that is something we've seen across our solution stack, the realization that you get from the solution stack in markets outside of India tend to be better than what you get in India. So in that element, we believe the average unit p rices wil l go up as we go out and we expand globally .

So we believe this is a very large segment. We think we can bring the growth rate up to 25 to 30% without needin g. Any major new products. So coming to the R&D, so we've got a philosophy aro und R&D, which I've been very clear about in previous calls as well. Number one, we try to get to 7 to 8% of the top line at the moment in terms of R&D , which is where we are trying to do we don't capitalize it. We will expense it out because we believe the businesses that w e do fundamentally are that profitable. We can deliver our EBITDA ranges a fter we expense out the 7 % to 8% R&D. W e expect this business to be at the same level in terms of R&D. So that's not significant enough to come out wi th newer products, but that's m eaningful enough for us to incrementally fine tune it for newer markets that we go to and enhance the stance that we're not creating net new functionality, but we are fine tuning it for more markets. We believe that is where the revenue upside is, s o that's what it would be . The long t erm philosophy we have on R&D again we stated that m any times we have all our businesses will get more and more profitable as we progress in time.

We will try to keep the enterprise EBITDA at the levels it is and any excess that we get, we will pour it back into R&D , which means incrementally as the business grows, there will be more and more available for R&D and hence increases over time for the business to keep inc

rementally investing in R& D. We believe at least th at is the model that we follow now. I've heard debates on it and it's one of those areas where whatever you are prepared to invest product is a business where you can invest there' s no end to what you

can invest. So we have no intenti on of becoming a startup style, keep investing and the kind of thing we will say 7 % to 8%, keep pouring it back, keep coming up with incremental functionality and that drives enough g rowth for the business.

Aashvi Shah: The last question we'll ta ke from Mr. Siddharth Nikunj.

Siddharth Nikunj: Whether the product is scalable other than the BFSI sector? If so, what shall be the other target sectors and are there any similar players in the same product?

Mr. Ashish Rai: Yeah, so both. Excellent qu estions. So I think from a solution sweet standpoint, it is scalable to a ny business which has a lot of retail customers that you need to interact with, for example, the solution has been used in telco use cases as well. The immediate global focus would ho wever be to specialize around banking and insurance p lace and double down ther e. I believe that's enough to l ike the growth, but it can extend to o many other segments, which interacts because things like digital statements, bills, monthly statements, not i nvoices, but essentially even invoices, even marketing, communication and all wherever that's needed. You can actually have a central hub to take it out so it is possible. But we can d rive enough global expansion through the banking and i nsurance cases, and then we say okay , what are the other sectors that we can do something about . On are there similar players? There are similar players, but there are many ways of achieving the same ob jective. We believe we have a superior model to deliver i nteracti ve communication to the client t hrough a product as well as a services led offering. So I believe we are very unique in a way that we take care of the product, we take care of t he fine tuning of the product w e take care of the actual running of the c ommunication with the client, integration with the clients, poor banking system, whatever else it needs to interact with a s well as run it like a service. I mean, everyone does some level o f customer communication. We believe we got a superior product and service offering together, which makes us like truly unique in the space. Hopefully that helps.

Aashvi Shah: Thank you, Sir. That was the last question. If you would like to give some closing remarks.

Mr. Ashis h Rai: OK, good. So first of all, thank you everyone for joining this call. My goal from the call was very simple. One, it's a transaction with a related entity and have been very clear in the past we want to r un the setup in a way that there is maximal transparency to the

shar eholders, so it was important f or me to explain the whole transaction, so thank you for taking the time to listen to it also very excited about where this could go for us. I think the deal is incredibly value adding to the Aurionpr o shareholder day one. But I believe the future of this offering inside Aurionpro is very bright and we can grow this business in a very strong way. We can extend our v alue proposition to the banks and we w orked with in a very material way and we get a foo thold in the insurance business which we always wanted right, because I think that's the next sort of access for expansion in our solution sets. It's a large segment. We wanted a play in that segment and this gives us a good entry point into sever

al well -known players. So in ev ery possible way this achieves all the obje ctives we had and also c ompletely delinking the balance sheet from the related entity and recovering more importantly and outstanding which was due to us for quite some time, in a highly value adding way so. I believe this is a w in-win transaction. This is extremel y positive for us as a firm in many ways and incredibly value ad ding to the shareholder. So we feel very excited about it. Thank you very much.

Aashvi Shah: Thank y ou, Sir. Thank you everyone for joining the call. With this, we end the conference.

Call: Oct 2023

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October 31 , 2023
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Script Code: AURIONPRO

Sub: Transcript of earning call held on October 26, 2023 for the Q2 & H1 FY 24.
Dear Sir/Madam,

In accordance with Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed please find transcript of the earning call held on October 26, 2023 for the Q2 & H1 of FY 2023-24.

Kindly take the above information on record and confirm compliance.

Thanking you,

Yours faithfully

For Aurionpro Solutions Limited

Ninad Kelkar
Company Secretar y

Encl: as above

“Aurionpro Solutions Limited Q2 & H1 FY 24 Earnings
Conference Call”

October 26th, 2023

MANAGEMENT : MR. ASHISH RAI – CEO & VICE CHAIRMAN
MR. VIPUL PARMAR – CHIEF FINANCIAL OFFICER
MR. NINAD KELKAR – COMPANY SECRETARY

MODERATOR : MS. AASHVI SHAH – ADFACTORS PR – INVESTOR RELATIONS

Aurionpro Solutions Limited
Q2 & H1 FY24 Earnings Conference Call
October 2 6th, 2023

Aashvi Shah : Good afternoon, ladies and gentlemen , a very warm welcome to the Aurionpro Solutions Limited Q2 & H1 FY24 Earnings Conference Call.
From the senior management we have with us today, Mr. Ashish Rai – Vice Chairman and CEO, Mr. Vipul Parmar – Chief Financial Officer, and Mr. Ninad Kelkar – Company Secretary.
Before we begin the call , I would like to mention that some of the statements made during the course of today 's call will be forward -looking in nature and may involve risks and uncertainties, including those related to the future financial and operating performances, benefits and synergies of the company strategies, future opportunities and growth of the market of the company services and solutions .
At this moment, request all participants to mute their lines and be in listen -only mode . A Q&A session will be conducted towards the end of the opening remarks by the management. At that time, you may click the raise hand icon from the toolbar and unmute your line to ask the question or you can type questions in the chat box. Please note that this conference is being recorded.
I now hand over the conference to Mr. Ashish Rai from Aurionpro Solutions . Thank you and over to you, sir.
Ashish Rai: Thanks, Aashvi . Good afternoon, everyone. And welcome to this earnings call for Q 2 FY24. We are of course very pleased with the continued growth momentum in H1 across all the major business lines, these results and the exceptionally strong demand pipeline that we have at the moment prov ides us great validation of our chosen long term strategy to create differentiated global products platforms player. This strong financial performance also now gives us the ability to keep stepping up our investments in both ground up R&D as well as sel ective M&A, as you would have seen , while we continue to maintain our industry leading EBITDA levels and PAT margin levels right at 22 % and 16 % as we have said before .
The excellent performance this quarter is really the result of the hard work , disciplined execution of more than 2000 Aurionpro team members. Our focus on expanding the sales channels that we have talked about in the past, has worked very well for us. And we continue to expand our strategic partnerships with global FinTech majors as well as other technology partners as well as do some selective acquisitions to continue to enhance our solution footprint

where that makes sense. I 'm sure by now you have received the investor deck that details our performance in the quarter. Allow me to briefly focus on the key slides from the investor presentation.
So, moving to the quarterly financials, Revenue for Q2 stood at Rs. 211 Cr, which is a growth of 37% on a YoY basis, EBITDA stood at Rs. 46 Cr, which is a growth of 32% YoY. And PAT as you would have seen is Rs. 34 Cr which is a 36% growth on a YoY basis. PAT margin for the quarte r stood at 16.1 %. If I move to the half yearly numbers, the revenue for H1 is at Rs. 410 Cr and PAT is at Rs. 66 Cr which is 37% , 34% YoY growth on those numbers .
The business performance as I said before, being strong gives us the ability to keep on increasing the investments that are going into R&D. We have talked in the past about our model of using the excess to point R&D, and then keep the EBITDA margins at the levels that we are targeting. And I 'm glad to report that we have kept it at those levels, at 22 % and 16 %.
If I move to the Banking and FinTech, cover ing the segments briefly . The Banking

and FinTech
segment , one of the things that we have talked about in the previous quarterly calls is Banking and FinTech we had a lot of bill to do and then we were expanding the sales channel out to get the growth. So, as you can see in Q2, the business really climbed up in terms of growth rates, which is a result of us executing on some of the new wins as well as the core business, getting the capacity needed to accelerate revenue. So, the Banking and FinTech business grew about slightly less than 30% for the quarter. Lots of successes, especially on the lending side, our subsidiary Integro , had one of the wins that we announced is in the Philippine 's market, very competitive, large win with a very large bank in the Philippines . We have had a lot of success in terms of upgrading our clients. So, going deep into the accounts and focusing on account mining, is beginning to yield results. And all the other things that we announced in terms of expanding our solution footprint is acquisition of Interact DX . This product, I am very positive

with Aurionpro 's sales channel, especially outside of India and h ow relevant the solution is to the client base that we service and feel very positive about us being able to expand the product as we go into the future.

If I cover the other major division for us, which is Technology Innovation Group (TIG) . TIG also had a pretty good outing in Q2 . Now one of the things that I 've talked about in the past is we wanted banking to accelerate, we wanted the TIG to get more and more selective on the business that we were taking on. TIG grew along nicely, year -on-year that's about a 45% growth. Again, success on the transit side, we had entries into Mexico that we announced , we also announced entering into Australia with a partner. So, a fair amount of success in terms of being able to expand the transit business . One of the new offerings that we had around hybrid cloud, we had a very good success in taking hybrid cloud services to Philippines, we will increasingly use the managed cloud and managed services offerings that we have together with our software as we go into new client, this is a great point for us in terms of being able to

expand the hybrid cloud services globally. This again, with a top auto finance firm, a very known global player 's subsidiary in the Philippines .

WebW orks partnership again, we 're expanding pretty strongly continuing to build on our strategic partnership with W ebWorks and we continue to do a lot of work with Central and State governments in terms of some of the key flagship programs that the governments have. The demand pipeline overall is exceptionally strong at the moment for pretty much all of our major bets. And we expect to continue adding new logos as we roll into the second half, which we will announce as we go. Overall, we feel that we are comfort ably placed to ach ieve the growth guidance for FY 24, which is the 30% to 35% growth guidance that we have given in the past and maintaining this growth trajectory well into the next year. I hope this has given you a useful overview of the overall business context and our strategy and performance. I look forward to addressing any questions that you may have .

Aashvi Shah : Thank you, Sir. We will now begin the Q&A session. We have the first question from Mr. Sahil Sharma. S ir please, could you unmute yourself and g o ahead with your question .

Sahil Sharma: Your base business sir should grow by 30 %, 35% every year and we have also done a couple of acquisitions , which together probably might have closer to Rs. 20 to 25 Cr of profits. So, with some synergies could we expect closer to Rs. 220 - 230 Cr of profit after tax next year ?

Ashish Rai: Sorry Sahil, can you repeat the last part , yo

u are talking about next year?

Sahil Sharma: Yes, sir FY 25.

Ashish Rai: FY25, okay. So, look Sahil, so first of all thanks for the congratulations and all , the team did pretty well in the quarter . So, the guidance that we give out for the full year , as I said, we have multiple users of capital , most of which we build into our strategic plans. So, acquisitions being one of those. So, to some extent, we were expecting to do some M&A. Now M&A, the philosophy that we have at Aurionpro in terms of doing M&A is we , we will do a deal only when we see o ne it fits an identified gap. Second, it adds immediate value for the shareholders. We are not in the business of doing M&A, we will do it only when it makes a huge sense from a value standpoint. In that sense, both these acquisitions are one , immediately accretive to the EBITDA. Second, they make a huge amount of sense from a future value standpoint in terms of how much can we expand both of these businesses sell to the same client base that we have globally, load the products from the same channels that w e have, as well as be able to expand on these in India as well whe re both of these products which where the whole markets for these products . I will not really get into the business of giving future guidance at the moment. So, we typically give a guidance for the current financial year and when we walk into the end of the year, we will try and position for the next year, but by and large I would say , incrementally these will be I am very positive these will be extremely value adding to the Aurionpro shareho lder both in terms of growth, as well as in terms of profitability that we do

and culturally both the businesses are a great match for us , so overall very bright future will not give numbers.

Aashvi Shah : Thank you. The next question will be fro m Mr. Suraj Jain. Sir, could you please unmute yourself and go ahead with your question.

Suraj Jain: I have couple of questions, and I just want ed to know regarding your recent order wins because in the presentation I can see the order book you have around Rs. 810 Cr, I just want to know any order wins in last two quarters and I can see the increase in the goodwill , is this because of the different acquisition s you have made ?

Ashish Rai: So, thanks for the question. Coming to the goodwill , goodwill is entirely due to the Interact DX acquisition . So, that you would see in terms of the entries that we publish on the balance sheet. On the order wins, we do publish when there are material order wins from time to time. We have had a fair amount of success on both sides of the business. So, one is on the lending side of the business we've had multiple wins that we 've talked about which allows us to really expand the business as well as a fair amount of momentum on the existing client base, in terms of upgrades , etc. On the transaction banking side again we had a number of significant upgrades with the existing clients as well as we are getting into a very strong pipeline where we will announce I suppose, some wins as we get into the second half of the year. Transit again had a phenomenal outing, s o transit, since we buil t the sales channel out in Americas, we have gone significantly outside of the initial win in the US . We have expanded to Mexico, the win that we announced it 's a multi -phase d project and we just announced the first phase, but we will build on it, we have announce d Costa Rica, we have announced Australia, we will also expand into many other geographies whi ch again as and when we fructify those partnerships we will talk about it and we will announce the expansion with WebWorks as well on the data center side. So , in gene

ral the demand environment seems to be very benign for the offerings that we have, we see m to see a fairly large number of deals in the market, I keep emphasizing the point that we need to be highly selective in terms of taking on new business, and not get very excited in terms of driving growth rates beyond, what the enterprise can deliver. So, we will try and be selective, we will try and take on projects in a way that we can keep the delivery reputation of the enterprise, this is a long journey. We don 't want to get short term greedy when we try to accelerate growth rates. So, we will acquire just enough business to keep hitting the guidance numbers that we have and maybe go a little bit over but not significantly. Hope that helps.

Suraj Jain: Okay. I just want to know the bifurcation of order book between the two business segme nt, banking finance and the tech innovation group. And I just want to know regarding the business of data center right now where we do stand in th at business, and what kind of investment s you are looking for into this business ?

Ashish Rai: Okay. So, the first question is straightforward , it's about 40% on banking, and 60% on TIG, the order book, the second one so looks data center we, first of all don 't intend to put too much capital to use in the business. So, we are not in the business of building data centers of our own, we are in the business of one , we have an extremely high -quality design team. So, designing the data centers as well as program managing the builds for our partners and that is what we will focus on. We, like Aurionpro always does when it gets into a business, we are building our own IP, we are productizing a key part of data center delivery, that we will I suppose once the R&D is finished we will announce in the next few months. So, we will continue to look at the business in terms of what can we productize that creates one a differentiated offering in the market , second improves the economics for us as well as allows us to scale well . So, data center for us, we have one of the highest quality teams when it come s to designing and building a data center, we will continue to do that with our strategic partners. We will probably sign on more strategic partners as we go, as well as announce a few productized offerings in space , which allow us to sort of drive better economics. So, that's essentially the approach to data center business.

Suraj Jain: Yes. And one more last question, due to th ese recent acquisition s, we are having inorganic growth, do we see any impact on the margins as in most of the calls who have said that we are going to maintain a margin of 22% , are these margin s going to be impact ed or are they going to improve because of the inorganic growth ?

Ashish Rai: So, again there 's something that I 've said a few times in the past. The goal that we try to keep for us is do an EBITDA of between 20% and 22% , we believe at that level we probably in the top 5%-7% of the industry in terms of EBITDA margins. We believe our shareholders are fairly pleased with that margin level. As the economics of the business improves, which it is improving, we will use the excess over 22 % to keep increasing the R&D budget, there is a lot more ideas than capital when it comes to R&D. So, we will keep stepping it up every year. So , our long term goal is to stay in the 20 to 22 % bracket, unless sometime in the future you hit an inflection point where we say the economics are so good and the R&D needs are so less that we start stepping it up , so that 's essentially the goal.

Aashvi Shah : Thank you sir. Th e next question will be from Mr. Vivek Gautam. Please unmute yourself and go ahead with your question. We will take the next question from

Mr. Agam. Mr. Agam, please unmute yourself and go ahead with your question.

Agam: Sir my question is on the Tech Innovation Group . So, on this segment, so can you briefly talk which segment is dominating currently, and which can be the driver for next at least couple of years? When we have two , three verticals . My second question is on the export s, geography wise revenue breakup , so will this mix be the same , where India is dominating the geography wise revenue breakup for next at least couple of years . If you can talk on that ?

Ashish Rai: Thanks Agam. L ook on TIG is essentially at a high level three parts. There is the transit business where we believe we have built out probably one of the most integrated end -to-end offering stacks in the space right from the electronic hardware, we have some software to the actual hardware used in terms like that, etc. So, we built up a strong end -to-end offering , this TIG as a whole is growing at about 50% , give or take transit side is growing faster than the 50. The second part is the data center design build business, which again we 've seen incredible amount of investments and investment plans going into pretty much the next several years in this space. So, we have one of the highest quality businesses in that space in India, we are expanding it globally, that business is again growing faster than the TIG growth rate of 50%. The third slice of TIG is smart cities business. This is a business we 've been in for some time and it's not significantly growing at the moment. So, that is essentially the story in TIG three slices. The growth being driven at the moment by transit and data center, and smart cities business we are a critical player in the space , it's not grown at the moment.

The other part is about geography. Look at the moment roughly we are 60 :40, 40 global , 60 India . Our medium -term plan is to accelerate the size of the global pie. So, which sort of explains the sales channel build up as well as every channel build up out in US, in Middle East , in Southeast Asia that we 've done over the last 12 months. To be honest, the global business has been growing fairly well for us. But the challen ge is , the India business has been growing incredibly fast. So, the mix we have actually not been able to move the mix materially over the last 12 months. The point at which we will really be able to move the mix is where the growth in India slows down a b it. We do not see any signs of it honestly given how well the economy is doing the investments in the data center space, the investments in the transit space. So, banks as well are in pretty good health and have been investing in technology. So , our longer term goal would be to increase the size of the portion of the global pie. It will happen when we see a little bit of slowdown in the growth rates in India, medium term our goal would be to get to 60 :40 in favor of the globe rather than India. In the short term, we will stay where we are.

Agam: Okay. And quick one more question, your Sale of equipment and product licenses , so, that would be majorly towards tech innovation or that will have BFSI also, or that will be majorly tech driven?

Ashish Rai: It's both the sides. So, basically the way to look at it is , equipment and licenses is more the one - off versus the recurring and the near recurring services . So, it happens on both sides of the business.

Agam: Okay. So, sale of software service you mean is a recurring ?

Ashish Rai: So, what is happening is , we sell licenses in two modes. Increasingly , we are selling subscriptions, so that would not show off in the one-off license. But we do sell enterprise licenses as well on the banking side that will show up in the equipment and license sales.

Ashish Rai: So, it's more of one off versus non -one off.

Agam: Okay, so how much push can be volume, so we have done this quarter 271 and 1 33. So, how much out of this would be recurring ?

Ashish Rai: So, recurring and near recurring, which is the ongo ing services, etc that's almost close to 80% of that mix . Recurring is in the order of about 55 to 60 %, 55% or thereabouts.

Aashvi Sha h: Thank you, sir . Request you to come back into the queue. S ir we have a few questions in the chat box. I 'll just read one of them. The question is from Mr. Maruti Nandan, then is a considerable increase in the employee cost compared to the previous quarter from Rs. 69 Cr to Rs. 80 Cr, what is the reason for the same?

Ashish Rai: Okay, good question. So, look one what is happening is just the organic growth in the number. So, we have added a fair amount of capacity. So, we have been adding for some time so, what really happened on employee expenses is one, to just to support the gr owth, the employee base was increasing. Second, in the last quarter we have invested quite materially in terms of building out future capabilities , these are the sort of R&D expenses that are not at the moment supported by revenue , but will be very soon as you go a couple of quarters out. We opened up a new Dev center in Pune, as we announced . We've got an increase in presence here in a few other places as well. So, we've been adding on the R&D, which probably doesn 't so much translat e to revenue, but we believe we have the bandwidth to add that. So, in terms of doing a new product build that we will announce soon. Another part of the increase in the employee expenses is the addition of some ESOP cost , so, we did announce in the past that the board had approved creation of an ESOP scheme. And we are beginning to see the cost of that coming in the quarter. So, that's about Rs. 4 Cr in the last quarter. So, as you can see, the point that I always make, we believe the economics of the business will keep on improving as the scale, four crores of ESOP is a fairly material amount, which we were not, we would have affected the EBITDA margins in the past, but now it 's sort of on top of the 22% ma rgin that we delivered. So, employee expenses have gone up , the revenue related one is fairly linear. The other two component s are not at the moment reflected revenue, but you can understand what they are.

Aashvi Shah : Thank you sir. We will take the next question .

Ashish Rai: Is that clear, Aashvi maybe let me just get a clarification , is that clear enough .

Management: It was f rom chat box.

Ashish Rai: Okay, fine. Let's carry on.

Aashvi Shah : Sir the next question we will take from is from Darshi l. Sir please unmute yourself and go ahead with your question.

Darshil: So, just wanted to ask our new acquisitions , how much contribution would they have had in this quarter in terms of revenue?

Ashish Rai: So, there is zero contribution to Q2 . The way to look at the acquisition says, after we sign the acquisition, it takes us some time to close the acquisition before it starts reflecting up in the numbers. For the Interact DX acquisition, we will see the impact in Q3. For the Omni fin acquisition, we will see a partial impact in Q3 depending on when we close and the full impact in Q4.

Darshil: Okay. So, any ballpark on how much have they increased our bottom line by ? Could you just give us a rough rang e of what would the current run rate be per quarter?

Ashish Rai: Both the businesses are operating at EBITDA levels which are higher than Aurionpro overall EBITDA level,

that 's something we can do. We 've not disclosed specific numbers so, I don 't think tha t makes sense. So , I believe as the revenues on those businesses scale, we will be able to hold or improve the enterprise EBITDA margin. So, we will hold them to the same framework, eventually that we use for rest of the Aurionpro which is where we say bri ng the EBITDA to 22% and aggressively invest in R&D to expand the product line. So, they are both at higher than 22 % at the moment . In terms of cost structures, we anticipate them to operate at pretty much the same structure they are at right now. So, there won 't be really major differences other than the Aurionpro model of investing a little bit more aggressively in R&D. I don't think there will be much impact on the overall cost structure of these two businesses.

Darshil: Okay . So, our aim of 30% growth would be organic and whatever inorganic would be added right, there 's that one clarification and how much current spend ing would we be doing on R&D, over the full year maybe or per quarter whatever you could help me on?

Ashish Rai: Sorry, so let me just recap the question. So, the first part was about what is the contribution in terms of profit , that we can , can you just repeat that?

Darshil: Yes. So, I was just asking sir that, currently like on a 30 %-35% growth that we are targeting that would be organic and Interact DX and Omni will add on to it , so we our growth rate total could be higher than 3 0%, that was my first question. The second question was, how much R&D spend would we be doing currently, like what wou ld be our average quarterly number in terms of absolute number . And are there any other M&A plan s that might be coming in the next one or two quarters?

Ashish Rai: Thank you. So, good set of questions . Profit, how much , the range that we have given for the year is 30 % to 35% , so the band is wider than the amount of profit that these two entities can contribute within this year , especially given the limited time period that we have overall . So, a 5% on our overall scale, depending on how you are calculating is probably a Rs. 40- 45 Cr number. So , I don't think what will happen is with these acquisitions, the ability of the

enterprise to deliver to the high end of the range improves qui te significantly. And beyond that, if we were to really give out fresh guidance, we typically wait till Q3 results to revise any guidance for the full year. So, we will stick to the guidance , the ability to deliver to the high end of the guidance has improved because of these acquisitions. I will really not say anything more than that, on the profits . R&D, we are now clocking about an average of 8% in terms of the top line in terms o f investing in R&D. It does vary QoQ, so Q2 it did go up quite a bit because of some new product developments that we saw an opportunity to do and then we set out to do but typically for the full year you can expect it to be 7.5% -8% a t the moment. Next year, we will step it up again . The M&A plan s. So, this is what is happening in M&A , I will of course not talk about any specific M&A opportunities at all. That ’s not the way things work , but this is how we are looking at M&A. What has happened is, one as we get financially healthy, we constantly get a choice to either build against the gaps that we see in our portfolio, so you see an opportunity in the market, you see the solution footprint that you need to tackle their opportun ity. And then you got two choices, you say I build against that gap, or I go and acquire someone who ’s already done that investment. In cases we will find that there are sort of product outfits out there who have built -out products which are good, at leas t

to serve as a
base for us to finish our offering footprint. So, we will constantly be looking at opportunities there. When it comes to deal making , we are very stringent in terms of what value we will buy at, so we are not out there shopping for deals. What has happened over the last year is , we become a very, very attractive shop for especially founders led tech companies to come in and partner with us because people so we are now , we are better known in the indu stry, people see the investments we made in the sales channel outside, they see the template that we use to run the business. Overall, it ’s modeled on the sort of best practices we ’ve seen elsewhere with most of the global software majors. And people see v alue in that how we build our products, manage our products, sell them and partner with the clients . So, increasingly we become an attractive partner for some of the younger tech companies to come in and say okay, why don ’t we pursue the rest of our journey together with Aurionpro instead of outside . So, we will keep getting approached , when we get approached and it fits with our strategic framework. We will do the acquisition otherwise, we don ’t have much FOMO when it come s to deal making, we ’re doing quite well.

Aashvi Shah : Thank you Darshil. Sir, next question we will be taking from Mr. Mitul Mehta . Sir please unmute yourselves and go ahead with your question.

Mitul Mehta: So, now Ashish , one is a slightly medium term, and the other question is of course a little more longer term let’s say over three years . If you can help us to gauge , we all know that the enterprise software market globally is a fairly large market , it’s a hugely sca lable model and larger MNCs have demonstrated the scale in that business. We are currently at about Rs. 450 Cr. Our focus is right now more Asia Pacific, you ’ve always gone on record and said that, eventually we want to break into the US we are building sales channel, we are investing there, we are adding people on the sales and marketing. So, can you give us some directions on that

as to when we finally get there? That is one , second between the two businesses which is more scalable according to you, the TIG or the enterprise software business ?

Ashish Rai: Okay, hi thanks Mitul, great questions. So, look when do we finally get there we are already pretty much there , it’s a question of scaling the business. So, you’re right , this is a vast ocean when it comes to enterprise software to financial institutions, banking, insurance , non-banking lenders are some of the biggest spenders when it comes to technology and you are totally right we are largely Asia Pacific or rather largely co re Asia, and Middle East in terms of our existing footprint. First, I believe those in core Asia will scale the business quite rapidly that is number one. Second, we build the channel out, we start doing , especially , in terms of our payments product, we started, we made one sale a couple of quarters back, we will sort of improve upon it. Banking, on the lending side, collateral as well as limits , I am fairly positive, we will start seeing logos come over the next four quarters. So, we are in fairly advance discussions , the problem with this business is this, enterprise software is very long sales cycle. So, typically, sales cycle is 18 months or so , we are targeting large banks just by nature of our model, we can’t go after the smaller banks at the moment. So, that sort of moves us towards the high end of the range in terms of the sales cycle. So, we are in advanced discussions, we will close it. The second thing is , we are also a prominent partner to multiple Global FinTech majors in terms of licensing our technology to them, we announced Finastra, they are th

emselves looking at our
solution set and taking it global. We are in sort of discussions with other majors where we can ’t announce the names ye t. So, it’s not even discussions , we are sort of agreed with other majors, we can ’t announce the names. So, you will see the channels sort of go out both in terms of these partners distributing our technology, as well as our direct channel distributing our technology. We started on this whole thing seriously, honestly about, I would say seven or eight months back. And I would say a reasonable expectation should be we start seeing the first results in 18 months , you could get lucky and see in 12. But the reasonable expectation should

be 18 , so in the next four quarters you should see it. So, that's essentially the long sort of winded way of getting to when we will get there .

The second part , sorry on TIG versus banking. Look, the way we chose our segment s Mitul, it was sort of quite clear about this earlier, we only chose segments we believe have very long demand runways , have a very large target market and we have a shot at global leadership . I'm not saying the global leadership happens next year, but we have a shot at it over a medium to long term. So, in that context both are just such large oceans that I don 't think it really matters, that we start picking favorites . We will stay committed to scaling both the businesses at the clip that they can support, the more important thing is to scale at a level that you can have the stamina to run for 5-10 years, not scale rapidly for four quarters and then start stumbling on delivery reputation. So, for us the question really is, how fast or slow should we be scaling the businesses, the fact that you can scale both the bu sinesses , as well as some of the India businesses , I don 't think we have any doubts about it.

Mitul Mehta: I'm sorry, if I 'm littl e repetitive , but banking still we are sort of at Rs. 450 Cr and obviously we are growing our bas e is small, as we grow bigger, the base would increase and therefore we have to maintain growth on that higher base. So, therefore, I asked you that obviously you did mention that we are still like 11 months away after we sort of bre ak into US . So, if you can just talk about some of the deals that happened typically in those markets, how big are those deals versus the deals that we do in Asia Pacific , so we will get some color of the intensity of the business that we could get in the developed countr ies?

Ashish Rai: Okay , so two points. Point number one. Asia is our core market ; we don 't need to be outside of Asia sell a single cent outside of Asia to keep growing at 25 % to 30%. The market is large enough for us for a fairly sort of long period of time continue to support growth rates of 25 , 30 just from Asia, we have not needed to sell outside to grow at that level. So, we won 't go to US and Europe to support a 25 %-30% growth rate. So, that is number one . Number two , deal sizes typically in US and Europe are larger for two reasons one is a lot of our pricing is based on the size of the book and the size of the bank. And the bank s just are larger banks in Europe and US, so that increase the deal sizes. Second is the core realization even on the same book sizes is probably 50% higher , in terms of licensing that you get and PS rates and all are also better but then PS rates come with an increase in cost s as well , so I would not attach too much importance to it. So, overall, I would say deal sizes could be anywhere between 50 % and 100% bigger in US and Europe, or maybe even slightly more than that if it was an exceptionally large bank. But we don 't need to do those deals to keep growing at 2 5%, 30%, Asia is large enough honestly, we are , CLO, probably th

e number one player in Asia. But we are still hugely under penetrated .

So, we can expand into a lot of spaces, where we are not right now . Now with Omni fin and Interact DX coming in, which are again, we have not been selling it in Asia that heavily, we can step up the engines in Asia to deliver even stronger growth on those products, because they can go to a much wider segment than our bigger CLO and collateral products. So , there is just a lot of growth runway left in our core markets, and we will continue delivering it. And then in the US and Europe, over time will start delivering but taking time there is not really a big problem.

Mitul Mehta: Sir, is it possible for you to just break up the Asia Pacific market where we are presently in our core market in terms of size versus with and of course the competitive landscape, if you can just give some ballpark breakup?

Ashish Rai: Ballpark breakup in terms of which country , how much percentage .

Mitul Mehta: Overall market size would do.

Ashish Rai: Overall market size. If I look at some of the larger global players, including some of the businesses that I have myself run in the past , banking software businesses, you got businesses running $0.5 B illion to $1 billion software businesses, just in APAC, Middle East and Africa. So, the markets are large enough. Now, of course US is a much larger markets, but the markets are

large enough. For us , we are quite prominent in Singapore, we 're quite prominent in Malaysia, we are reasonably good sized in Indonesia, Thailand, Vietnam, we are increasingly much more stronger in Philippines , Middle East again we 've got an expanding busines s although we are admittedly still quite thin there and we just started our operations in Africa which will start bearing fruit at some point in time. So, these are all fairly large markets. I 'm not quite sure what the sort of motivation to your question is, but if the question is the demand in Asia large enough to grow for the next two, three, four years , the answer is yes. Of course, the global market is a

lot bigger, and we will slowly sort of increase our share there.
Aashvi Shah : Thank you, sir. S ir we will take one more question from the chat box. The question is from Mr. Ganesh Shett y - Can you please throw light on the Omni fin integration and cross sell opportunities?
Ashish Rai: Thanks Ganesh. So, Omnifin is essentially a full front to back lending system. We 've so far been prominent on the CLO , the corporate loan origination side we 've not h ad a material offering first on the LMS side, so which is the back end , second to the retailer SME and the digital lenders , which is where Omnifin complements our stack quite well. Omnifin is very successful in India , it has an extremely high -quality team when it comes to people who build the products , obviously who will be running the business all this while and culturally they are straight on fit with the engineering lead culture that Aurionpro has as well. So, they fit in beautifully with us . We will be able to one, take Omnifin Solution s to both banks, as well as non -bank lenders in every one of our markets, we 've not yet closed the acquisition, we will but, we 've started looking at where the opportunities are and we are highly encouraged with wh at we see in Southeast Asia, Middle East and Africa. So, we will be able to take the same solution to multiple markets, of course there is probably depending on the market you are talking about, there is a little bit of fine tuning needed to be completely fit for purpose, but it 's not really a major thing to do. Second part, we will be able to probably expand the relationship with the 45 existing clients that Omnifin has with other Aurionpro offerings that ca

n go to those same clients. So,
in terms of synergies, there is fairly significant both in terms of being able to take Omnifin to other larger markets as well as being able to capitalize on the current base that exists. We 've not quantified this , but this would be fairly substantial, it will become a part of organic growth plans next year. And we were planning to be a full spectrum lending shop anyways, so Omnifin sort of helps us gain many years in terms of the product build process by really shortening what could have been three, four years of product build to two months. So , that is an enormous value add to the business.
Aashvi Shah : Okay. Sir we take the next question from Mr. Vivek Gautam . Sir please unmute yourself and go ahead with your question . Sir we move on to the next participant, Mr. Maruti Nandan please unmute yourself and go ahead with your question. Sir we move on to Mr. Rajeev . Mr. Rajeev, please unmute yourself and go ahead with your question.

Rajeev: I have a couple of questions. So, what about the Murex upgrades . Do we have any Murex upgrades lined up for this year and next year ? And what will be the revenue generation from that, if so? Thank you.
Ashish Rai: Okay, thanks Raj eev. So, look upgrades is to o fine a slice , what I would say is Murex implementations in general, our relationship with Murex is very strong and is expanding quite nicely over all so, we will certainly get involved and where we get involved in the value chain is also a lot higher than it was earlier. So, earlier, we would pick up upgrade projects now, we are getting involved in fresh implementations as well. So , I would say we shoul d be expecting to do multiple new fresh implementations in addition to some upgrades, as well as the run the bank teams that we have in various places. So , Murex business would expand, I would expect over the next four to six quarters quite significantly.
Rajeev: Do we have any end of the vendor , like the upgrades are to be done probably by this year or next year , which Murex is pushing to?
Ashish Rai: Look, Murex has a very large client base. So, there is always a lot of conversations going on, till we sign something, I can 't talk about it. But we do have a fairly large number of conversations going on.
Aashvi Shah : Thank you sir. Sir we will take the last question from the chat box. What is t he profitability of Omnifin and R&D spend ?
Ashish Rai: Okay . I covered this earlier , so Omnifin at the moment at EBITDA level has a profitability slightly higher than our enterprise profitability. So, overall, as we integrate the business, I feel very good about keeping at the enterprise profitability level, which is EBITDA at 22 % and maybe slightly better than tha t, what was the second part of the question ?
Management: R&D.
Ashish Rai: R&D spend, we will basically , let me answer it this way, Omnifin has a sensational team, in terms of the team that has built out these products , and has been implementing at clients, and this is a group of people who are more or less the best in the business as far as lending teams in India go, like with no qualifications . So, I have enormous respect for the current model that exists in Omnifin in terms of continuing the product builds and R&D. To the extent that it makes sense to , sort of harmonize that with the R&D approach that Aurionpro has in terms of , sort of routing the access out into more product builds and sort of having a continuous ro admap, we will harmonize the two, but honestly, they are pretty sensational model even now.

Aashvi Shah : Thank you sir. That is the last question for the day, if you would like to give some closing remarks.

Ashish Rai: So, thank you everyone for taking the time out of your day to join the earnings call. We continue with what we said we will continue to do , so there is no real news there. We will continue to keep expanding the R&D, both M&A as well as zero fresh round of R&D that we said and you will see more and more product releases coming out over the next couple of quarters and well into the next year. We feel very good about holding on to the guidance number of 30 % to 35% that we are at right now , I know there is some interest in whether that goes up because of the acquisitions and we will come out and probably cover that bit at the end of Q3. Till that time , goodbye. And I hope to see you again next quarter. Thank you.

Aashvi Shah : Thank you sir. On behalf of Auri onpro Solutions Limited that concludes this conference for today. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

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Sub: Transcript of earning call held on February 06, 2024 for the Q3 & FY 24.
Dear Sir/Madam,

In accordance with Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed please find transcript of the earning call held on February 06, 2024 for the Q3 & FY 2023 -24.

Kindly take the above informati on on record and confirm compliance.

Thanking you,

Yours faithfully

For Aurionpro Solutions Limited

Ninad Kelkar
Company Secretar y

Encl: as above
Aurionpro Solutions Limited
February 0 6th, 202 4

“Aurionpro Solutions Limited
Q3 & 9M FY24 Earnings Conference Call”

February 06th, 2024

MANAGEMENT : MR. ASHISH RAI – CEO & VICE CHAIRMAN
MR. VIPUL PARMAR – CHIEF FINANCIAL OFFICER
MR. NINAD KELKAR – COMPANY SECRETARY

MODERATOR : MS. AASHVI SHAH – ADFACTORS PR – INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day and welcome to the Investor Call for Aurionpro Solutions Limited to discuss the Q3 and 9M FY24 Results.
As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference i s being recorded.
I now hand the contents over to Ms . Aashvi Shah from Adfactors PR , Investor Relations. Thank you and over to you, ma'am.
Aashvi Shah: Thank you. Good afternoon everyone. On behalf of the company, I welcome you all to the Earnings Conference Call for Q3 & 9M FY 24.
Today , on this call we have with us from the Management Mr. Ashish Rai – Vice Chairman and CEO, Mr. Vipul Parmar – Chief Financial Officer, and Mr. Ninad Kelkar – Company Secretary.
We will begin the call with brief "Opening Remarks " from the Management followed by a Q&A session.
Please note that certain statements made during this call may be forward looking in nature. Such forward looking statements are subject to certain risks and uncertainties that could cause the actual results or projections to differ materially from those statements . Aurionpro Solutions will not be in any way responsible for any actions taken based on such statements and undertakes no obligation to publicly update these forward -looking statement s.
I would now like to hand over the call to Mr. Ashish Rai for his opening remarks. Thank you and over to you, sir.
Ashish Rai: Thanks Aashvi . Good afternoon everyone. And welcome to this earnings call for Q3 FY24. I'm sure by now, you all receive d the Investor Deck and I hope you had an opportunity to review it. We are of course quite pleased to see the disciplined execution and focus of our teams across the globe in Q3 and right through the year . We have sustained the growth momentum across both our segments and pretty much all the major business lines throughout the nine months ending in Q3 FY24.

The revenue for 9M FY24 stood at Rs.641 Cr. EBITDA is at Rs. 141 Cr and PAT is at Rs. 103 Cr which is essentially 37% , 35% and 37% growth for each of those three numbers , compared to the same period last year. So the nine month has been pretty solid. The se results underscore the robust growth momentum that we are experiencing, slightly exceeding our projections and provides a solid reinforcement for the attainability , the achievability of our performance targets for Vision 2030 that we have outlined before .
Allow me to summarize the quarterly financial performance for your quick reference :
Revenue for Q3 FY24 stood at Rs. 231 Cr, that's a growth of 37% YoY. EBITDA for Q3 FY24 stood at Rs. 51 Cr as compared to Rs. 37 Cr in Q3 FY23 which is a growth of 38% on a YoY basis. The EBITDA margin was at slightly above 22%. The PAT for Q3 FY24 stood at Rs.38 Cr which is a growth of 45% on a YoY basis . PAT margins are slightly above 16% as you have seen .
Moving on to the businesses :
Banking and FinTech grew impressively and we expect this moment um to continue in the coming quarters with the new order wins that we have announced recently . We also announced two strategic acquisitions for Banking and FinTech Omni fin as well as Interact DX. These have now been fully integra

ted, and we expect them to also contribute strongly to
driving the growth in this segment going forward. The performance of Technology Innovation Group remains steady with healthy traction and deal activity happening in the transit segment. We signed significant strategic partnerships in this segment, which we've announced with

MasterCard and with Vix, which will help us consolidate our position in the existing market s as well as allow us to expand in new er markets we have not been present in.
We've been steadily expanding our presence in markets across the globe for transit with further wins in Australia, Mexico, as well as incremental additions in all other existing markets.
So TIG again continues to deliver and execute very well. The im pressive performance in Q3 and over the previous quarters is really the result of the capability, the focus and dedication of our product and delivery teams across the globe. Numbers just don't come close to capturing the sheer effort, persistence and engi neering focus that it takes to solve the really hard problems . Our engineering and delivery team tackle s every day.
We are really delighted that we have one of the most talented and dedicated teams in this business today. And with every passing day, we are able to attract more of the best and the brightest in this industry to come and join us in our mission. I feel very good about that.
We fully expect our growth trend to continue, as demand continues to be very buoyant across most of our key segments in the market, whether it's lending, transaction banking, cloud and data centers, or transit payments . We are also seeing significant collaboration with other global

tech majors in terms of co-engineering solutions. We've announced that from time -to-time and bringing these solutions to markets across the globe .
We are sharply focused as always on continuin g to enhance our sales channel, our delivery and as well as R&D capabilities to allow us to capitalize on the significant opportunity in front of us for each of our key business line s. As we approach the end of FY 24, we feel confident in meeting or exceedi ng our guided performance target for the year. Our capability to achieve our goals is driven by strong and disciplined execution in building industry leading offerings through cutting edge , ground up R&D that we are very good at doing as well as through pr oactive M&A, and strategic partnerships where it makes sense.
Our order book now exceeds Rs. 900 Cr, demand and deal pipeline is the largest it's ever been. We have the trust of our clients and our partners. And we are incredibly lucky to have one of the most talented teams in the industry coming into work every day and playing to win. We of course can't control every variable that affects us. But looking at the picture as a whole we feel we are very well positioned to sustain our growth trajectory in the upcoming quarters.
Okay , with that, I'll close, and I look forward to an engaging Q&A. Over to you Aashvi.
Moderator: Thank you very much. We will now begin the question -and-answer session. We have our first question from the line of Vimal Jamnadas G ohil from Alchemy Capital Management . Please go ahead.
Vimal Jamnadas Gohil: My first question would be on mining existing clients and this is regarding the Indian banking and financial services. Now, what I want to understand is , from the suit of products that we have, what is the penetration of each of our products on a per client basis, as in what I want to understand is what is the extent to which we can mine our existing clients. Thanks.
Ashish Rai: Hi Vimal t hanks. So, go

od question. Look , in terms of, I'm not quite sure whether you mentioned India specifically, but look for us we are building out a fairly broad portfolio, which over time should allow us to go for a fairly wide share of the client's wallet especially in the banking and financial ser vices space and we continue to add products as you say we already do lending which is useful to a bank and we are strong on the corporate side. We added a pretty strong LMS recently through the Omni fin acquisition that allows us more to sell. Stronger on the transaction banking side , we added Interact DX as well, so we can increasingly service and go after a much bigger share of wallet . The way the banking software business works typically, you drive some level of growth from the existing base, so for us , on the banking side to grow at about let's say 12 % to 15% you don't really need new logos because you are able to add to the existing base that we have , typically to grow at the 35% , 37% rate that we are growing at right no w you do need to steadily keep on adding new logos. So for us, we believe there is a huge opportunity to sort of for example, go after the lending base in Southeast Asia through

with Interact DX with Omnifin, with t ransaction banking, go with the In dian banks, with a wider portfolio of offerings pretty much the full bouquet as far as India is concerned in our home market, we want to play with the full portfolio here. So that is banking , on the transit side we have built out what we believe is one of the most integrated end -to-end offering stacks in the space. And we will min e the business that we can get pretty much across the spectrum. So we

already in some cases, provide partial solutions, we will expand that out into the full chain. But we have the ability to play for a very large share of the wallet, including paymen t systems and etc where we have applied for licenses and been receiving some positive feedback. So overall, we will, traditionally, it's been a smaller share for us but increasingly, especially in the Indian space we work now with pretty much al l the large clients and we are quite significantly expanding our footprint in pretty much most big banks in India. Hope that helps.
Vimal Jamnadas Gohil: Yes, thanks . And sir on the same thing , if you can just give us some highlights on how much does SaaS contribute to in the overall scheme of things . And how much do licensing revenues contribute to our total revenue?
Ashish Rai: Yes, so I'm assuming by S aaS, you mean software , that is, so we kind of specifically declare that as a reportable number across quarters, and it will go up and down depending on the licenses we are selling in the quarter. But that's roughly, I would say 55 % to 60% revenue is either software or go es around the software very closely tied to it. S aaS specifically, I don' t like the label, because in my head it's just a progression of pricing models. So most large banks , for large submissions still continue to prefer term licenses which we sell. We do sell subscriptions in SaaS where it makes sense. And where it makes sense , we also sell pure consumption based model, so I would not put a label on the software thing, its enterprise license, or its term license or its SaaS or its consumption based, we would depending on the segment that the client will choose the pricing that makes sense to us.
Vimal Jamnadas Gohil: Right . If I may, just one question on profitability, while you guys have come a long way, what is the number that the group is currently comfortable with , where we can balance out growth, as well as margins. So any sense that you can give us

there?
Ashish Rai: So, Vimal I have mentioned this in the previous earning call. So at the moment, our planning number for EBITDA is 21 % to 22 %. And our planning number for PAT is 15 % to 16 %. In the previous calls I said its 23% to 22 % on the EBITDA and 15 % to 16 % on PAT, we feel very comfortable with those numbers right now. At 20+ EBITDA we are already probably among the top few most profitable players in Indian tech. We've been clocking that pretty effectively for the last, I would say, 3-4 years and we intend to keep EBITDA around those levels. Our intention is not to grow th e EBITDA beyond 22% in the short to mid -term and there is a logic for it. Why we say that is the following. As the software business grows, the economics keeps on improving and we see that in our profitability as it comes in. But we are a very R&D driven company , to a very large extent with some very minor small exceptions , we have a policy not to capitalize the

R&D expense. And what is happening is , as the business grows in size, and as the economics improves, we pour the excess back into R&D. So t he R&D number for example, has climbed up from 4-4.5% in the top line 3 years back to almost about 8%+ to the top line right now . So the goal would be , keep the EBITDA steady a t between 20 and 22 we believe that gives us a good profitable model and pour the excess as the economics increase back into the R&D, the logic being very simple, we are going for leadership in large global segments. These segments have very large demand that we can go a fter. But it needs us to continue spending on R&D to keep spinning off new products, you don't see the value of those assets in any accounting repor t because we don't capitalize, but we believe that is what adds the most value to Aurionpro shareholder as w e go forward. So to summarize, 20 % to 22 % on the EBITDA , 15% to 16 % on the PAT, short to medium term that is the plan.
Moderator: Thank you sir. We have our next question from the line of Mr. Ahan from Vimana Capital. Please go ahead.
Ahan: Just had a couple of questions around the order book that you mentioned. You mentioned you have an order book of Rs. 900 Cr. What's the division between the Banking side and the TIG side? And going forward , you just mentioned on the growing R&D. So do you plan to invest in R&D so, how do you plan to expand R&D , just these two questions . Thanks.
Ashish Rai: Hi, Ahan t hanks. So, the order book the split Rs. 900 Cr is roughly split 40% for Banking and FinTech and 60% for TI G. It's been roughly the same split over the quarters the last few times as obviously, the overall order book number has changed, but the mix has actually not changed much. And that's primarily got to do with the new project duration and the size of banking is primarily software driven and shorter duration contracts while the TIG is more execution consumption driven and hence the change. So that roughly mix, 40 for banking and 60 for TIG. R&D, just to f lesh that out a little bit more , we are extremely R&D driven as an organization. So we have been building out the product, where we are on banking software, by and large, the core products, we went through a fresh build over the last three years. So the core build is more or less done. But we will continue t o spend on incremental R&D, especially as we go after newer markets. And there is always a little bit of development to be done around making the

product fit for a specific market. On the Trans it side, we have invested a lot in terms of R&D both on

t he software side as well as on the hardware side. So for example a few months back we announced , we built out our own EMV certified card reader and the associated devices along with the ground up , fresh R&D took us 2.5 years to build it. We are the only firm in India to launch an EMV certified card reader and it significantly improve the economics of the electronic hardware that we use on the Trans it side. So we will continue to spend on R&D to try and become the most efficient player at every single value point when it comes to transit payment side. So, by and large we will remain R&D focused, we are pouring in something to the tune of I would say 8% a little bit above or below in terms of t he R&D spend in the form

and that has climbed up over the years. So three years back, it was probably Rs. 40- 45 Cr. Now it's probably close to Rs. 75-80 Cr. So there's a significant amount of R&D that will keep pouring in into the enterpris e.

Moderator: Thank you. We have our next question from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar: I have got three questions. First of all, what sort of inorganic aspirations we have in terms of growth that we see. Secondly, on the tax rate front , so what sort of tax rate we see, currently it's in the range of 15 %- 20%. And why is our tax rate low and thirdly, on the growth part, how do we see overall company as a whole growing over next two, three year s in terms of CAGR?

Ashish Rai: Okay . So, inorganic aspiration, we have so we've sort of always used M&A, as well as some sort of strategic partnerships as a part of the strategy, the way we approach it is the following. We typically, so when we started our pivot into being a global products and platforms player four years back, roughly three and a half years back, we chose a few segments. For each of those segments we had a blueprint in terms of the solution footprint that we want on those segments to be able to capitalize on the demand that comes from it. Now these are typically segment like for example close loop , open loop transformation on the transit side, the digital transformation on the corporate loan book on the lending side, etc. So w e said, this is where the demand is, this is where I want to be in terms of the solution and the ability to compete and go after the leadership globally in that specific space . We obviously did not have the full footprint that we want in the space to begin with, nor do we have the full footprint right now. So where it makes sense, we will always at every point where we need to do something, there is always a choice whether you want to build or you want to buy , and in some cases it will make sense for us in terms of just the return on capital that we can drive, the time to market that we have and the window that we have for the opportunity, it would make sense for us to go and do M &A and we will go and do that M&A, we announced a couple of those in the past two quarters. And we will continue to every single value point that we want to expand on we will continue to keep asking ourselves, if it's something we want to build, or is there an opportunity for us to go and partner with some other firm and go and acquire that capability. So that is one we have done that in the past, we will continue to do that and we have got a fairly strong track record of acquisitions that we have made.

Our lending solution came from Integro which is a Singapore based company that we bought has done exceptionally well, it's a leader in Asia in that space . Our transit, a large par

t of our
transit stack, or a significant part of our transit stack came out of SC Soft in Singapore that we acquired and Toshi out in India recently . Omni fin, Interact DX acquisitions we have announced are doing very well for us. So we continue to use it, we will continue to use it, where it makes sense for us and the Aurionpro shareholders.

The second part tax rate , sorry so, and where we will acquire it also in addition to the solution footprint, is in some cases market access. So we do want to be a global playe r, we will expand the solution footprint through acquisitions like the ones we have done and I mentioned, we may also decide to do it for market access at some point. So those are the decision points, and we will continue to play it as we go.

Tax rates we typically plan for something of the order of 17 % -18% in terms of tax rate, last quarter it was about 15% or thereabouts. And, what really happens is for us, because we are a global firm. And again, Singapore especially we get a significant amount of tax relief, Dubai as well, we are in tax free zone. So overall it nets out to something in the range of 17 % -18%. But it will go up and down depending on the mix of the business, one between global and India. And second between, various part of glob al and Dubai and Singapore.

We go to third part. So third part was our growth . So, what do we expect in terms of growth going forward over the next 2-3 years ? So this is how we think about growth. We are so far, let's say, last four odd years we've grown at a CAGR of something of the order of 32 % or 33%. We typically use over medium to long term planning horizons at 25 % to 30% growth as the benchmark for our planning. We believe we are going after very large segments where obviously the demand that can be tapped is very significant compared to our current size . We are playing in mostly double digit billion dollar global segments where Aurionpro as a whole is and what, slightly over a billion dollars. So you are a very small player in very large segments. But we also happen to be one of the most competitive players with big ambitions and with an extremely competitive product stack and we happen to be the most efficient producers around right. So we will win share , what does that mean, in terms of growth in the next two to three years, right now from what we see, for pretty much most of our business lines, demand far outstrips what we can do. So we are, I would say, we will continue to plan at let's say 25 % to 30%, growth number. But that doesn't mean every business line is towards that level for some business lines. So like TIG as a whole has been going at 50%+ for the last three years , because there's a significant demand for more transit, as well as the cloud and data center business. So we will continue to maximize what we can get , the opportunity size for each of the segment is just very large. And I will not really guide that far forward, but I will say we will typically plan over short, medium long term in 25 % to 30% of the range.

The one thing to think about is this . So, if it is a pure services business is usually a very simple call of demand and supply , if I can find demand to grow at 50%, I'll typically hire to grow at 50%. The product business tends to be slightly more complex, there's a lot more moving parts and there is a risk to pushing the pedal too hard. Because, ultimately what matters in the business is delivery repu tation, which we have a stellar reputation we intend to keep. And we feel that that 25 % - 30% is the right level to plan to be able to continue delivering client success and continue being share. So yo

u have to play for the long term in this business and not try to sort of maximize the short term. Hope that makes sense.

Moderator: Thank you. We have our next question from the line of Sahil Sharma from Columbus Capital . Please go ahead.

Sahil Sharma: Sir for the last year or so our order book was hover ing around Rs. 800 Cr, and in this quarter it has expanded to Rs. 900 Cr. So we have added orders around Rs. 320 Cr or so this quarter. And this seems to be a step jump from the last quarter, we were adding roughly Rs. 200 Cr or so of orders . So just wanted to understand if you can share what has led to this increase , any kind of qualitative analysis on geography vertical, if possible client name ?

Ashish Rai: Okay, thanks Sahil . I think you made a very good observation on the order book , so you obviously looked at it very closely. So there are several sort of aspects to this we're probably getting into , one is the way we look at our orders. Typically, most of the order book that we declare, is executable I would say +70% of it is exe cutable over the next 12 month s. It's just the nature of business that we do. And also, we typically don't trap long term for example, AMC style numbers in our order books . So we typically add it for the next 12 months and we'll leave it at that. So, what that normally does is , we are adding and consuming at about the same pace. And you are totally right for the last few quarters, it's been almost exactly the same give or take , plus or minus 5% at most. What has been happening to the business, however is the following. One is our product builds for each of the major pieces of software as well as a large number of pieces on the hardware side as well . Our product builds are largely done over the last two, three quarters and we have started selling in sort of a much more significant way than in the past. Second thing and I've mentioned this in the previous earnings calls, we've really expanded our sales channel. It's a much stronger sales channel than let's say three quarters back. Typically, when it comes to sales, productivity, and sales cycles for most part of our business is 12 -18 months. So it takes you three or four quarters to actually see the effects of adding on sale s it doesn't matter what the quality of that sales team is good or bad. Both the results you start seeing only in three or four quarter s and that's now starting to play out. So the pipeline that we have today is significantly larger for lending, for transaction banking, for transit, and for cloud and data center. So those four lines have a much more significant sales pipeline than we have had let's say four quarters back.

Second, since the product builds are largely done and our products are very competitive now, our win rates have also climbed up, at least on the banking software side, and that probably remain steady on transit and BCU , which is already pretty good. So, by and large, you got a bigger pie if you got a better conversion. So that adds to the order book, the last aspect I didn't cover was also the size of the order especially on the banking side that we are going after now is significantly larger than what it used to be. And that is also increasingly reflect ing in the size of the order book on the banking side especially, because there was a size of deals , which we were not going after that, we both have the balance sheet now as well as the EBITDA to go after and the products to go a nd compete well. So we have announced some of those wins in the last quarter, we will announce some more so bigger pipe, higher win rate, the products are

a lot more competitive than we have and a lot of the rebuilding we've done now things are just much m ore settled. So the machine is sort of firing all cylinder.

Sahil Sharma: Great, sir. Sir in my next question, I want ed to understand so we had announced that we might do a fundraise for up to Rs. 650 Cr, sir just wanted to get your thoughts on whether it would significantly dilute existing shareholders. And also, given that this is a large fundraise, what are we planning to do with this amount and what kind of utilization are we planning ?

Ashish Rai: So Sahil you are right, B oard recommended and we obviously filed the part about the fundraise , we don't yet have the shareholder 's approval for it. And as and when, we file the placement documents , etc., you will get all the details around it at the moment, we 're still pending shareholder 's approval on that one . Just a broad picture on the enterprise what I can say is, we do see , so while we have been growing strong, organically, we do see the opportunity to deploy a much larger amount of capital in the enterprise and continue to drive the high return on capital that we have seen over the last, let's say three, four years. So we do see that oppo rtunity as and when the placement document is out you'll have the details.

Sahil Sharma: Great , sir just a last question from my side sir. 90% or so of our revenue is coming from Asian and Pacific region, and roughly 8% from USA. So one thing I was wonder ing is basically, whether in FY 25, 26 27, when can we see the USA revenues ramping up significantly and given that, we are building primarily for Indian and Asian clients right now, in the sense of the costing and all. Still, we have a 20 %, 22% EBITDA margi n despite spending 8% on R&D. So given all of that, when we are cross selling or selling these products to the American clients, can we expect better economics or better margins or would they be roughly similar due to the competitive intensity?

Ashish Rai: Yes, so you have t wo parts to that question right . One is US, it is less than 10% of the firm's revenue at the moment. And the reason for that, apart from the fact that we have not focused on US in the past in a very organized way, the other reason for th at is it is very hard for products to break into. So, obviously as you all know, the service s playe r are pretty big in US, and that's a straightforward arbitrage play , product really needs a lot more in terms of adaption to the market, local references, al l that stuff. So we are being very measured in how we expand. We are certainly focused on it , whether that percentage will change, I don't know in the near term. We want it to change , I'm pretty sure in absolute numbers, you'll see the growth. So that's th e dollar number s we feel positive about being able to grow at a good pace . Whether that percentage itself will change depends on whether the rest of the world slows down , at the moment I don't see that. So, the India side of business is also g rowing rapidly. I mentioned this in the previous calls my aim was to if right now it's 60% of the business in India and 40% is outside of India, my aim in the past was to at least move it to a 50 :50 at least balance it out. And while that has been the amb ition, and we have expanded on all fronts, expand the sales channel, expand the partnerships all that stuff , the challenge for that is India still continues to

grow at a much faster rate. So , the percentage moving is a function of , if US grows 40%, and the rest of the world including India, also grow s at 50 %, the percentage is not going to go up. But absolute terms, we feel very good about it. And we will keep on expanding.

The question on the margins is, look the realizations in US and Europe are certainly higher on an average than realizations in Asia. But the product business in Asia, as you scale also is a fairly profitable business, a lot of the economics gets driven not so much from Asia versus Europe, a lot of the economic is driven by scale. So as software business scale, the ability to extract margins, as well as to give capital back to the enterprise will normally improve. And that's the lever which we use for growth steadily, even while we operate in 90% of Asia . So, to large

extent that one has to keep that point in mind with scale comes economics, it's regardless of the market that you are in when you are selling software especially . US, I would expect realizatio ns are typically 50%, more like -for-like in US and the developed parts of Europe. But then the cost structure would also go up . So you may not in the year that we make progress, or in the first two years that we make progress you may actually not notice the difference in economics, because, the cost st ructure goes up before the economics kicks in. That's my thought, by and large short to medium term I would say expect the firm to hold to its planning guidelines of 20-22% on EBITDA a nd I would not really be looking at improving it.
Moderator: Thank you. We have our next question from the line of Varun Mohanraj from Skaniva Capita l. Please go ahead.
Varun Mohanraj : So in the past we have told that our sales cycle in the banking and financial vertical is close to 18 months. So can you thro w some color on the product life time in this banking space, and also the split in percentage wise for the R&D spend which goes into the newer products and the percentage that goes into the improvisation of older products . Thank you.
Ashish Rai: Okay. So look, the banking software , lifetime typically, I would expect to be in the range of 20 odd years. So the software that we sell , people must understand , we sell lending software, that is a core business for any bank , typically it's sold to large b anks, and they would move to it after a lot of thought . Once you move into it , it's highly mission critical. It's very difficult for a bank to move away if they are live and in production with the system. So with most of our customers, we rarely see attrition, with live customers in the let's say corporate loan origination space. Same thing in the transaction banking software space, these are mission critical systems once the bank is in, they would typically buy it with a mindset to stay with it for a very long time and that's been our experience typically banks don't go away. I would say forever , but if you were to put a number, 15 or 20 years at least .
The other question about new product versus i ncremental improvement . So sort of t ypically, most of the R&D we are doing is in the offering stack s that we have mentioned. So lending, transaction banking, transit, some amount in data center now we are productizing some

offerings and payments as well a little bit of R&D, w e typically don't class small improvements as R&D. So it would normally be a net new product that we are building out. But you can probably consider most of what we do as incremental sort of additiona l product inside the same product segment . So we are not building out like, in a completely random net new area.
But if we build lending software, we will one more additional module of that software, that is what will count as R&D. If we were doing minor i mprovements, or bug fixing and stuff like that, that typically would not be R&D. Similarly, on the hardware side, typically, it would be a net new product that we a re building out, like the card reader I mentioned, or the payment devices or things like tha t. So that's how we really look at R&D. I'm not sure if I answered the question. Probably, I'll go one down , does that make sense or were you asking something else?
Varun Mohanraj : No, I got it. So my second question is regarding the TIG segment. So we have told in the past that we concentrate more on the design aspect of the data centers. And in the last call we were talking about developing a key product in the data center delivery. So , I just wanted to know how are we planning to expand our offerin gs in the data center business or are we sticking to the original design part alone, if you can throw some color on it, and just one follow up on it , TIG we've been historically growing at 50% and this quarter alone it has soften around 28 % to 30%. So any one of you can clarify on it . Thank you.
Ashish Rai: Okay, good. So, look data center, we intend to continue to build on what we have, we have one of the best data center design teams in the country, we have one of the best program management teams, when it comes to program managing the build, and we work with a few strategic partners, that kind of business will go as it is . We did say, Aurionpro being Aurionpro we are looking at productizing some parts of the business, we are already piloting it with some clients. So , at some point in time soon enough we will announce probably something in that space. And the hope is to improve the economics of the business more by productizing certain aspects of it and which is our normal preferred approach to any line of business that we take or any particular day, we look at the value chain as a whole, we look at occupying every point on that value chain, then we look at productizing every point becoming the most efficient producer there , build Tier -1 IP. So , data center space is no different. We will go down the same path. But, at some point in time when we are fully ready we will probably talk about the product ization aspects. I don't want to be giving away our trade secrets on an earnings call. So, the historical growth for TIG. So TIG, you are totally right, we will slow down this quarter in terms of growth . For the first nine months of the year, though we are still North of 50% on TIG. So, it's a very strongly growing business for us. What I me ntioned in the last earnings call, or

the call before is our focus on TIG is going to be to get more selective around certain types of business that we want to do. So we will keep doubling down on the transit side, that's a third of the TIG business, we will keep doubling down on the data center and cloud side, that's kind of the third. But then we do a whole bunch of work around smart city and government work where we will have to become a bit more selective in terms of the business that we want to do to focus on high quality deals where we can definitely add value, as well as run the business in

the way that we really want to run and deliver value there. So , you'll see some level of that reset why now, why not in the past or in the future. Agai n, this is something I mentioned in the previous earnings calls , we were last year , so we always look at the balance between banking software and TIG. In the last year, I was fairly clear we

were focusing more on the product build
and it will take time for, so we were slowing down on banking , so we can focus on the product built to divert capacity there and it will take time for banking to come back into strong growth. So last year, for those who studied it, banking as a business grew, 15 % or 16% there about , TIG as a business grew at 55%. What, I had said for this year is , we would work on bringing the banking growth up. We will work on bringing the TIG growth down and our hope will be to try and get the two to converge, something in the middle or maybe not too far off from there. So, that is what we and I probably mentioned that two or three quarters back. So that's been a part of a plan strategy to get more selective on TIG as we feel more confident about growth on banking. So if you have seen the numbers on banking, banking this quarter grew at 40% + and this is after quite some blocking and tackling, building out of products, building out channel , etc., that we have done over the last four quar ters. So now we feel a lot better about growth on the banking side, and hence we will get more selective on the other side. Overall, TIG would still be a 50% + business this year, or thereabouts at least first nine months , it's 51%.

Moderator: Thank you. We have our next question from the line of Suryansh from BizX Enterprise . Please go ahead.

Suryansh: Sir, my question is that last time in the conference call we talked about the acquisition of hardware capabilities, the company gets opportu nities to new businesses. So what are the developments on those new ventures?

Ashish Rai: Okay, so good question thanks Suryansh. Look hardware for us was always a play into completing the offering so that we can occupy the whole chain then go after some larger deals as we scale up the capacity. Although hardware, it takes a little bit of time to work on a few aspects before you can get very confident around scaling it up . On the electronic hardware side, now we are very confident . We have done the requisite R&D in terms of having our own designs for most of the parts . We have put in place, the manufacturing capacity in Malaysia to go out and scale it, the manufacturing capacity in India to go out and scale certain parts of it. So, right now it takes some time to get the tuning out right, it takes some time to get the design s right , it takes some time to get the capacity in place. We feel very good about where we are, in terms of especially , on the transit side, where we do a bulk of the hardware . Where , the only sort of additional input I would put in there is , just because we have every component of what a transit operator would require, it does not mean we walk into every deal with every single one of those components, we will pick and choose depending on where we want to play. So even though we do the transit gate, we do the validator, we do the card readers, we of course do the SC software and the n we hoping we will have the payment gateway side fully locked down and operational as well very soon. So , we play a lot of components , we will pick a nd

choose depending on the deal, over all the business is scaling very well. We started exporting a lot of the hardware out to US , Central America, Latin America as w ell. Most recently to Australia. So , it scaling pretty nicely , we've taken some time to put the pieces in place, but we feel good about where we are.

Suryansh: Okay. And sir my next question is like in transit bu siness, how we get the business, its tender driven or capabilities or some relationship or like banking partner, how we get that business ?

Ashish Rai:

So, it really varies. So by and large we are not going to do deals where we have to plant a lot of capital so that is pretty clear. So, in India we are getting very selective about the business that we do. We obviously are one of the most dominant players in in India, we've got a whole bunch of sites live, we have got even Nagpur, Noida, Kanpur together with SBI, we got UP transport, Haryana transport , etc., we will collectively keep picking up some deals in India, but we will be very selective on what we take on . Outside of India where there is a situation in which we can go on our own, which necessitate that it's not a CAPEX deal and it's a pure technology head -to-head , we will go on our own . Case in point - California there was an open global RFP. We went on our own and we won, of course with some partnerships with Visa helped us out and et cetera . But we went on our own and we competed and we won . Where there is a large deal, especially where CAPEX is involved, we will go through a partner, Maldives for example, MasterCard was fronting us we, we are the technology provider to MasterCard, Australia as well the same thing. Most of the deals in Central Latin America are again through partners. So it rea lly depends on the nature of the deal, it would vary, the pricing models would vary, and we will typically the only sort of broad guideline I would have is if there is a CAPEX deal, we would not put our capital at risk in the deals, we will go through a pa rtner, whether that's a bank, or it's something like MasterCard. So we announced this, two or three months back this partnership with MasterCard, and we are already in multiple sort of engagements with them. We announced this partnership with Vix, which is another very large global transit player and we are going in some select markets together with them. So , we will continue to do.

Suryansh: Okay, sir and one last question is that , when you said that we don't want to do , like not in that way we don't want to but like, you leave it on the player to basically decide it's SaaS or like licensed deal. What, I was trying to say is that , is it nature of the business or like we don't have those power to influence the customers to get in S aaS or like licensing ?

Ashish Rai: Look, to me S aaS is sort of one of those fashionable words, which people try to make out a whole category out , ultimately what is it that the firm makes , the firm makes software. And we sell that software depending on the right side of pricing for the segmental . We typically sell a lot of lending software to very large banks. These are mission critical systems for large banks, they are much more comfortable buying it around enterprise license, I haven't seen too many large banks buying a collateral management system or a corporate loan origination system in a SaaS mode, the more you go into the small banks and the NBF Cs you will see that , so the way

we do it is we've done S aaS models with the non -banks, we've done S aaS model s with some digital lenders. And for the large banks, we typically go with enterprise license, because that is the nature of the market. Where we see the industry going typically is , we see more and more movement towards consumption led models. Eventually, at the end of the day pretty much a large part of what a bank needs to orchestrate a process can become a simple API call, and we can charge for that on a consumption basis. In many ways we have gone towards it. The reason I don't put down one pri cing model is we don't see the point in trying to really straightjacket our clients. And we don't see the industry competing that way. Most of

the large enterprise
financial technology players use Enterprise license models. Most of the small financial soft ware players use S aaS models . We sort of straddle the spectrum. So we will be across , enterprise licenses , we will be across S aaS, and we will be across as the consumption based models sort of become more prominent we will be across that as well.

Moderator: Thank you, sir. Ladies and gentlemen, that was the last question of the day. I now hand the conference over to Mr. Ashish Rai for closing comments. Thank you and over to you sir .

Ashish Rai: Thank you. So thanks, everyone for joining the call. We continue to execute the way we say will execute , we continue to deliver what we said we will deliver . We will stay focused on trying to capitalize on the demand in front of us. As I said right now, the demand far outstrips what we can do in the market. So the focus for us would be to keep on increasing our capacity to really be out there in more markets, service the clients and as well as continue to scale the organization for the bigger and bigger scales that we get to. So that's the priority for us. I look forward to seeing you in the next call. Thank you.

Moderator: On behalf of Aurionpro Solutions Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jun 2024

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May 21, 2024
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Script Code: AURIONPRO

Sub: Transcript of earning call held on May 15, 2024 for the Q4 & FY 24.
Dear Sir/Madam,

In accordance with Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed transcript of the earning call held on May 15 , 2024 for the Q4 & of FY 2023-24.

Kindly take the above informati on on record and confirm compliance.

Thanking you,

Yours faithfully

For Aurionpro Solutions Limited

Ninad Kelkar
Company Secretar y

Encl: as above

"Aurionpro Solutions Limited
Q4 & FY 24 Earnings Conference Call"

May 15 , 2024

MANAGEMENT : MR. ASHISH RAI – CEO & VICE CHAIRMAN
MR. VIPUL PARMAR – CHIEF FINANCIAL OFFICER
MR. NINAD KELKAR – COMPANY SECRETARY

MODERATOR : MS. AASHVI SHAH – ADFACTORS PR – INVESTOR RELATIONS

Aurionpro Solutions Limited
Q4 FY24 Earnings Conference Call
May 15, 2024

Moderator: Ladies and gentlemen, good day and welcome to the investor call of Aurionpro Solutions Limited to discuss the Q4 and FY 24 Results.
As a reminder, all participants' line will be in listen -only mode and there will be an oppor tunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call please signal an operator by pressing "*" then "0" on your touch tone phone.
Please note , that this conference is being recorded. I now hand the conference over to Ms . Aashvi Shah from Adfactors PR, Inves tor Relations. Thank you and over to you, ma 'am.
Aashvi Shah: Thank you. Good afternoon everyone. On behalf of the company, I would like to welcome you all to the Earnings Conference Call for Q 4 & FY24.
Today, on this call we have with us from the Management Mr. Ashish Rai – Vice Chairman and CEO, Mr. Vipul Parmar – Chief Financial Officer, Mr. Ninad Kelkar – Company Secretary.
We will begin the call with brief opening remarks from the Management followed by a Q&A session. Please note that certain statements made during this call may be forward -looking in nature. Such forward -looking statements are subject to certain risks and uncertainties that could cause the actual results or projections to differ materially from those statements. Aurionpro Solut ions will not be in any way responsible for any actions taken based on such statements and undertakes no obligation to publicly update these forward -looking statements.
I would like to now hand over the call to Mr. Ashish Rai for his opening remarks. Thank you and over to you, sir.
Ashish Rai: Thanks Aashvi . Good afternoon everyone. And welcome to this Earnings Call for Q4 and Full Year 2 4. I'm sure by now you all have received the investor deck and I hope you had an opportunity to review it. Our full year performance came in at the high end of our growth guidance of 35% marking another milestone in our journey to build out significant global products and platforms player. It 's the third consecutive year that we grew the business in excess of 30% and this re markable achievement really is the result of the dedication, the work , the resilience of the team that 's joined us in this journey as well as increasing effectiveness of our strategic game plan. The growth we have experienced was helped to a large extent by a

secular uptick observed across most of our businesses, underscoring both the strength as well as the diversity of our portfolio.
To recap the performance a bit FY 24 full year revenue stood at Rs.887 crore, which is a 35% year -on-year growth, and EBITDA stood at Rs.193 crores which is 33% year -on-year growth. EBITDA margins for the full year stood at 21.8 %. PAT stood at Rs.143 crore , which is a growth of 40% year -on-year, PAT margins for the full year came in at 16.1 % so slightly above the guidance . Every number came in at or slightly ahead of the high end of our guidance range. I believe this will set us up very well to continue our growth trajectory into the new financial year.
I'm happy to share that the Board authorized issuan ce of bonus shares at a ratio of 1:1 alongside the dividend payout of INR 2.5 per equity share , this is post bonus . So, this marks a significant milestone as we doubled our dividend payout this year, reflecting we believe our commitment to delivering value to our shareholders. We are quite pleased to amongst the

businesses highlight the significant traction that we have observed across the offerings in banking and FinTech space. We have transitioned, as I have mentioned in the previous earnings call from the phase of rebuilding the portfolio into moving aggressively to capitalize on the strong demand for our offerings. The growth in this segment, especially in the second half of the year, is a direct result of the strategic investments that we have been ma king in building new products , in expanding the sales channel, imposing key partnerships with global FinTech vendors within the wider ecosystem.
Some of the key wins in the banking and FinTech segment include the State Bank of India, which was highly soug ht of the India 's largest commercial bank for the license implementation and support of iCashpro+ , our next generation cash management and transaction banking platform. This order was valued close to Rs.100 crore as we disclosed . Also, recently we signed a multi -million dollar partnership with a very prominent US FinTech giant, paving the way for significant growth in the US market as well as globally for us. We kicked off this relationship with initial work orders of about $5 million t o be executed largely within this financial year.
During the quarter, we also had a first successful deployment of our product at a large bank

through the strategic partnership with Finastra . These are significant proof points of the effectiveness of our strategy to partner with other global FinTech majors that we have talked about in the previous earnings calls. And I strongly believe , we will start seeing the impact of our investments in these partnerships within this financial year.

The growth in the TIG segment also remains strong with a transit payment segment demonstrating very promising trends. Our strategic partnerships with MasterCard, and with Vix are expected to increase quite significantly order book as well as pipeline, providing a further proo f point of the uniqueness and success of our partnership strategy. The key wins in this segment includes some key strategic order wins in TCL hybrid cloud space that we have

disclose d and a significant order win from Government of Haryana, which covers the issuance of 5 million open loop cards. That is quite significant and that transaction can establish Aurionpro as one of India 's leading provider's open loop and NCMC cards.

In addition to the organic growth initiatives, we have strategically pursued key acquisitions. To enhance our offerings , address specific gap diversity blueprint , our recent acquisition in the AI space allows us to combine Aurionpro portfolio of industry leading enterprise software, with probably one of the most mature ente rprise AI platforms that are tailored to the needs of banks and insurers. This move will allow us to make a significant play in shaping the adoption of AI in banks and insurers globally , both directly as well as through our ecosystem partnerships that we h ave talked about.

While we take a moment to acknowledge the team 's remarkable accomplishments, we will continue to remain sharply focused on driving the product building agenda, and focus on scaling every aspect of the organization to capitalize on these very significant opportunities in front of each of our businesses.

Finally, we extend our sincere gratitude to employees , customers, partners and shareholders for their continued support and contribution to our success. We expect to con tinue our growth momentum in FY 25, plan to deliver a planned revenue growth of between 30 % and 35%. And we will keep EBITDA and PAT margins at similar levels EBITDA between 20 % and 22 % and PAT between 15 % and 16 %. So, those are the plann ed numbers for FY 25. With that, I will close and I look forward to an engaging Q&A. Over to you Aashvi.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Vimal Gohil from Alchemy Capital Mana gement. Please go ahead.

Vimal Gohil: Ashish m y first question was on the latest acquisition that we have made , Arya.ai if you can just highlight something more on was this driven by some of our existing customers , do we have existing orders from our from customers that 's point number one there. The second point is , how should we think about the existing management at Arya.ai . Will they be with us once we have sort of bought the 100% stake or do we plan to buy by the entire 100% as and when we go forward and what is the management 's plan over there . And lastly on Arya.ai , what drove valuations , if we talk about Rs. 20 crore revenue But we paid around Rs. 135 crores to that. So, for the 67% stake, so what drove these valuations for us , if you can highlight that, thanks.

Ashish Rai: Hi, Vimal thanks, great question. So, look it's just the overall flavor on what we are trying to do with Arya.ai before I get into the specifics, I strongly believe and as many of us on the call probably believe , we are today going through probably one of the most fundamental platform shifts this industry has seen. So, of course, on one side you have all the investments and all the hype around gen AI and the LLM s and the foundation models and, and that 's the game that some will play an that will probably all of it converts to the same place or there are one or two

large players or a few large players in the space. That is one end of the market , there 's obviously a lot of investments going into the infrastruc ture side of the market. But we have always been strong believers that any technology as it matures, the ultimate value creation happens on the application layer. That is the layer where large businesses, large enterprises are running their mission critica l applications , to run their business processes where they actually make money. That is where the bulk of the value creation happens. That is where the bulk of the value capture happens as a technology provider . We have always been very strong. We have built out deep strength in terms of building of mission critical enterprise applications. Arya.ai has been sharply focused on building out, products , platform, extremely mature AI assets, for the last 10 years focused specifically on the banking and ins urance space. And the effort we are on is to bring together a very mature offering around AI ML together with the enterprise workflows that our clients actually use, and make a play for every point on the workflow at some point has to be AI augmented, or run through fully autonomous agent, or have AI assisted human learning it whichever way we bring these trends together to create a very unique value adding enterprise AI offering that can go out to banks and insurers globally . We feel very strongly about the opportunity, we feel very strongly about the credentials that we carry into the space to build it out. So, that's the whole sort of rationale behind the acquisition.

Coming to your specific questions. Yes, we have been working with Arya. ai for the last several quarters again from existing customers. So, we were already into existing deals that we won over the last six months with them where Arya.ai had a component going into our offering overall. So, yes, it does go out to some existing c ustomers. We believe once we are done with the buildin

g of the enterprise AI framework we will be able to take what we have to , one to our existing client base, as well as to the wider ecosystem of FinTech partnerships that we have built up ove r time, because the problem that we are trying to solve for Aurionpro is the same problem that every FinTech vendor in the world is trying to solve for themselves. So, we have some value to create there. So, that is one , existing management of Arya.ai at the moment, as you would have seen mostly we have bought out all the VC side investors in that transaction , the management continues to hold. We believe both Vinay and Dixit are probably amongst the , you can count on your fingers, the number of act ual deep AI experts out there who have been focused on the financial industry for the last decade. So, they are very skilled, very rare and very committed to and the team that comes in very committed to continuing to build what we said so we have got a perfect alignment of vision, at least the way I see it between me and Vinay and our management team and their's . So, that is very crucial for us to do that.

The final point about valuations. Look, the business has been growing very strongly. Over the last three years, it went from Rs. 3 crore to Rs.8 crore to Rs.22 crore , and this year we have visibility into a very strong growth that was one , on the core business. Second is , we have been in two significant transactions with them where again, as I said, Arya.ai was already a partner. So, there is a value from having Arya being a part of Aurionpro family there because those are also quite material revenue numbers overall. So , from a Aurionpro shareholder standpoint, we

believe the valuation is extremely compelling in terms of what it can deliver this financial year and the next. So, it's actually , we got very comfortable around that valuation. And as I said, the management team hasn 't really diluted materially at all in the transaction. It 's mostly the investors who were quite pleased to pass the baton on to us. That probably more or less, gives you the .

Vimal Gohil: Just one follow up , Ashish if I may, let us index your number of customers to 100. What is your plan to sort of integrate their products , any timeline that you can offer in terms of, how many customers can you readily sort of integrate Arya.ai products by, next two years or three years?

Ashish Rai: To our products, I would say, we are anywhere between 50 % and 90% right, so I can 't imagine, look we are not pivoting, but we are sort of forcing a very strong AI first strategy across our entire enterprise application sta ck. So, over the next couple of years, you will get to see pretty much every Aurionpro application with AI ML models, either working alongside or embedded deep inside the application stack. So, we would basically go 100% on it , but the real impact is not just from that , that is obviously a significant upside. But we believe the real impact is the impact we can make on the industry. We don 't see mature FSI focused enterprise AI offerings globally today, there is a lot of toy applications , there 's a lot of peripheral apps going on. There 's a lot of people talking a lot about Gen AI and all the stuff, which is all useful stuff. But , the value will get created where businesses run their enterprise workflows and that is where the value gets create d. We don 't see good answers to it , so we believe this can be a very significant play for a very significant price.

Vimal Gohil: Understood. And just one question on the APAC performance, anything to read into it. AP AC probably we did about Rs. 50 crore of revenue versus almost Rs.75 crore

odd in Q3. W as there any one time project there in APAC last quarter, which is probably not there this quarte r? How should we think about that performance , and also if you can comment on US as well. Thanks.

Ashish Rai: So, look APAC , by and large, the way to look at the number is , we do have our lending business primarily based out of APAC, so even when it sells globally, the revenue gets represented as APAC r evenue we had some material license transactions that happened in Q3. Overall, the business continues to grow fairly strongly, I don 't think there is a big sort of change , the number of existing accounts keeps on growing , the number the revenue streams are all constant, but you will see, there was this transaction with the large FinTech vendor that we talked about some part of it was licensing traveling from Singapore, into the US entity. So , that would create a little bit of a skew around the number but by and large, there is no material change to the structure of the APAC business or the growth.

Moderator: Thank you. The next question is from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Podda r: Sir just one quick question on this recent acquisition, so what sort of addition it can have in our top line and bottom line over the next two to three years?

Ashish Rai: So, Deepak like I was telling the immediate impact, we expect the business to grow very strongly this year that's probably a double -digit growth sort of addition to the top line. But I don't think that and over the next couple of years, we do expect the business to keep growing. So, one side of the business is the AI framework , the second side of business is the pre trained model, where you sell out as A PI calls which are transaction driven and practically most of the insurance industry in India uses that, so as the volumes grow, that growth will come in as well. So, over the next couple of years, just organically we expect the business to be growing above the enterprise growth levels for Aurionpro , that is the business standalone. But the real sort of upside for the shareholders and for the enterprise will come in with our abil ity to launch new products in new markets, and that, honestly is not a plan ned number. I believe the current organic growth number justifies the acquisition, the real upside from the new market, new product strategy, we will probably take a couple of quart ers to do the building that we need to do and then come back with a concrete number.

Deepak Poddar: Okay . But just a ballpark number in terms of, will it be possible for you to give in terms of rupees , crores how much it can add, in terms of revenue will t hat be a n easy thing for you to share basically at this point in time?

Ashish Rai: It will continue to grow, I would say materially higher number than Aurionpro itself is growing , Aurionpro itself is growing at 35%. So , that is probably what I can tell you at this day .

Deepak Poddar: Will continue to grow at a rate which is higher than Aurionpro?

Ashish Rai: Yes, m aterially higher.

Deepak Poddar: And what would be , I'm not aware of this number, what would be its last ye ar revenue and bottom line ?

Ashish Rai: Rs. 22 crore .

Deepak Poddar: And bottom line ?

Ashish Rai: Bottom line, it 's a very high EBITDA business. So , EBITDA levels are probably, I would say at least 8 to 10 points above Aurionpro .

Deepak Poddar: 8 to 10 percentage points, so maybe in the range of 30 %, 32%, somewhere ?

Ashish Rai: Yes, there about.

Deepak Poddar: Okay, fair enough. An d secondly, I just want ed to understand are we on lookout for more acquisitions that can meaningfull y add to our revenue . So, what would be the thought process there?

Ashish Rai: So, thought process there is fairly straightforward and I have totally explained this in the past. So, there are few things going on, we have clearly defined spaces in which we operate, which we have been very transparent about the segments that we are operating in, we have a strategic blueprint for each of those segments, whether it 's lending, transaction banking, payments, transit, so we have got a sort of strategic blueprint in that space which is sort of a product /market, overall map and we have got a number of gaps in that blueprint. So, where we find an opportunity to plug a gap in that blueprint, we will make an acquisition, I 'm assuming it makes sense for us from a , the only lens that matters is , is it value adding to the Aurionpro shareholder or not. And at a certain level of value, it makes sense. We don 't have much FOMO when it comes to deal making. So, for all, we may not pull the trigger for a long time , but if we find the right opportunity to plug a blueprint, we will do the deal. We 've done three acquisitions in the last six months. It's not really a n indicator of how prolific we intend to be, it just happens to be that we had a set of very good promoters walk in our door and say we want to join you, we want to build a global business, and we think Aurionpro is doing something good , so let 's join together and it ma de sense to us. So, that is broadly how we think about it, I do see us doing more of it , because every time you expand it 's a buy versus build . So, we don 't normally acquire , for revenue we get very interested in acquiring for tech because if there 's a clear gap, and someone has already done a good job of it, it does speed up the time to market for us. And we can load it up on the channel we have , on the partnerships we have and create value for everyone, including the business we acqui re. So , that's essentially how we are we looking at it.

Moderator: Thank you sir. The next question is from the line of Ahan from Vimana Capital. Please go ahead.

Ahan: Just had two questions. First one, how do you think the data center space is shaping up given that you all are catering to that industry ? And the second question is just based on what type of opportunities do you see in the data center space to go after , whether it 's global over in India, any acquisitions that you are thinking of in that space that could further enhance sort of

offerings, so if you could share some colors on those please?
Ashish Rai: Yes. So, data center is one of those spaces where there is significantly more demand than there is supply at the moment. So, of course from a demand standpoint it is just extremely strong. The business has been growing, like I said in the past has been growin g at higher than 50% levels for us now for three years in a row. So, it has obviously been strongly growing. For us, data center today is where, for example, transit was a few years back . It's still largely a skill led , services led business. For us, we re ally extract value out of any segment when we start productizing and start driving the nonlinear economics that comes with products. So, we have been working on some of those areas in the data center side which you will see coming out

over the next few qua rters, we have already been piloting some products in a few place

s. And
we will come and announce when we feel we are ready. That is what will drive non-linear economics , from a demand standpoint, we don 't see the demand slowing down over the next few years, there 's just a massive amount of investment s going into the space. We keep blending the design and the program , managing the bill side of it to make sure that the business for us continues to deliver margins at the enterprise ask level or slightly below the enterprise ask level but not significantly below. So, that is essentially how it is , it will continue to grow well, we will keep working on some R&D to try and create some non-linear economic side of the business . We also are selectively exploring global opportunities , but really, there is only so much we can take on that business has been growing at a steering pace. And we really need to calibrate the growth to make sure we are spending enough time on R&D, we are doing a good job of the deliveries, et cetera . So, that's where we are over the next few years , it will grow quite strongly.
Ahan: Thank you for that. And just wanted to understand what are the services in the data cent er side that is the most in demand for Aurionpro sort of focus?
Ashish Rai: So, for us what we specialize in is , we have got one of the strongest data center design teams in the country , we really specialize on a lot of complex work like, we would have ann ounced over the last few months, the Tier IV data center s, that 's a very, very complex project that we were working on with RBI, the IIT Mumbai High Performance Computing Cente r, the IIT Guwahati High Performance Computing Center, etc. So, that really specialized complex work is sort of the sweet spot for us. And then we work very closely with a few strategic partners where Iron Mountain -Webwerks , the main one that we have disclosed in the past. So, for us that is where the sweet spot is doing the complex design work, and program managing the build where it makes sense for us to work together with a strat egic partner like Iron Mountain and Webwerks.
Moderator: Thank you. The next question is from the line of Anmol Garg from DAM Capital . Please go ahead.
Anmol Garg: Actually, had a couple of things that I wanted to ask . Firstly, of th e 30% to 35 % growth guidance that you are stating , does it include any assumptions from the revenue that we might obtain on any future acquisitions ? And if you can indicate how much should be the organic growth out of this 30% to 3 5%?
Ashish Rai: Yes, so thanks A nmol it's a good question. Look, we are not really planning any of the 30 % to 35% growth coming from any new acquisitions into the enterprise. If new acquisitions happen, we will see what impact it has on model. Typically, we have not done very large acquisitions, with any materiality in terms of revenue g rowth. So , I can 't imagine we will, if we get into that sort of situation we will come back and message it back to the investors on what it means. So, right now, this is all organic. Because if you look at the previous set of acquisitions we did last

year, just to answer your question about the impact , the overall full year impact is about 3% to 4% from those acquisition s so it 's helpful but it 's not like really material from our overall revenue growth standpoint anyways. So, we acquire for Tech, we acqui re for complementarity of the product stack and then we acquire because with the sales channel that we built up , with the brand that we built up , with the existing account base that we built up and the partnership that we built up, we are able to grow that business many fold from what we have acquired , a

nd that 's where the value gets created. So, that's how we are doing. I hope that answers the question, but there 's nothing basically there 's zero plan from new acquisitions in the 30 % to 35%.
Anmol G arg: Sure Ashish thanks for the elaborate answer. Secondly, I have a book -keeping sort of question, so basically see this year, then our receivable days have gone up by 10 odd days s o just want ed

to understand that as we are signing more and more government contracts would this number keep on increasing or we are targeting that we want to keep our receivable days at a certain level ?

Ashish Rai: So, look the receivable days went up for some very specific reasons. So, we are not signing a lot more new government work that actually as a percentage of the business is gone down quite significantly. But we have some existing projects which have been running where , actually there are three spec ific ones, the combined impact is about 14 days, where we more or less addressed it, but because of elections, because of the temporary sort of situation there, the payments got held up for some reason which will hopefully get cleared out , if not this quarter by early next quarter. So, those are the three sort of ones cumulative impact about 14 odd days, 13 or 14 days . The rest of it, the DSO, the problem is when you are growing at 35 %, 40%, and the banking side grew very strongly in Q4, then you are just sending a very large number of bills out the door. And at the end of Q4, there really is a lot that will happen . So, that just automatically pushes the DSO days up . We believe this year , there will be quite a material improvement on that whole situation , one, because the mix of the business is again skewing quite heavily towards banking, in terms of banking just growing a lot faster overall. And then those three specific projects, each of them we have a very specific path to resolving that over the next few months. So , that whole thing will come in that. And hopefully that explains the things , partly . I think the government side of the business has actually shrunk quite materially overall.

Anmol Garg: Sure . And just one last thing going ahead in FY 25, which are the segments that we will be keenly focused on. So, will it be product , services or data center . So, just wanted to understand that where our focus is right now and which segment should we expect to grow the fastest in FY25?

Ashish Rai: Yes, look there is always a competition between the segment 's so like I said, we are making a few large bets, we are not really choosing our favorites between those bets. Th e transformation in the corporate banking space is a significant bet for us , digital lending is a significant bet for us. All the transaction banking deals that you saw with, State B ank of India

and et cetera that we announced , that is a huge growth driver overall. Transit, we expect to continue to grow, the closed loop to open lo op payment transformation is a global phenomenon. And, we just find partnerships with MasterCard, Vix, et cetera , which will still play out , the partnership with the FinTech vendors that we said will still play out this year. So , I would say, the transform ation of corporate banking, corporate lending , transaction banking, the transit payments, smarti fication of mobility, the data center side, each of them will grow quite significantly , the only side of the business which will probably not grow as fast is the government side of the work that we sort of we were talking about earlier. So , I can 't imagine any of those segments not growing honestly. So, it would be hard for me to say that this is what would be at a segmen

t level, we do feel banking will, so as you have seen in the last three years , sorry before FY24 , in the last couple of years TIG was growing very strongly. And , I had been very clear that we had an intention of slowing down TIG, strategically to focus on margin economics and focus o n productization there and banking was growing slowly, because we were focusing banking on the product building part. Now the roles have sort of switched banking, the product build outs are to a large extent done. So, banking will grow a lot more strongl y, as you saw in Q3, and Q4 and you will see in FY 25, and TIG side we will sort of focus more on driving the unit economics and, and sort of productizing a lot more, et cetera . So, that may be a little bit slower. But all segments, I can 't see any segment which doesn 't have a strong demand right now and ultimately, we just need to rise to fulfill that demand .

Moderator: Thank you. The next question is from the line of Amarjeet from Kolumbus Capital . Please go ahead.

Amarjeet: Just a small check, how did we measure the effectiveness of our investment in the R&D space , I remember you are quoting a figure for about Rs. 100 crore per annum which is being invested, which is more than about 14 % to 16% of your cost. So, are there any measures that we are using to see the effectiveness , number of patents, number of products or anything else that you are using?

Ashish Rai: Yes, okay good . Thanks , Amarjeet good question. Look for us , so just to get the small stuff out first, so patents and all are probably significant to a few of our businesses, but by and large, most of the value that we create is around building of products. There are some research oriented businesses where patents and all do matter t o some extent but again, the sort of monetization there is something that we still need to figure out. So, the primary way we monetize our R&D is through the products and selling those products into the end client and for us. So, typically, we start with a business plan around the buil d at a 25% return on capital as the bar which we look at investments for and then over time, we will measure . The problem with the R&D spend is the returns actually come in over a period of time. So, there are two types of R&D we are doing , one is the incremental build on the product when you are adapting it to a new market or building a new module and that typically will pay for itself in 18 months, or maybe even less than that if it's sort of incremental . But the b ig bills, it 's sort of like the big payments platform we are building out and all, the return comes in over a period of time. So,

we hold ourselves to 25% and when we are approving a business plan, and then we progressively see that the business unit is delivering against it, but it takes five, six years sometimes for that return to probably play out overall . Does that answer your question?

Amarjeet: Yes, it kind of explains how you are thinking about it and approaching it. I have no further questions or no further points to make at this stage. I just wanted to think through as to how we are processing , what is the thought process on guiding investments into specific areas of the business. So , I get it the business plan 25%, et cetera.

Ashish Rai: Thank yo u for that. It 's a good question , maybe in the next call or something we will probably come up with a few, a little bit formal sort of update around it. Thank you for the question.

Moderator: Thank you. The next question is from the line of Karthik Iyer who is an Individual Investor. Please go ahead.

Karthik Iyer: Hi, Ashish congrats on a great set

of numbers. I just had one question like, considering the remarkable growth and performance that we have had over the last couple of years , I was just wondering we are guiding also for about 30% growth next year do we have the bandwidth , human capital to push forward with these numbers or how are we thinking about, executing in the human capital aspect of the performance?

Ashish Rai: Yes, Karthik that's a brilliant question. It 's probably the one thing that is maybe the top of the priority list when we really look at our thinking or personally for me as well. So, look, that is the primary challenge , over the last three years we have grown at 34 %, 35% three years back, it was Rs.375 crore business. Now, it 's a Rs.900 crore business clocking through the run rate of Rs. 1000 Cr+ now. So, it is not straightforward to scale that quickly especially in a products business, because there 's just a lot of moving parts. We have been very deliberate around growing capability in terms of both the management team as well as the, smaller parts in terms of technical tooling and components and all to really see that we scale. The way we are looking at managing it and the way we are managing it is to not grow too fast. Purely from a demand standpoint, if you really press the pedal, I would say there is an opportunity to get other 10 points of growth or 15 points of growth. The pr oblem is , it will come at an enormous risk to delivery, reputation and ability to scale. So, we feel 30% to 35% is the level at which we can scale safely. I do take your point, and we are not going to , if we do feel that even at that level, it's going to g et hard, then probably we will look at slowing down. Right now how we have managed slowing down is , because we have built out a portfolio for precisely this reason. Even three years back when we came out and articulated our vision 2030 and the strategy, we said we are building out a portfolio because we want to keep the ability to slow down parts of the portfolio while we retool and build out the parts. So, the way we are managing it right now is last two years banking was g rowing at 15% why, because we are readying banking for scale , we were building the products out, we are building the management team and we are getting ready , now banking is going at 40%, 50%. But we spent two years at 15% to get ready for that .

TIG was growing at 50%+ for two years, this year it grew 33 %. And, we may slow it down further if we need to. So , the way we are looking at managing it is , let's play on the portfolio , let us look at it business -by-business and let 's see where we feel we need to slow down a bit to get to scale and where we want to press the pedal. So , I don 't know whether it 's that obvious, but we not pressing the pedal on all the businesses at the same time. So , that's how we are managing it . I would not understate the risk that you are mentioning . Scaling up for our increased scale across all aspects of the organization is the number one agenda for us to manage this growth. We have also made huge investments in fixed assets , in capacity , in technology layer . Over the last 12 months built out a completely brand-new technology layer in the organization across ERP , CRM, HR systems, all that stuff as well , the operating framework as well. So, we are trying to be very deliberate in terms of choosing the growth rates we want to grow at. We are trying to be very de liberate in choosing which businesses to grow when, and at the same time attract a lot of talent from the global majors . We have people join us from a lot of global FinTech majors as you woul d have seen probably with some o

f the announcements and all and really build out a team . Over the last 12 months, we have added I would say probably 600 to 700 additional people , that's almost 30 %, 35% additional capacity as well. So , we will continue to be very cautious, we will continue to really pu t the delivery reputation of Aurionpro first always in this business that is everything. And we will continue to sort of play the portfolio to see that we scale safely.

Moderator: Thank you . The next question is from the line of Vimal Jamnadas Gohil from Alchemy Capital Management Private Limited . Please go ahead.

Vimal Gohil: So, Ashis h a lot has been happening around Indian banks, Indian banking space around the regulatory pushback and a lot of these head of banks have come out in the open , talking of significant increase in the technology spending. Do we sense an opportunity here , maybe wallet share gains , better products for some of the CTOs of these banks , how should we see this particular trend playing out for us?

Ashish Rai: Look, it's playing out very well. So, even this year just the increase in the order book, if you look at it, banking side has increased quite significantly, for the first time in a long time it's outpaced TIG, and a lot of it is coming from the Indian banking space. This is the first time we signed a Rs.100-crore + deal with State Bank of India, for example we signed with other public sector banks, as well as the largest private sector bank. So , we see a massi ve momentum in terms of tech -spend in India . We see a very significant opportunity in terms of transformation at a bank level when it comes to the technology stack. So, there is a lot of transformation, so is the right word you will need on the overall tech layer within banks when it comes to not just the digital side of things, but being able to use the modern AI assets, being able to really meet the regulatory mandates, and make sure everything is integrated and working well. So , we sen se a huge opportunity , we have had seen a significant uptick this year. Last year , in terms of the order book coming in from the Indian bank and this year, the size of the pipeline itself is just very significant. So, we expect it to grow very strong ly for us . We are launching some new

offerings as well in the Indian market, I don 't want to announce that ahead of the curve, but we will have some additional offerings coming out to the Indian banking space over the next , I would say quarter or so.

Vimal Gohil: So, are you saying that this is business as usual for us this entire regulatory overhaul that is , the pushback that is happening for some of these large Indian banks , was the growth in spen d already there for us. And this is nothing, this may not be incremental ?

Ashish Rai: No, it's both. So, there was already an uptick in growth coming in. So, transaction banking for example we will close the number of deals, just the number of pipeline deals has tripled probably over the last 12 months. So, there was already growth in spend happening , part of it could be because of the need for technology upgrade and stuff. And we sense some newer opportunities, which we are launching some specific offering against over the next couple of quarters. So , it's also incremental but we were seeing that growth from the Indian banking space anyways.

Vimal Gohil: Understood . And just on your comment on , banking will now grow strong , TIG will probably grow at a slower pace, but will improve on margins, given the fact that a lot of our licenses are coming from BFSI. This, statement mathematically tells me that margins should see an uptick , but your guidance clearly

suggests that margin s should be in the range . What is the offset here?

Ashish Rai: Offset largely is the R&D. The size of the opportunity in front of us Vimal is just so large . It's just really each of the major segments we have are staring at, kind of the size of opportunities we have not seen before. But that combined with the fact that we are super competitive right now, from a product standpoint, we are probably one of the most cost efficient players around. And we have a very grown up sales channel now going out and competing for deals, all of that together really increases the size of opportunity and we really need to build against it. So, at the moment, this is not the time to optimize margins , this is the time to maximize how much we can capitalize on the opportunities in front of us. A nd probably in two years ' time or three years ' time we will start looking at optimizing margins . So yes the delta for the next two, three years, I would expect would be R&D.

Moderator: Thank you. As there are no further questions, I now hand the confere nce over to Mr. Ashish Rai for closing comments.

Ashish Rai: Hi, thank you. So, thanks, everyone for joining this call. We had, like we discussed the three consecutive years of +30% growth, I don 't believe there are many tech players in India or Asia or even globally who of our scale, who have been growing that fast. The focus that we would have is to continue that growth, we will put more capital to use as we have in terms of really maximizing tha t growth. And the only lens that we will use for it is whether or not that use of capital makes sense for the Aurionpro shareholder. The size of opportunity in front of us is large , the beam has been executing very well. We feel very good about where we are from a talent standpoint, from the management team standpoint, and we believe strongly in what we are building out. So, you will see more from us next quarter. Thank you for joining this call .

Moderator: On behalf of Aurionpro Solutions Limited, that concludes this conference. Thank you for joining us and you may not disconnect your line s.

Call: Jul 2024

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Sub: Transcript of earning call held on July 25, 2024 for the Q1 & FY 25.
Dear Sir/Madam,

In accordance with Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed transcript of the earning call held on July 25, 2024 for the Q1 & of FY 2024-25.

Kindly take the above information on record and co nfirm compliance.

Thanking you,

Yours faithfully

For Aurionpro Solutions Limited

Ninad Kelkar
Company Secretar y

Encl: as above

“Aurionpro Solutions Limited
Q1 FY25 Earnings Conference Call”

July 25th, 2024

MANAGEMENT : MR. ASHISH RAI – CEO & VICE CHAIRMAN
MR. VIPUL PARMAR – CHIEF FINANCIAL OFFICER
MR. NINAD KELKAR – COMPANY SECRETARY

MODERATOR : MS. AASHVI SHAH – ADFACTORS PR – INVESTOR RELATIONS

Aurionpro Solutions Limited
Q1 FY25 Earnings Conference Call
July 25, 2024

Moderator: Ladies and gentlemen , good day and welcome to the Investor Call of Aurionpro Solutions Limited to discuss the Q1 FY25 Results .
As a reminder, all participant line s will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing "*" then "0" on your touchtone phone. Please note, that this conference is being recorded.
I now hand the conference over to Ms. Aashvi Shah from Adfacto rs PR, Investor s Relation. Thank you and over to you, ma'am.
Aashvi Shah: Thank you Anjali . Good afternoon everyone. On behalf of the company, I welcome you all to our Earnings Conference Call for Q 1 FY25.
Today, on this call we have with us from the Mana gement Mr. Ashish Rai – Vice Chairman and CEO, Mr. Vipul Parmar – Chief Financial Officer, Mr. Ninad Kelkar – Company Secretary.
We will begin the call with brief opening remarks from the Management followed by a Q&A session. Please note that certain statements made during this call may be forward -looking in nature. Such forward -looking statements are subject to certain risks and uncertainties that could cause the actual results or projections to differ materially from those statements. Aurionpro Solut ions will not be in any way responsible for any actions taken based on such statements and undertakes no obligation to publicly update these forward -looking statements.
I would now like to hand over the call to Mr. Ashish Rai for his opening remarks. Thank you and over to you, sir.
Ashish Rai: Thanks Aashvi . Good afternoon everyone and welcome to this earnings call for Q1 FY25. I am sure by now you have all received the investor deck and I hope you had an opportunity to review it.
Our journey to delive r sustained growth ha ve started off for this year on a strong note. Our revenue for Q1 has grown by 32% , on the back of continued momentum across both our major business segments. EBITDA has increased by 27% and PAT has grown by 41 %, which is a good

reflection of our enhanced operational efficiency and very effective execution on the order book by the wider team.
These results underscore our commitment to building out a global products and platforms player that delivers sustainable value for all our s takeholders. To recap the performance a bit , revenue for the quarter stood at Rs. 262 Cr, a significant increase Y-o-Y. PAT for Q1 FY25 stood at Rs. 45 Cr and PAT margins for the quarter stood at 17%. This growth is driven by significant expansion in demand for our core offerings, as well as our expanding sales channel and the strategic partnerships that we forged with the large global technology players. All our ke y businesses continue to demonstrate strong momentum. We have secured several new deals in the banking sector. And the pipeline buildup in banking is especially very promising. Technology Innovation Group (TIG) is expected to experience a positive growth a s well , driven by advancements in the smart transit and data center operations businesses, which will get offset a bit by a planned slowdown in the Smart City segment.
Q1 was quite eventful for us from a strategic perspective as well, we concluded a succe ssful QIP and it's very encouraging to attract prominent global and Indian institutions to join us in this mission to create a global tech player rooted in

India. We concluded the acquisition of
Arya .AI, which is again a game changer for our strategy to create a global enterprise AI player that is sharply focused on creating the next generation of AI offerings for banks and insurers globally. We are also pleased to announce that we have received final authorization from RBI on the online payment aggregators. This sets us up very well to deliver the next generation of payment solutions , integrated tightly with several of Aurionpro's offerings already in the market.
With our strong performance in Q1, and a positive outlook for the upcoming quarters, we feel we are well placed to deliver on our guided growth of 30 % to 35% on revenue and earnings. We will continue to explore inorganic options that complement our existing capabilities or enhance our presence in chosen markets to positively impact the lo nger term growth potential for Aurionpro . Finally, we extend our sincere gratitude to our employees, our customers,

partners and shareholders for their continued support and contribution to this success.
With that, I will close. And , I look forward to an e ngaging Q&A. Over to you Aashvi.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Anmol Garg from DAM Capital. Please go ahead.
Anmol Garg: I have two questions. Firstly, if you can indicate what are the key growth levers in the TIG business from here on. So , as I understand data center business has been becoming bigger, within TIG, so what is the growth potential do you see over here and does it extend beyond Webwerks as well , which has been prominent ly there for you?

Ashish Rai: Mr. Anmol thanks for the question. So, look, TIG is basically three slices. So, we have got the transit payments smart mobility side of the business, you have got the data center side of the business, and then you have got the smart cities piece. The growth drivers basically exist for us at the moment on the transit business, that is growing very strongly. A lot of that growth is happening outside of India. So, US is looking good , Central America, Latin America is looking good , Australia is looking good , we just entered UK, the MasterCard partnership is looking good , the Vix partnership is looking good. So , we see a very strong pipeline on the transit side, it will certainly grow very strongly this year. The data center is the second sort of big driver in that space. And you are right, to some extent we will be limited by the strategic relationship that we h ave had. And it was sort of a chosen strategy for us so this is one of those spaces where there is significant demand. But, we have tried to be selective in terms of business, the business has still grown at more than 50% per year for the last three odd ye ars, it will continue to grow at about the same rate. Webwerks , the reason we focused on the strategic partnership is because the demand set is very wide and you really need to focus on business that we can execute against and where we can maintain our mar gins side, but we will expand the scope of partnerships we have in that space. We have been selectively also taking up more complex projects. So, for example we announced from time to time, IIT Guwahati, IIT Mumbai High Performance Compute, the design what we built with RBI, tier four data center. So, we continue to pick up complex projects, which are high margin, and we will expand the scope of partnerships in that business . The question is how much can you scale the delivery capacity, I think let’s say between 30% to 50% , it’s sort of the reasonable growth for that business. We will

not try to grow faster than that.
Anmol Garg: Sure, thanks Ashish that is helpful. Secondly, want to understand that , we have recently got authorization from RBI to operate as a payment aggregator through AuroPay . So, I want to understand what kind of business opportunity are we looking at for AuroPay, are we also looking at B2C kind of business o r this would be totally B2B in nature?
Ashish Rai: So, Anmol the focus for us is to one , build a business which is good from a margin profile standpoint. So , going down the totally commoditized B2C is not our preferred choice. So, we will try to first build a business around spaces that we are strong in , transit payments where we own the contract end-to-end, this becomes a fantastic lever for margin expansion in those businesses because we have been using third party gateways anyway. B2B where we have software presence , combining software with payments capability, is a significant way to build out high margin businesses. So, whether it ’s on the lending side, whether it's on additional statement side that we have with the Interact DX guys , or whether it is with the Aurobees , the SME S aaS side . So, our focus would be to go where you can create a combined proposition which creates a lot of value, and hence allows you to capture a lot of value. If you go down for a pure vanilla B2C scale game, I don't think that really fits with the economic profile that Aurionpro expects from a business side. So, we will go with a combination of software with

payments, and then go down that embedded payments. Well, having said that, even transit is B2C so we would be in B2C spaces, just not go down the plain vanilla gateway kind of business.
Anmol Garg: Sure. And lastly, just want to understand that we have indicated our order book of Rs. 1000 + Cr. So, if I understand so what can be the average duration of this order book, and how would it be split between TIG and banking?
Ashish Rai: So, order book in terms of duration, it is roughly, I would say 85 % to 90% of the order bo ok will consume over 18 months . I would say 70 odd percent would come over 12 months. So, that's how we count order book because we don't count the long -term AMC s and all in our order book . So, those come anyways in the overall run rate , so 70 odd percent would come in 12 , 18 you will get up to 90% . Right now, the split is most 65 :35 in terms of the order book with TIG something in the range of 65% and banking something in the range of 35%.

Moderator: Thank you. The next question is from the line o f Ahan from Vimana Capital. Please go ahead.
Ahan: Just wanted to understand if the order book has expanded from when we disclosed it last one closing of FY24 a nd if so, going forward where do we see the growth coming in for orders, whether it's been the TIG sector or banking . Thanks.
Ashish Rai: Hey Ahan , hi thanks. So, look order book has probably slightly expanded from where we publish it twice a year , we will publish it again in September. Typically, the way Aurionpro order book behaves, we try not to include the long term multi year revenue streams, because according to us, you end up showing a 5000 , 6000 crore order book which no one knows what it is. So, for us order book is usually where we have sold projects, and there is an immediate license, or in a year sort of stream to come in. So, for us, what happens is typically in a quarter, if you will consume let's say, about 250 to 270 crore from the order book, and you will probably add at about the same pace. So, the net addition to the or der book ends up being quite small in quarter . Q1 is a seasonally slow quarter for us f

rom an execution standpoint, because Q4 is where a lot of these got done. But , I would say slightly more, we will publish it again in Q2, at which time it should be le t's say up somewhere between 5% and 15%, depending on what we pick up. But typically, it would move 8% to 10% at most in a quarter. So , right now, I assume low single digit addition.
Ahan: Thank you for that. And just another qui ck question on the data center side, within the TIG group, how much of the data center make up in that vertical?
Ashish Rai: So, data center roughly a third of the business, but it's growing quite fast and smart cities side has sort of shrunk a bit and will shrink again. So, I would say the way to look at it is , last year 's number each of the three slices is roughly a third each, so transit, data centers, smart cities, as well. And this year, data center will grow stronger than the TIG overall growth number , transit will go stronger than the TIG overall growth number and smart cities will shrink, will not grow.

So, that's how the number would probably be , so overall the mix would be slightly more than 1/3rd by the time you finish this year.
Moderator: Thank you. The next question is from the line of Vivek Gautam from GS Investment. Please go ahead.
Vivek Gautam: Now sir, my question is about the, yours is a sort of a acquisition DNA strategy you follow, you acquire lot of companies, and then you let go of them if they don't perform and believe that smart city and cyber security sort of a thing was of that strategy only. So, how is this strategy, A S S oftware going on , Mr. Mitra company 's which you acquired in Noida and what about Arya.AI, how much time do you give and what is the opportunity size for these acquisitions?
Ashish Rai: Okay . Hey Vivek Hi, thank you. Look, so AS, which was the Omnifin product that we acquired, that is clearly was a gap in our strategic blueprint for the lending space. So, lending as you know, we have been very strong on the corporate loan origination side , collateral management, limit management, et cetera , we did not have an offering on the retail SME digital lending space. That's where AS 's Omnifin fits in . Abhijeet and team are probably the most sensational team of lending specialists in the country today . They are building out a fantastic product, that is going to be a huge growth driver for us . Lending as a whole is going to be a huge growth driver for us and Omnifin sort of fits a very, very key piece for us. It was a business; it is still a business which is largely centered in India. So, we service 35 , 37 odd digital lenders, non -bank lenders . Our goal is to make the business global so we have been very actively working on expanding the business in Southeast Asia and the Middle East, we hope to see some success, or be able to report some success this year, we feel confident about it, and that business will grow. So , that business will grow probably faster than the enterprise growth numbers we have for the next few years , so we feel good about it.
Arya.ai is a different kettle of fish. So, we are very, very positive on creating a large enterprise AI offering , a global enterprise AI offering that can play specifically in the banking and insurance spaces. We feel , while the world is busy doing Gen AI and building out foundation models, and there may be some winners to that game, there may be no winners to that game, we don't know how that game pans out. We believe when a technology matures, a bulk of the value is created on the application layer. So, obviously the foundation models and algorithms

play on the foundational layer, you got a whole bunch of firms investing in their tooling around AI, which is also fine. But at the application level, we see a massive space to create value and that's how Aurionpro goes and captures value. We have always been very good on enterprise applications, we say how about we bring very mature AI capabilities to play together with the enterprise applications. This is where serious banks , serious insurers are using our mission critical applications to run their businesses. This is where they will get the value from using AI on their business processes. And that will allow Aurionpro to really capture that value. So, it's a very big bet for us , we believe Arya.ai is probably the best team in the country, probably where in the world in terms of focusing specifically on banking and insurance use cases. And

we intend to become a very significant global player when it comes to building enterprise AI for banking and insurance world across the globe. That is the play , time will tell how successful we get but we feel very strongly about it. We feel very good about our strategy. We are not huge fans of calling API calls to LLMs and calling it AI. So, we will invest h eavily in the space and we will see how successful we get .

Vivek Gautam: The A S S oftware thing was mostly nuclear software; they have been having direct the requisite experience and track record also I believe in block chain ?

Ashish Rai: Vivek, sorry c an you go again , your line is not clear.

Vivek Gautam: What I was saying is that, A S Software team that’s nuclear software with quite a good track record and experience they have I believe you require .

Ashish Rai: No, I agree completely . Abhijeet and team are probably the strongest team of lending tech specialists in the country today. It's a very , very strong setup . We enhance that with the strengths that Aurionpro brings in and we let Omnifin become a global product . We feel very strongly about it, w e feel we have got just the right team to execute on this.

Vivek Gautam: Next is opportunity size for their products in Southeast Asia and in the banking domain. A lot of banks in Indonesia and Myanmar, the re is one order which you got, I believe. So , there is still a lot of potential there, our penetration level is already at a substantial level, and similar query about the opportunity size for our rest of the vertical especially data center and transit in India and abroad. Thank you.

Ashish Rai: Look, opportunity size for each of these spaces is pretty large. So, look opportunity size for each of the spaces is pretty large , lending, we see a lot of spend coming in, across the market that we play in, which is mostly in Asia. And as the world has, gone into a high interest rate environment, there is even more interesting sort of transformation projects on the lending book. So, we see actually serious demand coming in, then the other way to think about it is Asia is probably at best 8% to 10% of the overall technology spend, as we expand into Europe and US, the size of the opportunity becomes bigger. So , our focus should be on building out the best possible product and become the most competitive player . I feel the segment is large enough for us to grow very strongly for very long period of time. Same thing with data center, like you mentioned there is 10s of billions of dollars coming into the space. There are all sorts of reports which will tell you, it's a trillion -dollar opportun ity over the next five, seven years same thing with AI. So , these are all large spaces , we are a fairly small player in that space. So , I see no problem in th

e headroom for growth, or ability to grow very strongly for several years into this space, t he focus should be on building the best possible product that we can. And that's what we focused on.

Moderator: Thank you. The next question is from the line of Abhishek Shah from Ambit . Please go ahead .

Abhishek Shah: Just a couple of questions. So, firstly, in your previous call also you had mentioned regarding Arya.AI. And on this call, also regarding the payments license , these are likely to be more products that we would use as possibly margin accretive in the long term. So, just wanted to get a sense on, how we can think about our margin going forward. And secondly, on the revenue side, you mentioned that you don't include the recovering revenue streams in your order book. So, some sense on what that number is , and how sticky and what kind of gr owth we can expect on that as well ? Thank you.

Ashish Rai: Hi Abhishek . Thanks. So, look , Arya. AI and payment license , these will be margin accretive. But at the moment, these are investment driven, long term growth drivers. So , I would not really build in, Arya. AI maybe, but I would not really build in, an uptick on the margin side. Our R&D, as you know, by and large is expense d out. And the size of the R&D budget keeps on increasing every year. So , the game plan is for the next two, three years to not focus on margin expansion. I don't think this is the time for Aurionpro to do it. I believe the best way for us to add value to shareholders is to keep increasing the size of the R&D, and keep increasi ng the number of products which we sort of bring out into the market and keep the margins where they are. So, that is again, but having said that, in a quarter or two we can go up or down 1% and we don't calibrate our margin s so finely , but I would not expect margins to really go up because we are not trying to do it . But, overall over the long run we do believe software businesses are capable of driving, 40 %, 45%, 50% EBITDA that's pretty common in the industry, not even at a very larg e

scale at a fairly modest scale. So, as the businesses mature and the growth rate slowed down, we do expect EBITDA numbers to start ramping up but this is not the time to do it.
Second , order book, for us, the reason we don't count these is typically especially on the software side of our business, the revenue streams are very sticky. So, we rarely lose a customer once they start using Aurionpro software. So, the maintenance streams are typically for life which in software business is anywhere from 15 , 20, 25 years . Changing software is a very painful task for anyone, especially when you send to sell to regulated spaces such as banking and insurance side. So, that's the reason we l ook at it that way. We believe the AMC streams are more or less permanent. And we keep adding them to the plan every year, depending on what it is , they are typically indexed. So , your stream would probably go up between, let's say, 3.5% to 4.5% or so every year because of being indexed to CPI and stuff like that. What is the quantum of these streams , I would say . Actually we have not published that number, so I will probably not do that right now. But maybe we will consider sort of publishing that at a future state , let me take that away.
Moderator: Thank you. The next question is from the line of Ankush Agarwal from Surge Capital. Please go ahead.
Ankush Agarwal: So, sir t ypically in a software products business, a long with R&D, sales and marketing is another cost pocket, which requires a sort of upfront inves

tment. And though R&D is something that
we have talked a lot about, can you talk a little bit about the quantum of investments in terms

of percentage of reven ue that we are putting into sales and marketing . How this number has moved over say last couple of years and how do you see this number going ahead , like R&D we are continuing to increase the budget based on the operating leverage that we are getting. So, similar kind of thing is it playing out in the sales and marketing side as well?
Ashish Rai: Yes, so look sales and marketing we have steadily up ped the spen d. We are not huge fans of software businesses claiming you need to spend 20% on marketing and s ales for us to keep growing. So, we typically keep it below 5%. For us, having said that the channel is now twice the size it was last year. So, we keep scaling the channel basically, more or less in line with the plan ned growth numbers . The way to look at and I will tell you why we are not big fans of saying, sales and marketing will take 15% or 20% , I know that's very accepted in the S aaS space and software space. And the reason for that is the following. We sell mission critical applic ation s to regulated institutions who rarely change software. So, this is not like some S aaS, CRM software where switching cost is low, the switching cost for Aurionpro software is very, very high. You are talking a large bank using a corporate loan origina tion system, you look at like banks in Singapore have used us for 15 years, 17 years, 20 years . The cost of switching is fairly high. So, if you don't sell a single new logo, you will probably still grow the banking software business between 12 % and 1 5%. Obviously, to grow at 60%, like we are growing right now, we need to sell new logos, and that needs a sales channel and that we invest in, we believe that number would probably stay in the range of 5% or less than that, more or less as we grow if that chang es, I will come back and talk about it. But at the moment, we don't feel the need to really scale that number. Having said that, the sales channel is growing, it's grown over the last two years, it's basically doubled over the last year, it's gone up by 50%, marketing spend for us is very low at the moment and this year, we intend to step that up. So, that will go up a bit.
Ankush Agarwal: Okay. Second question that I wanted to ask. So, in terms of the strategy of licensing our IP to some of the larger prod ucts company globally, so, at the current stage it makes a lot of sense given that some of these players has a large presence in terms of the developed market and in terms of the logos that they have, but in the future as and when Aurionpro itself becomes a larger company, how do we see this kind of partnership evolve, wherein maybe in future Aurionpro itself might be capable of going directly to this geographies and to this type of clientele. So, if you can talk about how do you expect this kind of partner ship evolve and does this context allow you to say in the future, go and compete directly with these companies for the same kind of product that we are currently licensing ?
Ashish Rai: Yes, so great question Ankush you framed it quite well. Look at the mom ent we are $140, $150 million player in most spaces are $ 10, $20, $30, $50 billion spaces , $100 billion spaces right , so you are very small player in very, very large spaces, you are a very competitive player with a very deep product, but you are still fairly small player . So, for us this is the time to go out and expand in the product business , in the software business, it's not so straightforward to really

go into US and Europe. So , I will give you CLO as an example we compete with, we compete with FIS, we compete with Moody's , we compete with the same global players in Asia and our win rates are typically the best in the market, we win more than we lose. It does not mean that when I go to the US and I compete with the same players, our win rates are go ing to be same most likely our win rates are going to be very, very bad. And the reason for that is , you need local , it's not a product depth issue , it's a local references issue , it's a local adaptation issue . So, you need time to build that up , it takes three, four, five, six years after initial successes to build up a scale software business, in banking and insurance space. So, that is one , the second thing is we have a slightly different way of thinking about how to add value to the bank. We believe the banking tech world especially, has been very proprietary tech driven , has been very prop tech driven. And typically vendors have not worked together with each other to look at value, we believe that is changing. We believe that needs to change given how c omplex the tech landscape in banks has got. So, the combined created value of us with a Finastra or us with the Murex or any of our partner is a lot more than the individual some of the parts . So, we strongly believe in the open ecosystem way of creating value for the banks. And we are heavy components of it and we feel it will go that way. What happens if the world does not go that way, these are not marriages for life. We can always walk away, we are not giving up our IP in these cases, we keep our IP, we license the clients mostly directly . So, you can always walk away. It's not , if it's n o longer a win -win, but at the moment, it is a solid win -win, we feel over a period of time it will remain a solid win -win. We don't just do that on the banking side, on the transaction, if you look at it, we collaborate with MasterCard, we collaborate with Vix. So, we feel strongly about the ecosystem value of vendors working together to create solutions to their strengths . If it doesn't go that way , these are not marriages for life, we have our IP, we will at least have differences in the market. And we can build on that. So, that's the way I look at it.
Ankush Agarwal: Got it. Just a last clarification , so the next one year AMC would be included in our order book, the next 12 months ?
Ashish Rai: So, it's not included in the order book, but it's included in the guidance.
Ankush Agarwal: So, it's not included in order books. So, order book is basically anything new, that we are going to do ?
Ashish Rai: Correct.
Moderator: Thank you. The next question is from the line of Rishab Ga ng from Sacheti F amily Office. Please go ahead.
Rishab Ga ng: Sir, so I want ed to understand, so I understand that we provide services related to data centers, and consulting and project management related services . I wanted to understand how much of the CAPEX pile , related to building a data center from scratch , is attributable to services

provided by us. So, wanted to ask a few questions on that, what is the average cost of a data center , 1 MW data center, and how does it refer across tier 3 and tier 4. And how much of such a CAPEX is attributable to our design services and project management services ?
Ashish Rai: So, it's a tough question depending on the scale of this you are

going to bring up, if you want
to get into detail question, probably best get through investor relations and we can sit down with the D C team. Look broadly what we capture is only a share of what the spend that goes into a data center. So, we look at designing of those data centers , will handhold especially if it is a strategic partner through that proces s, we will program manage the build of the DC s, we will not get into the EPC side, and all that stuff that goes into it. So, we probably end up , if it would depend so some of our contracts are pure design contracts, so then you are picking up a few percent . Most of the contracts is include design and program management thing you are getting to probably 30 %, 35%, 40% of the spend. But you would never get to the 100% of the spend overall. So, that's how it works but it really varies depending on the scale, depending on the purpose, and depending on what exactly you are setting up.
Rishab Ga ng: So, let's say Rs. 40 Cr we spent for 1 MW , so how much would that be excluding real estate and how much of that remaining , I assume 40% of that let say 30%, 40% of that can be attributable to your services?
Ashish Rai: We can capture, let's say 40 % to 50% but we will not capture that in every contract, it depends on the nature of the contract.
Rishab Ga ng: Okay . And can you give some break up of this 40%, 50%, how much would be of design services and how much of project management services?
Ashish Rai: It would really vary project to project.
Rishab Ga ng: Best estimates?
Ashish Rai: I would say still design would be like a few percent, rest of it is if you are really doing the heavy

work. And a lot of our contracts are actually pure design contracts so in which case, obviously all of it is designed, but typically you are saying, singl e digit percent .
Rishab Garg: For the design one, okay.
Ashish Rai: Yes, of the design side, and the rest of it then depends on the scale of what you take on . So, it varies project -by-project. But , we will at most capture, so the way to look at it is this, we are speaking on only what we can realistically deliver , because the space is such that if you tomorrow wanted to start going at 200%, you can find a path to growing at 200%. But we will not have the delivery capacity to do it. So, we are taking on projects to the extent that, we can sort of reliably scale and deliver on them.

Rishab Ga ng: Also, like do you have any recurring services , when data center is built and operating or is it only as a game of CAPEX ?
Ashish Rai: So the way to look at data center is this , data center is today where transit was for us four years or five years back . It's by and large a services business where we have very little IP, but the reason we get into a space is because we feel str ongly about the demand in the space. And then we feel once we have understood the whole space through the services offering, we will productize and drive the non -linear economics. So, we are only now getting ready with the first set of products in the data center space. For example, we are close to launching properly an edge compute product, which is a fully productize product . We also have some services in terms of really being able to run operations on those . So at the moment, the recurring side is low. And most of it is services. But, if it pans out the same way transit panned out for us, in the next couple of years we will move to a very heavily productize d stuff which will be significantly recurring, but then it' s still initial product launches in pilot stages. So , we are probably 12 , 18 months away from those going mainstream.
R

ishab Ga ng: Got it. Just last question, so what is the team size for data center related and what is our capabilities on how much data center business we can do , in terms of units of data center or in terms of revenue?
Ashish Rai: Look, we can probably keep on going at 40 %, 50% . Right now, it's about a third of the TIG pie. So, probably a couple of Rs. 100 Cr slightly less than that, we can reliably keep on going at 40 %, 50% or at least 30 % to 50% for a fairly long period of time if we wanted to. The reality is , a pure services business ,the reason Aurionpro is cautious scaling it is , the margin profile is not the same as a product ize business. So, we feel good about continuing to scale it at a good growth rate. Right now it's a third of the pie for TIG, you can do the math. That's basically what I will say at this point.
Moderator: Thank you. The next question is from the l ine of Karthik Iyer who is an Individual Investor. Please go ahead.
Karthik Iyer: You touched on data centers and banking software, could you just throw some texture on the state of affairs of the transit business and if you are pursuing any tie ups or acquisitions in that respect?
Ashish Rai: Hi Karthik great question. Thank you. So, look transit for us the focus this year is on consolidating and building on the success we had in terms of building out the strategic partnerships last year, so we are in US, we are investing in quite heavily. We feel good about being able to expand in Mexico which is a very large market, we reported initial win a couple of months back. And we got a strong partnership with the market. Latin America in general, we are in a fe w deals , so that will expand . We announced the partnership with Vix to enter the UK market . We announced the partnership with MasterCard, and we are working on with them

on multiple deals across the world . So, we announced our entry into Australian market as well through a partner. So , we have now done the groundwork of being in the right markets, with the right partners. So, this year is more about doubling down on those partnerships and really monetizing what comes from it. So, we feel very, very g ood about transit internationally growing very well for us. In India, we have been very choosy because we are the only player who probably plays in India, who can really export in a big way. So, we have been focused on the international pi e. India we have been selective, but the engagement we had around the card issuance with Haryana government, we just are very excited about that. And that's a scheme with a meaningful impact but it's very good business as well, the car d insurance piece, so we will see how we can expand on that one as well. So, transit will continue to go strongly. Like I said earlier, TIG we expect transit to grow quite fast , data centers to grow quite fast, and will slow down on the other pieces. So, in transit, the closed loop to open loop movement in the world is probably over the next five, seven, eight years, I would say 90% of the world will move from closed loop to open loop if not more. So , it is a very long runway of demand. We have one of the most integrated end -to-end offe ring stack in the space , we do everything from validators, the hardware side, our own EMV, certified card readers to the AFC software to the ticketing systems , to even the gates. So, we are probably one of the most integrated player in the space , in a space that is going to see huge demand over the next six to eight years. So , we will keep calibrating that growth, but we see very good capability to grow strongly just right across.

Moderator: Thank you. The next question is

f rom the line of Neerav Timbadiya , who is an Individual Investor . Please go ahead.

Neerav Timbadiya: My first question is around Aurobees p latform. So, in the latest budget, government put a lot of emphasis towards MSMEs and I believe the platform is especially designed for them. And I believe we had multiple tie ups with multiple state governments. So, can you give more details on the platform and what kind of opportunity we have around that , do you see that becoming a lar ge contributor or it is still in early stage ?

Ashish Rai: The reason we invested in the platform, and we built it out is because we feel over the long run MSMEs, or SME space in general, one needs a mature tier 1 solution when it comes to digitization, and they need the hand holding and the support. We believe that is a large opportunity over the long run. And not just in India, but across markets and we had the right assets to play in that space. Now with the paym ent license coming in, we get even stronger in the space. So, we feel that there is a long -term opportunity to play having said that, right now from a revenue standpoint, that's not a meaningful contributor. It is still, let's say an R&D project, which is very well thought of and you are right, it was very well appreciated by some state governments and we continue to talk to more. So, right now the focus is on broad basing the platform , broad basing their auction , get a lot of SMEs on the platform and we will use part of the functionality for the B2B payments , supplier payments si de that we are building out with

the payments AuroPay piece . But I would say this is a three to five year play , don't expect a meaningful revenue contribution this year or the next and the reason for that is one, these are spaces which need to be incubated and really scaled. Second, we are not a startup, we don't have the need to show immediate sort of runs on the board and all that stuff. So , we can take our time buildi ng the ecosystem, and then the longer term value would be larger we feel.

Neerav Timbadiya: Okay , thanks for that . My second question is around on the website, on the Aurionpro 's website , in the client ele list, I see some of the largest US banks like JP Morgan Chase, Wells Fargo already in the list. So, what kind of engagements we have with them at this stage?

Ashish Rai: Yes, so it would vary from bank -to-bank . So, we have got relationships with a very large number of globa l banks. The US banks typically , so what happened is, over the last couple of years through some of our partnerships we have expanded in US. We expect this year US to get to let's say a double digit million dollar , more around the mid-teens number which should be a strong growth. And part of it is through our tie ups with the global FinTech majors that we talked about. And then some of it is through our tie ups with the US based FinTechs, who we are supplying our technology stack to . It's still not something big , these are small start s in most cases. But the combined contribution will be big. What do we do for which client unless it was a very large thing, we normally don't talk about it so, I won't want to start getting in there. But US, I expect this year should grow 50 % to 60% for us . A part of that IP is coming from Singapore so I don't know which side of the bucket the revenue fits in. But US would grow strongly for us this year.

Neerav Timbadiya: So, again, just to add to that, so I feel like JPMorgan Chase, Wells Fargo and Citi Bank, as our customers or our clients on the website. So, are we already in there , or are we in the initial stages?

Ashish Rai: We would be d

oing something small here and there, but we are not in there with a major product.

Neerav Timbadiya: Okay. But at this time are we engaged with them or it's too early to say on that?

Ashish Rai: No, so engaged on some services and trying to build something or if we declare something on the website normally there is somebody behind it, but it's not like we sold a big lendi ng product or things like that.

Neerav Timbadiya: Okay. And my last question is on Arya. AI. So, what kind of growth it had in the recent quarter . And, I know you mentioned that it was going like more than 100% for last two years. Now, in this Q1, what kind of growth it had and have we completed the integration with them, so that we can go out and sell or bundle with our products?

Ashish Rai: Yes, so look I will not get into quarterly number declarations that are sub segment level. For the full year, we expect Arya to grow 50 % to 60%. I will leave it at that. The integration side of things is a little bit more interesting . It's fully integrated on the sales channel side. So, we are seeing fantastic conversations across Southeast Asia, Middle East, we participated in some joint events toge ther in Middle East in Southeast Asia. We have started work around integrating the Arya stack with our enterprise applications, which is lending , which is the Integro side, which is the transaction banking side, which is the Omnifin side. So, we have started that is our main play, integrating Arya with our enterprise application. So, that gives us a net revenue levers where we are already present with the client , as well as gives Arya way to operate. And, sales wise we see strong momentum , we expect to grow for the full year that's about what I will say.
Moderator: Thank you . Ladies and gentlemen , I now hand the conference over to Mr. Ashish Rai for closing comments.
Ashish Rai: Okay . So, thank you everyone for joining the call. I hope you got some more color on how the Q1 was and anything else you are interested in. W e are sharply focused on our core strategy which we have been fairly transparent and clear about for the last couple of years. There is not a lot of new changes to that playbo ok. We will stick to the playbook. We will try and execute with discipline. We feel very strongly about the size of opportunity in front of us in each of those spaces. And we will remain focused on executing against those opportunities. Thank you for takin g the time to join this call and I will see you again. Thank you .
Moderator: On behalf of Aurionpro Solutions Limited , that concludes this conference. Thank you for joining us and you may now disconnect your line .

Call: Oct 2024

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28th October, 2024
Sub: Transcript of earning call held on October 22, 2024 for the Q2 & H1 FY 25.
Dear Sir/Madam,
In accordance with Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, enclosed transcript of the earning call held on October 22, 2024 for the Q2 &
H1 of FY 2024-2 5.
Kindly take the above information on record and confirm compliance.
Thanking you,
Yours faithfully
For Aurionpr o Solutions Limited
Ninad Kelkar
Company Secretary
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October 22nd, 2024
MANAGEMENT : MR. ASHISH RAI – GROUP CEO & VICE CHAIRMAN
MR. VIPUL PARMAR – CHIEF FINANCIAL OFFICER
MR. NINAD KELKAR – COMPANY SECRETARY
MODERATOR : MS. AASHVI SHAH – ADFACTORS PR – INVESTOR RELATIONS

Aurionpro Solutions Limited
Q2 & H1 FY25 Earnings Conference Call
October 22, 2024

Moderator: Ladies and gentlemen, good day and welcome to the Investor Call of Aurionpro Solutions Limited to discuss the Q 2 & H1 FY25 Earnings Conference Call .
As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask quest ions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that , this conference is being recorded.
I now hand the conference over to Ms. Aashvi Shah from Adfactors PR, Investor Relation s.
Thank you and over to you, ma'am.
Aashvi Shah: Thank you Neha . Good afternoon everyone. On behalf of the Company , I would like to welcome you all to the Earnings Conference Call for Q 2 & H1 FY25.
Today, on this call we have with us from the Management Mr. Ashish Rai – Vice Chairman and Group CEO, Mr. Vipul Parmar – Chief Financial Officer, and Mr. Ninad Kelkar – Company Secretary.
We will begin the call with brief opening remarks from the Manageme nt followed by a Q&A session.
Please note that certain statements made during this call may be forward -looking in nature.
Such forward -looking statements are subject to certain risks and uncertainties that could cause the actual results or projections to d iffer materially from those statements. Aurionpro Solutions will not be in any way responsible for any actions taken based on such statements and

undertakes no obligation to publicly update these forward -looking statements.
I would now like to hand over th e call to Mr. Ashish Rai for his opening remarks. Thank you and over to you, sir.
Ashish Rai: Thanks Aashvi . Good afternoon everyone, and welcome to this Earnings Call for Q2 & H1 FY25. I am sure by now you have all received the investor deck , and I hope you had an opportunity to review it.

I am very pleased to share the continuing strong performance in Q2 and in H1. We continue to make significant progress in the quarter on our agenda to expand the banking software business to newer markets, as well as to recalibrate parts of the TIG business to focus on better economics, as we have talked about before . Our revenue for Q2 has grown by 32% YoY on the back of continued momentum across businesses , especially on the banking side . EBITDA increased by 23% YoY and PAT grew by 34% YoY which is a great indicator of continued effective execution by the team . Building a scaled up enterprise technology player that delivers value on the global stage will take immense focus on a complex range of factors, and it's wort h appreciating how steadily and methodically the team has continued to make progress across the various aspects of the strategic agenda.
To recap the performance, revenue for the quarter stood at Rs.278 Cr, which is a significant increase on the YoY basis . PAT stood at Rs.46 Cr for Q2 and PAT margins for the quarter stood at 16.4% , which is slightly above the guided range of 15 to 16 %. EBITDA margin for the quarter stood at 20.3% well within the guided range, but down a point from the previous quarter due to a one-off FX loss that we had. This growth is driven by significant expansion in demand for our core offerings, as well as our entry into newer markets where we are increasingly succeeding because of the competitiveness of our product stack.
The most important highli ght of the

first half of the year has been the significant progress our
teams have made on product build outs, as well as new market entries for both Banking as well as TIG. This progress doesn't show up in the quarterly results, but it's probably the most significant determinant of our ability to achieve Aurionpro's Vision 2030, and deliver industry leading returns o n capital for our shareholders. We announced market expansion and deal wins across America s, Southeast Asia, Middle East and Africa, and we feel confident that we will continue to see an acceleration of these based on the strong growth in pipeline and our ability to convert pipeline into deal wins across both the segments .
Banking and Fintech business continues to experience a very strong demand environment, and our win rates have been very good thanks to the competitiveness of our product stack, as well as the increasing effectiveness of our sales and delivery teams . We have especially made very strong progre ss on enabling our enterprise software in Banking with the very mature ML offerings from Arya.AI and that has especially enhanced both our win rates as well as the size of the revenue opportunity for ou r enterprise application stack. The last quarter was also great from the standpoint of industry recognition, with Aurionpro featuring as Global Category Leader across five of Chartis RiskTech Quadrants , as well as featuring strongly on the Global RiskTech 100 Report .
Coming to the TIG business. TIG has been focusing sharply on growth in transit payments and data center space, as well as recalibrating the business on the smart city side for better economics and cash efficiency . We have been talking about this, we have made tremendous prog ress on this and feel great about improving demand and economics on this side of the

business through the rest of the yea r. TIG had a landmark win with Safe City Panvel project, as well as significant wins with strategic partners in data center business, which will set us up very well for a strong second half.
Our focus for rest of the year, going forward will be to stick to the strategy and do more of the same. Continue to invest strongly in R &D to support product build outs, especially around entering ne w markets, where we do need to build out some additional bits on the product to enable them for the newer markets, as well as to AI enable the product stack, as well as focus on execution and cash efficiency in some parts of the business, where we need tighter execution to wind down some projects that have struggled due to lead time that we nee d to build capacity to deliver.
As we look towards the rest of this FY and beyond, we feel confident about our ability to continue to strongly grow the business while investing in building capabilities and offerings that will fuel the long term earnings power for the firm. We are heading into the second half with great momentum, and feel good about delivering our guided growth of +30% and keep earnings margin within th e guided bands . We will continue to explore inorganic options as well

that complement our existing capabilities or enhance our presence in chosen markets to positively impact ou r longer term growth potential.
Finally, we extend our sincere gratitude to our employees, customers, partners and shareholders for their continued support and contribution to our success . With that, I will close, and I look forward to an engaging Q &A. Over to you, Aashvi .
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Vimal Jamnadas Gohil from Alchemy Capital Management . Please go

ahead.
Vimal Jamnadas Goh il: So, my first question was around , on margins. Could you help us or rather, could you take us through various puts and takes of this 152-basis point decline, quarter -on-quarter and even on a YoY basis our margins have slipped to the lower band of our guided range. I do understand that you have given a guided range for the reason, but if you can help us explain the factors that have led to this particular decline, and then I have a follow -up.
Ashi sh Rai: Okay . So, look Vimal, thanks for the question. And you said this in your question itself. I have said this , as the pace at which we are growing it's hard to calibrate EBITDA margin down to a fine point, and that's why we give a range of 20 to 22 . I would say there are significant investments that we are making in terms of supporting the products to expand into newer markets . Also, when you are building a product at rapid speed, even if you have order book to deliver there will be periods where the expense goes a little bit ahead of the revenue, and not to a significant extent, because we are very measured in where we make our investments, that's why we keep the 2% band , expenses will sometimes shoot up . So, we are expanding at a pace that we have never done before. We are entering new markets at a pace we have not

done before. We are doing product build out, especially AI enabling the whole product stack like we have never done before. So, yes, there is a significant uptick in sort of both the head count as well as the expenses that are going in. But even if it's a little bit of lag, there's revenue to back it up. In this specific quarter, we also had a Rs.4 Cr FX loss, which is one-off and that is probably a point hit, or slightly more than a point hit on the EBITDA. But I would really advise you not to read too much into the quarterly EBITDA numbers, because honestly we cannot calibrate down to a fine point. So, sometimes it will go to 23 , sometimes it will come down to 20 but by and large, there is nothing fundamentally changing from one quarter to the next in terms of business economics . That's what I would say to it , I hope that answers the question, but I would really advise you not to read too much on these numbers from one quarter to the next.
Vimal Jamnadas Goh il: Fair enough Ashish , thank you so much. Ashish , the second question was around our balance sheet and cash flow. So, what I notice is that , while the EBITDA growth has been very strong in the first half, hasn't led to generating operating cash. So, we have sort of reported a negative operating cash of Rs.66 Cr in the first half, which is of course led by the receivables and other assets. And I believe this is due to the increase in unbilled receivables. So, if you can take us, how do we sort of u nwind this , how does the full year of FY25 look and how do we make sure that we return back to normalize the c ash generation?
Ashish Rai: Yes, o kay good. So, great question Vimal. So, look, cash flow would be a little bit cyclical for us, and I will probably try and explain the factors. But by and large, the headline story is, when we are growing parts of the business rapidly, the cash conversion will suffer. As the businesses come down to lower growth rates, the cash conversion will get better, that' s too generic a statement, but that is at a headline level what really happens right . In terms of the actual factors that go into the (-Rs. 66 Cr) let me think through those . So, I would say one very large factor is, and I have to be careful, what I can so rt of disclose, but we are in some M &A process, for large global asset , which is kind of a

core sort of process. And there's been deposits that
have been given, it sort of works two ways, either you succeed in which case we probably have an M&A . If you don 't succeed, then the deposit gets returned back. But those sort of add up to the cash that goes out especially we need to show up on other assets or something. We do also have the unbilled part that you are talking about. It's not just unbilled, it's truly unbilled as well as receivables. But basically, we have had very large wins on the banking side , especially where we have had projects like State Bank of India , we have had wi ns in Saudi Arabia. We have had a very large global FinTech vendor where we built out new products which they are selling. These are actually pretty significant successes. But what really happens as we are ramping into these projects is that we are making progress we are accruing revenues in some cases we would voice those out, but bulk of the conversion will happen as we take these clients live. In the case of these large projects, most of these are within the year. And that's why I say, you would see some cyclicality between now and then. But by December, January, some of these large projects would be live. We would collect the cash before March. So , that will normalize , the

inorganic process as well will normalize. We have had some also around the ESOP schemes that we rolled out to attract the right kind of talent and motivate our employees. We have had some outflow in terms of loans to advances to employees to enable them to on the E SOP schemes . So, that's also a material number. So, there's quite a few of these, but the headline story is , there will be some level of cyclicality in terms of cash flow conversion when we are going at rapid pace, especially parts of the businesses which are going at rapid pace. So, banking now is growing at +50%. So, we wil l start large projects, and the larger the project, the more the sort of mismatch that's likely to happen. We had the same problem when TIG was growing rapidly in the last couple of years at +50%. So, we slowed TIG down this year to focus more on cash efficiency, and that it will start showing up in the second half of the year. So , I fully expect by the time we get to March, a lot of these conversions would have happened and you 'll see the result. But again, when we look at balance sheet from one quarter to the next, you will see some of these variances going out. I hope that answers the question, but I am happy to take a follow up on this.

Vimal Jamnadas Goh il: Yes, sure. If I may Ashish , so what you are saying is, by the end of FY 25 we should be returning to positive OCF, and assuming I am not putting words in your mouth, but assuming that the growth rate continues to be strong in FY26, we should not see this kind of cyclicality or rather, lumpiness in cash flows, because TIG would clearly be growing lesser as compared to your banking business , correct me if I am wrong here .

Ashish Rai: True , so you are right, and that is the reason and then we have been very look, I have been totally transparent on this, why we have slowed down parts of the business, why we are accelerating other parts of the business, banking, other than the few large projects we have started off, tends to generally be fairly cash efficient, and we typically finish off most projects within 12 months. So, you would normally be very reasonably efficient. So, yes, by the time you finish FY 25 it will be a different picture. But the second thing is also the mix of the b usinesses we continue to focus on it . What we need to really understand as managers, maybe even as Aurionpro sha

reholders is, businesses which go through rapid growth would not have the same predictability of cash efficiency as a mature business g rowing at 5% or 7% would and in the product business, it sort of becomes a bit more susceptible to the timeline of the project s going live. But having said that, I am very confident as we go from one financial year to the next, we will get much strong er-and-stronger as we go, because the bottom line is, banking software is fundamentally a business with very good economics, and it's growing at 50% . So, some of the cyclicality aside, by the time we finish the year, a lot of these projects will be l ive. B y the time we get into FY 26 we will be much stronger on the balance sheet t han FY 25. So, it will keep growing from there.

Moderator: Thank you. The next question is from the line of Karthik Iyer an Individual Investor. Please go ahead.

Karthik Iyer: I just had a couple of questions regarding TIG. Congrats on the Panvel order win. I just wanted to know what is the timeline for execution of that project, and what would it be, if you could throw some light on the margins we would be making on that ?

Ashish Rai: Hi Karthik , so look TIG as I said, we maybe give a little bit of background on this. On the smart city side, we deliberately slowed down the business over the last year to focus on identifying the levers to getting better economics on that side. We ob viously built up some fantastic IP we built up some fantastic capabilities on that side, but we wanted to be very careful as we get that business back to growth. Safe City Panvel w e carefully selected as a business wit h the right sort of parameters where w e bring enough value to the table for us to get the economics right. So, that is , again having said that we are still calibrating that side of business. But that is what our plan is, and hence the project, we will get most of the delivery done between 16 t o 18 months , beyond the 12 months we will get most of the deliveries done. It is a multi year project, but I would say on the outside at about 18 months we will get most of the deliveries done.

Karthik Iyer: And if you could throw any light on the margin for us?

Ashish Rai: Margin are kind of on this. So , I don't think we can specifically highlight the deal margins but it's high double -digits.

Karthik Iyer: Okay. And if you could throw some light on, is there any fresh order wins with regard to transit and anything that the order book for the data center space ?

Ashish Rai: Okay . So, look transit side we have had significant traction in America s. We have announced large wins in Mexico, which we are delivering against. We have had success in Costa Rica Ecuador , etc. We continue to double down on those. We are also now seeing some new progress in terms of closed loop to open loop movement in the US. We are involved in a bunch of POCs which we hope will translate into large scale sort of action on part of the government participants and the transit operators. So, we hope to see over the next few quarters a lot more action in the US market itself. Of course, California continues we are live in more and more cities and that progresses, but we feel the market is ready for more action in other states, states other than California. And there's a bunch of POCs going out. We are also now on the transit side, sort of seriously getting into Europe, both largely in terms of our partnerships with other larger players, so more as part of consortia than going directly ourselves. But there is a lot more traction there, and we have some very strong, well progressed pipeline opportunities in Asia, in let's say Southea

st Asia, in a few countries . So, again, those s hould come to push over the next couple of quarters. So, transit has very strong traction ou tside of India. In India, we hav e had success with one of the metro projects, but we are being very measured in the kind of transit business we take on in India , globally the expansion would be a lot stronger. The question around the data center space, we have had sort of significant order wins from Iron Mountain and Web werks, which we have publicly disclosed , that business continues to

grow. We continue t o work on some on the R&D side in that business to hopefully be able to get some productized offerings out. But it's a long haul , it's complex to really get the productization right in that space, but we are working through it. The order wins are there so this year data center business should grow at a very good number but then it's been growing at that rate for the last few years, so it will continue to expand.

Moderator: Thank you. The next question is from the line of Ahan from Vimana Capital . Please go ahead.

Ahan Rajgor : Yeah, Ashish, congrats on a fantastic set of results and growing the business. Just one or two questions. One was on the order book. Could you please like give a breakup of the order book of INR 1,100 Cr between the TIG and the banking and fintech? And what sort of goes within the smart transit, data centers, and give a breakup of that?

Ashish Rai: Hi, Ahan. Thank you. So or der book right now is in the range of, I would say, INR 1,150 Cr, give or take, right. And the split between the banking and the TIG business is roughly 40:60. I think banking we picked up a lot of new orders, but we've also been executing against those orders pretty rapidly, right. So, I think, it's still a larger share on the TIG order book, also thanks to some of the newer orders we picked up on both the data center space as well as Safe City Panvel and all, right. So that is where we are. Banking cont inues to pick up a higher volume of smaller ticket size orders and continues to sort of execute on those

Ahan Rajgor : Thank you . And across both the businesses, could you share a rough margin range , I know the blended one target guidance that we have got is for 22% around that range. But what would it be for individual segments?

Ashish Rai: There is a reason we don't get into segment wise margins because, this thing is one, the smaller you make the scale, the lesser you get the price stability in terms of margins . Having said, and that's why we keep it at a macro level. But having said that, I would say banking is anywhere between 4-6 points above the enterprise margin, and TIG, at the moment is probably 4-5 points below the enterprise margin. But then it really varies by the segment inside these segments, sub segment inside these segments, as well as the nature of work that you are talking about . So, the smaller you get, the less flexible your margin is , in some quarters it will be exceptional , in some quarters it will come down. So, then that's the reason we don't really narrow it down. Hopefully, by next year each of the segments scaled up enough for us to start publishing it. But at the moment, I would sa y, just as a general thumb rule, say 4-6 points above on the banking and FinTech side, and 4-5 points below on the TIG side.

Moderator: Thank you. The next question is from the line of Karthik Iyer , an Individual Investor . Please go ahead.

Karthik Iyer: So, one follow -up on banking , are we investing in a team to execute all the successful order wins that we are doing in the Banking and FinTech space?

Ashish Rai: Yes, Karthik so I hope you got my answer to the last question . So, on the banking team side look, I would say the number one focus for Aurionpro at the moment as well as the number one challenge in front of us is scaling up delivery capacity , it's all looks nice that we are growing at 50% , but it is complex. You need the full spectrum of skill set , so unlike a typical services shop where someone else defines what needs to be built, and then we are looking for a bunch of developers , we need a much more complex spectrum ; full spectrum of skill sets to mobilize product tea ms. And it's not so straightforward. The second is , most of the capacity addition that we need to do on the banking side is people who implement our own application. So, you need to really train people up on the applications that we build and that also takes time. So , I would say , the lead time to really build capacity out is proving to be a little bit longer than we should have and that also sort of results in weakness in terms of cash conversion, because sort of it comes down , you need to have the c apacity to take the client's liv e. You need to take the client's li ve, to convert the orders into cash and the whole thing adds up . So, we are working heavily on this. This is the number one focus item for us , we have instituted a new learning and developme nt function inside Aurionpro to really step up how quickly we ramp up resources. We have built out internal training mechanisms because we can't find enough experienced talent out in the market, we are hiring heavily from the global peer group centers outside of India to be able to get the right skill sets. And that's the reason why we run R& D centers in Singapor e, Istanbul and Vietnam . So, we are broad basing the talent base. We are instituting heavy investments in sort of internal training mechanisms to ramp up the teams. We have obviously added people so you can see that the head count is 2500 +. But we are not a very resource intensive business but you need the right quality of skill sets . So, that is where the challenge is , that is where we are super focused on it. We have also built up the management bench. From time -to-time, we have sort of introduced people, the senior managers who joined in. So, we have hired the right set. I feel we have probably one of the most talented management teams in the industry today in terms of product build outs, and then we have added capacity at the lower levels question of sort of training them and ramping it up . It's a continuous process, and it's not that it’s not happening fast, but I would be a lot happier if it happened a little bit faster than we are, and we will keep working at it. It's just the right question to ask but, I would say we need to keep working at it.

Also, on that point, sorry to just add the answer. We will probably try to deploy some, let's say not so organic approaches as well where we get an opportunity to quickly scale up talent so for example, on the AI side we were struggling for quite some time, but acquiring Arya.AI has really lent us a lot of strength in terms of talent coming in. Same thing on the lending side , when we acquired Omnifin , we really grew up the talent of the len ding side. So, we will always be open for opportunities where the inorganic opportunities allow us to quickly ramp up on talent as well as obviously come with products and revenues which are relevant to us. But even just from a talent standpoint, some leve l of acqui-hire sort of opportunities , they do show themselves up and will probably act on those if they make sense.

Moderator: Thank you. The next question is from the line of Anmol Garg from D AM C apital. Please go ahead.

Anmol Garg: Couple of things. Firstly, we have shown very strong growth on the banking side of things. Now, can you envisage some of the areas where we are seeing this growth, particularly on the product side, which of the products are showing more traction vers us the others ?

Ashish Rai: Hi, Anmol thanks. So, banking is probably the two or three levers which are working for us at the moment. One the strongest area of growth is transaction banking at the moment. So, which is where we announced deal wins in Saudi Arabia, given the state of the pipeline and how well progressed the pipeline is, I am very sure w e will announce more wins in that space going forward. So, that segment, and this is where again we won SBI, Canara B ank, et cetera last year growth . So this is a segment which is growing rapidly, where our win rates are, I would say, probably the best in the industry right now and the pipeline is very large . So, when you combine a very large pipeline with us being the player with probably the strongest win rates in the business that hopefully, not hopefully, I am very confident that translates into a very large number of wins, even in the future. But that's where the growth is very strong.

The second area where we see very strong growth on the banking side is where we have AI enabled the product stack. So, even the transaction banking side, part of the win rates being better than the competitors today is how AI enabled our product stack is right. S o, for example in the transaction banking side, we have implemented a number of use cases, even in the wins we did in the past, like State Bank of India, the Middle East wins and all they go together with a lot of actual AI decisioning going into the product stack . That both improves our win rate there, but wherever we have AI enable the stack. We see just, it's just we have never seen this level of demand before on that. So, it's just u nprecedented the scale of demand on the Enterprise AI offering , so that ’s number two . And the third area where we have seen, let's say what the first half, pretty rapid growth, is the FinTech ecosystem, sort of partnerships that we built out with some of the global players, that has been a lot of those have gone from zero to very material numbers, even in the six months and for the full year there will be very, very material numbers . So, these FinTech partnerships, especially in the US, probably in the second half in Europe, will get some wins . Those are working very well for us . Those are the three major areas . Lending also, we have won a few deals that we announced, and it's gr owing as well, but those first three levers are like expanding very strongly.

Anmol Garg: Understood. T hanks for this. During your media interview you indicated that our US g rowth will be very strong in FY 25 probably in the range of 60 %, 70% . Can you again indicate that, would this be coming from the deals that we have already won, or is there a good pipeline over there from where this growth can come from ?

Ashish Rai: So, I would say for the second half of the year, there may be one or two that convert fro m the pipeline, but most of the growth would come from deals we have already won . A lot of this

expansion is around the third lever that I mentioned, which is the FinTech partnerships that we have struck . Also, because a lo t of the IP that we provide is Singapore based, so I need to see where the revenue falls . But it's essentially the end US clients, mostly through the FinTech partnerships we see a strong growth. Bulk of it will come from orders we already won. Th ere are deals in the pipeline, but the revenue contribution for those would probably be next year.

Anmol Garg: Understood. Lsastly I just wanted to dwell a little bit more on our cash flows, which have been a bit negative during the quarter. So, in here, wanted to understand that we have also signed a deal in the TIG space, which is the Safe City project for Panvel . Now, how is the receivables for this particular project versus the Company average . And do you believe that by the end of the year, as we execute through this deal , the receivables can be impacted a bit more by executing th is deal?

Ashish Rai: I will probably split that up . The Panvel project specifically, we very carefully worked on it in terms of the payment milestones in terms of what the execution milestones are, so we feel good that it is not going to impose any additional pressure going in other than normal. There is a few TIG projects that I have talked about in the past where we know we have had pressure. We have had a very special team focused on executing these projects and getting these done in time, before end of the year . So, I feel that on that side, by the time we get into February, March, the execution situation would be very different and a lot of the cash collection priorities that we set in place would already be done. Panvel , specifically we feel good that we have because as you know we had slowed down that side of the business to really only be able to take business that we feel comfortable with. This is a project we very carefully identified. So, I don't feel this would really be, this would be pretty much a no rmal project in terms of both the execution milestones as well as collections. So, overall, that should get better . On the cash flow side, a lot of the pressure is coming in. What really happens is , whatever part of the business is growing the fastest, sor t of creates that issue, because in the product business a lot of the cash happens when you take the client's li ve and if you are starting off a lot more projects than you are finishing off. It is just natural for sort of the cash collection to come und er pressure. Plus, we have had the topics that, you were earlier in the call, so topics that I talked about earlier, which is around some inorganic opportunities which is one of opportunities which we feel we needed to play . So, we will see what the result s of those are .

Moderator: Thank you. The next question is from the line of Pranay Roop Chatterjee from Burman Capital Management. Please go ahead.

Pranay Roop Chatterjee: Great, hello sir this is the first time I am attending this call, and I am new to the Company so, I have a slightly fundamental question. So , I was looking at your revenue mix and 70% is from software services, and around 30% is from sale of equipment and product licenses. So, given this information, I wanted to understand w hat is the recurring portion in your total revenue, like for example, if you are earning INR 100 Cr in a quarter, what proportion is from one-time

sales, be it software or product and is there like a maintenance component or a recurring component which allows you to continue earning revenue over a certain period of time?

Ashish Rai: Yes, okay, thanks Pranay. So, look, the way to read the software se rvices and product licensing, the difference is largely one -off versus what is either recurring, near recurring or implementation services . But a bunch of recurring revenue would also come into the product licenses mix because we increasingly do a lot more subscriptions . So, it's hard to read the exact recurring number in those numbers. Let me try and answer it this way. Split the business into two parts. You got banking software which does 55% you got TIG which does 45% . On the banking software side, I would say our recurring plus near recurring revenue is something of the order of 55 % to 60% when the business was growing slower, when the business was growing at 15% that used to be closer to 65 % to 70% . But now the business is going a lot faster so there 's a lot more kind of one-off implementation projects , etc. So, recurring plus near recurring , so recurring is typically AMC s and subscriptions, and the near recurring is essentially like ongoing services with long -term existing customers like UOB or OCBC, etc. So, those would be 55 % to 60 %, and the other 40 % will come from a mix of one-off licenses plus one of implementation projects, which typically are 12-to-18-month projects that we do when we

take on new logos. So, that is the 55% banking business .
Coming to the TIG side, I would say the recurring mix is lesser. It's probably of the order of 25 % to 30% and that typically comes from the long duration projects we sign in terms of transit revenue streams , when we sell software and equipment outside of India, like deals like California , Maldives , etc., these tend to almost be like software contracts, because we charge something up front, we charge an AMC, we charge an operations fee so those again become recurring streams with some one -off there. So, I would say there probably 30% if you added near recurring deals, which are long term services contrac ts around, let's say so cloud, for example, most of the cloud that we sell on the TIG site is around our own products, and these are long term, multi duration contracts. So, that probably climbs up another 10 %, 15% in those sort of deals. So, that's the wa y I will look at it. Does that answer the question clearly enough .
Pranay Roop Chatterjee: That's excellent sir, and gives me a lot of color on the business. Thanks for that , my second and last question sir, is try ing to understand your revenue model . So, obviously, over the course of time, you have expanded into various different products and segments. But if I were to ask you, is there a predominant way you charge your clients like, either it be employee hour basis or in terms of some metric of how they u se your software, how do you charge your client , is there one answer or would there be multiple answers?
Ashish Rai: So, there would be multiple answers depending on what IP that is. But typically, I would say for the banking software side, there are two m odels that we sell largely, which should apply to like 80% of the business. We sell term licenses, where we charge a one-off license fee, and then people pay AMCs . And the second is the subscription model , where both the license and the AMC would combine i nto one stream. So, typically, let's say, if you signed a $6 million five-year

TCO deal, typically one third of it would be license revenue. So, $2 million is licensed revenue , paid either upfront or paid over five installments over five years. The second is maintenance revenue, which is typically 20% so that's another $2 million over five years , so $400,000 per year for five years. And then the third is implementation fee of $2 m

illion is typically a project that gets done over 12 to 18 months on average . Now these are like broad thumb rules. There are some other models in banking which are smaller in revenue terms, especially consumption - based models, where for example we sell an API call, and we are charging per API call , but those are not, I would not say that huge from a revenue standpoint, but those models also exist within the banking world . Yes, that is a predominant way , we have for example on the transit side and all we got very long term 10 -year, 12 year contracts where there is revenue share and things like that. So, it depends on how you are selling IP and sometimes the re will be transaction driven models. A lot of times it will be license driven models.
Moderator: Thank you. The next question is from the line of Hardik Gori from Alpha Plus Capital Associates. Please go ahead.
Hardik Gor i: What is the current mix of TIG between Smart mobility and Data center ?
Ashish Rai: Okay . So, TIG I would sort of put three slices to it . So, till last year, each of those were probably 1/3rd each so you have smart mobility, which is essentially the open loop transit payments stack that we that we sell. The second is data center and hybrid cloud , that is the second slice. Most of it is hybrid cloud is basically around our own applications by and large and data center is where we design and program manage the build of data centers. And the third slice is smart cities / government technology work that we do . I would say this year the mix is , so last year, it was probably a third each out of the 45% that goes on the TI G side. This year, I would say the smart city side is totally going to be a little bit smaller, so it's more like, I would say 35 , 40 and so they are about 20 , 25 on the smart city side. So , that's roughly the mix.
Hardik Gore: Okay. And what is it that we are expecting say, in the next three, four years ?
Ashish Rai: So over three, four years I do not like giving guidance that far out. And there is a reason for it , so the way to look at it is this, we have a stated Vision 2030, externally there is a qualitative view that we publish, which says in each of the spaces that we are in, we want to be a top three global player , internally we have a quantitative number against each of those. The reason that quantitative number is not very important over a three -to-four -year horizon is, we will keep on calibrating the growth as we go. Typically, the business as a whole we a re saying we grow in the range of 30% that's what we have done for the last four years. That's what we feel like we can keep on doing for a long time. But inside it, we will keep on changing the pace at which businesses grow , because in the product business it's fundamentally very risky to keep your foot on the pedal all the time. What really happens in the service business, if I want to sort of grow 100% I double the number of people who have the right skill set, if the job is largely done, you of course need to do the projects . In the product business, if you try and grow too fast,

there are lots of interconnected pieces. Some pieces will break if you go too fast . So, we will keep on resetting the sort of growth. So, banking, f or example, last two years was growing a lot slower, 15% last year, 30% , 15% the year before, because we said we want to focus on product build outs, we don't want to grow , now it's growing at 51%. TIG was growing at 55% the year before , last year 33% , this year we slowed it down even more because we say we want to focus on some IP build outs we want to focus on calibrating the business for better economics

. So, within, so I would not put too much sort of emphasis on sub -segment level planning for the next four, five years, we will broadly these are very large basis. If you are a top three global player by 2030, obviously you are not growing at 30 %, 35% because at 30 %, 35% the business becomes maybe 4x, maybe 5x over the next five, six years. If you are a top three global player, you probably have to be much larger than that. So, we do expect sometime between now and 2030 we will hit inflection points for various businesses where we can really step up the growth. When that time comes, we will come and talk about it , till that time, I would say the enterprise level, we try and target a 30% odd range within that , some businesses from the time and time will grow faster, and some businesses will slow down, and we will sort of pace it that way. I know it's probably a pretty long winded answer to something which should be a pretty straightforward question, but that's the way we think about it at least, hopefully that helps .

Moderator: Thank you. The next question is from the line of Ankush Agarwal from Surge Capital. Please go ahead.

Ankush Agarwal: So, Ashish would be possible for you to share some more bit details on the possible M&A that you are alluding to, is it like an operating business that you looking to acquire, or is it like a specific IP that you are looking to acquire if you can share ?

Ashish Rai: I can't share too many details it's an operating business yet, but I can't share it's sort of a pretty complex process , I can't even say we feel confident about doing that. I just mention that because there is a question about cash . So, we are always actively in a lot of processes that don't really pan out . So, I would not kind of spend too much time on it.

Moderator: Thank you . Ladies and gentlemen we will take this as the last question. I now hand the conference over to Mr. Ashish Rai , Vice Chairman and Group CEO for closing comments.

Ashish Rai: So, thanks everyone for taking the time out of your busy days to come and j oin us on this call. There is really no significant changes to what we do , we do more of the same. We focus on building the products out , we focus on R&D, we focus on expanding to newer markets , we focus on our partnerships . We really value you spending time to try and understand us. I look forward to seeing you again next quarter. Thank you.

Moderator: Thank you . On behalf of Aurionpro Solutions Limited , that concludes this conference. Thank you for joining us and you may n ow disconnect your lines. Thank you.

Call: Feb 2025

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03rd February , 2025

Sub: Transcript of earning call held on January 28, 2025 for the Q3 & 9M FY 25.
Dear Sir/Madam,

In accordance with Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed transcript of the earning call held on January 28, 2025 for the Q3 & 9M FY 25.

Kindly take the above information on record and confirm compliance.

Thanking you,

Yours faithfully

For Aurionpro Solutions Limited

Ninad Kelkar
Company Secretar y

Encl: as above BSE Limited
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Mumbai -400001
Script Code: 532668 National Stock Exchange of India Ltd,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai -400051
Script Code: AURIONPRO

“Aurionpro Solutions Limited
Q3 & 9M FY25 Earnings Conference Call”

January 28th, 2025

MANAGEMENT : MR. ASHISH RAI – GROUP CEO & VICE CHAIRMAN
MR. VIPUL PARMAR – CHIEF FINANCIAL OFFICER

MR. NINAD KELKAR – COMPANY SECRETARY

MODERATOR : MS. AASHVI SHAH – ADFACTORS PR – INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day and welcome to the Aurionpro Solutions Limited Q3 & 9M FY25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the p resentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Aashvi S hah from Adfactors PR, Investor Relations. Thank you, and over to you, ma'am.

Aashvi Shah : Thank you , Rituja. Good evening, everyone. On behalf of the company, I would like to welcome you all to the Earnings Conference Call for Q3 and 9MFY25.

Today on this call, we have with us from the Management , Mr. Ashish Rai – Vice Chairman and Group CEO; Mr. Vipul Parmar – Chief Financial Officer; and Mr. Ninad Kelkar – Company Secretary.

We will begin the call with brief opening remarks from the Manageme nt followed by a Q&A session.

Please note that certain statements made during this call may be forward -looking in nature. Such forward -looking statements are subject to certain risks and uncertainties that could cause the actual results or projections to differ materially from those statements. Aurionpro Solutions will not be in any way responsible for any actions taken based on such statements and undertakes no obligation to publicly update these forward -looking statements. I would now like to hand over t he call to Mr. Ashish Rai for his opening remarks. Thank you, and over to you, sir.

Ashish Rai : Thanks, Aashvi. Good afternoon, everyone, and welcome to this Earnings Call for Q3 & 9M FY25.

I am sure by now you have all received the Investor Deck , and I hope you had an opportunity to review it. I am excited to share with you the results for Q3, which once again demonstrate our strong performance and reinforce the success of our chosen strategies, the competitiveness of our offerings and the hea lthy demand environment. What is especially encouraging is that our growth is fairly broad -based across segments and the many business

units followed by the disciplined execution of our teams and their unwavering focus on delivering great outcomes for our cli ents.

Let me walk you through a quick snapshot of the Financial highlights for the Quarter and 9-month period.

If I recap the pe rformance, revenue for the quarter stood as Rs. 306 Cr, which is the 32% increase on year -on-year basis. Profit after tax, stood at Rs. 48 Cr for Q3 and PAT margins for the quarter should at 16%. EBITDA margin for the quarter stood at 21%, which is at the midpoint of our guided range of 20% to 22% EBITDA. Our margins have largely stayed within the guided range for the last sev eral years, highlighting the strength and stability of our business model. This has also allowed us to aggressively step up our R&D investments to tap into significant opportunities across all our segments. We continue to witness strong momentum across the segments, and the growth numbers clearly reflect this.

Banking and F intech segments delivered 41% growth, reaching Rs. 474 Cr, while Technology Innovation Group segm ents grew by 23% to Rs. 372 Cr. During the quarter, we secured several significant wins, including deals with 2 leading banks in Saudi Arabia for our flagsh

ip transaction
banking suite. Additionally, we continue to deepen our presence in existing markets, leveraging the ongoing wave of transformation and digitization in corporate banking. Looking ahead, we continue to focus on expansion into both US and Europe. We have made significant progress

on building out the channel and building out the partnerships in the US market over the last several quarters, and the next several quarters will be about building out a strong channel into UK and continental Europe. Our recent acquisition in Europe positions us very well to cross -sell our banking products in the reg ion, further strengthening our footprint

Our expansion into Europe will be led mainly by banking and transit segments, both of whom continue to grow very strongly for us on a global basis. Within the technology innovation group, the transit segment continu es to gain strong traction with significant wins both in India and international Markets. In India, we secured prestigious deals with major metro projects, including phases of Delhi Metro and Chennai Metro. These wins not only reinforce our growing presenc e in the Indian market, but also highlight our capability to deliver world class solutions that cater to the need of complex urban transit systems. Globally, the transit segment has seen strong demand as cities and governments invest in modernizing their t ransportation infrastructure. In addition to the transit segment, we also achieved major milestones in the data center space, signing several large deals. These wins underscore the increasing demand for robust, scalable data center solutions and our abilit y to meet the evolving needs of enterprises in this critical area. We remain committed to innovation, consistently investing 8% or more of our revenues in R&D, a trend that we expect to continue going into the next financial year. This sustained focus has enabled us to de liver some noteworthy launches.

During the quarter , the most significant being Ary aXAI, our ground -breaking explainable AI platform, which has a global relevance. Looking ahead, we plan to build on this momentum with more innovative solutio ns in the pipeline, driving value for our clients and staying ahead in the market. We have developed robust capabilities to achieve the guided road targets through organic means, backed by our business model, backed by consistent execution. Additionally, w e continue to evaluate strategic acquisitions where they may help us accelerate the delivery of our strategic blueprint in chosen areas or augment our delivery capabilities in chosen markets. A key development in this area is our expected closure of Fenixy s acquisitions this quarter. This acquisition will significantly strengthen our presence in the European markets, providing us with a strong foothold and delivery capabilities in the region. Our financial strength continues to be a cornerstone of our success , and this was further validated in the quarter by another enhancement in our credit rating, as you would have seen.

As we approach the close of FY25, we remain confident in achieving our guided performance and continue our long -term focus towards buildin g out industry -leading global products and platforms player that delivers significant value for all of our stakeholders. Finally, we extend our sincere gratitude to our employees, customers, partners, and shareholders for their continued support an d contri bution to this success.

With that, I will close, and I look forward to an engaging Q&A. Over to you, A ashvi.

Moderator: Thank you very much. The first question is from the line of Vimal Jamnadas Gohil from Alchemy Capital

Management. Please go ahead.

Vimal Jamnadas Gohil: Thank you so much. Firstly, I just wanted to clarify the acquisitions that we reported this quarter will come through in the fourth quarter into our financials. Is my understanding correct?

Ashish Rai: Yes, that is correct.

Vimal Jamna das Gohil: Okay. Sir, I just wanted to get a sense as to, despite acquisitions, are we keeping our guidance for the full year only on organic terms? We have not included this acquisition into our guidance as of now, right?

Ashish Rai: Yes, we have not inc luded it, but honestly, we will close it sometime in Q4, and I do not really expect that to really move the needle.

Vimal Jamnadas Gohil: Understood and Ashish, good to see TIG firing this quarter. I just wanted to check on how have the incremental cash fl ows been on this name , this time around. Are we seeing prudent signs of improving cash flows from this area, from the incremental deals that we are winning and lastly, on the banking side, what is the initial progress that we have seen in the U.S.? Because I

do remember last quarter we had commented that the U.S. is expected to do extremely well from FY 26 onwards.

Ashish Rai: Yes, okay. Thanks for the question. So, look, TIG, and I have sort of stated that in the previous Earnings Call , Sanjay Bali and I, we sort of deliberately slowed down the growth in TIG to focus on the economics . Our transit segment continued to grow strongly, data center segment continued to grow strongly, and we slowed down the smart cities business to recalibrate it for better econo mics. We did that over the, let's say, the first couple of quarters of the year, and then we said we signed on a new sort of significant transaction, which was Panvel , which was set up in exactly the way that we wanted to take on new deals and I think so f ar from an overall configuration standpoint, economic standpoint, cash flow standpoint, I think we are much - much better set up, and it is exactly how we want it. So, TIG is, yes, because now all the segments of TIG are back to growth, TIG is back into stro ng growth, and it will accelerate into Q4. So, for the full year, TIG would go reasonably strongly. The overall cash flow side, we believe we have a handle on. So we tend to pick up on cash flows and collections as we get into the second half of the year. So, I am fairly confident by the time we get to March 31st, I think the picture will be reasonably strong, both the growth number as well as the cash flow and anything else that we look at.

Vimal Jamnadas Gohil: Yes, banking side, Ashish, I wanted yo ur comments on what is happening in the U.S. We were very confident last quarter, any progress that we have made ?

Ashish Rai: Yeah. So, look in the U.S., we have actually made significant progress on the banking side. Due to the way we really count some of th e IP-led revenues where revenue is coming out of, for example, Singapore entity, some of the U.S. revenue that has resulted gets counted probably in the APA C side, and we will figure out what is the best way to configure it properly. But if you look at all the busi ness that is now coming in from the U.S. clients, I think we are into the double digits or very close to it as overall share of the pie, right . So, we made strong progress with a very large Fintech partner in the U.S. We are doing a lot of work with them. We made strong progress on the payment business in the U.S. Our transit business is, again, accelerating in the U.S. and America in general. So, I think overall, the share of revenue from U.S. clients is now up to double digi ts. So, I think this year will probably grow between

70% and 80%, I think, from that geography. We will work in the next year on what is the best way to give total transparency in the business in the U.S. because of the nature of our product business, we t ypically tend to license from where the IP resides, and I need to see that this comes across correctly , but I think the business is very strong. The channel is built out in U.S. We are hiring more sales guys, but otherwise, the channel is fully built out. The partnerships are built out. This year, the focus will be on building out a similar structure and set up in Europe, so that by the time we get to the close of FY26, I think we are getting to both Europe and U.S. being north of 10% of the revenue share.

Vimal Jamnadas Gohil: Thanks for that. Just one clarification again on TIG. So, as of now, as we speak, the orders in the pipeline for smart cities, Panvel is the only one which is pending, right? There are no other major smart city projects that are pend ing, or rather they are going on ?

Ashish Rai: In terms of the new large ones that we picked up, we said we will be very careful, and we said we will consciously go about building the business. So, that is the only kind of a large transformational deal tha t we picked up. There is obviou sly a lot of sort of supplemental work that goes on the existing project in that business. But among the new deals we picked up this year, that is the only one and we will still be very careful and be very, very methodical wh en it comes to selecting new bids i f we take more in that segment.

Vimal Jamnadas Gohil: The commentary is encouraging on the cash flow side. Thank you so much, Ashish, and a ll the very best.

Moderator: The next question is from the line of Anmol Garg from DAM Capital. Please go ahead.

Anmol Garg: Firstly, just continuing with Vimal's question earlier, I just wanted to understand that how has been our OCF in this particular quarter since our unbilled reve nues and receivables were relatively higher in H1. So, we have seen some bit of negative cash flow in H1. But how has it been like in this quarter?

Ashish Rai: Yeah. So, on the cash flow, Anmol, this quarter was pretty good. So, typically, our business, we accelerate into the second half and given the nature of the business, a lot of deliveries get closed out as you get into sort of the tail end of Q3 or into Q4. So, I believe we will end up in good shape as we finish the year and so f ar, Q3 has been very promising.

Anmol Garg: Right. Thanks, Ashish and secondly, if you can indicate, is there any target of receivable days that we have in our mind going forward in FY26 and FY27 that this is the level t hat we want to maintain at?

Ashish Rai: Yeah. So, Anmol , FY26 -27, look, a lot of it depends on the configuration of the business as we go in, right? So, I think the way to look at it at the current moment is this. We would roughly stay half and half between TIG and Banking as we grow. But from one quarter to t he next, we may sort of calibrate the growth, put the pedal down on one of the segments and sort of go up on the other one. With the current configuration of business, and let's say you were growing at 30% into FY26 and FY27, and I am certainly not guiding to it. We will guide a firm guide at the end of the financial year. But let's say, hypothetically, if that's what you were doing, I would say 100 odd days is where the sort of midpoint of the range lies, depending on project values and all. Now, from time to time, it may actually go up to 110, 115, and I think there may be times it drops below 100. But I think that is where roughly the midpoint lies based on the current confi

guration of the business.

Anmol Garg: Right. Understood . Just one clarification on an order book, which has been very, very strong in this quarter. So, the order book, does it contain any orders from Fenixys or this is all organic in the business?
Ashish Rai: No, this is purely organic at the moment. I th ink you a re right. The order bo ok buildup was, typically, what happens to us from one quarter to the next is we roughly are at a pace of consuming about Rs. 250 Cr to 260 Cr from the order book, and we add, let's say, between Rs. 250 and 300 Cr. So, the net addition ends up being Rs. 30-40 Cr. This quarter, it was a little bit exceptional because of some very strong wins on both sides of the business. I would not say that would happen every quarter, but right now, it is fairly strong.
Anmol Garg: And just one more, if I can, particular ly on the banking segment. So, if we look at the business of Arya XAI, if we remove the two quarters of AryaAI incremental revenue s, then the growth looks a bit tepid for this quarter on a YoY basis. Just wanted to understand that based on the current cont racts, what we have, do we see banking growth organically to be faster than TIG for next year?
Ashish Rai: Yeah. So, I would contest your tepid , the definition of tepid. I don't think AryaAI is that material to the overall banking growth on a standalone b asis. Arya has been the cause of acceleration to a lot of other banking product business. So, for example, a lot of our, we have become one of the most competitive players in the transaction banking space, thanks to being the sort of leading product with a very strong AI offering inside the transaction banking stack, right? And same story goes on the lending and all . But I would not say on a standalone basis, AryaAI is really skewing the growth numbers. I think it is really helping the growth of all the ban king products as a whole, but still the revenue kind of lies within transaction banking and lending and all the subsequent products, right? I think that's how I would read the banking growth.
Now, going into the subsequent years, I feel right now the deman d pipeline that we see on transaction banking, the demand pipeline that we see on lending is fairly strong as it is and our win rates, at least in the Asian markets, I do not think we have a peer in terms of just the win rates that we are clocking at the m oment. So, we will continue to deliver strong organic growth into the business. There was an additional element to the que stion. Anmol, can you go again?
Anmol Garg: Yes, sir. I was just asking that with respect to TIG, should we expect bankin g growth to be faster than TIG?
Ashish Rai: Yes. So, I would not know that. Look, I think, like I was saying in response to the previous question, the way to look at it is the demand environment remains exceptionally strong as the strongest we have seen in a long whi le for both the segments, right? So, whether it is transaction banking, I think there is a lot of deals in the market. Whether it is lending, there is a fair amount of deals in the market. The whole AI stack, we are just building out into it. Same thing on the TIG side , the demand on the transaction side is exceptional. I think the closed loop, open loop transformations across the world will go on for many, many years. Data center

demand is very, very high. So, the demand side of the e

quation is reall y stro ngly loaded at the
moment. So, the growth depends on how much do you want to grow into that demand in terms of scaling up your capacity? How much of it can you take on safely while keeping your delivery reputation intact, while keeping your cash flows in s hape . So, what we will do going into the next few years is we will be very, very careful in how much we grow, and we grow in a way that we can keep a stellar reputation for delivery, which is what makes Aurionpro different from anyone else we compete with. We keep the economics intact. We keep the cash flows in shape. Of course, at a 35 -40% growth, they will keep skewing from time to time, but we will keep all those in growth, and then we will calibrate how much we want to grow in each s egment, right? So, I think it is very hard to comment on how much it will be. I think what we would say is on an average, we will grow very strongly, and both the segments will contribute to that growth fairly strongly, but from one quarter to the next, you will see, like, fo r example, TIG was growing very, very strongly 4 quarters back, 5 quarters back. We slowed it down deliberately. Banking was growing very slowly 4-5 quarters back because we were building the products out. Then

we accelerated that this year. We slowed TIG down. Now TIG is accelerating. We may slow down something else, right? So, I think we will keep – the key equation here is not the demand. It is our judgment on how much we can grow safely, and second, our ability to capacitive against the demand, which ta kes time for you to ramp up capacity and all . So, I think that's the way I would look at it. I would say on the net, both segments will continue to deliver fairly strong growth going into the next few years.
Moderator: Thank you. The next question is from the line of Darshini from SI Investments. Please go ahead.
Darshini: I have two questions. My first question is, do you see any effect of DeepSeek AI on our business?
Ashish Rai: Look, the entire world is processing what comes out of the DeepSeek, right? And we probably run the most advanced AI explainability lab in the country, in Asia probably, maybe one of the most advanced ones across the world. We have been looking very closely at DeepSeek since B3 came out 3-4 weeks back. We obviously look very clos ely at R1. It is – I think it is a bit of a – it sort of turns the whole scaling hypothesis on its head and I know the entire world is sort of thinking through the implications of that. What it means on the net probably is that the frontier models are close r than you think they are. The bar is probably lower than what everyone had, you believe, for some time, right, which does open up the possibility of smaller labs like us coming up with a much more sort of advanced offerings. We are probably one of the str ongest research teams when it comes to AI explainability at the moment. We are making a lot of investments around making our applications stack AI native. We are going to really accelerate investments into specialized language models that tackle the specif ic domains that we are in. We are still convinced that the value capture is going to happen on the specialized models and it's a lot easier for you to get to frontier model capability on the specialized domains . So, I think that is where we are going at the moment. Obviously, there is a lot of impact to where smaller

specialized labs like us can invest and will continue to do that . I think it does not change the original value capture formula that we had, which is, on e, make our a pplication stack AI native and lead the world in terms of AI enabling the enterp

rise application stack. I am convinced there is a lot of value capture that will happen there. Second, productize the sort of AI stack that we go into making our a pplications and work with other Fintech vendors on the productized stack. Third, invest on enterprise AI . So, those levers remain, and then we process where we can get to around the specialized language models, and we started looking at that, right . So, that's one side of the impact. The second side of the impact that much talked about is the data center space. I honestly don't think that's a material impact for us because, one, for us, most of the design and build happens in India. I don't think a lot of I ndian data center space requirement was coming out of AI compute. You, of course, hear of a few GPU as a service models and all that stuff, but even they were not fully servicing Indian demand. So, a lot of the data center demand is coming out of the laten t demand for compute and latent demand for storage that exists in India as a nation. So, I don't think that goes away. I don't think investment there will slow down, and we are a fairly small player. I think we will continue to grow on that side of the bus iness. So, that is basically where I am in terms of assessment of impact on both sides of the business. Unless you meant something else, I think that is the way we are thinking about it.
Darshini: No, this is what my question was. Thank you for the respons e. My second question is regarding the banking business. In one of the previous calls, you mentioned that the banking business is expected to grow by around 50% this year, and this quarter the growth is 41%. Will we be able to catch up in the next quarter so that we end the year wi th 50% growth?
Ashish Rai: I think we will probably go a little bit more. But honestly, I think we grew from one quarter to the next. We may get to 50%, but I think what I was saying is we will land up something between 40% and 5 0%. I think that's where we will land up. The challenge on the banking side that we are facing right now is essentially being able to deliver the project fast enough, and there is a ramp up of capacity that has happened. But it is a lot more complex in the product business to ramp up capacity to deliver than if you were a pure play services business. So, I think the challenge is delivering capacity to some extent and t he reason we made, for example, an acquisition like Fenixys is also to help us ramp up the delivery capacity in Europe because from a product standpoint, from an IT standpoint, we are there, but we said, how do we really build out capacity in Europe? How do we build out capacity in the U.S.? So, we are working very hard at that. I think we have got a very, very strong model to build that capacity, but still the constraint remains how fast can you get the project delivered.
Moderator: Thank you. The next question is from the line of Shikhar Mundra from Vivog Commercial Limited. Please go ahead.

Shikhar Mundra: So, just wanted to understand our plans for Europe. For the next couple of years, where do we see, I mean, do we see our revenues from Europe and how big can we scale this acquisition of Fenixys ?
Ashish Rai: So, Europe, the plan is the fo llowing. The 2 segments which will expand into Europe initially are banking and transit. Transit, we are increasingly competing on deals in Europe. We expect to be able to break in to a few markets that way. We are pursuing the partnership strategy that we have, and then we already started doing some work in the U.K. that way, and we hope that to expand. So, that is the transit strategy, build out the channel to compete on

deals in Europe
as well as build out on the partnerships and expand, and we have already started expanding that in a small way this year. That will only grow. The second part of the equation is banking. For banking, the initial target is – so banking is the following. One is transaction banking. We want to start selectively competing in ou r deals in Europe. We are already making some progress. We have built out a sales team there, and we have started looking at the initial deal. The second is to go in partnership with a large F intech vendor on the lending side where we are integrating our f ront -end with their back -end, and we will go and sort of do a joint front - to-back play on the lending side, especially for the large banks in Europe. The third lever is Fenixys , which Fenixys is a very strong player in the capital market side. They have re lationship with a number of large banks and a very, very high quality team with presence across France, across Nordics, across UK and we leveraging that team to start sort of expanding and seeing how one we can increase on the capital market side with a la rge global capability that we have offshore as well as expand those relationships on the banking side. The fourth lever, although very, very nascent that we are pursuing is how do we collaborate with some of the European governments and government agencies on the AI side. So, we have been sort of talking to a few regulators. We have a first rate offering on AI explainability. Europe has a very strong regulatory framework around the AI which is very different from let's say a place like US or India and that really sets the market up very nicely for us because we really have the framework in place to see that the models that you build up are fully explainable to make sure there is a compliance to regulations. So, a regime where there is a strong AI regulation works favorably for us, and we are sort of exploring that with a couple of governments and regulators in that part as to how we can enable that. So, those are the levers for us to expand banking and transit. We feel very good about both of them expanding in to Europe going into next year.
Shikhar Mundra: Thank you that was very helpful and so are you in a position to give a guidance for next year .
Ashish Rai: For all the business, for Europe , for what?
Shikha r Mundra: For the complete business.
Ashish Rai: For the complete business , I will come back to you in May when we report the full year results and then we will guide.

Moderator: Thank you. The next question is from the line of Deepak Po ddar from Sapphire Capital. Please go ahead.
Deepak Poddar: Thank you very much sir. Just wanted to understand this year what sort of outlook we have for FY25 in terms of growth and margins.
Ashish Rai: So, we ha ve guided to a growth higher than 30% and EBITDA betw een 20 -22% and PAT between 15 - 16%.
Deepak Poddar: Okay, fair enough. And in terms of, I mean how much percentage of business currently is coming from exports market?
Ashish Rai: So, the split roughly for US is 60% India, 30% Asia Ex-India and 10% America roughly.
Deepak Poddar: And 10% is USA?
Ashish Rai: Yeah, I mean slightly less than 10%.
Deepak Poddar: Okay, so you see any risk in this international pie? I mean the USA pie or A sia Ex- India pie.
Ashish Rai: I mean we only se e opportunities. Honestly, it is too small to really worry about the risk. I think Asia, the demand environment is very strong. So, 90% of our business is Asia or India. I really don' t see any red flags anywhere. U.S. , I hear about the red flags as much as yo u or anyone else hears about the red flag

s. But for us honestly I think the risk is fairly low because one, we are small. Second, we have got large opportunities in front of us. Third, we are not that resource incentive like the IT services firms who need a lot of visas and stuff like that. We are a very product oriented, IP oriented business. So, we don't really think there is a lot of impact. I mean to the extent that there is an impact, we will navigate around it. But right now we see a significant oppor tunity for our transit payment stack in the US market. We of course, we have rolled out to many cities in California. There are other US cities, other US States rather which are thinking about frameworks to move closed loop to open loop. So, we are very ex cited about the possibility there and on the banking side we again we work in the payment space, we work in the lending space. It is largely product work where I really don't see why there should be a risk there.

Deepak Poddar: Okay and you mentioned that there can be some kind of impact in U.S., Right? So, what sort of impact we see? I mean, what can be the potential impact? I mean if at all that can come .

Ashish Rai: No, so I did not say that I think there will be an impact. What I am saying is if there is one, we will easily navigate around it. But I don't really see what that impact could be. If I was to predict how U .S. will behave for us in the next year, I would say we will grow at a reasonably strong rate next year in the U.S. Okay, fair enough. Okay, that's very clear. But I don't know what, I

don't know. So, yeah, so if something comes in, we, I think we are, the business is wide en ough to be able to navigate it.

Moderator: Thank you. The next question is from the line of Raj Mohan, an indivi dual investor. Please go ahead.

Raj Mohan: We have talked about being in the top 3 in the products we cater to by 2030 for which as you have indicated, there has to be an inflection in the medium term, do you think as you look into the de velopments within each of the areas there is an outside chance that we hit our first inflection in the next 3 years like opportunities in the closed loop to open loop transition where we are making some serious inroads in the most developed zones, data cen ters then this huge AI opportunity which stands better attainable with AryaAI.

Ashish Rai: So, first if we just keep growing at 30 odd percent for the next 5-6 years, we grow up 4 or 5 times. So, I think that itself it would not be a growth that you will be, let's say disappointed by. On the ability to get to the top 3 in each of the players, each of the segments we are in. I think that's the core of Aurionpro's DNA. We come into work every day because the desire is to build out a product that's superior t o everything else in the market. Right. It doesn't matter which segment of Aurionpro we are talking about. When we go and build something we want to build the most superior offering in the market and we will be completely uncompromising, we will be totally relentless about it. Right. So, if we don't get there today, we will get there tomorrow. If we do not got there tomorrow, we will get there the day after. We will not stop. So, I think that is the sort of core ethos of how we operate. I would be very surp rised if we did not that hit that inflection point on some of our segments in the next 3 years. I think just to use it in the timeframes that you gave it. On the transaction banking stack we are increasingly optimistic. We probably have the most modern sta ck in the market. We are competing very, very well. I don't think there is another play er in the marke t with the windows that we have. O n the

commercial lending stack, I believe we have the deepest stack in the market. And it's not just me, I mean these are charters, risk tech leaders, quadrant products, you know, whether it's corporate loan origination, whether it's collateral manager in the banking group, whether it's limit manager in the banking book now LMS , right. So, when we build we are building with the, with the intent, with the ambition of building out the top products in the world. Of course you never know when you get to the top 3. But as far as building the product is concerned, we are very confident we are building out really competitive products. I would be very surprised if for some of the products we really did not ge t to the top I think the core R& D ethos that we have, if you look at it, that is not easy to find in this part of the world. On the transit side, if you look at it, we are the only firm in India to design , build our own EMV certified c ard readers, right? I mean it is hard R& D, it takes a few years to do it, no on e else does it. Why do we go and do it? On AI explainability, we are the only firm in India to publish research papers, build out an explanatory stack. I do not think anyone even is doing anythin g close to that level of deep R& D to build out an inferenc e level stack that we built out. This is not easy to do, it is not cheap to

do. We sacrifice a lot of hours, we sacrifice a lot of dollars to go and build these products out. We feel confident if we carry on how we carry ing on with the same determination, wit h the same effort, with the same common sense economics, we will get to where we plan to get to. I have no doubt abo ut it.

Raj Mohan: That's a superb answer as usual , Ashish. Second on Arya AI you had indicated to a couple of quarters of integration and the n being in a better position to assess potential for such integrated product solutions offerings. You have indicated to explainable AI in high stakes industries. How have the customer dispositions changed on your integrated offerings in the enterprise AI s pace through probably the le ns of stuff like explainable AI, would like some color in terms of new client wins or quicker expansion of product rollouts in existing clients. Are we able to be at the forefront of such a dynamic a nd frenetically paced industr y?

Ashish Rai: Yeah, good question. So, look, I would sort of split it into two different parts. I will segregate the enterprise AI or other AI enablement of the application f rom the explainable AI offering. On the AI enablement of the stack , I think we h ave made tremendous progress over the next couple of quarters and I think the best example of that is the transaction banking stack. We probably have won in the last 4 -5 quarters , I would say 60% +of the deals we competed in and I think or 60% of deals tha t we competed in that got decided over the last 5 quarters. I think our win rates are exceptional. I think the two wins that I talked about in Saudi Arabia, the win in South Asia, the two large public sector banks in India, including State bank of India th at you talked about and a lot of these wins are powered by the AI stack that we have integrated in with the enterprise offe ring and that is the reason why it is so high. So, I think that is already beginning to show significant impact. We will actually hav e a very large bank in India go live with it over the next couple of months with one of these sort of AI powered offerings, and I think that should give it a further fillip . So, I think, that those things are going very, very well. On the e xplainable AI side I think it is still a fairly less mature field. I think there

is a lot more

sort of let's say maturity regulatory push that needs to come in the space. We have plans around how we plan to expand in that space. We have plans around how we plan to bring that into our own enterprise AI stack as well as focus it on regulated industries where it makes sense. But I think the space, I would say it is still watch this space and see how that evolves over the next couple of quarters. I feel good ab out our chances, but time will tell. Overall, how do we feel about competing in a space that is changing so radically? I think all of us saw what a small lab in China achieved. I think the goalposts in space have changed. I think there is a lot more. The f rontier is a lot closer than people said it is. Our capabilities are a lot deeper than people think it is. I think we will achieve very, very strong results in the space. We still believe when it comes to reasoning, especially going down domain specific, h ighly focused reasoning models is probably the faster way to reach the f rontier than trying to go Deepseek style generalized reasoning models. But I reserve the right to change my opinion on that in the next 3 mon ths. But you know, I think that i s where we are going. I think we feel good about where

we are and I think we have got one of the most advanced AI labs at least in this part of the world and I feel good about our chances.

Raj Mohan: Great. One final question. Deals where you sort of tie up with maj ors like Finastra, FIS as joint propositions. Do you see these products could over time be increasingly in proportion done by Aurionpro and be candidates for huge growth as to trigger that inflection in transaction banking or corporate lending or would the biggies continue to maintain their share of the contract and you could use these references for other contracts wherein you do the whole contract or a large part of the contract yourself.

Ashish Rai: We are strong believers in the kind of open eco -source system approach to how solutions get delivered to the clients and the sum of the parts to the client is a lot bigger than individual components, whether it is coming from us, from our partners. We are very close to most of the top Fintech players in the i ndustry today. Whether that's Finastra, Murex or there is someone else. We are increas ingly finding more and more win -win propositions with each of these partners. I think these relations hips will only get people. It is not a zero sum game. It is not that we win, they lose ; they win, we lose. I think collectively w e just deliver a lot more value. A s we do it of course these are large organizations and we do start doing a lot more around their products as well especially in terms of filling up gaps and all t hat we have done with multip le of those part. So, I think it i s generally a growing pie. We are a fairly small player in a giant industry so the headroom for growth for us is enormous. As long as we stay foc used on finding these joint win -win propositions and deliver our end of the bargain, I think we will keep growing these on, I mean how much and what it is. I do not think this is the time to sort of worry about it.

Raj Mohan: Thank you very much. You seem to have set a unique standard to catapult the co mpany post pivoting Ashish. My best wishes for you to achieve your unique objectiv es which will make India proud.

Moderator: Thank you. The next question is from the line of Vivek Gautam from GS Investments. Please go ahead.

Vivek Gautam: So, if you can j ust highlight what have been the changes you have been able to bring about in the last 2-3 years. You have joined the company from abroad and

how has been able to attract
the talent especially from the international level and international organizations li ke Fin astra
and so what is the future looking like? Second question was about the receivable concerns
because our business with government is also increasing. Thank you.
Ashish Rai: I mean the first question is really broad, right. So, we might as well en d the call on this if I get
into details on this. But I think what I would say is since we pivoted the firm 4 years back and
there is a lot of commentary that I have given including Investor Day Deck and all that stuff that
are out on YouTube and everywhere else one could run through it. The goal is to build out a

global product, global platforms, players centered around building new IT, centered around
being products that can compete across the globe . We believe that, the time to sort of , also
the maturity curve of Indian IT, I think the time to sort of go towards product had come, the
margins of services are shrinking. So, we went down and selected a few select segments and
we said, okay, these segme nts we see demand runways which are long out. We will invest, we
will build out IP and that is what we have been at. I think the journey for us has been a bit
unique in how we approached it. It has encouraged, it has attracted a lot of talent from top
global firms to come and join us a nd I think that way we have been a bit lucky that we were a
bit unique in terms of our models and we were a bit lucky that we were more ambitious tha n
probably some of the others a nd that helped us to draw in talent from globa l fintech firms,
from the Finastra , from Murex. Some of it is also because we were very deliberate in the talent
that we wanted to hire. I think we will continue to just pursue, do more of what we plan to do.
Our Vision 2030 is fairly clear, it i s fairly d etailed . Externally , it is a set of qualitati ve objectives
that we published. I nternally , it is a set of hardcore quantitative objectives that we are chasing.
So, far we are actually delivering ahead of those objectives and the entire management team
in Aurionpro , a lot of senior leaders in Aurionpro are tied to the Vision 2030 objective and fully
committed to it and every day we continue to attract more and more very, very talented people
from the industry to come and join us in our mission. I think the time for the Indian industry to
pivot from services away into products has come and to the extent that Aurionpro can help
catalyze that change, we are delighted to be able to do that and we will continue to sort of
single mindedly pursue the objectives tha t we set for us and I think that is the right outcome
for Aurionpro , for all the staff of Aurionpro and for the shareholders overall in terms of the
return on capital, etc. that we can drive over the period. So, I think the price, the size of the
price is enormous. So, that, is what it is. In terms of what we are trying to do, coming to the
more mundane topics of receivables. Look, I don't think it is, I know it sort of comes up every,
every year. We always have a first half of the year where we will get a little bit negative cash.
We will always have a second half of the year, we will set up collections and it will end up in
the 100 odd range. I do not think we will be as efficient as let us say a pure IT services player
who was placing man hours in terms o f how efficiently you can collect. So, our DSOs will always
be a little bit higher just to the sheer nature of product deliveries. But that also allows our
margins to be higher than average services vendors. That also allows our sort of growth rates
to be higher. So, I

think the way I would position it is it is very hard to drive a mature company
economic with a 35 -40% growth rate. Because when you are actually building out product
setup at a furious pace, when you are starting so many new projects, when yo u are really
expanding, sending so many bills out, you will always have a very large receivable. I mean you
are growing 35% and Q4 is the largest quarter. I mean it would be big, but on the net our model
is so enormously profitable and we are capturing suc h a large value and bulk of the value that
Aurionpro creates actually does not show up on any P& L statement. The value of Aurionpro is
not in the P& L that you see last year. The value of Aurionpro is the absolute cutting edge IP
that will pay us for the ne xt 10 years. Whether it's the absolute cutting edge open loop stack
where we have the most integrated end to end offering in the transit payment space, whether

it is transaction banking stack where we've got the most modern transaction banking software
in the world today, whether it is the corporate loan origination software which is the number
one payer player in Asia, the value is not in the past P& L, the value is in the future. And we will
continue to build these products. We exp ense every single cent of our R& D which is probably
at Rs. 110-115 Cr right now. That is a huge amount of investment in the future. So, I would say
we will even today with the current P&L, we are probably in the top 5% of the industry in terms
of growth. Actually I don't know any other tech player who has grown 30% last 4 years in a row.
I think we are top 5% industry on margins. I don't know many players who do north of 20%
EBITDA and despite that, the value is actually not in those numbers. The value is in the future.

The value of the IP that we a re building out is the terminal value of the IP that we are building out. So, I think that is the way I would look at it. Within that I would say receivables and all will go up and down. But that is for us to manage roughly by and large w e will keep the DSOs at about 100 odd days, give or take 10% . And I think that is the way to look at it.
Vivek Gautam: Sir, a few words about the impact of this Chinese Deepse ek on our sector and AI and on us in India and our data center capabilities. What could be the positive, negative impact of this new developments ? All around the world the concern is that chip companies are falling around the world due to this new Chinese startup development of t he new chips.
Ashish Rai: The way I would look at it is this, I would say the impact of what Deepseek means in terms of a less resource intensive AI build out going out into the future at a global level. If that is true, that is probably a significant impact when it comes to data center capacity. But I would say the jury is out on that one and you have not completely debunked what you call the scaling hypothesis. What you sort of proven is you can get very close to a frontier mode l using algorithmic techniques instead of blind scaling. It doesn't mean the scaling up stops. What does it mean for us? I think it is a completely different reality. So, for us the data center. So, that comment was on the global level. For us the data cen ter business is very India centric. India demand in the data center space I don't believe is largely driven by AI compute at the moment. I think it's driven by the general demand for compute, the general demand for storage. There is a slight AI element to it but I don't think it really materially changes the reality of the data center space and we don't really build data, we don't really own our own

data centers. We are
a design and build player. We see enough demand in the pipeline right now to keep on goi ng into that space. I would not believe there is a huge impact when it comes to the Indian demand when it comes to data centers. There would be an impact on totally the GPU as a service players and all that stuff. But that again like I said, wait a couple of quarters to see the real impact. Overall , I mean that is what I see it. I think this is a space where new facts will emerge every few months and you have to maneuver it. But India growth in data center capacity I believe is a long secular story. I don't think that really gets impacted much by AI compute.
Moderator: Thank you. The next question is from the line of Lakshya Agarwal from Growth Sphere Ventures LLP. Please go ahead.

Lakshya Agarwal: So, I have a broad question that in our TIG segment we hav e the data center build service. So, I want to understand that how much of a percentage of revenue it is as of now understanding that it woul d be a small share, but still a nd what exactly are we providing here? Is it the design service or also we pick up the build contract, the EPC contract and secondly, how does the margin profile loo k for these different segments?
Ashish Rai: Okay, so look, data center is roughly a third of TIG. TIG is roughly 45% of the overall enterprise. So, I think that is, that is a rough number. What do we do in the data center space? We are largely design and build. When it comes to design, we have got one of the most capable data center design teams in the country. We work on some very complex projects w ith a large number of play ers a nd on the build, design and build side we work with a couple of prominent strategic partners, Webworks, Iron Mountain being the main one , very closely in terms of not only designing the data centers but also program managing the build of those data ce nters. So, I think that is what we do from the economic standpoint. The business operates at 5 or 6 points below the enterprise margin at the moment and it is growing roughly between 30 and 40% overall. So, those are the sort of rough numbers.
Lakshya Agar wal: Okay, thank you sir. So, a follow up question on this. So, majorly we focus only on Indian clients or a lso we look into abroad clients and secondly in terms of the design service which we provide. So, if there is a contract for a 1 megawatt data cent er build, so how much of a percentage would it constitute for the design and consultancy part , which is our share.
Ashish Rai: Yeah. So, look, we have slowly started expanding globally into a few markets, mostly emerging markets and I think that is still a very, very small, it is a non -material slice of the revenue at the moment. But we started slowly expanding into it. So, as we go to the next year, you may see some more announcements in that space. T he way the pie develops it. So, we obviously don't do any work on the EPC side and all that stuff. So, we design is sort of roughly single digits when it of the overall pie and when we do a design and build then you are probably capturing close to 40 to 50% of the pie. So, it depends on the scale of the project. Design by itself is extremely high margin work, but it tends to be a very small share of the pie.
Lakshya Agarwal: Okay, thank you sir, that was helpful and a last question that currently the DC capacity which we have right now i n India is approximately 1.2 gigawatts a nd in the next 2-3 years we are planning to scale it up to 3 to 4 gigawatts. But with the recent development of Reliance mentioning that it would be entering, it would be making its own 3 gigawatt se

tup. So, are we
seeing any services which we would be able to provide over here and could benefit out of it or how are we focusing ourselves over here?

Ashish Rai: Look, I think the way we look at D.C. side is it's not really a demand issue for us , it is more a about how much we want to do and what capacity we have. So, I would say there is a lot of action in the DC space. There is a lot of investment proposals from small business groups, large business groups, players as well. There is a lot of business plans in place. W e really cannot go

for every one of them or most of them. So, we sort of work with a couple of strategic partners where we work very closely with them right from inception and do the whole chain of work and we tend to focus on very selective, very complex projects which are high margin, where we can add a lot of value. Beyond that, obviously there is a lot more happening in the space. But do I really want a finger in every pie , probably not.

Moderator: Thank you. Ladies and gentlemen, this was the last que stion for today. I would now like to hand the conference over to Mr. A shish Rai for closing comments.

Ashish Rai: Thanks A ashvi. Thank you everyone for joining the call. Hopefully this has given you some flavor of how the Quarter has panned out and our pl ans for the future. Overall, we continue to focus single mindedly on our ambition of building out the global enterprise tech player, the global products and platform player that we set out to build out. The demand environment remains very good. We are scal ing up delivery capacity to build into the demand. The order book is in a very, very strong position. So, I feel very good about how we will finish this year and how we will go on and grow into the subsequent years. I will come back to you next quarter wit h more on this. Till then, thank you for joining the call. Thanks and I will see you again.

Moderator: Thank you. On behalf of Aurionpro Solutions Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jun 2025

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May 20, 2025
Sub: Transcript of earning call held on May 14, 2025 for the Q4 & FY 25.
Dear Sir/Madam,
In accordance with Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed transcript of the earning call held on May 14, 2025 for the Q4 & FY 2024-25.
Kindly take the above information on record and confirm compliance.
Thanking you,
Yours faithfully
For Aurionpro Solutions Limited
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"Aurionpro Solutions Limited
Q4 & FY25 Earnings Conference Call"

May 14th, 2025

MANAGEMENT : MR. ASHISH RAI – GROUP CEO & VICE CHAIRMAN
MR. VIPUL PARMAR – CHIEF FINANCIAL OFFICER
MR. NINAD KELKAR – COMPANY SECRETARY

MODERATOR : MS. AASHVI SHAH – ADFACTORS PR – INVESTOR RELATIONS

Moderator: Good evening , everyone . On behalf of the company , I would like to welcome you all to

Aurionp ro Solutions Limited Earnings Conference Call for Q4 & FY25.
Today on this call , we have with us from the management Mr. Ashish R ai – Global CEO ; Mr. Vipul Parmar – Chief Financial Officer ; Mr. Nina d Kelkar, Company Secretary.
We will begin the call with brief opening remarks from the Management , followed by a question -and-answer session. Please note that certain statements made during this call may be forward -looking in nature. Such forwar d-looking statements are subject to certain risks and uncertainties that could cause the actual results or projections to differ materially from those statements. Aurionpro solutions will not be in any way responsible for any actions taken based on such st atements and undertakes no obligation to publicly update these forward -looking statements.
I would now like to hand over the call to Mr. Ashish R ai for his opening remarks. Thank you and over to you sir.
Ashish Rai: Thanks. Good afternoon , everyone and wel come to this Earnings Call for FY 25. I am sure by now you have all received the investor deck and I hope you had an opportunity to do it and ask some interesting questions.
I am pleased to present another year of strong 30 % plus growth. This sustained growth trajectory well into the fourth year reflects the deep trust our customers placed in us, the scale of the opportunity in the large and expanding markets that we serve, and the growing strength of our differentiated IP led offerings. Both our segment s continue to demonstrate strong business momentum underpinned by significant growing pipeline across both the banking and FinTech as well as Technology Innovation Group . Both the segments are going at a healthy pace recording year -on-year growth o f 34% for banking , 30% for TIG.
During the year , we added 42 new clients , a great proof point of the increasing market relevance of our solutions. This growth was accompanied by successful forays into newer geographies with really notable traction in the Middle East and a strategic expansion into Europe through the Fenixys acquisition that we announced. All the key product lines in banking and Fintech, especially Transaction bank ing, lending, well as Interact, had significant new logo wins in the year. In the transit segment, we secured major wins with marquee projects such as

Delhi Metro and Chennai Metro and we are actively pursuing several other large opportunities that are cu rrently in the pipeline. We are also witnessing and encouraging traction in the data center and hybrid cloud space driven by increased demand for scalable and secure infrastructure solutions.
As we look to FY26, the overall outlook remains very positive. For the past four years, we have established the capabilities, scale, operational resilience that we need to sustain our strong growth trajectory. This foundation positions us very well to capitalize on the em erging opportunities across the focus sectors and markets that we have . We also recognize that sustaining this momentum requires continued investment in innovation. To that end, we plan to increase our R&D spend to further strengthen our product roadmaps a nd ensure long -term differentiation and competitiveness. We will significant ly step up our R&D spend this year , focusi

ng on significant adjacencies in Transit, Transaction Banking and lending, market readiness for new markets, especially in Europe, as well as re -engineering most of the applications that we have to move to an AI native architecture that can operate seamlessly with our enterprise AI offerings . We will also continue to double down on R&D with t he Enterprise AI offerings, with Prism and with Apex as well as deep research led offerings with Arya XAI.
We see a significant opportunity to deepen our presence in developed markets particularly in Europe. As part of this effort, we are evaluating a major increase in investments aimed at building sales and distribution channels across several key jobs within Europe.
As we get into FY 26, we will continue to execute through our strategic playbook with discipline. We are making several large bets in the New Year but in our usual methodical and measured way and I remain confident in our team's ability to execute against these bets and deliver strong sustainable value for all stakeholders in the year's end.
With that , I hand back over to moderator for questions. Thank you.
Moderator: Thank you, sir. Ladies and gentlemen, we will now begin the question -and-answer session. The first question comes from Vinay Menon. Please introduce the firm you represent and I invite you to accept the prompt on your screen, unmute your audio and video and ask for the questions or give comments.
Vinay Menon: Congrats on another great set of numbers. Just a few questions from my side. One was, for the quarter, can you give any color on how banking and TIG did as segments? And did we see any dip in our banking side this quarter?
Ashish Rai: Hey Vinay, hi, thanks. So look, I think Banking and TIG both continue to accelerate. TIG of course was slow in the first half of the year and as I said, will accelerate into Q3 and Q4 and it very

much stayed backed by a number of new wins. Banking again continued to grow. So I think in

terms of new wins as well, banking had a very strong Q4. But the way the project deliveries work, most of the projects go into, I think the typical timeline is 12 months plus. So lot of those wins in Q4 will go into sort of delivery in the value next year. There is really no material acceleration or slowdown to talk about. I think we probably have a few mor e wins in second half period for banking that we had in the first half, but by and large, it's BAU .

Vinay Menon: Okay. Thanks for that. And there any seasonality in Q4 for our overall software sales? Because I've seen last year also from Q3 to Q4 there was a bit and this year also it's similar. So any seasonality which you can give us an idea of?

Ashish Rai: Yes, I think the seasonality when it comes to the extent that we do focus on f inishing up the deliveries in Q4 and sort of preparing for starting of new projects. So from a sales standpoint, Q4 tends to be heavier. And typically what really happens is we focus a lot on finishing up the projects because a lot of collections and payme nts are linked to project go-live. Right, so to the extent that Q4 would always be focused more on collections and finishing up the deliveries rather than trying to sort of accelerate through internal deliveries. Right, I think so that is the seasonality. The way it happens is a lot of sales, I would say 40 % odd of the sales happens towards the tail end of Q3 and Q4. And just the nature of the project delivery, typically most projects will go on for 12 -14 months. So by the time you get to next Q4, you real ly want to finish up the project deliveries, the milestones, and actually collect. And

that sort of comes for
the functionality both in terms of cash as well as terms of revenue.

Vinay Menon: And we have put up an update that we opened two labs for Arya .ai, one in Paris and one in Mumbai. So can you throw any light on what kind of revenue can we get from this and what is the idea of establishing these two setups?

Ashish Rai: Yes, so the labs specifically are around AI interpretability, around explainability. Look, from a revenue standpoint, we feel very good about thes AI led offerings. There are basically three legs to it. One is we are together with Arya , we are looking at AI enabling the whole application stack that leads to the k ind of win rates. For example, we are seeing on transaction banking where we basically are in Asia pretty much the most winning product today and a lot of it is thanks to integrating the AI capabilities with the core application products. That's leg number one. Leg number two , is the Enterprise AI offerings where we are going in. This is through Prism, this is the pre -trained models that we start with Apex . This is where we go in and enable Enterprise AI within the banking world and other larger enter prises that we go into , that is number two. And number three is the AI interpretability explainability , which is actually deep research. So we probably run one of the top AI explainability labs on the planet, certainly the top lab in Asia, but truly on the top 5 or 6 labs anywhere in the world, publishing our own original research, publishing our own algos. This is where I think we saw a benefit in expanding the lab to Europe. One is the depth of talent available in France. But the second also is with the Europe AI Act, there is a lot more regulatory maturity and demand from the banking world around it. Right? Now all these three pieces, put together there is a significant demand that we

go after but the research side sort of is more of a long play which is where we intend to lead the world in terms of AI explainability in terms of interpretability and the enterprise AI is more here and now the application space is more here and now so these two sell now and will come for demand while the research si de will contribute over the years. Hope that helps.

Vinay Menon: Okay. Thank you for that. And one last question from my side . One is you had mentioned today that you know we are planning to expand into Europe in a big way and you are seeing 7 %-8% revenue coming from there. So what is the strategy then? Would that kind of put some pressure on our cost because you know it's a new segment for us, a new area for us ?

Ashish Rai: Yes, so good question. I think Europe, we feel we are ready for, we feel it would b e a significant growth driver for us over the next 3 years and Europe is many countries, so it obviously varies, depending on where it is. But we see a very strong alignment with our AI focus, especially with the maturity, regulatory maturity there of AI. We feel a very strong demand pipeline that we've built out over the last 4-5 months on Transaction Banking , on lending. So I think it will really be a very key driver of growth for us. What are the investments we've made? We built out a first rate sales channel in Europe over the last two quarters, led by Tom Cli pston and there's a lot of talent that's coming there. We of course have a really mature delivery capability built out through Fenixys as well with good presence in France, good presence in Norway , in the UK. And we are investing a lot now in terms of readying the product set for the market. I think by and large our products are big and competitive but when you go into a new

market there is always
some level of product build out that needs to be do ne to integrate with the local payment systems to make it ready of that stuff , right. So I think you are right , it will probably be especially in the first half of the year put a little bit more pressure in terms of investments. I think for us it's a very significant investment but I think that is needed to capitalize on the long -term opportunity and a large part of that increase I think can get absorbed by the improving economics for the software side of the business at least . As I think now there is a lot more momentum in terms of wins on the banking side or lending or transaction banking or interact and which basically results in an improving economics on these products. So a large part of this increase in investments can get absorbed by that impr oving economics. So I think we , overall I think this would be a significant driver of growth for us and these are investments that we will make today to grow the business in the long run .

Vinay Menon: Thank you so much, sir. That is all from my side.

Moder ator: Thank you. The next question comes from Mr. Vimal Gohil. Please introduce the firm you represent and go ahead with your question.

Vimal Gohil: Thanks for the opportunity. This is Vimal from Alchemy Capital. Sir, I just wanted to understand your outlook for coming here a bit better. Given the whole, given the structure that you have provided us with, at one point in time, we have a very strong Rs. 1,400 Cr worth of orders in hand, which is a 40 % growth on a YoY basis . I do understand that t he execution timeline is

about 4 to 6 quarters, but on the whole what I see is for FY 26 we have the Fenixys acquisition that will kick in which is about 7 % of growth ? The second one will be Europe . I don't know if 7%, when you say Europe to be 7 % will this be including Fenixys or will Fenixys be incremental , I am not too sure on that . Additionally , you have also been very positive on the United States as well that will also kick in . So on an overall basis , our revenue growth in fact should be exce l, I am not saying that we've done badly , but what I am trying to say is that our growth rates could be meaningfully upwards of 30 %. So where am I missing ? Where is my math going wrong somewhere if you could just explain that ? That's point number one . The second point is your outlook on free cash . We've done a good job this quarter. We've pulled back from 120 odd days to 95 days. But what I would want to really see is meaningful growth or your OCF growth, mirroring your EBITDA or your revenue growth. T hat is what I would be looking for, which probably has not transpired in this year. But if you could just help me understand how would FY26 look like. Then I have a couple of data points which I will ask later. Thanks.

Ashish Rai: Okay Thanks . Look on the outlook as you have noticed I have not given an upper band. So look I feel good about being able to grow north of 30 %. I think you are right about the order book. It is it is fairly strong at the moment . The pipeline is also very good at the moment. I think the constraining factor for us continues to be one - capacity , second - how much do you really want to do without taking unnecessary risks in delivery , right? I think there is a lot of positives going into this year. The demand environment i s very good. The order book is very good. The team is fairly steady and we have grown capacity. I think in terms of number of people, grew about 50% last year. So, we've been hiring, we have been building capacity. I would say let's navigate the first hal

f of the year and probably in Q3 discuss whether there is a meaningful upside. I don't think either the order book or the demand or the constraint that we should be looking at. I think the constraint is that you should be looking at is how can you really deliver while keeping the delivery reputation intact. I think in this business, so one we have a core DNA to always make the customer successful, Auriopro never fails in delivering . Second, as we grow, as we scale globally, I think the differentiability, t he extent to which you've been able to make the customer successful really is sort of the most significant factor when it comes to really going out in the market. So I think, when you look at constraint from that standpoint, and that's why I say 30 % or nor th of 30%, I mean north of 30 % could be any number you can model , right? But let us let us discuss that in a couple of quarters. I think there is a lot of post use going into this year. Fenixys , so the Europe number that I talked about is a couple of point s. So it is a couple of points over the Fenixys number, right ? We have built out the organic sales channel. We have also been doubling down on partnerships with a number of our vendors. That again is something that we are planning. I think when you are gro wing at 30 %-35%, the pace at which you are taking on new projects, the pace at which you are selling, I think it does put a little bit of constraint in terms of how accurate your planning is , right? And I think that's just the reality of the game. I mean, can throw a very precise number, but I think I would say let's navigate for start of the year. I am sure it will be a very good first half of the year and then let's take call on whether there is a meaningful upside and hoping that is.

Vimal Gohil: So Ashish, just one clarification there . When you talk about north of 30, are you including

Fenixys or this growth of 30 will be or completely organic?
Ashish Rai: I don't know. I am including everything.
Vimal Gohil: Okay, so including Fenixys you're saying that north of 30.
Ashish Rai: Yes, we will be talking a number of about 1 ,550-1,600, Fenixys l et's say is 5% thereabouts, slightly less.
Vimal Gohil: Yes, 7% right now. If assuming that you are a 30 your organic growth turns out to be 20 %-25%.
Ashish Rai: I think it's thereabouts. I would say so right now the number that we planned is the planning number overall. So we will grow north of 30. How much north it could be is let's leave that for the next couple of quarters.
Vimal Gohil: And free cash, question on free cash?
Ashish Rai: Yes, so on the cash side, look, I think we've been really executing with a lot of discipline. A lot of focus went into Q3 and Q4 in terms of making the clients live and collecting. So the way it happens in the product business is just by the nature of the business, the payment milestones are not like, for example, services projects or stuff, a lot of payment is skewed towards taking the client 's live. W e focused on it significantly in the second half of the year , I think it was qui te successful . We will continue to do that . DSO climbing down from 120 to 95 I think is a sign of that. I feel a 95 DSO , I am not convinced is totally sustainable . I think probably some thumb number in 95s will stay . If you are going at 35 % and Q4 is the heaviest quarter there will always be a lot of bills outstanding. Right? We expect that Q4 is 30% of the revenue or more. Right? So it would be, you will always have a significant amount of invoices out door , especially a lot of them leaving on the door on the 31st of March. Right? So I think th

at would always be the
case. Should also not expect, a mature , a startup size growth and a mature company kind of cash flow , right ? I think it's just the nature of how we operate the base at which we are growing . I think you know there will be like I said , so this is what I said in the previous course . What I said was I feel we will be able to convert 55 % to 60 % of EBITDA to cash normally in normal year . Last year , net of tax I think we conve rted close to 80 %. Right? I also don't think that should be normal and that should be expected all the time. We will try our best to really wrap up deliveries and connect as quickly as we can. But I feel the normal number is somewhere between that 60 and 80 at the pace at which we are growing . Right ? So I think that's how to look at cash flow. I mean, if there's something very specific, I am happy to answer that. But I think the team did a fantastic job in, especially in second half of the year. Just the sheer scale of project deliveries and the size of the projects that you have taken on, keeps on increasing every year. I think we did a fantastic job in terms of, I would like you to decide that, I think the

team did a fantastic job in terms of at least wrapping up the delivery and converting more days into cash .
Vimal Gohil: Fair enough. I will take the details offline from you on FCF . Just one data point was if you can highlight what would be the portion of license revenues and implementation /consulting revenues if at all there are, would you like to quantify that or if not quantify if you can just give us some sense as to which division do you place those in , our product license revenues and implementation revenues is what I am checking ?
Ashish Rai: You mean what was the license revenue in Q4 or full year?
Vimal Gohil: Yes, so you can give me any number . For the full year how much was our license revenue and how much was our implementation revenue for our core banking products like iCash pro etc.?
Ashish Rai: So look on the banking products I would say license revenue was something in the range of 30%. Right, so some of it I would say roughly half of it coming from new logos , the other half coming from existing accounts to volume sales and some of it --
Vimal Gohil: 30% of banking or 30 % of overall .
Ashish Rai: No, banking.
Vimal Gohil: Okay. I understood. So 30 % is licensing. Is it?
Ashish Rai: Yes, 30% is license and that is split roughly half and half between existing and new .
Vimal Gohil: Understood . Thanks a lot , gentlemen. I will come back in the queue .
Ashish Rai: Thank you.
Moderator: Thank you. The next question comes from Mr. Anmol Garg . Please introduce the firm you represent.
Anmol Garg: Hi, Ashish. Ashish , had a couple of things I wanted to understand. Firstly, if we look at this quarter, think there were two large projects which were kind of ramping up. One was the Panvel municipal one, and I think that was the SBI one. Now assume that a large decent amoun t of revenue should be coming out of both these projects given that these projects were larger in sizes. However, if I look at our banking space where the SBI contract would be executing that particular piece has declined for us in this quarter. And this i s despite I am assuming one month of incremental Fenixys revenue that would have come in this quarter, which would be 6-7 crores or so. So what exactly has led to this dip in the banking space? Is there any project which

has kind of ram ped down during this particular quarter, which might be at completion of that particular project?

Ashish Rai: Hey, thanks a lot. So look, you're right about the large projects. So, Panvel , there's a lot of executions that happened in Q4, did translate to revenue . SBI, there's a lot of execution that's been happening right through the years. And some of it has translated into revenue, but it is a multi -phase delivery. So, to be fair, I think that one, from a revenue contribution standpoint, a lot of it goes into this yea r. Then, there is no real ramp down on the banking side , but I think right now there is just a lot of projects going on in parallel that need to translate in the first half of this year in terms of actual finishing up of the projects. So there is a number of deals, large deals in the Middle East that need to get executed. There were wins in Sri Lanka that need to get executed. There are obviously the large projects in India that need to get executed. There were lending wins in Southeast Asia that nee d to get executed on. So think there's just a lot of projects going on in parallel on the banking side that need to finish up into Q1 and Q2 and sort of convert. It's not that they're not converting into revenue, but those have been the initial milestones, including SBI as well. I think the team has done a fantastic job in terms of executing on it, but a lot of it should still be optimized for greater efficiency . I think that is the sort of whole thing. From a project standpoint, there is only a ramp up, there is actually no real ramp down. The number of projects we are executing in parallel today and if you compare that to 12 months ' back, that's probably 70 % or 80 % more than what it was. So there is just a lot of projects, a lot of projects sort of happening on the banking side in parallel right now and they will all convert to revenue as the mile stones allow right. So I think there is not a lot to be read from one quarter to next in terms of revenue. I think we should always look at it in 3-4 quart er chunks because that's how project executions happen. There is really, I will not read anything into movement from one quarter to the next.
Anmol Garg: Understood , Ashish. So from that perspective, should we assume that some of the projects which would be started to execute in FY26 that can possibly excel banking growth faster than that of TIG in FY26 and does that your 30 % growth guidance would that mean that the banking might grow at a faster pace versus TIG over the next year?
Ashish Rai: So banking, if you look at last year, banking grew 34, TIG grew 30. This is not a meaningful difference in growth rates. It sort of basically comes down to execution. TIG did have a slow start. How would it pan out next year? I would say both t he businesses would be more or less neck -on-neck . Banking may accelerate a little bit faster, but not by a very large number. I think banking software business , I don't know of any banking software business at least in the 3 years ' period that's growi ng at 34 %-35%. I think that's a very strong level of growth. I am fine in a quarter or two going to a 40 or a 45 but I would hesitate to really meaningfully accelerate than this. I think I think there is a fundamental risk in trying to integrate fast beyond this 34 %-35% we are already doing it. So I would not set the expectation that it will grow. I think we did discuss a little while back things like Fenixys etc. contributing to something addition . I think that is possible . Organically , I would really hesitate to accelerate beyond the 34% -35% but inorganically we will grow meaningful.

Anmol Garg: Okay, u nderstood . And one last thing from my end . So we have done a fantastic job in terms of the OCF generation for the second half of this year. First half was negative, but we have really pulled it off in the second half. Would it be right to assume that is there any seasonality in our OCF that the second half of the year usually have better cash flows versus the first half of the y ear? And also if you can tell me that what exactly led to strong kind of OC F in the second half of the year versus the first half ?
Ashish Rai: So look , I think good question , and I think we've discussed this probably over the last couple of years as well . I think most of the times when we get into the yea r, once you get to middle of the year, there will always be a little bit of stress on cash by the time we get to end of the year we will do a lot of conversions . I think the reason for that by and large is a lot of sales happens in Q4 , a lot of project execution takes 10 months to 12 months. So by the time we get to the next Q4, a lot of execution is getting done, lot of cash is getting collected, right? So I think to that extent, there will be some seasona lity in terms of collections and converting most of that into cash. I think that is just a natural skew in the business because a lot of sales happens till Q4, hence a lot of the project happens the next year till Q4, right? I think, and mostly Q4 and not on Q3. So, yes I mean to that extent I think we will have the same thing and we had the same thing the last couple of years. By the time you reach the middle of the year there is always a little bit of stress while the projects or in middle and by the time you get to a lot of that gets

into cash.
Anmol Garg: Understood, Thanks , Ashish , for answering my questions and best of luck.
Moderator: Thank you , sir. The next question comes from Debashish Mazumdar. Please introduce the firm you represent and ask the question or give comments.
Debashish Mazumdar: Good evening. So, I have 2-3 questions , first on the segmental performance . Our two reported segments normally masked around 5-6 segments under it. So if you can kind of give us some idea and understanding that how those sub segments have delivered last year ? And what is the expectation going forward? And when I say sub segments in case of banking, I am trying to understand software and hardware. In case of TIG, I want to understand the travel and the data center piece of it. And if you want some more sub segments, that will be very helpful.
Ashish Rai: Yes, Debashish. Y ou're right. I think both these segments have roughly half of the P&Ls under them and each of the P&Ls is the most responsible for its own delivery. On the banking side, I think the hardware and software view is a hard ware which is not that much . Hardware i n banking side, a nyways . So it's either a sort of a one -off license revenue versus software, service versus service. So both of them are one -off versus what is recurring or near -recurring. I would say that's roughly 35, 65. So 35 on the one -off side, and 65 on the recurring or near -recurring side. I think banking, the way I would look at performance is, what are the product lines that are growing ? I think transaction banking is really the standout line. We have an astonishingly high win rate in that space. Probably gone more deep than anyone else in that space in Asia

and the next vector of growth for us to expand it more aggressively to Southeast Asia and

Europe. Lending has grown very strongly. We've increasingly become a full spectrum of lending players. We were always very strong leaders in Asia on the corporate lending side and now with Omni fin we've expanded into the retail lending, digital lending side. I think that side again continues to grow for both corporate as well as the retail side of the business. Again, the growth factor is keep doubling down on the home markets in Asia, but expand into Eu rope. And then I think the other lines which have grown , Interact, for example, has grown pretty strongly, obviously from a smaller base than lending and transaction banking. Arya 's AI offerings really, I think one , they've grown strongly, but the second is there's just an astonishing amount of demand. So we need to really scale that side of the business and really accelerate it to a point where it takes.
On the TIG side, Transit, I think contin ues to grow strongly. We of course, announced the big wins in India, the Delhi Metro and Chennai Metro. I mean, more than big, that's like very prestigious even the homegrown IP. We probably today have the most integrated end -to-end stack in the transit space, transit payment space. We have probably one of the most advanced R&D setup in terms of building out our own I P both on the hardware side as well as the software side. We've ironed out the chain in terms of manufacturing as well. So we are really a very strong, very efficient data space who will increasingly scale and grow globally. We are doing well in America s, we beginning to do well in Europe. We are picking up larger deals in India and I think again the pipeline is really strong , so you see us w ith a lot more significant wins on the transit side. It grew well last year and it's also beginning to, I think the economics with our scale now is beginning to show and that will again continue, the economic model will continue to get stronger as we scale that business.
The data center side, I mean really that is a space where there is more demand than anyone can meet. It's more a question of I think we continue to grow at 30 % plus in that space and that's what we will continue to be very selective on the business that we take on. We have one of the strongest data center design teams in the country today. We will continue to leverage that to move for the more complex high margin work and we will continue to work towards building out our own IP in that space as well so that we can get the non-linear economics like we get at the transit side now. Right, so I think that's essentially what I would say both the businesses are key road drivers for the TIG side and I think we feel very good about going into it.
Debashish Mazumdar: Sure , good to hear that. Just a follow up on this question. So if we see last 1-1.5 years , in cas e of banking licenses kind of tied up with few large global players to able to get into the global markets more effectively or quickly . At the same time if I see the TIG space , we have tie up with MasterCard for certain execution , then we also entered into the travel space of US with one particular city. So just trying to get some sense that despite all those initial wins if I see India as percentage of revenue it has gone up . So just trying to understand where those initial successes

were not followed or it is like India has so much of potential and growth that we focused back on Indian market and impact market, which is our strong area ?

Ashish Rai: For us, it's not a question of prioritizing one over t

he other. It's more a question of what wi ll
maximize the long term, I mean how do we really live up to the potential size of the business and which really means over the long run we do want to be present in most spaces where the demand is. I don't think there's a meaningful change in India versus the world. I think it's roughly been 60 -40 for some time. I think it will go up or down 1 or 2 points depending on execution, but that's not a meaningful shift in either direction. I think for any business g rowing at 30 %-35%-40%, I don't think y ou can look at a 1% shift and sort of say that it's indicative of anything. I think it's indicative of anything , it's just that we don't know what we don't know and having done the execution changes. I think we've not been able to meaningfully change that mix mainly because while the global side has grown strongly, you are right , India continues to grow very strongly and there is just so much demand in India that if you really did the mix, it sort of the global side grows 30 % and India also grows 30 % right ? So think that's been the story over the last 3 years. So 4 years back when we started this pivot , FY21 we were at Rs. 375 Cr business. This year we are guiding to a Rs.1,550 Cr something between Rs. 1,550 Cr and a little bit more than that. So you basically gone up 4x since then. The 40 % global pie is also gone up 4x, the 60 % Indian pie is also gone up 4x. So I think you know will that mix change? I feel it will this year. Thanks to a little bit more growth in Europe, a little bit more growth in US. It will probably shift a little bit now but I think it's not none of it is by design . Our long -term goal is I think of Aurionpro as a fairly decentralized group of 12 -30 odd P&Ls divided into two large segments . Each of these products has its own destiny . Each of these products has its own market and the only thing that we think about is how do I maximize the potential for this product ? part of that potential lies in leveraging the market , part of it lies in India . And for individual products, the mix is different. Some products may be 70 % outside of India and only 30% in India. Corporate lending is like 95 % outside of India and only 5 % in India. So, you know, it varies from product -to-product. But by and large, th e goal is to maximize the potential outcome for each of the products. There is no design of India versus the world or somewhere like wherever the potential for the product is, is where we will provide . The mix hasn't changed meaningfully. So I would sort o f contest that that 1% up or down point a little bit. It will change this year. Thanks to Fenixys and Europ e impact and all that stuff. But India will still grow. I don't see any slowdown happening on the India side.
Debashish Mazumdar: Underst and. I just asked this question because if you see most of your product peers originated out of India . They always kind of suffered in creating impact at the global level. After a certain point, they were not able to scale global businesses. So once you articulat ed the strategies of kind of global partnerships and those scale models, I thought that the global business would be scaling much faster than or at least would scale much more longer than my competition would have faced the problem in the past or even facing the problem today. Is my understanding correct that those models are working because as you rightly said that all said

and that the global businesses are growing at 30 %-35% which is not the case for other companies. So just trying to understand are those models that you initially struck deal with are those w

orking and they are kind of hitting the success for us?
Ashish Rai: No, I don't know of any peers who are growing at 30 %-35%, educate me. By and large I would say the formula that we have is cert ainly working. There is no one unique path to getting to that superiority when it comes to a business model or when it comes to a product. I think ultimately we have a playbook , that playbook involves being a wider ecosystem player that can work together w ith a lot of other fintech vendors , that is slightly different from what a lot of other firms in the industry have chosen to do and I believe strongly in the power of operating in that open ecosystem , in the power of being collaborative with other vendors so that the sum of the value that we add together for the end customer is not more than the individual parts. Right, so to that extent we will always be very collaborative with a lot of other large fintech vendors and we will also build our solutions in a way that they can play in the wider ecosystem. It does not mean that our organic sales channel is not growing or not expanding, I think we've expanded that very methodically. We have a channel that probably is way more efficient than I would say at least the industry on average. I don't just mean the Indian peers, I mean we really benchmark ourselves against the Indian peers, but most of the global fintech vendors, I think our channel has proven to be probably more effective than average and that will continue to be the case. The additional leverage that we get from collaborating with some of the other vendors whether it's on the TIG side, whether it's transit, whether it's relationships with Mast erCard, relationships with Finastra, or Murex, I think we will continue to leverage those, right? So that will add to the effectiveness of the channel overall. I think, I mean the truth really is in the last four years of execution . I don't know who else h as grown 30 % plus four years in a

row, right? And whether longer term this model will work , time will tell, right? We will do our best to execute as effectively as we can. We feel confident we have a superior model. We feel confident we have the talent and the team and the strategy to build superior products. And ultimately, a lot of success in this industry starts and ends with products superiority. You get to the best product in the world, a lot of other problems get taken care of, whether it's collab oration through c hannel or even by your sales team. A lot of success starts and ends with products supe riority. We know and we are increasing th e to being that we know how to build products which can exceed everything else in the market and that's what we are focused on long -term success. let's see .

Debashish Mazumdar: Great. Can I go with one last question?

Moderator: Sorry to interrupt you. Can you please join back the queue , sir?

Debashish Mazumdar: No problem. Thank you so much. Thanks, Ashish. All the best.

Moderator: Thank you . We will now take a few questions from chat. I hand it over to Ms. A ashvi. Over to you, ma'am.

Aashvi Shah : Thank you, Madhuri. One question from Mr. Varun Mohanraj. We are currently using Arya.ai for providing AI capabilities to our fintech products. What is our three -year strategy for Arya.ai ? Like will we be able to provide AI capability for third -party products outside Aurionpro ? I wanted to understand the thought process behind Arya.ai for the next three years .

Ashish Rai: The goal behind what we are trying to do on the AI side is the following. For the last couple of years we've been saying that and slowly the industry is coming around to th

at logic that bulk of the value creation when it come s to AI and hence bulk of the value capture will happen on the application layer. This is where you have large banks, large financial institutions, large enterprises using real applications from their actual business process that creates value in the enterprise. This is where the application of intelligence will add value. We have been in the enterprise application space for a long time. We understand that space very well. And Arya .ai brings really grown up mature capability to help bring these interventions on an application chain. Right? So, which is where if you go at 100,000 applications , you got front end and you got some sort of a deal , you got a workflow where there 's a whole bunch of approvals, checks, decisions getting done, you got a back office, you got record keeping, all that stuff, right? If you can really bring together every decision point of the workflow with the kind of intelligence that you need, it could be agent , it could be a blend of rules and ML, it could be a human getting an input from an ML model, that is where you really sort of enable the application layer. So that is one leg of value addition for us, which is where we feel we have a more mature capability than anyone else that we know of in terms of enabling that. I mean, anyone else that we know of in the application space. This is where Arya.ai adds huge value. Will we do that for other products? Probably not. Are we doing that for our products? Yes. Is that showing up in terms of win rates? Absolutely yes. The reason we have win rates which lead the market today, a lot of it is that because we lead, whether it's Transaction banking or it's lending, we lead in terms of bringing out AI-based products to the markets. That's like number one. The other space where we do feel we can make a significant impact, we can come up with a real breakthrough result is AI explainability , AI interoperability. We, know, we're a team, I th ink we run for the most advanced AI explainability last on the planet today. Probably , we are one of the top 5 research teams. We are probably seeing a lot of work in research. We believe that is an area which is really needed in terms of especially the re gulated industries. If you look at banking, look at insurance, it's not just a question of getting a model to give you an intelligent output. Data to model is easy, model to production is very, hard. How do you really convince the regulators that what is c oming out of the level, how do you account for bias, how do you account for really the accuracy of compliance regulations, all that stuff, right? This is where, at least in India, we're probably the only ones publishing original research in the space, we'r e collaborating with a lot, we extended the lab out to Paris.

I think this is an area where we can absolutely try to lead the world in terms of where this goes and that's sort of over the next few years going to be a significant leg of expansion for us on the AI side, right? The third major area is the Enterprise AI offerings , which is where we go in

and work at an enterprise level, not at an application level, in terms of bringing in AI capabilities. We've done a lot of work around specialized language models. We've done a lot of work around pre-trained models which come out through Apex , which is again, we've got a fairly large catalog there. We work with probably 100 plus clients in various shapes or form on that right now. So that's the third area we will add value. So think overall this is still a game and it's like first over . A lot of value creation lies in the future. A l

ot of value expectation is probably
not correct. I think as we play this out over the next few years, this will be a very significant driver of growth for us . I know everyone wants to put a number against it, right? On how big can this be, how thousands of crores can this be and all that stuff but we are r eally not in that game. I think it will grow strongly this year. The applications will generate a lot more everywhere because of Arya.ai interventions and we play this forward the next 3-4 years. I think our plan will be to really generate some breakthroughs in this space and be one of the top firms globally when it comes to operating in deregulated industries beyond the enterprise AI side, right. So we will p lay to win. We don't know how big the price is. I don't think anyone knows how big the price is, but we are p laying for it and we p lay for it with a lot of energy and a lot of interest .

Moderator: Thank you, sir. The last question comes from Mr. Raj amohan. Please introduce the firm you represent. Please go ahead with your questi on.

Rajamohan: Thank you for the opportunity , Ashish and congratulations on yet another robust quarter as well as year . You have in the past indicated to one of the biggest factors occupying management mind space is finding the right talent and in ample nu mbers. You also indicated to capacity constraints to an earlier answer in this call. In this context, how is the progress on the ground in terms of getting talent? Can you give some color on whether the leadership bandwidth that you currently have is enoug h to hit that point of inflection and it is only an expanded team that is needed for execution?

Ashish Rai: That's a great question and I think both those continue to be the biggest determinants of success I suppose as we go. I think we built out the first rate management team. We are probably one of the very few firms who really gets CVs from the top global fintech vendors and that too very senior level CVs. We built out the whole Europe set up right now if you look at it. It's extremely senior talent . Most of them worked for me in the past and I know personally that they're talented and sort of handpicked by me , come in and then build out the channel and very, very strong people with CV strong from the large global tech vendors. Same thing in Asia when we're building the channel out, I handpick ed people who came in in terms of what he was set up again ensure continuity , etc . I think to some extent, we are really very attractive to the real top talent in the industry which sees us as a very differe nt, a very R&D focused, very client focused firm trying to build out a global enterprise fintech player with a difference relative to the large global fintech vendors who obviously they're all very good and some of them are very experienced, but are very l arge and probably the innovation is less . While we move fast , the room for innovation is a lot more and we really build out top tier products

without too much bureaucracy around it. And the old decentralized nature of Aurionpro also helps because you know instead of big general managers trying to do lots of things you can actually focus on the product, focus on the much more micro level. It allows you to think in a lot more better form. So I think we have done very well in terms of the talent we brought on, the senior managers we brought on so far. We still a Rs 1,200 Cr firm. Do we have the talent , when we will be a Rs. 5, 000 Cr firm, do we have the talent to run Rs. 3,000 Cr firm? Probably not. Right? So we will need to continue to work on this. Right? And I do not want to really un

derstate the significance of this challenge. What we are trying to do is something that's not been done before to my knowledge at least. There are no scaled up Asian enterprise tech players who play on a global scale. The re are none that I know of. We are still a tiny mosquito in a giant industry. We are a very competitive, very fierce mosquito, but we are still tiny. And as we grow, we will need to be very attractive to top tier talent who really wants to come and do their life's work in a place like us. Building of software is not exceptionally hard. The difference between teams which manage to build t he best product in the world and the teams which look like they're doing the same thing but never succeed is knowing what that best product in the world looks like. And that knowing comes from talent. So I think it will continue to be a challenge. It will continue to be my number one mind space item. I think we are better than most of the peer groups for the scale that we are at. But this is something that you tackle all the time as we grow and will continue to be focused on it. I mean it's a very long answ er to this question but I think this is the single biggest determinant of success and we will stick with this.

Rajamohan: Thanks for this answer , Ashish. A nd I think you will also create a virtual cycle as you keep growing bigger to attract probably better talent. My second question was you have indicated to many of our products firmly on the path to becoming industry leaders in the domain in your comments in the earnings release. Though broadly we know the products like corporate, transactional banking, AI , open loop, data centers, this that and all. Can you name the top few? products and as we complete one more quarter and one more year for that matter , are we more confident on hitting our first inflection within the next three years which could lead to in excess of the 30 %-35% growth that we are robustly doing?

Ashish Rai: Inflection points are easy to draw on excel sheets. It's very hard to predict when that happens in real life. I feel confident that some of the products will hit those over the next few years. I will really be overstepping my prediction ability if I tell you it happens in the next two years or three years. I don't think it works that way. So there is no point in me setting expectations that can't be. Which are the products? Transactio n banking , I am confident we will have other top products in the world competing at that level in due course . I think we are proving that in terms of win rates. We are proving that in terms of road maps for the next 2-3 years. W e got a very solid game plan , we will really have a solid product . Corporate lending , we are corporate loan originations , collateral bank of the banking book, limit management of the banking book . We have the top product in Asia today . I don't think it's a big stretch to go out and make it the best

product in the world . It doesn't mean you will be topped by market share . In this business , displacement doesn't happen so easily but we will get to one of the top products in the world on th e lending side . Transit, I mean, I feel very confident with the AI offerings around Arya . I feel confident we have a really top team with top talent going after a meaningful problem. They have the talent to get there. The world is full of, they're like 10 million people with one year of experience on AI. There are a handful of teams which really have been focused on this for the last 12 years in the financial services world. This is the real deal, I feel that the Arya team will really create breakthroughs as

we grow . Those are the ones I would list down as products if you say which can really get to the top globally. When Google's inflection points happen, will it happen for some products? I feel confident it will. When will it happen? You don't know what you don’t know.

Rajamohan: That's great. Final question is in Arya.ai we have acquired 67 % in a cash deal. Is the balance 33% held by Vinay and his co -promoters? Are they also showing any inclination to convert their holding in Arya.ai into Aurionp ro shares or will they be cashing out?

Ashish Rai: That's not something I can comment on. Look, I think both the co -founders are extr emely motivated to build out o n the top of the world. W hat is the inclination , it’s not worth discussing.

Rajmohan: Thanks a ton . Ashish . You really inspire us. Best wishes.

Moderator: Thank you , sir. There are no further questions. I now hand over the floor to Mr. Ashish Rai for the closing remarks.

Ashish Rai: Thanks , everyone. Last year was good. We know what we have to do. We will stay focused on building out the global players that we set out to build. And I look forward to seeing you next quarter. Thank you very much .

Call: Jul 2025

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July 28 , 2025

Sub: Transcript of earning call held on 23rd July, 2025 for the Q1 & FY 26.
Dear Sir/Madam,

In accordance with Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed transcript of the earning call held on 23rd July, 2025 for the Q1 & FY 2025-26.

Kindly take the above information on record and confirm compliance.

Thanking you,

Yours faithfully

For Aurionpro Solutions Limited

Ninad Kelkar
Company Secretary

Encl: as above

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Script Code: AURIONPRO
Aurionpro Solutions Limited
July 23rd, 2025

"Aurionpro Solutions Limited
Q1 FY26 Earnings Conference Call
July 23rd, 2025
MANAGEMENT: MR. ASHISH RAI – GROUP CEO & VICE CHAIRMAN
MR. VIPUL PARMAR – CHIEF FINANCIAL OFFICER
MR. NINAD KELKAR – COMPANY SECRETARY

MODERATOR: MS. AASHVI SHAH – ADFACTORS PR – INVESTOR RELATIONS

Aurionpro Solutions Limited
Q1 FY26 Earnings Conference Call
July 23, 2025

Moderator: Good evening, everyone. On behalf of the company, I would like to welcome you all to Aurionpro Solutions Limited Earnings Conference Call for Q1 FY26.
Today, on this call we have with us from the management Mr. Ashish Rai, Group CEO; Mr. Vipul Parmar, Chief Financial Officer; and Mr. Ninad Kelkar, Company Secreta ry. We will begin the call with a brief opening remarks from the management, followed by a question -and-answer session.
Participants who wish to ask questions through audio and video can do so by pressing the raise hand icon on the bottom of your screen a nd wait for your turn to speak. When prompted, you can accept the prompt on your screen, unmute your audio and video and ask questions or give comments. Participants who wish to ask questions via chat can click on the Q&A icon on the bottom of your screen and post your questions.
Please note that certain statements made during this call may be forward -looking in nature. Such forward -looking statements are subject to certain risks and uncertainties that could cause the actual results or projections to diffe r materially from those statements.
Aurionpro Solutions will not be in any way responsible for any actions taken based on such statements and undertakes no obligation to publicly update these forward -looking statements.
I would like to now hand over the call to Mr. Ashish Rai for his opening remarks. Thank you, and over to you, sir.
Ashish Rai: Hi. Thanks. Good afternoon, everyone, and welcome to earnings call for Q1 FY26. I am sure by now you have all received the investor deck, and I hope you had an opportunity to review it.
I am pleased to share the results for Q1, which show another quarter of consistent performance with revenue as well as profitability remaining within the guided range. While our businesses do not have a large seasonal skew, Q1 ty pically is a softer quarter for sales, especially for the TIG segment. So keeping this in mind, Q1 was a fairly successful quarter for new sales. And we have largely maintained our growth trajectory driven by the strength of our sales channels and the disc iplined execution by our teams. This performance is a great testament to our focus strategy, and the continued commitment and dedication of our teams.

 Coming to the financials. Revenue for Q1 stood at Rs. 337 crore, marking a 29% year -on-year growth. EBIT DA and PAT came in at Rs. 68 crore and Rs. 51 crore, respectively, with margins pretty much within the guided range.
We have sustained margins despite significantly increased sales investments, slightly elevated R&D investments, and generally higher empl oyee costs, as you would have seen, driven by a rise in headcount following recent acquisitions, as well as annual increments and performance incentives.
While there may be some margin pressure in the near term, these investments are aligned with our long -term value creation strategy and will deliver strong returns over time. Overall, we remain on track to achieve our guided growth targets for FY26.
On the business front, banking segment delivered Rs. 192 crore , registering a strong 31% year -on-year growth. TIG posted a revenue of Rs. 145 crore, reflecting a solid 25% year -on-year increase.
This quarter saw a series of strategic wins, adding 16 new logos across key markets and facilitating our expansion into se veral new geographies, notably Europe, Egypt, and another place in Africa. These wins have further strengthened our order book, which now exceeds Rs. 1,450 crore, and we expect additional momentum in the coming quarters to further accelerate our growth.
We are continuing to invest heavily in R&D, so we can make the most of strong opportunities

ahead. FY26 will see a large number of new launches and product updates with an explicit intention of creating a highly differentiated enterprise AI offering stack, as well as one of the widest portfolios of industry -leading AI native applications in the market.
These investments, along with our efforts to grow our global sales network, will lead to higher sales and R&D expenses in the short term, but that will large ly get offset by increasing sales and better deal margins over time.
As a part of our strategy to expand our solutions and enter new regions, we also remain open to inorganic growth opportunities and this quarter was especially fruitful with Fintra joinin g

Aurionpro to help build a critical part of our strategic blueprint for trade finance.
This quarter, we also introduced our refreshed brand identity, which reflects Aurionpro Solutions shift into a product -first, innovation -driven, global technology comp any. With a positive outlook and a clear plan, we are confident in living up to the promise of this new identity.
With that, I hand the call back over to you and look forward to an engaging Q&A.
 Moderator: Thank you, sir. Ladies and gentlemen, we will now begin the question -and-answer session. We have the first question from Mr. Vinay Menon. I would request you to accept the prompt on your screen, unmute your audio and video and introduce the firm you represent and ask the question or your comments
Vinay Menon: Hello.
Ashish Rai: Hi, Vinay. Good afternoon.
Vinay Menon: Hi, hi. Good afternoon, sir. Congratulations on a good set of numbers. So just a few questions from my side. One is, employee cost this quarter has been really high in that. Can we interpre t that going ahead also, it will be at these kind of levels or was it just a Q1 kind of impact?
Ashish Rai: Yes. So look, there are two things. So first of all, I think generally, it would not increase. It was mainly a Q1 impact and largely coming out of o ne, some additional headcount due to acquisitions. Also because of the increments and performance payouts that sort of happened. So it will stabilize going into the future quarters. And there's also been a fair amount of increase, especially on the sales channel side between let's say late Q4 and most of Q1, which is where we have added up a fair amount of sales capacity in Europe. As I have said, I think in many calls before, we have been looking at it. So we had that capacity come online in Q1. We added some sales in North Asia, which again is a geography we are not present in. We added some additional sales in Africa, which is geography we are not present in. So we have added a lot of net new sort of geography. So that's also increased the overall sort o f expense bit, but now I think it's linear.
I think the way we usually build our sales channels is step jump. So I am not a huge fan of adding a sales guy here, adding a sales guy there. So when we decide to enter a geography, we make a step jump. So we have added six sales guys in Europe along with the supporting pre -sales and other investments that will enable that team. So that does cause a bit of a jump which is fairly significant on the sales side. I think sales expense has gone up almost 80% or so. But I think that is a one time step jump and then it sort of stabilizes and starts delivering the returns as the sales team performs.
Vinay Menon: Okay. That really helps. And on the R&D spend, what percentage was it this quarter?
Ashish Rai: Yes. So R&D, I would say something in the range of 9.2%, 9.3%, but that's more or less linear. I think it's slightly elevated than the usual trend line, but as a percentage I think it's more or less the same.
Vinay Menon: Okay. And margins are like, we used to be a 21% - 22% kind of a margin company. We have now gone towards the 20 -ish kind of margin.

So is that the margin going ahead should we look at 20% to 20.5% as a range going ahead?

Ashish Rai: No. So look, the guide sits at 20% to 22% on the EBITDA and 15% to 16 % on the PAT. It's very hard to calibrate that down to a smaller sort of band purely because of the size. I think right now, so talk about the sales expense, right, I think if we really do a material sort of investment, it will go wide within the band, rig ht? But by and large, we are not revising the bands, it will stay within the band but from one quarter to the next, it's hard to call.
Vinay Menon: Okay. And on the guidance part, sir, like we have done very good on the top line growth. On the bottom line, if we look at it, we grew over 13-13.5%. So will we go back to that 20% to 25% kind of growth from Q2 or will it be in this 15% to 20% kind of band , on the PAT perspective?
Ashish Rai: Yes. Look, I think the year -on-year comps they can vary because of various reasons. By and large, the EBITDA will stay within the guided band, right? What does that mean for a year -on-year comp, I think we can look at one quarter to the next, but it will stay between 20% and 22% more or less. And PAT will stay between 15% and 16% more or less. If I was to guess depending on the quarter you are talking about, I think you would be in the 20s or higher, not where it was in Q1. But the year -on-year comps can vary because of all kinds of reasons.
Vinay Menon: Okay. Thank you so much, sir. I will get back in the queue for additional questions.
Ashish Rai: Thank you.
Moderator: Thank you. The next question comes from Mr. Anmol Garg. Mr. Anmol, I would request you to accept the prompt on your screen, unmute your audio and video and introduce the firm you

represent and ask the question.
Ashish Rai: Hi, Anmol. Good afternoon.
Anmol Garg: Hi, sir. Hi. Ashish, a couple of things that I wanted to understand. Firstly, we have grown strongly in our banking segment in this quarter. So, what led to this growth? I am assuming that partially it's because of Fenixys, but that also adds only Rs. 14 crore, Rs. 15 crore. We have added close to a bout Rs. 34 crore in our banking segment during the quarter. So, is there any particular deal which has ramped up during the quarter? Can you talk about that?
Ashish Rai: Okay. Yes. Hi, Anmol. Thanks. So, yeah, look, Fenixys overall is not really that material to the number. I know there is a lot of fascination with Fenixys. I have heard that question a few times before, but it's like a 0.6% or a 0.7% on the overall top line. So, it's some impact , It's a non -zero impact, but it's not like a meaningful driver of growth at the overall level. Banking, so Q1, a lot of the growth is driven by the execution on the existing order book. I think that's been fairly strong. There's been good new logos on the transaction banking side that have contributed.

So, we announced a deal win in Sri Lanka, that's quite a meaningful win. We announced a deal win in MEA, I think that's been a meaningful contributor and we had fairly strong execut ion. The Phase 1 at SBI went live. So, as you know, a lot of our revenue gets skewed not so much because of sales, but because of when we can actually take the clients live, because it does tend to sort of come in only when we are able to make the client s uccessful, and it usually takes 12-14 months for that to come in. So, I think in that way, Q1 was a fairly useful quarter.
So, there is new logo wins for sure. So, like if you go back Q1 last year, transaction banking had no new logo wins in Q1, and whic h is normally what you should expect from Q1. This time there were three new logo wins in Q1, so it's actually a very strong start for the banking side. There was also a

meaningful win in UK for the AI side, which again is a banking AI play, right?
So, I think, yeah, so some of it coming from new wins, a lot of it coming in from project go lives. So, overall, it was a good quarter for banking. Q1 typically is a slow quarter for TIG. Last year, it was the same story. The year before, it was the same story. So TIG, typically the second half is always much bigger than the first half. And I think that's the same story continues.
Anmol Garg: Right. So, from that perspective we believe that TIG business would come back towards the second half of the year. But wou ld that also mean that our margins will be impacted in the second half of the year, given that now our base employee costs have increased, given that some hiring has taken place on the sales side?
Ashish Rai: No. I think margins should only logically, if y ou look at the trend over the last few years, it should logically improve as the revenue on the TIG side scales in the second half. So typically, every year second half is a bigger revenue year for TIG and a bigger margin year for TIG. So I do not think th e assessment that it will impact margins is correct.
And the banking, typically, I think the revenue scales and the margin sort of scales more or less at the same level. So generally speaking, H2 is a much stronger half for us than H1, but banking has les s variance and TIG has a bigger variance. Margin should only improve, I would say, as we get into the quarters, because the revenue scales up, the expense line does not really change that much.
Anmol Garg: Understood, understood. And lastly, in the Analyst Day you talked about setting up a factory for making some of the equipments within our TIG business. Just wanted to understand what is the scale of investments we are looking at for setting up this factory? And would this be a FY '26 investment or will it go beyond that as well?
Ashish Rai: Yes. So look, it will progressively ramp up. The goal for us is, as the business grows, move a lot more to the manufacturing capacity that we are setting up ourselves. So we scaled it up a little

bit in the existing facilities last year, we will scale it up a little bit this year, and then we will keep scaling it up as the business grows. So what really happens is as we move to our own manufactured items on the hardw are side, the margin profile of the business dramatically improves, that improves our rate of winning and that improves the margins that we make on those wins, right?
So we will keep scaling it up. I do not think in a single year it's a big CapEx planned. I would say over FY26 - '27, you are talking of probably Rs. 40 crore to Rs. 50 crore. So it's maybe Rs. 20 - odd crore incremental or thereabouts in any given year. But we will really be cautious in how we scale it. And that will largely be in line with ho w the demand scales up on the transit side.
So now we are beginning to get confident around the economics, especially in the Indian

market as well as the global markets where we export. And you saw the wins in Delhi metro, Chennai metro, etc. So we will sc ale up the wins and as the wins scale up, we will scale up the manufacturing.
Anmol Garg: Understood. And one last thing from my end is, earlier we have announced a few deal wins in, let's say, Maldives or California in terms of the transit business. But recently, most of the wins that we have announced here is coming out of India. So, is there anything that we are working towards in the international geography within the transit business?
Ashish Rai: Yes. So look, Q1 was actually pretty active for transit and we announced a deal win together with Mastercard in Egypt, that is a significant deal win. We are participating very actively across both America and Europe and you will see wins ramp up. I

think India, we were not participating for some time, because we really wanted to get the economics right. And now we are very confident for the deals that are coming in.
One, they are a combination of hardware and software, so just logically the economic profile improves. And second, with our IP and our sort of in digenous production even on the hardware side, the margins really shoot up. So now we are feeling a lot more confident about India. So we tested it a little bit last year with a few deals where the economic profile has actually dramatically improved. So no w we will scale up those wins as well, right?
But the international side will keep scaling up. I mean, transit is going to become one of the strongest end -to-end sort of offering stack globally. I mean, it already is one of the strongest end-to-end offer ing stack globally. The goal is to make one of the most prominent players in the transit payment space worldwide. So we will compete actively wherever we find deals which fit the parameters that we have in terms of the kind of deals we want to go after, whether that's America, whether that's Europe. We are also active in Australia. We are beginning to become active in some large deals in core Asia, and we will get more active in India as well.

Anmol Garg: Understood. Thank you so much, Ashish, for answerin g my questions, and all the best.
Ashish Rai: Thank you, Anmol.
Moderator: Thank you. The next question comes from Kunal Bajaj. I would request you to unmute your audio and video, introduce the firm you represent and ask your question.
Kunal Bajaj: Hello. Hi. Thanks for taking my questions. Congratulations on a good set of results. So, actually I had a couple of questions. So, as we discussed about the global sales network, as in what are the strategies we are taking place in setting up the global sales tea m? And also, can you provide a color on that?
And also the GTM go -to-market strategy for these new regions, is it on a similar line as to what we are doing it? Or any differentiation in terms of our go -to-market strategy for these new regions?
Ashish Rai: Yes. Hi, Kunal. Good afternoon. I like the video getting switched on, right, so those who can do it please do it. I do understand most people have the headphones in their ears and they will listen in and that's fine.
Look, global sales team, how are we expanding? The way Aurionpro goes about building its sales team is we build a box, wait for it to become successful. Then we double that box, then we double that box, right? So we like working as units rather than like individual sales guys. So earlier, we did the same thing in South and Southeast Asia when we built the sales team out four years back when we were pivoting. So that's one step jump in sales expense. Then that starts paying off, then we went to Middle East and Africa.
Another step jump, you saw the successes last year in Saudi Arabia, UAE, etc. Now this year, it's another step jump in terms of bringing the capacity online in Europe. I think we have an extremely strong sales team built out over the last three -four months in Europe. Very strong industry experts coming in on the pre -sales and the industry sort of thought leadership side and back that up with a bunch of sort of product resources out in Vietnam, India, etc., right?
So, I think the sales expense this year, purely because the expansion happened in Europe, we had a very senior salesperson join in North Asia as well and he's building a team out as well as expansion in Africa. All of those things together, I think the sales expenses jumped probably kind of 70%, 80% overall, but no w that's stabilized. And typically, the channel will start paying off in 12 to 18 months.
So sales cycles tend to be long. Of course, you all probably would have seen the first success in U.K. But typically, one shou

ld expect four, five quarters before th e sales investments start really

flowing in properly. But the pipeline build out has been very, very strong. So I think that's sort of what's been happening. I feel very good about the team we have built out, like, really strong experts from most of the leading global fintechs, backed by the Fenixys' team, Eric and all who like extremely seasoned in terms of delivery capabilities. So yes, so that's that.
U.S., we are largely taking the partnership route. So we have a couple of sales guys active in U.S., but we are largely taking the partn ership route, especially with a few large fintech players as well as players like Visa, Mastercard, like we have announced to sort of go into the market. And I think we will probably keep on doing that for the next couple of years before we step up the dir ect sales channel there.
So that is it on the sales team as well as the GTM, right? So for us, the partnerships with players like Murex, Finastra, FIS, etc., I think is important to us. We will keep riding on that in the more advanced markets and the org anic sales channel I already talked about, right? So that's more or less what it is.
Kunal Bajaj: Yes. Thanks for that.
Ashish Rai: Thank you.
Moderator: Thank you. Participants, we request you to limit to two questions, and join back the queue for more qu estions. Next question comes from Vimal Gohil. Mr. Vimal, I would request you to unmute your audio and video, introduce the firm you represent and ask your question.
Ashish Rai: Hey, Vimal. Good afternoon.
Vimal Gohil: Hi, hi. Thanks for the opportunity, A shish. So basically my question was, you mentioned there has been a slight increase in investments in the sales side, and the second one was on the R&D side. Now, you explained the sales side pretty comprehensively , but the question on R&D. Now, we have tw o successful products on the banking side, the iCashpro and the transaction banking. And of course, with the integration of Arya.ai, we would have infused both these products and most of our processes and services with AI.
What's next in terms of where i s our next hero product going to come from? Which area? And how should we look at our product evolution in terms of our product basket? In connection to that, our entry into U.S. and Europe, how should we look at our revenue mix in these geographies? Will it be largely led by transit? Or do we expect a very good traction around our core banking products and software side?
Ashish Rai: Okay. Thanks for that. I think you probably used your due questions. So anyway, thanks for the questions, Vimal. Appreciate i t. I think it's a good question. So I did not say slightly increased

expenses on the sales side. Sales side is actually a significantly increased expense. I think we probably added another Rs. 17 crore , Rs. 18 crore of expense for the year, so that's at overall level, probably 2 points of the top line increase. So I would not call that slight.
R&D side, I did say probably slight and I would sort of agree to that. I think R&D side, I would expect the f ull-year trend to be flat as a percentage. I do not expect that to climb up. But in the near -term, it's almost a race to get to our objectives of where we want to get to now. We are sort of at the same time investing across multiple vectors. One is the who le enterprise AI stack build -out, right? We intend to have one of the most mature deep competitive IP offerings on the enterprise AI space, not the way.
The problem in the AI space is this, right, there is a lot of noise , there's a lot of bluster , there is very little content in a lot of offerings that come out. The r

eason for that is, it's obviously very,
very easy for people to make API calls to publicly available LLMs and deliver some sort of an output. It does not really give the client the real value that they are seeking in terms of automation. It gives them a nice little toy which can sit in a sandbox forever. Our goal is to really get to an actually built -for-purpose model that delivers value. And I am fully conscious, I am probably the 100th CEO y ou are hearing that from, but we are very, very serious about it. And that takes a very serious team in the form of Arya.ai, which we are really ramping up. And that takes a team which is very good at getting the level of accuracy that is needed to bring real automation.
So like the U.K. win that we talked about, it's a use of AI in the underwriting, let's say, lending underwriting space. The client was using an AI product from another competitive vendor for some time. And when we actually did the POCs wit h them, it became very clear to them that our teams are freakishly good at getting that level of accuracy on the model output compared to what they were using, and then they sort of replaced what they were using with us. All of that happened in a matter of three months, right? So I think what we intend to get very, very good at is a set of offerings which are very relevant to the bank or the financial institution or the client who's using it, and they can actually use it in production.

What's happening in the AI world is data to model is super easy these days anyways. Model to production is super hard. We intend to solve that super hard problem so that we can actually create some value. So that is where a lot of investments will go in. We spent some time in the Investor Day articulating the various components of that offering stack. So if you remember the three layers, the bottom two layers is where the investment on the AI side goes in. And the top layer was, that is the second vector which is a whole set o f AI-native applications that we are building out today. So that, again, results in the sort of accelerated spend right now, right?

Now, what are those applications? It sort of touches on your second point, which is where those new hero products are going to come from. And I will come to those applications, but just a comment on that hero product. I think right now we have the hero products. They need the hero geographies. We are fairly strong in our c ore Asian markets now. Our win rates are probably at a level where you can - in a place like transaction banking, we probably win more deals than the rest of all the competitors whose names you can spell, put together, at least in the last 18 months. So, I think we are very, very competitive in that space.
So the question is, where can you expand? And hence the need to invest on the sales channel, especially in Europe, in Africa, a little bit in North Asia, where we have not been present, but we know the business is there, right? So I think that's sort of the comment on the hero product. I do not think we need them. I think we have very mature products going after very large markets. We just need to adapt ourselves more and more to the big markets as we st ep in.
Having said that, what are the new products coming out? Other than the offerings on the AI side where a ton of them are in beta, but we really believe in getting them totally right before we formally take them to market. But the initial betas are g oing on a number of products, including multi -agent orchestration things and all, which, again, everyone loves talking about. But honestly, very few people get it right.
On the lending side, we launched a brand new, so lending side our primary flagship br and is Integro. Integro has been the leader in Asia on the corporate lending side. We are launch

ing a
brand new retail LO, SME LO, the most cutting -edge AI -led origination system in the market today, we believe. We are, over the next couple of quarters, la unching a brand new LMS, which again would be totally AI -enabled, AI first, absolutely cutting -edge architecture, absolutely cutting -edge user experience.
We are fleshing out a lot of breadth on the transaction banking suite as well. So, supply chain finance, brand new offering. With the Fintra acquisition now, we are really doubling down on building out a full front -to-back offering on the trade finance side, which itself is a giant space to go after. So, that's that.
On the transit side, we continue t o build out more products as well as adapt to the markets we are going into, whether that's Europe, whether that's UK. So there's a lot of build -out happening on the transit side. We are now beginning to bring in some new products on the data center side, so that also will start seeing some momentum in this year.
Where else are we bringing new products? Yes. I think that's probably the list. There's a lot of smaller products out there in the payment space, in the sort of small SaaS space, but I would

not really spend a lot of time talking about it because, again, it would not be meaningful in FY26 from a revenue standpoint, but those are the big ones.
Vimal Gohil: Ashish, a small data point, if I may . Would you be willing to spell out the size of our data center piece for FY25 in terms of revenue?
Ashish Rai: I mean, the short answer is no. The long answer is, because I do not want to get into the business of sort of suddenly disclosing on an earnings call stuff we do not publicly disclose, right? But I think data center business, it's slightly less than a third of the TIG business probably, right, for FY25, and that's where I would leave it.
Vimal Gohil: Fair enough. Thanks. Even that helps Ashish. Th ank you so much. All the best.
Ashish Rai: Thank you, Vimal.
Moderator: Thank you. Next question comes from Gouri Athanikar Mishra. I would request you to unmute your audio and video, introduce the firm you represent and ask your question.
Gouri Athanikar Mishra: Hello, Ashish. Congratulations on the good deal wins we have seen traction this quarter, while speaking to Anmol, you already said that TIG will be better in the second half. My question was more pertaining to the TIG itself. More on, we saw that one deal win has happened in automated, bigger deal win which you have declared which has happened on the Automated

Fare Collection. Any traction we are seeing on the data center part of the TIG?
Because a year ago we spoke quite a bit about data center, and suddenly even in the investor meet and all it took a backseat. And is it purposefully or are you seeing a difference in the way you are projecting Aurionpro now? Especially, I would have expected after Arya.ai, came into your system that also will bec ome a part of the data center as well. So, was I correct or wrong in my thinking? I would like to get a clarity on how do you see the data cente r and TIG growth, obviously, we have already spoken about it in the investor meet and you said it is going to be second half of the year. But clarity on what we are doing at data center, are we seeing any traction? And how do you see growth from here in that segment? Or is it going to be a complete closure on that part? Some clarity.
Ashish Rai: Okay. Thanks for the question, Gouri, right. So look data center has been, it was zero four years back. It's been one of the strongest growing businesses for us. We run one of the top data center design teams in the country, right? So I do not think there is any there is any sort of slack on that part of the business. I would contest the sort of view that we did not talk about data cente

r in the Investor Day. We did talk about the new products and Sanjay Bali specifically talked about new products that are going to come out on the data center side. We do tend to focus more in Investor Day on what's new, right, because we are a very wide firm.

We work at a ferocious pace in terms of building new products and new offerings ou t. And just given the scale of R&D spend and the speed with which we move and the sort of shortness of our iterative cycles, we really churn out a lot of stuff, right? So I think we tend to focus on what's new and we tend to probably not talk about what st eady -state and data center has been just such a reliable, strong growth business for us that probably it should get more mentioned than it does.
But I think what we have on that business right now is we will continue to grow strongly. Q1 is not the quarte r in which we bring on new clients. So hence, obviously no deal with announcements. We are focused on execution. We are focused on working with a few strategic customers that we have and as and when there are like significant deal wins, so we also do not like announcing small deal wins, right? So when there are significant deal wins, we will talk about it, but the business is growing strongly. Second half, again, would be bigger for the business than the first half, but we are executing on the order book.
And the business, again, this year will grow fairly strongly. I think the big difference this year would be you will start seeing some of the products come out and get implemented at some sort of a meaningful scale. Like when Aurionpro gets into any busine ss domain, initially, we spend our time understanding the domain and which is largely a services -led play. But slowly once we understand the game, we understand where we can drive the economics or where we can get the non -linear economics, we start buildin g our own IP.
I think this is the year when you will start seeing a lot more of Aurionpro IP into our data center projects, and that should materially start impacting the economics of the business overall, right? But in terms of growth, in terms of focus, I think we remain fully focused on it and I think it should be a strong year for the business.
Gouri Athanikar Mishra: Thank you. Can you give us any idea about what part of the TIG would be data center today? I mean, what percentage?
Ashish Rai: Yes. I already said that in the previous question. I do not know if you missed it, but slightly less than a third of the business is data center for TIG.
Gouri Athanikar Mishra: A third of the TIG, right?
Ashish Rai: Yes, yes.
Gouri Athanikar Mishra: Okay. Thank you.
Ashish Rai: Thank you.

Gouri Athanikar Mishra: And are we seeing traction from the data centers being set up, planned in India, are we seeing any traction? And I mean, are any deals being handed out for design of the data center here?
Because a lot o f plans are on for India data centers by all global players as well.
Ashish Rai: Yes. So, Gouri, look, I do not normally answer questions after thank you, but I will take this one.
Look, I think the reason we are in the space when we got into it four years back is we were very, very positive on the amount of data center buildup that needs to happen in India. I think that continues apace. This is one of those spaces where if you wanted to grow 100%, you can grow 100%, but we are like a bit particular about t he kind of business we want to do in the space and the kind of economics we expect from the business.

So we will stay focused on our playbook, which is largely, design work for very complex projects, as well as program managing, the projects for our strat egic partners. We will not try to go after anything and

everything that exists in that space. Having said that, I think you are totally right. There is a massive pace of investments happening in the space, and that will continue to happen over the next sev eral years. And there is enough meaningful growth to be had in that business, I think at least over the next, let's say, four or five years, or maybe even beyond. Yes.
Gouri Athanikar Mishra: Thank you. Thank you very much.
Ashish Rai: Thank you.
Moderator: Thank you. Next question comes from Varun Gandhi. I would request you to unmute your audio and video, introduce the firm you represent, and ask your question.
Varun Gandhi: Hi, Ashish.
Ashish Rai: Hi, Varun, good afternoon.
Varun Gandhi: Perfect . Just a simple question on the effective tax rate. I needed some clarity on why the tax rate is so low. Is it due to just the geographic diversification that we have, and mainly that is Southeast Asia? Or is there some other reason to it?
Ashish Rai: Okay . So, good question.
Varun Gandhi: And how do you see these tax rates going?
Ashish Rai: Good question. I do not know, if people saw the tax rate in Q1. I thought the question would be why has it become higher? I think it was like 18% or 19% in Q1, which is like slightly higher than our trend line. Why is the tax rate low for us? It's largely because a lot of our IP. So we are

largely a product -driven business. A lot of our IP resides in Singapore, and a lot of our business gets done out of Singapore or Dubai, in a lot of places with a net lower tax rate than India. Of course, a lot of our business happens in India as well. But U.S. has a lower tax rate. Dubai has a lower tax rate. Singapore has a lower tax rate. And the sum total of all that results in quite a bit.
Plus, the other reason, one of the joys of being a R&D focused organization is you do tend to get the opportunity to claim some tax relief against R&D in like several places, especially, jurisdictions like Singapore, which again, we take advantage of, right? So the sum total of t hat is a sort of more efficient business and a lower tax rate. I think if we were a business very centric on doing everything in India, so we run large R&D centers in Istanbul, now in London, in Singapore, in Vietnam, etc., which a lot of our peers do not, right? So I think that kind of determines the mix of where we are building IP and the kind of sort of tax relief you can get against it. But Q1, given all that, Q1 was actually, given my comfort level, a higher tax rate than what we are used to.
Varun Gan dhi: So going forward, do you see this moving to the corporate tax rate in India, which is 25% or will it stay in the similar band?
Ashish Rai: No, no, no, we will stay in the similar band, because I think we are a very distributed organization, right? And Singapore is a very meaningful jurisdiction for us, increasingly Middle East as well, right? So we basically distribute our R&D where we have the most efficient way to build it. So most of the corporate lending product actually gets built out of Singapore , right? Most of the transit R&D actually happens out of Istanbul and London, right? Or Istanbul and Singapore right now and moving to London.
So, we are not big fans of running large offshore centers and kind of building everything out there. We stay clo se to the client. We stay close to the talent. We stay close to where the ecosystem is for the specific product. And that will always result in us being much more distributed than most of the so -called peer group.
Varun Gandhi: Understood. As a last follow -up, does this change the dynamics of the business?
Ashish Rai: Which dynamics?
Varun Gandhi: Because your R&D centers are onshore. Does this change the dynamics of the business drastically? I mean, you function

like this historically. It's just a general question.
Ashish Rai: Yes. No, look, so I am not sure if I got the full sort of color of that and the line was not that great. But broadly speaking, I think the goal that we have is to build out a really global tech player that operates at scale. At least in my personal experience, experience of most of our

teams, we have not seen too many of those kind of players sort of rooted in India, rooted in

Asia overall, right? So we have a slightly different pl aybook than everyone else in terms of how we intend to do it.

And it probably mean that our R&D spend is probably a bit higher than everyone else's, but it will also may give us, we feel, the opportunity to create a truly Tier 1 global tech organization, right? And I think that also helps us attract talent. I mean, I think there are very few of Asian players who would get CVs from the competitive global fintechs that we get, right? And I think that really does change the game in terms of what we can build out, right?

So I think, so the thing to understand about tech spaces or software or even hardware tech, the building of enterprise software is a fairly level playing field. There is no serious advantage to building software in the valley versus building i t in Mumbai or Hanoi. The difference in businesses which are able to build the best product in the world versus businesses who fail at doing it is knowing what that best product looks like. That comes down to the quality of talent that you attract, right?

So we feel our playbook is right for what we are trying to build. Everyone else plays their own game and we play our own game, but we feel the playbook is right for what we are set out to do. Hope that helps.

Varun Gandhi: Thanks for that. Thank you very much.

Ashish Rai: Thank you.

Moderator: Thank you. The next question comes from Srinivasu K. I would request you to unmute your audio and video, introduce the firm you represent and ask your question.

Srinivasu K.: Hi, Ashish. Thanks for the opportunity. My question is related to the transaction banking deals that you have been signing up. Where actually you face the competition from like horizontal players like C3.ai, Palantir kind of providers or hyperscalers or do main players like Temenos or Intellect kind of companies?

Ashish Rai: Hey, Srinivasu. Hi. Good afternoon. So look, that's a very wide question. So on the transaction banking side, typically the competition would come in from other players who have a very specialized transaction banking stack, which probably would come down to the banking tech players. Some of them you mentioned. Some of them we did not. I do not normally like naming competition names on the earnings call, so I would sort of stay away from i t. But by and large, there are four or five specialized players in the space, including like one more Indian one and then those are the ones we compete with.

The C3.ai and Palantir and all are very dif ferent sort of nature of players. So even between the two of them, there's a distinction, but if I was to generalize it, they are largely what you would call enterprise AI players, where the aim is to go from essentially go data up into building an enterpr ise sort of AI layer, where you are driving intelligence and then you throw a bunch of workflows around that intelligence or you try to ride on the application workflows that exist in the enterprise. And in that case, the workflow could even be sitting ins ide one of the applications that we make on the transaction banking side. So to that extent, there could be overlap, but they approach it from a completely different angle.

The enterprise AI offerings th

at we are building out through Arya.ai would probabl y be the
closer parallel to C3 and Palantir, but I do not really see C3 and Palantir as being serious players, at least in the financial institution space where we are serious players, right? So our goal is to build out a first rate enterprise AI offering stack specifically targeted towards financial institutions. I believe we would succeed meaningfully in it. I do not think it's an area of focus for either Palantir or C3, although if you go to C3's website, you will see some mention of financial services a nd all, but I do not think. At least as of now, they are more oil and gas and stuff like that. So yeah, so that's that.

I think they would be good parallels to what we are trying to build out on Arya.ai, but -- and C3 and Palantir are largely U.S. -centric players right now, although you can find some sales teams even from there trying to sell elsewhere, while we are largely Asia and Europe play and we intend to keep building out. I think the market is large enough for a whole range of players to go in and work on the enterprise, and the problem is large enough that you will need a whole range of players to go in and do it, right?

So I think there is a very large market to go after. We feel we have one of the strongest teams in Asia, probably one of the str ongest teams elsewhere. So it depends on how you break down the problem, right? So on the AI side, one is the sort of intelligence building, model building inside the enterprise. I think we have one of the strongest teams in that space, in terms of buildin g it. The other side is actually productionizing the models, the stack on the inference side, explainability, interpretability, trust, compliance. That space, I believe we are probably in a field of one, especially in Asia and Europe.

We probably run on t he top explainability labs on the planet, certainly the top one in India by far, and the goal is to create something truly path -breaking through investments we are making in that space, and time will tell how successful we get there, right? But there, I do not think either C3 or Palantir really have any game. And we published original algos, we have registered original patents. I think we will go far in that space. I mean, that's a number of vectors, but hopefully that answers.

Srinivasu K.: Thank you. And my next question related to that, when you bundled Arya into transaction banking and smart lending, are clients asking for open model choice? Like, is it like LLM agnostic banks may want to plug in their own large language models without being logged into particular LLM?

Ashish Rai: Yes. Look, I think it's a fair question. I think it's a pretty wide range of choices that exist inside a bank. I think the way it is getting played out right now, and it may not get played out that way in 24 months, but the way it's getting played out right now, is when it comes to the specific intelligence that we are embedding inside our applications, I do not think the banks are asking for choices. I think they are asking for mature AI capabilities.

So when we say, for examp le, you say transaction banking, we bring in a very specific capability around cash flow forecasting, which really is very mature for us compared to pretty much anyone in the industry. I do not think the bank comes in and says, do it this way and that way. I think, I mean, they really care about the maturity of the sort of model, the maturity of the intelligence that you are bringing in, and how can that get adapted to what they do.

What they care about, if you go and sell a very generic enterprise AI capa bility, I think they do want to make that choice. And right now, it's actually fairly easy at a technical level to switch from one LLM to the next. Like, it's a five -year -old child can do it. The problem is, it’s technically v

ery easy. But I think it's jus t, in terms of really making it productive inside the enterprise, it's not so easy to switch, right?

So, I think everyone sort of goes down to sort of their own choices. There is a lot of investment that goes into the training of models. And also, it’s ve ry hard to sort of redo those investments. There's a lot of investments, if you are using LLMs for anything, there's a lot of investment that goes into prompt engineering and all. And that again is very hard to sort of redo if you are really making switche s. So technically, you can say a router or whatever, but to really make it work in one way on one LLM versus the other, it takes not a bit of, it takes quite a bit of work, right? So it's not so straightforward.

So yes, people have a wide range of choices . Typically, at enterprise level, they will narrow down to a few and they will sort of stick to it for some time. I do not think that really impacts a lot at an application level right now, but like I say, it could change. It could change over 12, 24 month s.

Srinivasu K.: Thank you, and best of luck.

Ashish Rai: Thank you.

Moderator: Thank you. We will take one last question from the chat box. I would like to hand over the call to Ms. Aashvi Shah from Adfactors IR to review the text question.

Aashvi Shah: Thank you. The question is from Mr. Sandeep Shinde. In light of the accelerating role of AI in digital product development, how is Aurionpro Solutions planning to incorporate AI -driven innovations into its product delivery and development processes?

Ashis h Rai: Okay. So I am reading that as a question on internal tool usage rather than external AI offerings. I hope I am correct Sandeep, right? So look, I would put it this way. So I can make a lot of bold claims on this one right now, but I think most of th em would be hollow, so I will sort of avoid it. Almost everyone right now is experimenting, right, so when it comes to the internal tool usage and you see a lot of CEO statements coming out saying we are generating 20% of our code using AI, we are generati ng 30% of our code using AI, I really do not know what to read into it.

And we may be also generating a fairly large chunk of our code using AI. I do not know what that means, right? So I would sort of put it this way. I think on a number of internal func tions, the productivity gain that you get from AI tooling is real, and it is increasingly becoming real over the next 6, 12, 18 months. It basically comes down to how well can we integrate that into the functional workflow and into the individual workflow, depending on what you are doing, right?

So if you are a developer, can I really effectively incorporate a code generator into my developer workflow? And what is the sort of productivity gain that I get, right? That is at an individual level. Then you say I expand that to a team of 10. Does that linearly translate to a team of 10? I do not think so, because teams do a much more complex piece of work than a single developer does, right?

So if I was getting like a 500% productivity gain, hypothetically, I a m making no claims to it, but hypothetically, the moment you sort of blow that up at a team level, that probably comes down to 50%. The moment you blow that up at a product level, that probably comes down to 5%. And again, all these are hypothetical number s. So the point is this. We are very actively using code generation capabilities on the developer workflow.

Similarly, if it comes down to testing, comes down to product maintenance, comes down to support, there is a lot of tooling available, there is a l ot of tooling we are using internally. I feel over the next 6 to 12 months, you will start seeing some very real quantifiable gains in productivity, where I would not have to rely on statements like we are generating 30% of our code using A

I code generator s. I would be able to tell you we are actually getting a real 30%

 gain in productivity, which means I either ship out 30% more code or I use 30% less people, right?

I think, I do not think we are at that level, right? But we are very actively using toolin g across code generation, across testing, across maintenance of product, across support. The internal functions are very actively using it, marketing, HR, etc., right? And increasingly, I expect over the next 6 to 12 months, 18 months, actually very real q uantifiable productivity gains that I can come back to you and talk about, right? I think that's all I would say on what we are doing right now without making any bold claims yet at the moment.

Aashvi Shah: Thank you, sir. I will hand it over back to the moderator for closing.

Moderator: Thank you, ma'am.

Ashish Rai: Okay. Did you hand it back to me?

Moderator: Yes, sir.

Ashish Rai: Okay. Hi. So, good. Guys, thank you very much for joining this call. I think, look, overall, the business stays pretty much o n the trajectory that it is. We did talk about an increase in expenses somewhat, which all of you have seen in the numbers. It comes down to the sales expenses as well as increasing the headcount and increments, etc. I think it will sort of straight line a s we go into the year.

We feel very good about the trajectory for the year. We feel good about the pipeline. We believe we need to stay a little bit cautious in terms of the expense line over the next couple of quarters, and there will be a little bit of pressure on both sales as well as R&D expense. But over the full -year, we will still deliver the guidance that we gave to, and I look forward to seeing you all in next quarter's call and chat more about this. Thank you.

Moderator: Thank you, sir. Ladies an d gentlemen, this concludes today's conference. Thank you for your participation. You may leave the meeting.

Call: Nov 2025

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07th November, 2025

Sub: Transcript of earning call held on 04th November , 2025 for the Q2 & H1 FY 26.
Dear Sir/Madam,

In accordance with Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed transcript of the earning call held on 04th November, 2025 for the Q2 & H1 FY 2025-26.

Kindly take the above information on record and confirm compliance.

Thanking you,

Yours faithfully

For Aurionpro Solutions Limited

Ninad Kelkar
Company Secretary

Encl: as above

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"Aurionpro Solutions Limited
Q2 & H1 FY26 Earnings Conference Call
November 04th, 2025
MANAGEMENT: MR. ASHISH RAI – GROUP CEO & VICE CHAIRMAN
MR. VIPUL PARMAR – CHIEF FINANCIAL OFFICER
MR. NINAD KELKAR – COMPANY SECRETARY

MODERATOR: MS. HANISHI SHAH – ADFACTORS PR – INVESTOR RELATIONS

Moderator: Good evening everyone, on behalf of the company, I would like to welcome you all to Aurionpro Solutions Limited Earnings Conference C all for Q2 and H1 FY '26.
Today on this call, we have with us from the Management , Mr. Ashish Rai – Vice Chairman and Group CEO, Mr. Vipul Parmar – Chief Financial Officer, and Mr. N inad Kelkar – Company Secretary.
We will begin the call with a brief open ing remarks followed by a question and answer session. Participants who wish to ask questions through audio and video can do so by pressing the raise hand icon on th e bottom of your screen and wait for your turn to speak. When prompted, you can accept the prompt on your screen and ask questions or give comments. Participants who wish to ask questions via chat can click on the Q&A icon on the bottom of your screen and post your questions.
Please note that certain statements made during this call may be forward looking in nature. Such forward looking statements are subject to certain risks and uncertainties that could cause the actual results or projections to differ mat erially from those statements. Aurio npro Solutions will not be in any way responsible for any actions taken based on such statements and undertakes no obligation to publicly update these forward -looking statements.
I would like to now hand over the call to Mr. Ashish Rai for his opening remarks. Thank you and over to you, sir.
Ashish Rai: Thank you. Thanks and good afternoon, everyone. Thank you for joining us on this call for Q2 and H1 Earnings .
This quarter was another strong step forward for Aurionpro. Revenue grew 29% year -on-year, as you would have seen, and our industry leading EBITDA and PA T margins remain resilient. These results are not incidental. They are about discipline. They are about focus and conviction of 3000 + Aurionites across the globe. They are about our belief that great technology built with purpose can still reshape industries and nations.
We added 19 new logos in Q2, bringing our first half tally to 35. This is the strongest new logo addition in ou r history, and that speaks to the depth of demand across all of our businesses and the trust our customers place in us.

 In Banking and FinT ech, the UCO Bank engagement was a significant defining win for our AI led transaction banking platform . It reinforces our position as the platform as well as the partner of choice for large financial institutions. We continue to expand banking with wins across Sri Lanka, Middle East, and Africa, extending our global reach. Our product groups across transactio n banking, lending, and Interact each had significant first half, not just in terms of business numbers, but also new product buildouts. AI is now at the core of everything we build in Banking, not decoration, but real differentiator, helping our clients d ecide faster and operate smarter.
In TIG, which is the technology innovation group, the two phases of Mumbai Metro project that we won is the largest order win in our histo ry. They further confirm Aurionp ro's leadership in India's AFC and smart mobility ma rkets. Our Data Center business as well continues to see strong deman d and growth in the first half.
Four years ago, we made a hard and deliberate choice. We moved away from the safety of what was a diversified services business with some product into buil ding a global products and platforms company rooted in deep engineering, rooted in R&D. In an industry that is dominated by IT services, I am not sure how many appreciate how hard that is. T hat choice was not easy, but we made the choice and it changed our trajectory.
Since that pivot four years back, we ha ve invested

more than Rs. 1,000 crore in new product
development and in strategic acquisitions. These were bold, forward -looking bets that prepared us to compet e and to win in the world that is now emergi ng today. Doing 30% plus annual growth for four years in a row is very, very rare in India's listed tech sector. It reflects the power of our strategy, our products, and our people.
Enterprise software is today being rebuilt around AI systems that interpret , reason, and act. This is not an incremental change, it is foundational , and it i s imperative that we act ahead of the curve on this change.
As we enter the second half of FY '26, we will double down our product build -outs and R&D guided by three imperatives. One - rebuilding the enterprise stack for AI, creating the data, model, and agent infrastructure that defines an intelligent enterprise. Second is to build next - generation AI native applications. Applications that think, plan, and execute wit h intelligence.

Third is scaling the capability at speed which we need to. Expanding our engineering depth, where we need to, as well as global alliances to deliver faster than anyone else as we run this race.
Our AI labs in Mumbai, Paris, and London are advancing applied AI, data architecture, and agentic computing and you should expect path -breaking announcements from these labs in the time to come.
 Our home markets in Asia continue to grow strongly, and U.S. continues to register steady performance. We also continue to push very hard in Europe. I ha ve talked about this in the previous calls. We hav e made major investments in Europe over the past few quarters, building the teams, infrastructure, and partnerships we need. The pipeline is building up nicely , but we know that success in new markets takes discipline and takes patience, and we are d etermined to execute with both.
As we enter the second half of FY ’26, we are doing so from a position of strength. We continue to have i ndustry -leading margins, as y ou ha ve seen, a strong balance sheet, and a rapidly expanding global footprint. We will continue to invest boldly in our products, into market expansions, and in applications, in the data center and AI spaces, while maintaining our financial discipline and operational rigor.
With that, I will hand this back and let us bring on the questions. Thank you.
Moderator: Thank you, sir . Ladies and gentlemen, we will now begin the question -and-answer session . The first question comes from Vinay Menon. I request you to accept the prompt on your screen, unmute your audio and video, introduce the firm you represent, and a sk a question or give comments.
Vinay Menon: Hello. Hi, sir, congratulations on a great set of numbers. Just a few questions from my side. A) in te rms of Europe and US, when can we start seeing som e traction in terms of deal wins and what is our strategy there? I think we have hired a lot of people, so how are we shaping up in that region?
Ashish Rai: Hey, Vinay. Hi. Thanks. So, look, we a re already seeing traction in terms of some initial wins. We ha ve seen traction in terms of pipeline build -out, but typically large deals in this business, the sales cycle is 12 to 18 months. I think we are six months into our expansion into Europe. US is a more stea dy state, so I will probably cover t hat separately. But Europe, you a re right, we invested significantly first half of the year, as well as Q4 last year, in terms of building out the team that Tom runs. A pretty strong sales team. We also did an acquisitio n in the form of Fenixys . So, that is s a lot of investments that have gone into Europe. I think last quarter we announced the first deal win in Europe, which was an AI -led lending solution win. I think we are probably a few weeks away from going live ther e. Getting into any new market, one has t

o
be prepared to initially climb over. Just because we are strong in Asia does no t mean we have a right to win in Europe. We obviously have great solutions, but we need to build out the local references, we need to build out the lo cal partnerships. So, I think we ha ve gone about building this methodically. As we slowly take the initial set of wins live, we build on those differences and the flywheel takes over. So, I think we are probably another four quarters away f rom the flywheel fully in operation. But you already started see ing some wins, and I think you will see more as we get towards Q4.
 Vinay Menon: And on AI, like Arya , I just want to understand, we have three labs set up. So, the focus is to build an AI comp any within Aurionpro , or is banking the only target from an AI perspective? I just want to understand that.
Ashish Rai: So, Arya , the re is a reason why we keep Arya as a standalone AI -focused business inside Aurionpro . I think if you look at AI today, what is it that you ar e trying to do? I think there are three races you're trying to run. One is the AI native applications, which is where you say the enterprise application, the classic software mode is getting disrupted, a new mode is getting created in the software. That is a race we are determined to play well in to win. And one is that race, which is how do you bring together a very mature AI framework into the application? This is where you see us. You hav e already seen us register a lot o f wins because we are AI first in terms of transaction bankin g, in terms of lending, but you wi ll see a lot more coming out in terms of our vision of what that A I native application looks like and that is not far away. So, that i s race number one. Race num ber two is if you did not start at the application layer. So, historically in the industry, most of the money, once the technology matures, has been made on the application layer. We feel very good about that. And that is where we will focus a lot more. But if you did not start there and you start at what intelligence is of the most value to the enterprise, whi ch is where we a re building out a whole enterprise AI layer, including the

MCP orchestration that it needs, including the domain specific elements th at it needs to come in and start at the intelligence level inside the enterprise. So, that is race number two that Arya has to run. And number three is can we really create new foundational technology that allows banks, financial institutions, enterprises to take these models into production? Data to model is very easy. Model to production is very hard. There is a lot. There is millions of toy applications sitting in sandbox boxes around the world. It takes a lot in terms of taking a model to production. So, we are doing some. This is where the labs in Paris, London, Mumbai come in. Can we do deep research? Can we come up with net new foundational technology? Some of this I do not want to talk about right now, but over the next, I think, very near future, we will come and talk about it once we publish the papers and once we have sort of launched some of the se. But the right kind of technology to bring models into production, put guardrails on it, observability around it. We run probably one of the top four or five explainability labs on the planet today. We run the top research labs when it comes to this technolo gy. And that is race number three. That is more future looking. And that is probably going after a much bigger price. But that is obviously a harder p roblem to solve as well. So, those are the three races that we are trying to run. I think there is a lot of, the whole AI space is a lot of noise. There is a lot of bluster. There i s a lot of claims getting made. I think we intend to sort of focus on more net new value that we can add, you know, kee p

the noise level low. And we will continue to push towards these three.

Vinay Menon: Okay. And just a few things on the numbers. Our margins are on the lower band of 20 to 22, which we guide for. So, any operati ng leverage could play out maybe in the next, you know, 4-6 quarters and things like that.

 Ashish Rai: Look, operating leverage always keeps playing out, right. But the scale of our R&D spend also keeps on increasing. So, I hav e been very clear about that. We have no intention of going after EBITDA maximization anytime over the next few years. Right. I think that is something you do when you go to you star t saying is my growth 6% or 6.5% or 6.6%. You know, I think when you are growing at 30%, you are pushin g new product out, getting into new markets. I think the focus has to be to build product, to win clients, to grow the business sometime in the future over the next few years. If we feel that, you know, the market has matured, we matured, the growth rates are coming down, th en we will think of EBITDA. Right now, what we do is we try to keep EBITDA at the band. And as the operating leverage comes in and the business becomes more profitable, we pour the excess back into the R&D bucket. Right. So, the R&D buck et this year is probably Rs. 120 crore, maybe slightly more than that and I think it will continue to increase.

Vinay Menon: Just one last thing, like our cash flows for H1 were negative and last year, also, it was a similar case and we saw great collectio n in H2. So, that is the nature of the business, as we understand. And can we expect something simila r for this year also? Like we will maintain the OCF EBITDA margin?

Ashish Rai: Okay, so look, I t hink on the cash question, it is the same. I think it is the same situation every year, right? So, like I said, it is pretty much the same question every year. But the nature of the business is such that we do a lot of deal bookings, you know, towards Q4 of the year, a lot of project startup s, you know, Q4, b eginning of the year, and typically most project go -lives take 12-14 months. And unfortunately, billing milestones are linked to client go -lives in this business. I mean, if it is an IT s ervices business, you know, it is like month to month and all that stuff is fine. But in the product business, that is the nature of the business. Some of that seasonality is coming down. But typically f or us, middle of the year, you ar e still executing projects. End of the year, you take the clients live and the collections pick up, right? So, I think we basically last couple of years against exactly the same picture. I think we ha ve typically converted, I would say 75% to 80% or more EBITDA to cash by the time we finish the year. Maybe even more, I think 90% plus last year, if you net out the tax. So, typically collections towards, you know, become very strong towards Q4. But middle of the year, while pro jects are getting executed, it is a big peak. But it i s the same question and answer every year. Hopefully that answers.

Moderator: Thank you, Sir . We have the next question from the line of Kunal Bajaj. I request you to accept the prompt on your screen, unmute your video and audio, and introduce the firm you represent and ask a question or give comments.

Kunal Bajaj: Hello, good morning. Thanks for the opportunity and congratulations on good set of results, sir. I have a question on data center . So, how do we see our data center business growing in the next couple of years? Maybe in terms of revenue share, client profile, alo ng with the services offered? And what all other agencies are we planning to explore in this ecosystem?

 Ashish Rai: Yes, hi Kunal. Thanks for th e question. So, look, data center is one of the big bets for us over

the last few years. So, four or five years back, you see tha t business was zero for us. It has been growing very, very strongly, typically in the range of anywhere between I would say 35 % and 50% any given year. So, it is one of those businesses where there is so much demand that you can grow at pr etty much any rate that you want. We are very methodical in terms of how we want to grow that business. So, I think typically the business will continue to grow strongly, but we are very selective in who we work with. We work with a few strategic partners. I mean, Iron Mountain being one of them where we do more or less everything for them in terms of their project execution. We run one of the top data center design teams in the country. So, we work after several complex design projects. That is very good wo rk. And then we ha ve been working on some R&D in terms of building out our IP, building out some products in the space, also partnerships in the space. So, we like non -linearity of the product business, so we will slowly bring some products ou t. So, data cent er is where Transit was probably six or seven years back. We started off in a pure services way, learned the business, then built our IP across every point on the value chain. I think data center is still doing it. It will continue to grow strongly over the next few years and we will continue to be very selective on the business and th e partnerships we take on. We will continue to work on our internal R&D in terms of where we can add net value in terms of IP we can build out. So, that is essentially where the business is. We fee l very, very good about it. It is one of our big bets, and I think it will continue to grow very strongly.
Kunal Bajaj: Okay. In terms of the overall mix, a s in the last call as well, you have given a hint that it is o ne third of the TIG business. So, are we seeing this mix to change over the next couple of years, maybe, given the high growth?
Ashish Rai: Yes, so look, I think the challenge is, I think probably it will go up in the mix purely because of the fact that the public sector side may come down a little bit. But I think the problem with the mix question in terms of high growth busi nesses is the other p arts of TIG , so especially the transit payment side also continues to grow very strongly globally, as well as other parts of the banking side as well. So, how does the relative mix change? I think that is a slightly tougher question. And I would really be specula ting, but I would say in the TIG business, the mix should go up from one third, logically, over the next few years. I mean, it will continue to grow strongly. What does that becom e? Does it become half? I do not think so. But I think it will go up a bove the one third.
Kunal Bajaj: Got it. Thank you. Another question on the SaaS part. So, how do we see the SaaS growth in terms of the annuity revenues over the next c ouple of years?
Ashish Rai: How do we see the SaaS growth? You mean the software growth?
Kunal Bajaj: Yes, software.

 Ashish Rai: Yes, so look, I think we actually license most of our software in enterprise form. So, that is why the SaaS t hing is a little bit, it does not do justice to the portfolio. We normally make large software core systems for tier one banks, which is typically goes in enterprise license space. The same software where we go to NBFCs or lower tier of the banks, we sell in a SaaS model. So, SaaS for us is a commercial model. Obviously, all our products are relatively modern and cloud native and can go in either of the formats. What do we feel about the software side? I think the software side has been growing strongly. The goal that we have, so I have on ly two asks from any product business inside Aurionpro . Ask number one is product superiority. How are we better than who it i s t

hat we compete with? I do not want to be naming competitors over the earnings call, but for transaction banking, for lending, y ou know who the competition is. How are we going to be better? It does not need to be 100 points. It is usually three or four. That goes into the roadmap. Roadmap goes to the product. That is ask number one. Ask numb er two is never fail a customer. Aurionp ro has a reputation for making customers successful. Once we take something on, we make sure the customer gets the value from what they buy from us. The IT world is littered with failed projects, which is what makes a lot of the market fairly weak. We hav e built a reputation over time. And that is the reason for, you know, if you look at the transaction banking win that I announced, we win most of the Indian large bank deals on transaction banking these days. Why is that? It is because we never fail a custo mer. So, those are the only two asks. I think as long as we stay true to our purpose, build products that are fundamental ly superior to the market, we will continue to grow these strongly. Transaction banking, we are one of the top platforms in the world t oday. I mean, in terms of p latform, we are obviously market -wise strong in Asia, going into Europe and US. Lending, we are one of the top platforms in the world today. Enterprise AI, we hav e run one of the sort of most mature enterprise AI frameworks aroun d, one of the deepest, widest t eams in the business, and we will continue to mature. So, I feel good about the software business and longer run, I think one of the earlier questions was around operating leverage. I mean, software is beautiful in that sense. I think as we scale the business, the operating leverage really lands a lot more cash in the company. And then we use that. You can choose to stop growing and collect the cash, but we use it for R&D, we use it for acquisitions. I mean, over the last four odd years since we pivoted, we ha ve invested more than a thousand crore behind R&D and acquisitions. And that i s the beauty of the software business, right? So, it continues to get stronger as we scale it.

Kunal Bajaj: Sure, that hel ps. And the last question on

Moderator: Kunal sir, very sorry to interrupt you. Coul d you join back the queue, sir?

Kunal Bajaj: Sure. Thank you.

Moderator: Thank you. Next question comes from the line of Varun Gandhi. I request you to accept the prompt on your screen, unm ute your audio and video, introduce the firm you represent and ask a question.

 Varun Gandhi: Yes, perfect. Hi, Ashish. So, one question would be your employee expenses have risen both on a y -on-y basis as well as a percentage of revenue. Now, previous quarter you mentioned that there was a large impact due to employee wage hikes. So, my question is, will this be the new normal? Or is this just an aberration because of elevated investments in the EMEA region? Number one.

Ashish Rai: Yes, so look, employee expenses, they did jump. Overall, I would say Rs. 9 crore – Rs.10 crore or so. So, I think it is like it has gone up. A lot of it is due to sort of absorption of that came through some acquisitions, right? So, some of it has gone up because of that, because the net headcount has gone up. And some of the other part is in some parts of the business, we have been scaling up. EMEA is one where we ha ve been scaling up. And some of the new order wins like MMRDA, etc. They do need us to capacitize. Those are very large orders where we need to capacitize, right? So, I think it has gone up. Would it go up at that same pac e the next few quarters? I do not think so. So, I think acquisition is one of those things where it does go up in chunks when we sor t of close the acquisition in a quarter. But I thi nk organic growth wise, it will not be that much.

Varun Gandhi: You are

implying that it should normalize. All right, my next question would be, could you share any update on your conversations with analysts? Like Gartner or Forrester, any new conversations?

Ashish Rai: Of course. So, look, I think that is a great qu estion. H istorically, we ha ve not really spent a lot of time with analysts. So, it is mostly in the la st four to six quarters that we ha ve actually had a strong engagement with most of the analysts. Now we are covered by just about everyone. So, if you look at, and it depends on the product set, so lending, of course, was covered earlier. Chartis , we are squarely for corporate loan origination, for collateral management, for limit management in the banking book. We are squarely up north, leader's quadrant worldwide. IDC covered us on the lending side. Again, IDC Marketscape featured up north, leader's quadrant worldwide. And they covered us for the first time maybe a few months back. So, I think lending is well covered. We started getting coverage with Gartner, Forre ster, etc. as well. I think we got the initial coverage. Of course, you know, it takes time to start featuring in the leader's quadrants. But we started coverage for transaction banking. We feel very strongly we have the strongest product in the world toda y. So, It is a matter of time before we start sharing up north, similar to the lending. In those cases, we let the analysts take their time. We also had on transaction banking, we were named the platform, I think by IBSI, the platform of the year or someth ing like that. So, I think there is a lot of success on the analyst front for the core platforms and you will see more and more of those as the ana lyst coverage matures. So, that is a top focus for us, especially as we go into Europe and US because, you know, what a Chartis thinks or what a Gartner thinks does matter and we have these strengths.

Varun Gandhi: Actually, I was going to ask you that, because how much do you think the impact would be of these analysts?

 Ashish Rai: So, look, I think it is like, look, it is not everything, but it i s a useful point. And I think the philosophy that we have is head to head, a pure platform evaluation for the products that we built out over the last three years will w in against just about everyone, right. So, because we have the strength, and the reason earlier we were not engaging also is because we were doing the build outs. I think now that we have the strength, we win most technical evaluations on our core platforms these days. So, if you said only platform superiority was a factor, how functional, how deep the platform is, how modern it is, how micro services enabled it is, how intelligence enabled it is, you know, how many intelligence innovations exist on the product stack, we usu ally win those games very, very well. So, since the products are there, and we have the lead, it makes sense to do that. Is it everything? It is not ev erything, right. But I think it is an important decision factor for most buying organizations. And I thin k we are v ery serious about it. So, you will see more and more of that coverage come out.

Kunal Bajaj: Hopefully, we jump up in the quadrant.

Ashish Rai: So, wherever we are covered in the quadrants, if you look at it, you know, ITC Marketscape came out like three, four months back, you can go and look it up. You know, it is like straight up north, right? I mean, right at the top, right? So, it is like where we will get featured. We are very confident about our products.

Kunal Bajaj: Thank you v ery much.

Ashish Rai: Thank you.

Moderator: Thank you, sir. The next question comes from the line of Sunaina Ch habria. I request you to accept the prompt on your screen, unmute your audio and video, i ntroduce the firm you represent and ask questio ns or giv e comments.

Sunaina Chhabri

a: Yes, sorry. I just had a coup le of Internet issues. Thank you for the opportunity and congratulations on a good result. I have a couple of questions. The first is sort of on the back of what somebody else asked relating to the TIG segment. What are you seeing the most traction in? Is it data centers? Is it the transit? And if you could give us a current breakup of what this quarter looked like, whether there was more performance from data centers or more performance from the transit.

Ashish Rai: Yes, so look, TIG continue s to grow strongly. I think it is like hard to choose, but both transit payments as well as data center t hey grew very strongly in first half of the year. Transit, of course, had that huge win with MMRDA, whic h will probably propel stronger growth rates for some time. It is also because it is a great deal with full hardware to s oftware play and so I think it is a crucial win for us. So, transit probably will accelerate faster on t he back of that. But I think it is hard. I think both the businesses are g rowing . Within TIG, data center is growing very, very strong. Transit payments is going very strong. And the public sector side of it i s, I think, as I

have explained previously before, it is steady and we ha ve sc aled it down a little bit. So, overall, that is what I would say on the mix.

Sunaina Chhabria: Okay. And just my next question is, within the reporting segments that are there, the sale of software services, we ha ve seen a bit of a sequential downward movement. If you could just speak on that a little bit. And if you could comment on what the execution time period is for the order book that has been given of about Rs. 1,500 crore at the end of Q2. What is the execution timeline for this?

Ashish Rai: So, okay, two different parts. I think the way to look at the sale of software services versus license and equipment, the reason we declared it, the way to look at it is more largely what is one-off versus what is more of a continuous stream. I think it is important not to look at mix from one quarter to the other, because, for example, in this quarter, because of MMRDA, that equipment and licensing piece jumped quite a bit. So, there will be, like, from one quarter to the other, depending on the mix of busine ss, that number will go up and down. But I think the way to look at it is, what is largely a one -off going in and what is sort of more continuous in terms of the business. I think that is how I would look at it anyways. On the order book, so typically the way we declare our order book, we do not really have, for example, the AMC streams inside it and a lot of the recurring stuff inside it, which will get added every year as we get into it. So, I would say 80% plus of the order book is typically executable o ver the next five to six quarters. I think that is generally the mixes. There will be some 20 -odd percent which will sort of go a lot further because there i s always a tail to several orders.

Sunaina Chhabria: All right. Thank you so much. That is it from my end . Thank you.

Ashish Rai: Thank you.

Moderator: Thank you, ma'am. The next question comes from the line of Deepak Poddar. I request you to accept the prompt on your screen, unmute your audio and video, introduce the firm you represent, and ask a question or give comments.

Deepak Poddar: Okay. Yes . Hi. Thank you very much sir for taking time off and thank you for this opportunity. So, I just wanted to understand first up on the data center part. I mean, just wanted to underst and what exactly, I mea n, what is the scope of work in the data center? And apart fr om that, per megawatt whatever investment is being done in data center, so our scope would constitute what percentage of the entire investment and what is the margi n required in data center? Yes.

Ashish Rai: Okay.

So, I am not sure if I got the first part of the question correctly, but I thought you said, what do we do in the data center space? And then you said, what is the sort of margin profile? Look, I think what we do, we run one of the top data center design teams in the country. We specialize in the compl ex end of design. I think that is our specialization. That is usually fairly

 high margin work. As a percentage of the overall pie, it is not significant. It is single digit . We also program , manage the build of data centers for a few strategic partners, which is where the size gets bigger. Right, I think on the overall margin profile standpoint, of course, there is a massive demand in that space, but we are very selective on the deals that w e take on. And that is largely got to do with us being very careful around the margin profile of the business that we take on. The longer term ambition is to build more products in that space, which we are slowly building out. And I think then the margin p rofile will, of course, change. But that will take some time for us to mature the products. In the meanwhile, I would say data center is probably five or six points below the enterprise margin at the moment. And continues to grow at about enterprise levels . I mean, slightly above the enterprise levels at the moment.

Deepak Poddar: So, I got confused. So, the margin profile of data center is five to six percent below the enterprise or I mean below the company level EBITDA margin?

Ashish Rai: Correct.

Deepak Poddar: I understand.

Ashish Rai: Correct. I think the way to look at it is we ha ve been steadily investing in th at business as well. Plus, it is largely a services -led business at the moment, right? So, in many ways, if you look at it, any business that w e enter initially, we normally enter as a services business, like transit six or seven years back when we e ntered purely services business, y ou know, validators from one place, gates from somewhere else, AFC payment system somewhere else, software from som ewhere else. But then slowly, we go and find places where we feel there is value extraction that can happen with IP. We understand the space well enough, then we build it, and then we go for it, right? So, slowly, we like non -linear play that IP allows. So, slowly, any business, we will try to produ ctize it. But at the moment, it i s largely a services -led business.

Deepak Poddar: I understand. And my second question is on your overall growth. I mean, just wanted to understand when we say a 30% kind of growth, so what are the growth drivers, I mean, geographically as well as segmentally? And how will this growth profi le change over next year, let us say FY'27? Because you did mention that we are stressing more on Europe and US market. So, just wanted to understand this trajectory. I mean, what is driving the growth in the current year, and how will this change over the next year?

Ashish Rai: So, look, it is not any single year that we hav e been growing 30%, right? I think we basically have grown at someth ing between 30% and 35%, 36% over the last four years. So, four years back, we pivoted the business away from what was largely a diversified, some products, largely services play into what we are today, which is where we said we will choose a set of segmen ts. I would highly recommend you watch one of the few Investor Day videos that should be available somewhere. But if I wa s to summarize it, we said we will choose segments where we see a demand runway that goes out at least six, seven, eight years. Obvious ly, in the tech

 industry, everyone wants to see a long demand runway. It is very hard to find. So, there has to be something fundamentally transformative happening in that space for us to get comfortable arou

nd the demand. There has to be a space where we bring some unique advantage, and we believe that global leadership is contested. And then we published the "Vision 2030". We went after i t for lot of these spaces. Transit payments is one where we believe over the next 10 years, the entire world is going to move from closed -loop to open -loop payments, which is tens of thousands of transit operators. Data center was another space we felt India was under - capacitized. We felt AI computers under -capacitized, and we thought that will grow. Enterprise AI was a t hird area. Lending, transaction banking, right? So, we chose spaces quite recently, which is four years back when we pivoted, where we knew the demand is going to be strong. And then we went about methodically b uilding the business. And that is how the bus iness has grown. FY '21, when we started this, we were a Rs. 375 crore business. FY'22, we were Rs.505 crore . Then 660, 880, 1,200. This year, probably something between Rs.1,500 crore and Rs.1,600 crore . So, we ha ve basically been growing the business at t hat pace for the last five years. To my knowledge, we are the only listed technology organization, at least in this country, who has done tha t over the last five years, grown above 30%, you know, consecutively for the last four years. And, you know, that i s how we do it, right? So, these are segments where we know the demand is. Now, obviously, the demand drivers vary for the segment. Transaction banking transformation is a huge theme where we see, you know, a lot of new logo wins, a lot of demand. The driv er for data center space is completely different. The driver for transit payments is completely different, right? But these are spaces which have high demand. And I think we have built out over the last few years probably the most competitive set of offerings out there. So, now the question is, where do you go from here? I feel the core IP for us exists in most of the se spaces. Of course, you know, there is a whole AI wave that came in after we pivoted. B ut we were aware of it and we have invested against it. And now it is a question of continuing to invest in that IP, but also continue to expand into markets. We feel very good about where we are in Asia. Now the game is, can we become strong in Europe? Can we beco me strong in US, right? So, that is the focus. I do not know if that answers the question, but that is the philosophy anyways.

Deepak Poddar: Yes. That perfec tly summarizes. And we int end to grow at 30% for next two, three years. I mean, would that be a right aspiration for us?

Ashish Rai: Look, I do not know what I do not know, right? I mean, businesses do not run in a straight line. I think we got good visibi lity over the next four quarters. We intend to grow strongly for the next several years. I think we have the business model. I think we have the products and the IP. We ha ve methodically built out one of the finest teams in this business. And I believe we will continue to grow stronger than the industry as we ha ve done over the last four years, right? Now, is it exactly 30%? Is it 25? Is it 40? I think let u s take it one year at a time a nd let us see. But we feel that from now till 2030, we painted a vision 2030 in 2021, which we published. So, outside is a qualitative view, inside is a quantitative view. I never published the quantitat ive

view outside because I do not like making big bold statements sa ying billi on dollars or $10 billion . But it is a precise number. Four years in a row, we ha ve beaten that, right? So, we feel good about the trajectory. We feel good about being able to grow for several years.

Deepak Poddar: That is very helpful, sir. All the very best. Thank you so much.

Ashish Rai: Thank you.

Moderator: Thank you, sir. The next question comes from the line of Vai

bhav Choudhury. I request you to accept the prompt on your screen, unmute your audio and video, i ntroduce the firm you represent and a sk a question or give comments.

Vaibhav Choudhu ry: Yes, hi. Congratulations on a good set of numbers. So, I have two questions. One is on AI data center. So, what is the order book there? And the second question is the receivab les is a bit higher for this quarter. So, can you help me color on this?

Ashish Rai: Sorry, I did not get the first question, Vaibhav. What did you say about data center?

Vaibhav Choudhury: So, what is the AI data center order book?

Ashish Rai: Oh, so look , I think it i s sort of hard to segregate it at that level, a lot of the AI compute. So, we have got one of the more specia lized shops. I mean, I think we ha ve published some things publicly in the past. You know, the sort of high -performance compute with IIT Guwahati, with IIT Mumbai. So, we hav e got a lo t of expertise in the space. We ha ve got a lot of offerings in the space. The whole AI compute build -out is a relatively new thing for India right now. And we are a very India -focused data center business. So, I think some of it is still getting built out. Right now, I would not be able to give a mix. But I think the future demand does seem to be building up. So, most of the AI compute, if you see where did that get built out, probably even now 70%, 75% is still like training workloads going in and those are mostly, they hav e not been in India. I mean, the re has been some, you know, GPU as a service sort of offerings out there where, you know, small model building people have been using the compute. But most of the training workloads have been outside. Now, as the usage is going up, there is a lot more inferencing workloads which need to get executed closer to where the customer is, where the user is. And India, obviously, is one of the larger markets out the re. So, we do see a steady build -out of AI compute as the inferencing workloads take over. So, I think t hat is sort of how I would summarize it. I think in the past, it has been small. We hav e been active participants in designing it, working together with IITs, lots of places. We do see that building out as we go. So, that will pick up and I think we will play a key role in it.

Vaibhav Choudhury: Got it. My second question is on the receivable parts. So, it seems to be a bit high for this H1. So, can you just throw a little bit light on this?

Ashish Rai: Yes, so receiva bles look typically for us, it is usually high at t his time of the year for us, right. And I think that is understandable, especially because we also had some large orders in Q2 that we buil d out against. Compared to March, of course, it will probably look higher to you. Compared to September 30th last year, I think our DSOs last year were something in the range of 110 days. Now it is about 100 days. So, I think it is sort of steadily gotten better , sorry better is the wrong usage but in terms of where the DSOs are. But overall, this time of the year, they are usually high and they are high.

Vaibhav Choudhury: Sure. Thanks.
Moderator: Thank you. The next quest ion from the line of Rohan Adva t. I request you to acc ept the prompt on your screen, unmute your audio and video, i ntroduce the firm you represent and ask a question or give comments.
Rohan Advat: Yes. Hi Ashish. My first question is on the two -line items in your balance sheet, which is ot her intangible assets and intangible assets under development. If you could elaborate on what is included or what constitutes these two-line items, because I ha ve seen growth in them in FY '25 and also in H1 of FY '26. So, how do we decide what do we include here versus what we expense in the P&L? If you could just throw your thoughts on this.
Ashish Rai: Yes. So, loo

k, the way we operate is obviously we invest a lot behind product build outs in this busine ss. Like I said, this year it is probably clocking so mething north of at least 25 a quarter, if not closer to 30. But most of that goes into our core large products like transaction banking, like lending, like transit payments, etc . We do not usually capitalize those build outs. We usually expense them out b ecause these are large businesses and typically we are quite comfortable with the net margin that comes out fr om it. The only places where we ha ve been capitalizing is, as to my knowledge, two places. One is the payments business, where I ha ve also said in the previous earnings call as well, because we have capitalized. The reason we have is because it is a business wh ich is a regulated business. We ha ve asked for licenses in some geographies, including India. And there is a sort of asset build out that happens that we also need to sort of show that we are building the products out. So, that is number one . And the second place where we ha ve done some recently is t he AI side. Of course, we ha ve been investing a lot on that side. But in some cases, we are a lso tryi ng to work together with, let us say, government funded agencies in a few countries in Europe, as well as in India, where we are looking at grants and all that stuff. So, we need to show some asset build out there. That is sort of the bulk of it, I would say. Relative to the size of prod uct build outs that we do, it is not really material, at least in my view and I think these are very specific small businesses inside the firm.
Rohan Advat: Understood. That is clear. And my second question is --
Ashi sh Rai: The other way to look at it, sorry, just to be clear about this, right? These are businesses with a very large future. So, even relative to the size, so AI, for example, is growing at 100% for us. I
 mean, I do not know what the future size of the business is. I do not think anyone knows, but it will become a very large business. Same thing with payments as we scale, right? So, these are relative to even the future size of these businesses. The size of the product build outs actually is fairly small and I think we are probably one of the most efficient shops in the world in terms of building product, right? Product building takes dollars, takes effort, and takes like years of patience, whic h we have in oodles. And that is why for the larger products, there is basically no capitalization that we do.
Rohan Advat: Understood. And my second question is that if I look at the segmental breakup between sale of software and sale of equipment. And what you said in an earlier answer is that you would look at it like what is one -off versus what is recurring.
Ashish Rai: Largely.
Rohan Advat: Yes. If I look at sale of softwa re, June versus September, it is down from Rs. 252 crore to Rs. 207 crore and sale of equipment is up from 84 to 150. So, it seems extremely lofty. And if sale of software service is largely recurring, it should not have fallen so much. So, am I missing something in my understanding of this?
Ashish Rai: Yes, so it is like, it is not just soft ware. So, there is a lot of services in there, which basically is the size of the projects that we do, right? So, a lot of the skew that you see in Q2, for example, one single project, which is MMRDA, which you got started on, caused a very large skew in terms of moving towards the equipment and licensing si de, right? So, some of these variations will happen from one quarter to the other. I would say do not read software and ser vices as pure software. So, we are not big on, for example, subscriptions, right? There is obviously always a steady stream of AMCs and all that get captured there, which are like recurring revenues. But a lot of it is also project

implementations and services revenue, which will go up and down as we close new orders, as we execute on projects. And the mix, relative mix between what is license versus what is service will also change, right? So, depending on the sales mix in a quarter, you will see one of those two going up. If you were skewed towards a license, then that line goes up. If it was a very competitive deal, the license price s were down, but a lot of loading was towards the project work, then that goes up temporarily till the project is getting done. Then obviously, you know, that number i s not there. So, you know, it is not like a SaaS style subscri ption revenue, which you sa y, okay , how does it vary so much? I mean , some of it is like 20% of it is probably recurring or maybe 25, but not all of it.

Rohan Advat: Got it. Understood. Thank you and all the best.
Ashish Rai: Thank you.
 Moderator: Thank you. The next question comes from the line of Jalaj Manocha. I request you to acce pt the prompt on the screen, unmute your audio and video, i ntroduce the firm you represent and ask a question or give comments.

Jalaj Manocha: First of all, sir, congra ts on a good set of numbers and the continuous momentum. I just wanted to have a view around if I were to break down the Banking and the FinTech business unit or the vertical as we reported. Could you give some directional view around the newer verticals wherein we the NBFC and the FinTech and the traditional banking what we were doing? So, could I have some flavor around there? How the progress is? Because I understand that the NBFC and FinTech were newer products which we had been investing on. So, some d irection there or some flavor would be helpful. And rather a request would be if we reach to a sizable amount or a sizable quantum of business in both the businesses separately. We could report them separately also.

Ashish Rai: Yes. So, longer run, you are totally correct. I think we will probably at some point start reporting the businesses separately. FinTech, again, you are correct. I think the banking side of it is the larger platforms around lending, transaction banking that we have. FinTech side is wh ere we have done a lot of new product build outs over the last, I would say, five or six quarters. Where are we? I think FinTech is becoming more and more material. So, obvio usly, Sanjay Verma, I think he has been on Investor Days before. He is the preside nt who runs that business. We have built out what we think is probably the most modern retail LO prod uct out in the market today. We ha ve come out with it. So, this is stuff that does not just go to NBFCs, also goes to banks. So, India, of course, we ha ve got a lot of sites for the product. Outside of India, we had our first win in Saudi recently, and we are implementing it. This is also a fully AI -led product, which we feel we ar e seeing a lot of traction in Europe, at least in terms of pipeline buildup, and we do think we will win. So, that business will grow. We are very close to coming up with a brand -new loan servicing system, probably out over the next three months. This, again, will be the most cutting -edge, most mod ern product in the market. We hav e got a completely new self-service portal, largely on the auto side that we came up with four quarters back. Already a win in New Zeal and, a win in the U.S., and we ar e looking at probably some wins in Europe this year with it. So, I think this, again, is a large auto -finance facing product, which I think we wil l do very well in. The initial wins have been very, very strong, very promising. And a lot of sort of AI-native application buildout, agentic application buildout in that space. For example, we announ ced the win in the U.K. with an SME lender. I think we are probably just a few weeks from going live with it. I think on

ce we go live there, that builds up a solid local difference that we can build on and expand into Europe with. So, there is a lot of new product buildout, I think, in that business that has happened over the last four quarters. I think it is maturing very fast. Each of these products, I a m convinced, are today the most modern deep products in the market in their respective spaces. And this is going to see a lot of traction, especially in terms of new market push that we are seeing in Europe as well as in Middle Eas t and Africa. So, I think that is how I would sort of summarize it. I hope that answers the question.
 Jalaj Manocha: Could you g ive me some, yes , that answers. Could you give me some sort of quantitative flavor to it also? What sorts of size would we have reached here?

Ashish Rai: I think it is north of 30% of the overall Banking and FinT ech pie. I would not be able to give you a specific number.

Jalaj Manocha: Okay, so you ar e saying the FinT ech and the newer products are almost 30% of that company?

Ashish Rai: Plus, yes . A lot of the new growth is getting driven from it and actually a lot o f the new future growth will get driven there.

Jalaj Manocha: Understood. Got it. And so, my second question was around the TIG, what we had been trying to sell it across or outside India. So, have you had any success there and how are things shaping up th ere specifically?

Ashish Rai: So, outside of India, the primary solution line that goes out is the smart mobility transit payment side. That is where I think we are enormously successful, right? So, I think the transit payment side is almost 50 and 50. Of course, now we won some large deals in India, so it may get skewed for some time. But typically, I think – so, like we had that win in California a few years back, full global RFP. We are live in eight or nine Californian cities. This is the open loop, the open loop win we had. So, today, if you go to Disneyland in California on a holiday and you are doing a tap -in, tap -out from your card, you are doing it on an Aurionpro validator, the same one you can see in our experience center in Mumbai or Singapore. I f you go to a holiday in Maldives and you take any public mode of transport, the who le technology stack is Aurionpro 's, of course, in partnersh ip with MasterCard, who funds it b ut the technology solution is ours. You do tap-in, tap -out on an Aurionpro unit if you take a ferry or something like that. So, America , Costa Rica, Ecuador, Mexico, large wins. I think we have proven ourselves. We have entered Australia. We entered UK. We ha ve proven ourselves as probably the strongest end -to-end solution provider i n the space. Of course, the very large providers in the space tend to be double -digit billion -dollar players or multi -billion -dollar players. And we do not have the balance sheet to go out and try to compete, for example, a billion -dollar tender or somethi ng like that. So, we tend to collaborate in international deals. We are a very strong partner with MasterCard. We recently started partnering with Visa as well. So, for example, Maldives was MasterCard. The Egypt win that we announced that w e are implement ing right now is together with MasterCard. We are collaborating on a lot of projects there. We are now increasingly competing on larger deal sizes across Southeast Asia, across Europe, and the international side will continue to grow. I think transit we ha ve built out between the R&D centers in Istanbul, London, and Singapore, and the manufacturing setup in Malaysia and in India, as well as the software piece. We have the whole software chain on it. We also have a payment license in India, so you ha ve got t he payment chain getting worked on as well. We have today probably the deepest, widest stack in the space. We are probably the most effic

ient producer of software
and hardware in that space. And the margin profile of the business keeps getting better every
 year, right? So, I think this is in the long run going to be a key powe rhouse of growth for Aurionpro , and we intend to be one of the bigger pl ayers around globally, and we will continue to push towards it.

Jalaj Manocha: Understood, sir. And one last question quickly. Specifically in the businesses, we have one of the projects, we have one in TIG, which is the MMRDA or the metro lines. Sorry, I a m hopping up on the same question again, but what sort of margin profile are we seeing there? O r if you do not want to talk about that ROC profile something, because the receivables are usually higher in these businesses.

Ashish Rai: No, they a re not higher i n the transit business. I do not agree with that. I think it is like, so transit is a beauti ful business. So, now with the, with our own, we own every point on the value chain now. W e even down to having our own manufacturing in this, right? Our own IP, our own mechanisms, as well as our own software. This is the first place we were also clearing out the back office software as well. So, the margin profile is very strong in the business. I think there is a reason why we can pretty much compete and win most deals. So, the reason we were not taking on some transit business in India ti ll recently a nd now we got on to take a larger role because we feel very confident about the economic profile of this business. Right. And I think it is very, very strong and it is getting better. The secon d way transit generally we do not face. So, initially in the setup, you may have some milestones to finish to collect some payments during setup time. It is not too problematic. But the other thing is, once you are running in steady state, then all money goes into an escrow, everyone gets their share. So, it is not problematic from a payment standpoint at all. So, that is where I would sort of contest that view a little bit. Right. So, even if you had a little bit of a milestone delivery while you ar e doing setup, just given that the contracts are long, over time, th e economics improves and over time, the business actually tends to deliver fairly strong cash flows. At least that has been our experience. We are very selective in the deals that we take on. We have one of the most competitive stacks out there, at least i n India and I think we will only take on business where we feel confident of the economic profile.

Devashish: Hey Ashish, this is De bashish. Thank you so much for taking our question. So, just one follow up question, what Jalaj just asked. As far as I unde rstand that in case of TIG is concerned, we are the most kind of end to end integrated player where we have the hardware capability also, we have the software capability also and if I remember correctly, we have put in our hardware manufacturing facility i n Singapore, I think last year or so. So, just wanted to get some sense that what, what is the competitive intensity? What is the kind of margin profile? If, if you can compare with your competition in India and give us some sense, because what I understan d initially in your Lucknow projects in metro and all, you were not able to take out a very significant margin. So, how those things have changed in the recent times?

Ashish Rai: Yes, so look, I think it is important to understand how we sort of get in the business. So, if you go back to some of the initial deals that we did, right? I mean, one, we said we want to bet on
 the transit payments as a space, right? Why do we want to do it? Because the closed loop to

open loop movement, y ou cannot stop. I think it is a movement across the world. Over the next eight, ten years, tens of t

housands of transit operators around the world will need to change.
This is a fundamentally transformative event that happens in th e industry 40, 50 years a nd we intend to play it. When we got in, it is like a lot of our competitor s right now do it, right? You are almost like a system integrator. You are taking products from various places, putting it together, and then the margin pro file is single digits, right? It is not good. But it helps you learn the game. That is where we were five, six years back. Since then, we ha ve steadily built out. And this is one of the only businesses where we built out both the hardware and software stack. Why? Because if you really looked at the whole value chain, you are able to extract value. You are able to capture margins only when you have that integrated hardware -to-software play. It is very hard to capture it if you play either or. You say, I just do software, I just do hardware, I just bring it together. In neither of those places, you get the margin profile, and which is what most of our competition in this business does. We will drive a very different level of economics from this business. We us ed to manufacture on our own the validator side of it as well. But now we outsource it to m anufacture in Malaysia. So, you a re right about that Singapore piece, but we actually started outsourcing. The whole R&D is ours, the design is still ours. I mean, u p to the bottom level, and then we get it done f rom the outsourcer. Because we have been methodicall y working on every single point, w hat is t he most efficient way to do it? And when you put it all together, we are probably one of the more efficient, if no t the most efficient player in this game today. We will drive a very different level of economics from just about everyone else. There is a reason why we have such strong partnership in the spac e with MasterCard, with Wix. We ha ve announced a few overall. There is a reason why we are a preferred partne r for everyone b ecause we can do the whole chain, we can do parts of the chain, and we can do al l of them efficiently. So, that i s why we are such an in -demand consortia partner for larger deals as well. So, I think that is essentially what I would say. I feel very, very good that as the business scales, as we become more and more global, the R&D strengths that we have, the software strengths that we have, the hardware manufacturing strength s that we have, we will be very, very hard to beat in that space.
Moderator: Thank you very much, sir. We will take one last question from the cha t box. I would request Hanishi Shah to review it.
Hanishi Shah: Hi. The question is, what is your opinion abou t AI as a standalone opportunity?
Ashish Rai: So, look, I think AI, like I said, as a standalone opportunity, it is pretty large. So, there are three ways we are playing that game. And I said, one is the AI native applications. Application, if you look at history of any technology, as the technology matures, it do es not matter what you are looking at. Ultimately, a lot of value capture happens on the applic ation layer. That is where we have traditionally been strong. That is where our strength is. That is w here a real bank uses a real application to run its real business process. That is where value gets created. That is where value will get captured. We play that game. We are good at that game. We will be very
 strong at it. That is number one. The second ma jor play is AI is very new. It is fundamentally transformati ve and there can be a lot of value from a single intell igence intervention. It does not need to happen on the application layer. It can have the application layer around it. But that specific inte rvention, depending on which lever you go for. So, some banks, some financial institutions may want to start from that int

elligence intervention. Because you say, that is how
I prioritize value. This is where some of the global AI vendors als o have been do ing work. I do not think this will happen from the likes of the services vendors and all, who are kind of making API calls to LLMs and do that. You will still need the whole gamut of suites. So, th e way we built it out is there is a predictive AI suite, wh ich is where you use the classic models to actually drive predictive algos. You ha ve got the gen AI suite. You have got the agent AI suite. And you bring all of them together to see where does the value get created in the enterprise. I think standalone, at the moment that is a good sized game. I think that is getting larger at a fu rious pace. And that itself Arya will play. And we intend to be a strong player in that game. We have got a very mature set of offerings around there. The third game, which is sli ghtly different, is the foundational technology game. Can we come up with a strong solution to the key challenges to taking models into production, which is explainability, observability, risk, how do you put the guardrails on, even how do you process tabu lar data, for example. So, that is the third play. And I think number two and number three, both are pure AI plays. I feel these are very, very large plays for us to play or for Arya to play over the next several years. That will obviously need a lot. I me an, we ha ve got probably one of the strongest teams in the country today. But it will need a lot more investment as the field matures. Right? I think both are, in my head, they are linked, but they are independent races. You do not need to win both of them to

be very, very large. But we intend to run both of them with very, very strong, building a very strong set of assets and play that. Does it make sense? Oh, this is a chat bot. Okay.

Moderator: Thank you, sir. Due to time constraints t hat would be the last question for the day. I would now like to hand over the confere nce to Mr. Ashish Rai for closing comments.

Ashish Rai: Thanks, everyone, for joining this call. We will come toget her again next quarter and we will share where the business is. Four year s back when we started this pivot, there were a set of hard choices to make. I think we ma de the hard choices. I think we ha ve proven that the model works. We need to double down on the strategy that works. AI is a fundament ally transformative event. That is probably happening for the first time in all of our lives. We feel that is transformative for how technology is used in an enterprise. We will methodically go about building the set of assets as we ll as the applications and we will play the game to win. Thank you for taking time to join us today and we will meet again next quarter. Thank you.

Moderator: Thank you, sir. Ladies and gentlemen, this concludes today 's conference. You may now exit the meeting.

Call: Feb 2026

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10th February, 2026

Sub: Transcript of earning call held on 05th February, 2026 for the Q3 FY 26.
Dear Sir/Madam,

In accordance with Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed transcript of the earning call held on 05th February, 2026 for the Q3 FY 2025-26.

Kindly take the above information on record and confirm compliance.

Thanking you,

Yours faithfully

For Aurionpro Solutions Limited

Ninad Kelkar
Company Secretary

Encl: as above

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Aurionpro Solutions Ltd.
February 05th, 2026

"Aurionpro Solutions Limited
Q3 & 9M FY26 Earnings Conference Call
February 05th, 2026
MANAGEMENT: MR. ASHISH RAI – GROUP CEO & VICE CHAIRMAN
MR. VIPUL PARMAR – CHIEF FINANCIAL OFFICER
MR. NINAD KELKAR – COMPANY SECRETARY

MODERATOR: MS. HANISHI SHAH – ADFACTORS PR – INVESTOR RELATIONS

Aurionpro Solutions Limited
February 05, 2026
Aurionpro Solutions Limited
Q3 & 9M FY26 Earnings Conference Call
February 05 , 202 6

Moderator: Good Afternoon , Everyone. On behalf of the company, I would like to welcome you all to Aurionpro Solutions Limited Earnings Conference Call for Q3 & 9M FY26.
Today, on this call, we have with us from the management, Mr. Ashish Rai, Vice Chairman and Group CEO, Mr. Vipul Parmar, Chief Financial Officer, and Mr. N inad Kelkar, Company Secretary.
We will begin the call with a "Brief Opening Remarks from the Management," followed by a Question -and-Answer Session."
Participants who wish to ask questions through audio and video can do so by pressing the "Raise Hand Icon" at the bottom of your screen and wait for your turn to speak. When prompted, you can accept the prompt on your screen, unmute your audio and video, and ask questions or give comments.
Participants who wish to ask questions via chat can click on the "Q&A icon " at the bottom of your screen and post your questions.
Please note that certain statements made during this call may be forward -looking in nature. Such forward -looking statements are subject to certain risks and uncertainties that could cause the actual results or projections to differ mat erially from those statements.
Aurionpro Solutions will not be in any way responsible for any actions taken based on such statements and undertakes no obligation to publicly update these forward -looking statements.
I would like to now hand over the call to "Mr. Ashish Rai for his Opening Remarks." Thank you and over to you, sir.
Ashish Rai: Thanks. Good afternoon, everyone. Thank you for joining us on this call for Q3 FY26.
As we move towards closing out FY26, we remain solidly on track to deliver another year of industry -leading growth while maintaining very healthy margins.
We delivered a strong performance in the first nine months of FY26, with revenue from operations growing 26% to Rs.1,066 crore compared to Rs.846 crore in the same period last year.
Aurionpro Solutions Limited
February 05, 2026
Both our key business segments contributed strongly to this momentum. Banking and Fintech grew 26% , Technology Innovation G roup expanded by 26% as well to Rs.471 crore.
EBITDA for the nine -month period rose 23% year -on-year to Rs.216 crore, reflecting contin ued operating leverage with EBITDA margins holding at a healthy 20% plus.
Profit after tax stood at Rs.150 crore, which is up 9% year -on-year, and the PAT margin is at 14%.
In Q3, revenue came in at Rs.371 crore, which is a 21% year -on-year increase , EBITD A for the quarter grew 18% to Rs.75 crore, and margins remain steady at 20% plus. PAT for the quarter stood at Rs.44 crore, PAT margins at 12% , that is, of course, reflecting a one -off cost item coming from implementation of the new labor code.
Most importantly, we came off what is the largest sales quarter in our history and secured several strategic and high -impact wins across both our core segments, as you would have noticed from our various win announcements.
In Banking and Fintech , Aurionpro won a landmark lending transformation mandate from a leading Singapore -headquartered bank with selected Integro to modernize its lending operations across its international subsidiaries. That is a very large win for us.
We also strengthened our leadership in t ransaction banking with the marquee public sector bank in India, choosing iCash pro as its preferred transaction -banking platform. That pretty much sets up iCash pro as the market standard pretty much for most of the new deals coming to the market. And also, we secured a mandate from CS B Bank to implement next -generation cash management solution.
On the innovation front, Lex si Labs launched Orion -MSP , an advanced tabular foundation model, along with Ta bTune, an open -source library designed to enable s

calable enterprise AI for structured
data. We introduced AurionA i, our domain -led enterprise AI platform tailored for banking and financial services sector, supporting secure production -ready AI adoption for regulated institutions. This is a very significant step towards our goal of becoming a full stack partner for banks, seeking to realize the full promise of AI across their business.
In TIG, we continue to build strong momentum in Smart Mobility . Aurionpro expanded its Smart Transit portfolio with a significant pl atform screen door order from Ti tagarh Rail Systems for Mumbai Metro Line 5. This marks our entry into the highly complex and safety -critical PS D solutions.
We also secured a major order from Delhi Metro for the (AFC) Automa ted Fare Collection Systems for Bhopal and Indore Metro Projects , further reinforcing our leadership in Smart Mobility .
Additionally, we won a Strategic Data Center Project with IDBI Bank, marking our entry into IDBI,
Aurionpro Solutions Limited

strengthening our position as the go -to solution provider, as a single -window data center solutions provider.
During the quarter, as I mentioned, a very strong sales quarter. We added 23 new logos across our business segments, one of the fastest rates of customer additions in our journey so fa r. This strong traction reflects the growing relevance of our platforms and solutions, and we remain confident of adding many more prestigious names in the coming quarters. Pipeline continues to remain really, really strong.
On innovation, we will continue to invest steadily in our future. With R&D spending, we expect that to remain in the range of 9 % to 10 % of revenues. We are very conscious of the rapid shifts underway across the technology landscape. The transition towards AI -driven reasoning represents probably one of the most fundamental, most significant technology inflection points we have seen, and capturing its full potential requires us to continuously evolve and recalibrate our strategy with the same clarity, with the same conviction that has guid ed us so far.
This transformation will involve a very concentrated investment cycle over the coming year. You have seen the investments we have made around AI. We will continue to do that, and we will execute this with the strong financial and operating di scipline that we have done so far. We are fundamentally reimagining our R&D model, reimagining the software supply chain by embedding AI-led intelligence across every layer of the software development lifecycle. Because of the architectural leverage that w e have built into our tools, into our platforms, we intend to largely decouple the headcount growth from revenue growth. This will allow us to drive significant operating leverage and execute without materially expanding our workforce in most businesses over the next year. This can cause some near -term capacity challenges as you would expect, but that is necessary to be able to reallocate the capital and talent towards our long -term objectives.
We remain firmly aligned with our Vision 2030 to be a leading global player in our chosen segments. At the same time, we recognize that the technology landscape is evolving very, very quickly in some cases, especially with the rapid rise of AI and the convergence of intelligent technologies across industries. To stay ahead, we will continue to refine and sharpen our strategy with the same focus, the same discipline that has brought us this far.
With that, I will hand this back and let us bring on the questions. Thank you.
Moderator: Ladies and gentlemen, we will now b egin the question -and-answer session. The first question comes from the line of Vinay Menon.
Vinay Menon: Congratulations on a good set of numbers. Two questions from my side for now. One is, if you can just give any idea on how our nine -month cash flows w ere? So, we had,

I think, negative Rs.86 crore

in H1. Have we seen good collections in Q3 and any indicat ive number where we would stand in nine months and for full year?
Ashish Rai: Yes. Hi, Vinay. Okay. So, cash flows, look, we will publish at the end of the year. Middle of the year, yes, we were a negative Rs.80 odd crore which is more or less the same as what we were in the middle of any year. I think the executions are going on fairly strongly. We have had, especially on the banking side, a number of g o-lives. I think some of those we will announce in Q4 as we go through. So, ye s, there is still a lot of execution to be done. As you know, I mean, a lot of execution depends on getting the projects live and done in Q4. I think we continue to chip away at it. I wo uld not throw a number back at this point, but I think cash collections are fairly solid right now. I would say DSOs, what I have said in the past, something between 100 and 110, it is more or less what it has, it is at this time of the year, and I think it will probably be around that number.
Vinay Menon: Okay. And th ese two line items, which have been a bit of a thing which we wanted to get clarity on, which is from an accounting perspective, in terms of our intangible software and intangibles und er development ? So, we saw between 2021 and 2023 that this number was fairly stable and coming down , but the last two years have seen a bit of a jump , like in H1, like we almost had, say, about Rs.100 crore in both of these line items combined. So, if you can just mention why this has happened and what kind of probable subsidy or something which we can receive from this, and how will this number go ing ahead?
Ashish Rai: So, look, I think the re are basically two areas where intangibles have gone up, or rathe r have gone in altogether. So, like I have said in the past, we have done no capitalization around any of the core product lines, whether it is transaction -banking, whether it is lending, any of the software build outs that we do. So, it is essentially two areas -- one is, and again, this I have said in the past, is the payments business. Au roPay, we have done a significant amount of product build out. We have done that anticipating a number of regulatory licenses, which we continue to get. I mean, as you say, in India, now we also got the offline as well as the online licenses, and we continue to make progress in other geographies as well. So, I think that is one area. The second area is, and this, again, I have mentioned in the past, probably we will talk more about it, is the significant investments around AI. We launched AurionA i a couple of months back. We came out with a pretty detailed description of what is it that we are building. We are convinced this is a very, very significant

opportunity for us, which will need us to act at scale, act with urgency, and act with the conviction that we have had to go out and build. The size of the opportunity for us is many times what we thought it was, if we act in time and we build. So, we have been doing it. What should we expect in terms of the various grants? Because obviously, a lot of this research that we have done, we have been discussing grants and subsidies with the various governments, and we have applied for a number of those in India, UK, France, etc. , So, I do not think I would be able to throw a number back at you on what it could be, because that is still in motion, and it takes time. Some of it is more direct in terms of just salary subsidies and all that we get, but a bunch of it, I think, will take time to fructify ,

right? So, it is hard for me to tell you what number. What I can tell you is this is something that really, I think, we have got a window of time to act on this opportunity. We are determined to be one of th

e leading players when it come s to becoming a full -stack AI shop that can partner with banks and financial institutions worldwide, and we will kind of make significant investments in this over the next three, four quarters. So, we did that event. I am sure there is a video of which you can have a look at it. IR can provide more details on it. So, we are very transparent with what we are building out, and I think we will continue to push ahead on that agenda. I mean, I can spend more time on it, but I am sure there will be a later questi on on this. So, we will discuss that.
Vinay Menon: So, there wo uld no t be any further capitalization at least on the balance sheet , is that a fair understanding?
Ashish Rai: Yes, I think so. I do not know what your point is. We will never capitalize again in our lives, or is it on these items the build is done .
Vinay Menon: Yes, on these items, particularly from Ar ya and from the Au roPay ?
Ashish Rai: Yes, I would think on the payment side, more or less done, and we did get very positive momentum on the licenses already. So, I think payment side, we are largely good. AI is a bit of a moving goalpost. I think we feel good about what we build on the enterprise AI stack. But there is a significant amount of research work going on right now, especially within Lexsi Labs. I do not know how many of you noticed that . We published this family of models called Orion-MSP. We are the No. 1 or No. 2 foundation model for tabular data in the world on most of the global benchmarks we will come up with. The problem with t his game is you will need to come up with much more research, much more build out there. And again, like I said, we feel confident about being able to get some cross - subsidization around it from the governments, but that takes time. I think that will conti nue to happen, and we will continue to build out the AurionA i stack as well. So, I think it would be hard for me to say that we are done with it. It is a really moving goalpost, and I think we need to keep moving fast on it.
Vinay Menon: Okay, I will get back in the queue for more questions. Thank you.
Ashish Rai: Thank you.
Moderator: The next question comes from the line of Dharmesh Kanth.
Dharmesh Kanth: Yes, hi. Good morning, Ashish. First of all, congratulations for a robust set of numbers in a challenging environment. Sequentially, Q oQ numbers were pretty good, seeing that there was EBITDA and EBITDA m argin improvement out there. But Ashish, you have guided for 30% kind of revenue CAGR and nine months has been at 26%. And your opening remarks e mphasize greatly on

the changing landscape because of AI development and a lot of re -imagining, re -strategy going it out there. So, in light of everything, how do you see the next couple of years on the revenue front, how the growth is likely to pan out, a nd will this re -strategi zing in expenses will take a toll on your margins? So, I mean, 20% plus kind of EBITDA margin right now . How consistent in that?
Ashish Rai: Okay, good. Great question. Thank you. So, look, the thing about growth rates is from one quarter to the other, the number will go up and down depending on execution, right? But we have been more or less the fastest growing Indian tech shop for the last four or five years. I feel good about us being one of the fastest growing Indian tech shops for the next four or five years, right? That is what our goal would be, right? Do I know everything in the future? Probably not. But I think that is what our ambition is and we continue to maintain that track record. Of course, you mentioned challenging en vironment. I think the environment will keep on changing. We need to adapt to it. No one was expecting the scale of change that came through over the last six months. But I think on the net, I do not know of any firm which

navigated it better than we did. And I feel very good
about us being able to do it. Why are we able to continue to navigate it? I think , one, we have a very strong, fairly diversified set of levers to drive that growth. And even if part of it gets challenged somewhat, I think we are able to double down on other places, right? I think Transit had a sensational quarter or the sensational last couple of quarters. You would have seen it. We built out one of the most integrated end -to-end offering stack, very strong on the hardware side. And no w, with thanks to MMRDA and all, becoming very strong on the software side as well. And that is like

really significant marquee wins. Banking continues to win strongly, right . So, I feel that we have put together very methodically the set of competencies, the set of skills, the set of assets, the quality of team to go out and compete. I do not think there are many peers to us in that. And I feel good about the strengths we have collected together to continue to navigate this. So, I would bet on us continuin g to grow strongly into the future. We have been very clear about what our 2030 ambitions are , and I think we are very solidly on track to do that, right? Sorry, there was a second part to your question. I am missing that.

Dharmesh Kanth: Yes. The 30% grow th guidance on an annual basis.

Ashish Rai: Yes. Okay. So, it is important to say 30% growth guidance is very hard for me to guide for five, six years. I think we feel good about being able to grow at that sort of a clip over the next few years. I think we feel good about being able to grow at that clip. But would that 30 % become 34 % one year and 26 % the other year? Ye s, that is possible. I think that would happen. There is no business that goes at exactly the same pace all the time. So, we will continue to do that. But we feel good about it, right? The important thing to understand is this. I think over the last five years, we are proud that CAGR is at 32 %, 33%. It does not mean we have always grown at exactly 32 % or 33 %, whatever that number is. So, it wil l keep going up and down. The overall size of the opportunity that we are going after, I think that has materially changed. What we thought was the target market for many of our segments, the target market is many times that size. When we started framing V ision 2030, four

years back, we thought the TAM was a lot smaller. Banking software is a clear example of that. If you look at the IT spend in the banking world … and there are different numbers around. So, you can refer . I would advise you refer to a prope r report for the number, but it is anywhere between $350 billion and $400 billion, which is the IT spend for banks worldwide. The operation spend for banks worldwide is probably $3.5 trillion to $4 trillion, right? The more we go into the world of Software 2.0 that we explained through the “AurionA i Day,” the more we go towards agentic execution of processes, the more you are getting into the operations side. So, what was essentially a $400 billion market is probably a $2.5 , $3 trillion market that you go after, right? So, the size of the opportunity in many cases has become manifold. Same thing on the data center side. We always got into data center space four years back. We always knew that India was under -capacitized on data center capacity . But we had no idea of the scale of demand that will come from, for example, AI compute. So, again, the size of the market that we are going after has increased manifold from what we thought. Same thing with Transit, the sheer spend that is happening in India as well as outside, right? So, I think, I feel we are putting together the assets, we are putting the strengths to go after the market, which is much larger than what we thought four years back. So, hence, I suppose, the runway can be longer

or the growth ra te can be higher at some point in time, right?

Can we get there? How do we get there? I think time will tell . But we feel very good about where we are.

Dharmesh Kanth: Yes, the second question is, like, if I heard you right, you said on operating cash flow front, we are positive now and likely to end the year with a positive operating cash flow.

Ashish Rai: Yes, I would think so, unless something really dramatic happens on the execution front. So, I think, we are obviously executing a lot more projects in p arallel this year than we were doing last year, but I feel good about ending with a positive cash flow, yes.

Dharmesh Kanth: And what is the present order book ? Deal pipeline, if you can just segregate data center you just spoke about, how much of the pipeline is from data center and others? I mean, a bird's eye view on that.

Ashish Rai: So, look, data center, what can I say about it? So, one, the pipeline is large. Second, the scale of deals that we are talking about now is significantly larger than th e scale of deals we were talking about same time last year. This is not a data center only story. Even on the Transit side, if you look at it, we signed Rs.250 crore with MMRDA, then we signed Rs.150 crore with Delhi Metro, then we signed another Rs.100 cr ore with T itagarh . So, if you see just this year, just the size of transactions is much larger than what they were last year. Without getting too much into specifics, I think we are talking in the data center space, just much larger transactions. And you w ould see that playing out over the next few months. We feel very good about being able to scale that business really materially in the near term at least.

Dharmesh Kanth: What is the present order book you are sitting on? And data center, if some rough num ber, I mean, this is a pipeline you are talking about, we are not talking about orders, I mean, nothing can be hold on to, but a rough number estimate, if you can give the la rge scale of order and pipeline, which you are suggesting to ?

Ashish Rai: You mean data center pipeline?

Dharmesh Kanth: Yes. First, the present order book, which includes everything.

Ashish Rai: Present order book, s o, we will publish a number. I think it is something of the range of Rs.1,650 crore probably or maybe slightly more than that. The reason we do not publish a pipeline number

is, at least in my head, it is a very misleading sort of picture. Because, no matter which way you look at it, you talk of several thousands of crore , and how relevant is that information to an Aurionp ro shareholder , I am not very clear. So, that is why I hesitate to give a pipeline number because we can very easily get lost in thousands of crore here and there and it is not useful. Okay. This is what I can say. We were doing this comparison, right? So, a t this point in the year compared to the same point last year, the pipeline is something between 65 % and 66% bigger. That much I can say.
Dharmesh Kanth: I mean, just some color on the data center opportunity, which you are looking at, because that is the talk of the nation right now ?
Ashish Rai: Okay , two things. One, talk of the nation will change from quarter -to-quarter, right? So, I think we bet on five spaces and we are very strongly focused on those spaces. I think what has really happened is because of our core skills around AI, we happen to be a lot more relevant to some strategic partners in terms of building out the large hyper scale AI compute that India really needs, right . So, I think what I think will fundamentally happen is, so far, most of th e AI investments that have happened around, a lot of them globally have happened around training workloads. The more this goes into mainstream, the more compute you will need on the inferencing side that will need to be near shore, that

will need to be in India , and there is a whole bunch of investments going that way. I think the incremental numbers that people are talking about is not 30% more in the several orders of magnitude higher numbers. Because, I think you were never talking of gigawatt clusters earlier. Now, suddenly the talk is very different. So, I think I hesitate to give you a number because I think it is one of those places where if you really wanted to grow very, very strongly, that is possible. We are looking at expanding the number of str ategic partners that we work with and I will come back to you with more news hopefully over the next few months with some of that when that is totally concretized. And we feel that is a business, we will continue to grow at faster than our enterprise rates over the next few years , right? I think the size of the opportunity really runs to hundreds of thousands of crore. And the question really is not the size of the opportunity. The question is, what role does Aurionpro want to play ? We want to be the go -to partner for highly complex, specialized design and build projects, where especially move the business towards hyper

scale compute, go after larger projects, go after more complex projects, which we have built out the competencies to deliver. So, I think th at is what I would like to say. That business will grow very strongly , I can tell you that.
Dharmesh Kanth: Thank you so much. I will come back in the queue.
Ashish Rai: Thank you.
Moderator: Next question comes from the line of Kartik Iyer.
Kartik Iyer: Hi, sir, c ongrats on a good set of numbers. A couple of questions. What are the margins currently that we are enjoying in Transit ? And once you think the sector and the space gets a bit more maturity, how do you see margins playing out in that scenario?
Ashish Rai: So, Transit margins have steadily been improving and they have steadily been improving for a couple of reasons, Kartik , right . So, I think one is now we own pretty much IP on every point on the value chain that we compete on. I think that has made a material difference to the economics that we had on that business. The second is now we have more or less a “Make in India ” capability even on the hardware side, which again pumps up the economics for us, which is why today we can more or less, if y ou look at it, we can win projects of the scale of MMRDA, which we were hesitant to go out and compete in the past. The other thing we are doing is, for example, MMRDA getting into the CCHS, the back office, the software side as well, which also leads to a much higher operating leverage. So, I feel Transit would at least match banking software margins over the long run. I would not be surprised depending on what that stable state is, I would not be surprised if it actually becomes even more profitable than that, right . So we have got the basic build outs of pretty much every point on the chain. It does not mean we will stop doing R&D. We run a fairly substantial center in Istanbul. We just set up R&D center in London. So, we will continue to double down on R &D, but I feel that we have got now our core IP on every point we wanted and that helps us drive economics, which will be significantly better in the future than it has been in the past.
Kartik Iyer: Right. And a two -part question . Coming to the spend that we are doing on AI and in the banking enterprise software, how soon or what is the turnaround time you see from you making your investments and typically seeing a sizable or meaningful return on that? And is there any sort of roadblocks or impediments in terms of adoption that you have seen so far of the same?
Ashish Rai: Okay. So, that is an interesting question, right? And honestly, it has like a multi -part answer. Okay. This is how I will put it. What investments are you making in AI

and what is the ret urn horizon on those investments? I would say there are three significant vectors that we are going after , right? One is what does this Banking Software 2.0 look like? What does this AI native software stack look s like? This is our core business today. What does software need to be when agentic flows start using it? So, that is number one. We have invested significantly on it in terms of really moving software products up the stack. And I think that is one, a large investment today , and that is also a ne ar-term ROI over the next two, three years. And you can already see that in our wins, but I think most of the ROI on that Software 2.0 investment will come out over the next few years , and it will result in both a significantly share of the market, as well as a significantly higher share of the wallet within the clients. Because what you used to do, you can do a lot more than that. So, that is #1. #2 is really getting our leg on mature enterprise AI, on agentic execution of processes within the bank , right . This, we are trying to do that through our AI. That is where AurionA i is that full -stack offering that we come up with. I think this is significant investments today. The returns are more medium -term, because what will happen is a lot of very hard problem s need to be solved. So, of course, there is a lot of noise in the AI space. Everyone would like you to believe they have an AI offering, including Aurionpro. But the reality of the banking world is, there is very little meaningful intelligence that can go into production unless someone solves some of the hardest problems. Why is Lex si Labs that Aurionpro owns is the only lab to work after tabular foundation model anywhere in India or Asia? Because we know that is a hard problem to be solved. We just won a patent two weeks back on DL Backtrace, which is our explainability elbow. Why do we research in it? No one else does it, because we know that is a hard problem to be solved , right? So, I think we will go after really hard engineering problems. We run one o f the most advanced research labs, building out on the most advanced AI engineering frameworks to enable these problems to be solved. I do not want to get into the technical details unless you want me to, but that is number 2. So, I think getting the agent ic execution right would be a very, very large price, because like I say, your TAM is no longer the IT spend, your TAM actually becomes the operation spend, which is literally trillions of dollars and we intend to play for that game. The ROI would be long -term. I would not promise results tomorrow. That is number 2. The third thing that we a re doing is how do we ourselves become an AI -native organization? So, how do we fundamentally embrace AI, especially on our core value -adding processes, which is things like software development, things like support, etc., which is where we are really going in re -engineering our own workflows and really committing to being AI tool -led. I think that is a more immediate ROI over the next few quarters, because what is happen ing is, and you would have noticed that over the last three quarters or so, we have not really increased our headcount. If you peel under the layer, on the software side, the headcounts have actually come down. Of course, we are adding because on the TIG s ide, because of MMRDA and on the data center side, because of some strategic wins that should come through. But, on the core development value -adding process, we expect the productivity to really enhance significantly and result in the cost of production a ctually coming down , right? So, that is, I would say, the most near -term ROI. So, it is three different vectors, each with its own ROI horizon. I think the important thing that I would like to say is these are very significant investments, and we

are quite fortunate to have the strength
today to be able to make these investments. I think on the cost side, the ROI is fairly obvious, and that should come through fairly quickly. The rest of it depends on how well we compete. We feel

we are one of the very few organizations who actually put together the components that are needed to succeed, and time will tell how we execute on it. Does that make sense?

Kartik Iyer: Yes, sir. Thank you so much.

Ashish Rai: Thanks, Kartik.

Moderator: The next question comes from the line of Kuber Chauhan.

Kuber Chauhan: Yes. Hi, good afternoon. Congrats on good set of numbers. So, a few questions from my end. We saw a flattish kind of growth in our banking and fintech segment. So, what was the reason behind that? And secondly, we acquired InfraRisk. I mean, if you can just give some color on the reason behind the acquisition ? And thirdly, as you said that we are hoping for positive cash flows by end of the year. What could be the range we are expecting , because we saw negative cash flows in first half?

Ashish Rai: Yes. So I would kind of contest the flattish banking growth. I think if you look at the performance last three quarters, I think both banking and TIG are more or less growing at the same click, 25 -26%. From one quarter to the next, it may go up or down a little bit, but I feel banking is growing strongly. I do not think we have had the scale of win momentum that we had in Q3. We have had that scale of win momentum before. I think really the sales teams are executing very, v ery well. I mentioned the capacity constraint because of my decision to not increase headcounts. There may be some pressure from time -to-time where you do not have the necessary capacity to really deliver revenue fully. But I think that is a very short -term problem and it is a necessary thing to do to allow the organization to reset to using the new AI tools, to reset to using the new way of delivering. And if we do not really accept that delivery sort of capacity constraint pressure, I think we will strugg le to reset to the new way of building software, to the new way of supporting software. So, that is a necessary thing. I do not think there is really any flattish growth in banking like you mentioned. I can spend more time on it. So, InfraRisk, we said , we want to be a full -spectrum lending play and we would kind of build in various areas where we still have gaps. We wanted to build a little bit around commercial, around auto especially. And InfraRisk is a very high -quality team. It is a business based o ff Australia, a fairly global team, very strong clients, especially Judo Bank in Australia, Toyota in Australia, Toyota in Europe, etc. , And we had the ability to acquire that business at a very good value , right? So, I think that is basically the story of InfraRisk. We feel very, very good about it. I think Nic and Ajay are just sensational founders, very high -quality team, extremely high -quality clients, very strong products. So, we feel very good about that acquisition. And they are really culturally sup er aligned to what Aurionpro likes doing. So, they have come in very well. And really, I feel very good about the performance even in the near term. So, I think that is basically InfraRisk. So, cash flow, I do not know, I think what the question is. Cash f low, basically, look, the way the business operates, yes, we had a negative cash flow number middle of this year, but then we had a

negative cash flow number middle of last year , we had a negative cash flow number middle of the year before. So, it is the w ay the business runs. There is a cash conversion cyclicality in the business. I feel good about being able to finish in the positive end of the year. What number can I give you? Obviously, subject to e

xecution, typically, one would expect, we would be able to convert in the range of 60% of EBITDA to cash , but it can go up and down depending on execution , right? We are razor -focused on it. Like I said, we have not allowed capacity to grow. So, there is obviously some stress in the near - term because of that , but we are razor -focused on executing and I feel good about being able to finish in a good place end of the year.

Kuber Chauhan: Yes, that is helpful. Thank you.

Moderator: Next question comes from the line of Varun Gandhi.

Varun Gandhi : Yes. H i, Ashish. Very hard to see exciting deal wins this quarter. So, I was under a bit of confusion regarding respect to the revenue model , if you could help me out over there ? So, for the software revenue model, what my understanding is that let us say a typical contrac t would be Rs.100, Rs.60 of that Rs.100 would be recurring in form of AMCs, operations and maintenance, whereas the 40% would be a lumpy one -time implementation fee as well as the product license , is my understanding correct?

Ashish Rai: No. So, I do not want to spend too much time on the revenue model , but broadly, the way our model works on five-year term licenses usually, sorry, so , no is not a good answer. I would say for 20% of the cases, you are kind of right because we sell on subscriptions in some c ases. So, typically, the way to look at it is this. If you sold at $10, a typical software deal, one -third of it would be a license , one-third of it would be AMC , one-third of it would be a 12 -to-18 month s project. The license, sometimes we sell in subscriptions, in which case you are right. That is how it goes. In most cases, still we charge it upfront. So, that becomes like almost 66%. So, PS plus license and 33% goes into recurring , right? So, it can var y across deals, but I think that is how the mix goes.

Varun Gandhi: I ask this because I just wanted to gather some sense of what would be a recurring revenue percentage for us , is there any number that you could hint at?

Ashish Rai: So, look, I think typi cally recurring plus near recurring would be in the range of 55% odd in the business. This includes all the various near -recurring streams as well, which is where you could have things like revenue share , so you obviously would have AMCs and subscriptions , you would have ongoing services around the products , you would have operations fees going on , right . So, all of that would be in the range of 55%. So, I think right now the big constraint is you are growing at 30 %, 35% depending on the business you are ta lking about, and which by definition means that you got a 35% revenue coming in, which was not there in the previous year , right? So, if you were to slow down to 5 %, 10%-odd, I think that recurring number could go to 60% plus, right . And the other way

to think about recurring, which people do not think about as much because of the whole software and SaaS sort of model, you are kind of forced to think of recurring as an annual event , right? But actually the other way to think about building the business model is, so most of the licenses, for example, we sell is five-year term licenses. Typically, no one is buying for five years because when banks buy software, they want to buy for 20, 25, 30 -years , right? So, if you keep on selling enough five-year term licenses, every year 20% of your base is coming to you for renewal. So, even the term licenses are recurring, they are just recurring at not an annual frequency, but at a five -year frequency. So, that is the kind of other way to think about recurring in the business.

Varun Gandhi: Ashish, it has been almost five years since you have joined Aurionpro. Could you help me understand what was the typical deal size on the software side, four, five years ago when you just joined and now what is the typic

al deal size looks like? Just trying to understand how much of value addition or premium as a company are we offering to clients?

Ashish Rai: Yes, that is an interesting question. So, look, four or five years back, we finished FY21 at Rs.375 crore , and it was a fairly diversified business , there is a lot of services in the business. So, we were not really selling. I think when I look back five years back, you probably had two or three sales guys in the firm. We now have, I do not know, 45, 46 , right . So, your sales team is 20 x the size and not have the same partnership with MasterCard, with Fin astra, with Visa, with, like that also becomes a channel to go out, right? We certainly were not doing . I mean, now if you look at it, just last quarter, everything, the scale of deals that we are doing, Rs.250 crore with MMRDA, Rs.150 crore with Delhi Metro, Rs.100 crore with T itagarh , several banking deals worth Rs.50 crore plus, the Singapore o ne, which I think we probably put the size out there in the range of again, Rs.1,900 crore, something like that. So, I think, ye s, we were not even coming anywhere close to that size of transactions. So, I think business has just materially changed. I mean , even 12 -months back, we would not have imagined the size of deals we did this year, right . So, I think every year, the scale of transaction grows, every year the complexity of those transactions grows, and every year we grow the muscle to do more. And it is a step -by-step thing. Over a five-year period, when you look back, I think it is a fantastic cushion . It really makes it kind of change that we have been able to drive from one quarter to the next, that kind of messaging gets mixed. I think the total R &D in the business would have been probably Rs.20 crore or Rs.15 crore or something of that order. Now, we do not bat an eyelid when we go and do an R&D of Rs.120-125 crore in a year. So, I think a lot has changed, right? But I think this is a compounding game. This is a game of slowly growing muscle from one year to the other to do larger and larger deals. I think just the sheer size of opportunity in front of us is so large that while it looks very great that compared to five years back, you are doing so much, I think we are still a tiny mosquito in a giant industry. We just have to be a fierce, we just have to be a competitive fierce mosquito, and we will continue to grow. I think every year, you will see that scale of transaction becoming… I mean, it is an order of magnitude change , it is not you start doing 20% more , and I hope we will continue to do that.

Varun Gandhi: That is a thoughtful answer. And I have heard multiple times you have spoken about how confident you feel about the team, about the prod ucts, and about the opportunity a head. Any big acquisition that you are looking at or do you feel that, okay, we are almost there?

Ashish Rai: Oh, we are not even 2% there. So look, guys, I think that the way to look at it is, what is your goal , right? We were pretty transparent about it, right? We said , we want to be a top three global player in each of the spaces, right . You are not even close. Each of our businesses is probably a $20, $25, $30 million business. We feel good about it because we were almost zero five years back. But you are just not even close to being there. Would there be acquisitions? We have invested Rs.1,000 crore between R&D and acquisitions, right , I think roughly half -and-half, I think Rs.600 crore on acquisitions, Rs.400 crore on R&D , but the R&D number, obviously, is climbing up now. And why does that really happen, right? The way we think, this is sort of important to understand, right? We are very simple thinkers when it comes to business. We say what is the space I want to bet on? Data center, transit payments, take your pick. I

s the demand runway long enough for me to really bet on it? We came from a services background, as many firms in India came from a services background. And services is a very simple game, right? I put 1,000 people, I make 1,000 people of revenue. I put 10,000 people, I make 10,000 people of revenue. 10,000 people, I can sponsor a few marathons and all , but the business economics does not change. The product business is a very different business. You ne ed to really sink in a lot of capital upfront to go and build that product, right? So, you need to be convinced around the demand runway. We said, okay, is there something fundamentally transformative happening in that space for me to get convinced around that demand runway? We said, okay, if that is the case, then I go and bet on that space , then we go in and sink in the dollars. We build a blueprint for that business on where we want to be. Lending, classic example, lots of different spaces. We got a prod uct in the CLO space, probably, at least a leading product in Asia. But that is only one small slice of lending. I got a lot of other gaps. We want to expand into those gaps. Then we say, what will it take for me to build a product in that space, right? And when we start building, that takes investment. There is always a choice to go and buy a product instead of building it, right? So, every time you get into a net new space, there is that choice, do I buy, do I build? Buying is always an option, right? So, all our acquisitions have been more founder -led businesses where founders continue to work with us. And we have done six of those over the last two years, right? Founders continue to run their business, continue to build the product, high quality team. So , if I like the team, if I like the founder, if the product is already built out, already has a few clients, and it is available to me for less than the cost of investment, it will take me, that becomes a very good proposition for us, right? So, we will co ntinue to do that to the extent that the company has free cash to invest, we will continue to go into acquisitions, right? So, I think this is something we have been very, very clear about. Every net new space we get into, every market we get into, there i s a buy -versus -build choice and we will continue to make that choice. I think the scale of those acquisitions obviously will get bigger and bigger because the size of deals we can do is a lot bigger, right? I think that is basically the way we look at it. The areas are clear, we are not

going into new spaces and go and buy revenue or things like that, but we will continue to buy products which we are interested in.
Varun Gandhi: Appreciate you sharing your philosophy and the vision. I hope to see the busine ss movement continues. Thank you.
Ashish Rai: Thank you.
Moderator: The next question comes from the line of Anmol Garg.
Anmol Garg: Yes. Hi, Ashish.
Ashish Rai: Hi, Anmol.
Anmol Garg: Just a couple of questions. Firstly, a bookkeeping one. Wanted to under stand what is the current cash balance which is there with us after this quarter ?
Ashish Rai: So, cash balance, I would not know the exact number, but I think something of the range of, I do not know, Rs.250-300 crore should be the number.
Anmol Garg: Okay. So, just building upon that, our other income, which stands at nearly only Rs.2 odd crores in the quarter, just wanted to understand that from the cash perspective of Rs.250 crores or so, the other income looks quite low. So, from the yield perspecti ve, just your thoughts over there ?
Ashish Rai: So, I have not really looked at that deeply. I think we can probably come back on the answer on that. But I think the other income number has a lot of noise in it. So, there is always some impact from FX , there is always some impact from the deposit that we carry , right

? So, I do not think it is a material number overall, but I can come back with specifics on it.
Anmol Garg: Sure. And secondly, on the business perspective, we have seen a strong growth in the TIG segment during the quarter. Now, going ahead for the next couple of quarters, do we expect growth to be kind of similar between banking and TIG or it would be largely more tilted towards TIG? And in that, if you can answer that, which all particular de als led to a stronger growth in TIG during the quarter?
Ashish Rai: So, TIG, you are right. So, we have had a lot of large deals come through over the last couple of quarters. And actually, the pipeline is also very large. So, there will be large deals tha t will come through overall. Which ones specifically? MMRDA is the obvious one. I think various parts of it, including the one with T itagarh and all, I think MP Metro is the obvious one. So, I think these will be material impact on revenue. I think the goo d thing about Transit is increasingly the economic profile of the business is fairly strong. And a lot of this revenue contribution would come in at fairly good margins. I think the data center side of the business would also grow strongly. And I think

there are more wins to come on that space as well that you will see. So, I think TIG would grow strongly. Probably, will it grow stronger than banking? That is a relative comparison. So, one needs to see what comes through on the banking side. Banking, the revenue conversion cycles are far shorter. So, a lot of these wins that you saw, for example, the public sector bank wins, the Singapore win, the CSP, etc., that we announced, the revenue conversion cycles are shorter. So, while those deals look smaller i n value, that still translates into growth , right? So, I think that relative comparison I will hesitate to make, but you are right. I think the TIG wins have been fairly significant. So, for example, the software side, MMRD A is a pretty significant thing. I think as a stack expands overall, I think what you get from it would also increase quite a bit more , right, from the same side of transactions. So, now that we have got “Make in India ” production capacity around the hardware, which obviously improves the economics. Now, you have got a lot more software component to the deals, which obviously improves the economics. I think we will continue to do pretty strong growth there.
Anmol Garg: Understood. And also, with that, if you can kind of also indicate that the receivables in some of these deals, given that these are not exactly directly government organizations , so, DSOs and deals, would it be materially better or in line with the company's current DSOs, which you indicated around 100 to 120 days?
Ashish Rai : So, look, I do not feel there is going to be anything abnormal about any of these deals. I think transit organizations in general have been pretty good at turning around the payments. I do not expect DSOs to be certainly more than enterprise levels or at least the current TIG levels. And Transit, again, it depends on the nature of the contract. So, initial setup, when this project was going on, there is a lot more dependency on getting sign offs and all that stuff and that takes a little bit of time. Once you go into steady state, because these are fairly long -term contracts, the money comes in like clockwork , right? So, I think overall, our experience with these projects, and we are a l ot more careful now on what we sign up for. I do not feel these are going to skew the DSOs at all. If anything, the DSOs we have been tightening a few days every year , and I think we will continu e to do that. And the same applies to the data center side as well. So, I do not expect, like, if you say DSOs to worsen or something, I am not expecting that at all.
Anmol Garg: Sure. And just last c

ouple of things. One is this year, should we expect our OCF to be in the range of 60%-65%? We have earlier indicated that that could be the range as it was in the last year as well. So, that would be the range that we would be looking at ?

Ashish Rai: Yes. So, a lot depends on Q4 execution , a lot depends, especially on a few large projects getting done well in Q4. But, I think that would be the focus. We do want to end with a strong positive cash flow. There is a lot more projects happening in parallel this year than last year for sure. And like I said, the headcounts, we are basically not g rowing. So, there is pressure on capacity. But with that

context, I think the focus is to execute and deliver , right? So, Q4 is a big quarter in terms of go -lives, in terms of project executions , and I think so far from what I have seen, we are on track.

Moderator: The next question comes from the line of Harshit Sachdeva.

Harshit Sachdeva: Hi, Ashish, t hank you for the opportunity. Great set of numbers. Actually, my questions are mostly on account of the tech sell -off that we saw in the last two, three days. First, I mean, what is the impact of all these AI -led software development that comes in? I know you work in a niche sector for banking and fintech , so, how easy is it for someone to develop a software or a product and then go and pitch it to the client? So, a co mplimentary question on that is how good is customer stickiness for your clients , I mean, what is the switching costs? Second would be, how has the billing models changed? So, I mean, on the call, you talked about how Aurionp ro has transitioned from an IT services shop to an IT product -led shop. So, how has the billing model been transformed ? Those two questions would be right.

Ashish Rai: I mean, someone had to ask that question. So, thanks for that. Look, obviously, there is a lot of noise and markets lov e narratives. Ye s, sure. I mean, there is noise around software. Look, I think, first of all, the whole logic of s ort of s oftware getting replaced is, in my head, very illogical. Businesses do not just operate that way , right? But then again, software need s to be split into two. What really is software , right? Why does any enterprise use software? You are an enterprise, you have a core value creation process , you essentially build a software to run that value creation process. So, that software essentially is that process transferred into code. You throw a bunch of UI at one side of it to bring information in, and you throw record keeping back office on the other side of it , right? The very fact that you can do something else and not have that software is fa irly illogical , right? So, the second question then is, okay, so software continues to exist. Does it need to change for the AI age? Definitely, it needs to change , right? Because if an agent starts using that software instead of a human starts using that software, there will be some changes. An agent does not really care much about UI. I mean, for agent, as long as there is an API call, I am happy with it. The human starts verifying what the agent is doing instead of looking at it. So, it needs a different kind of screen, all that stuff , right? Architecturally, you need to be ready for it. But the software needs to be there. That is why my talk around Software 2.0, where the software needs to evolve a little bit , right? Now , you bring back into the kind of software. On one side, you have what became very popular over the last several years, the very front -end centric, customer engagement -centric software, I mean, so - called SaaS largely, which I suppose you say, can someone build it much faster? Probably, you can, right . On the other hand, you have the more complex software, which really runs the core business processes. For example, the kind of banking software t

hat we make , right? I think replacing these complex software has been extremely, extremely painful in the past. And there has been no rationale to do it. I do not think any new rationale gets created do it even now unless it gets in the way of AI adoption. Hence, the Software 2.0 story, right? And then all of that, you need to keep into perspective tha t banking has a lot of structural inertia. Why does that structural inertia come? It is

because it is a heavily regulated industry where change is not that easy , right? So, having said that, this is what I will say. First of all, extremely sticky revenue s tream. I do not see anything changing at all in the medium -term, which is, let us say, four or five years. I see a need to enhance the software to do more. Hence, the Software 2.0 story. So, I do think it increases the size of opportunity way more than wha t we thought it was in the Software 1.0 game , right and is it easy to build software? That is possible. But what that would result in and which was my whole cost of production story, I would expect us to be able to ship a lot more product s, I would expect us to have our cost of production drop , and hence, I suppose margins increase as well , right? So, that is the other part to it. So, the whole software thing needs to be seen in perspective. And I know market loves narratives. But I would say, first of all, look at what the software does. Second, look at the customer engagement front -end centric software that probably can be displaced if you wanted to build new for whatever reason. And then, the complex enterprise software, very hard. The complex enterprise software in the banking space, very, very hard. But it is a massive opportunity for an incumbent provider to really expand its wallet share , right? So, I think that is basically what we are focused on. You had something else. So, stickiness. And then you w ere saying -

Harshit Sachdeva: Yes. Change in the revenue model. So, change as in a transition from an IT -led services company to an IT -led product company, as you said, on the back of AI. So, what has it brought the change in, let us say, contracts or bil lables or how is billing basically done in a product company?

Ashish Rai: Look, so, I spent some time in an earlier question on the revenue model , right? So, I think the answer on the software side is more or less the same. Look, I think there is still som e services element to the business because you do some services , you also do some enablement of the product, which is services. I would say a lot of it moves towards various models of monetizing the IP. For us, there is one-off five -year term licenses that we do , there are subscriptions that we do. And on things like Transit and all, there is also even revenue share models, etc .. that we go in , right? So, I think depending on the business you are talking about, yes, there is a sort of a different type of revenue model that goes in. So, it is not so much centered around what really gives me the most dollar in the next quarter. It is centered around what maximizes the ROI for the investment that I made in that IP. So, in some cases, the answer is a subscript ion and not a one -time license. In some cases, the answer is a revenue share.

Harshit Sachdeva: Sir, from what you said as an answer to my first question, if I can ask a gain a very beginner question. So, what is easy, let us say, for an agentic workflow co mpany to create the software that you make or for you to create an agentic workflow and then both of you can bundle it and sell it to the client? Which rack would be easier? For the workflow agentic company guy to create the software that you make and pitc h it to the client or for you to go the other way around? If in the future, let us say, you are saying headcount comes down and it is agents that interact w

ith the software and not humans ?

Ashish Rai: Yes. Look, we are firmly in both the buckets, right? So , Arya will play the agentic game , our software businesses will play the software 2.0 game, right? I would like to say what is easier, I would bet, and not because I am talking my book, I think banking is a very complex world, right? So, if you follow all the news flow, if you follow all the talk about AI on Twitter, on whatever platform you choose to follow, there is a lot of talk around SaaS getting replaced, there is a lot of talk around Arcane AI problems getting solved. There is very little talk around banking. Why is there very little talk around banking software? Because it is just very, very complex, right? So, I would say , the field is tilted towards the incumbents coming up with the solutions if you are so inclined . We have methodically made the in vestments over the last couple of years. Since we bought Arya.ai a couple of years back, we made a ton of other investments, opened up labs in London, Paris, to solve the very hard problems needed to do it. I would obviously bet on myself, but I would thin k the playing field is fundamentally tilted towards the incumbent software provider unless you are legacy that gets in the way, right, of AI adoption.

Harshit Sachdeva: Okay, got it. Thank you so much.

Ashish Rai: Thank you.

Moderator: We have a last question from Raja Mohan Vaikuntaraman .

Raja Mohan V.: Hi, Ashish. Thank you for the opportunity and congratulations on the super momentum in order wins . You have indicated to reimagining your internal resources as the scale of the opportuni ty has dramatically changed. The short -term capacity constraints that you have indicated emanating from this, you see this persisting for how long?

Ashish Rai: Look, till you start seeing the productivity gains from the tooling we are investing in, right? So, I think that the important thing to understand is this, and again, linking back to the previous question we were talking about around agentic flows, if you want to become an AI -native software firm, it is not just a question of starting to use Cloud , Code, or Cursor or whatever your favorite tool is , it is a question of how do I fundamentally reimagine the workflow? Because, how do you really build software differently , how do you really ship products differently, right, from the point of planning it to the point of shipping it , how do you really test your products differently , how do you really support your products differently? It is hard for me to really, without getting into a lot of detail, describe the complexity of it, but you are changing the cor e value -adding process in a firm. It takes time to do that, right? What is the alternative, right? The alternative is , we keep increasing the headcounts against the increase in sales and keep using that increase in capacity to deliver that revenue, right? What problem does that cause? The problem that this causes, one, it takes the pressure away from needing to reset. The key to our success over the last four or five years is we have been open -minded about change and we have been fast to react to change. I do not want to lose that and that pressure is necessary for me as for everyone else who works with me on this. The

second is, you do not know when it turns, it turns, right? So, I am hoping you start seeing those productivity gains a lot quicker. Is it tomorrow? Is it next month? Is it next quarter? I think time will tell, but we feel good about it because we have seen a lot success in what we have done so far, right? And when you start seeing those gains, that pressure will go up, right? So, I think that is the way to think about it. It is at most a few quarters anyways, right? As we reset, do not underestimate the comple xity of change

, the complexity of changing from a legacy software build process to a new software build process, but we feel good about the talent we have , we feel good about the investments we made on tooling , we feel good about the POCs we have done to t est this out and now we are rolling this out at scale. So, I think it is a matter of time and not like a few years, it is a matter of a few quarters before you see, because if you get it right, then what you are saying is my revenue stream is strong, conti nues growing, but my cost of production is dramatically lesser, at least on the software build side, right? And that is real dollars, right? So, it is an important project to get it done , right and we are not the only firm trying to do it, of course, but w e feel as with everything we do, we will be more focused, we will be better, we will be faster than the peer group. That is what the goal is.

Raja Mohan V.: My second question was on data centers. You indicated to the current opportunity size growing by about 65% odd over the last year. Post the huge budget push on data centers, would we see this opportunity size grow to a totally different scale in terms of size from what it is today? Or it is probably as the execution happens, you will be able to say more about that or currently itself you are comfortable with the kind of budget push the government has given that this scale is going to grow to a totally different level ?

Ashish Rai: So, I think the honest truth is I do not know. I feel it is extremely supportive. So, the logical conclusion should be that if you look at a three, five, seven -year horizon, there should be a lot more investments in the market than it is right now. But, I think the thing to understand about data centers space is even now, th e demand far outstrips at least for us from what we see what we are capable of. So, I think it is a significant like demand environment that we have not seen before. Just the sheer scale of transactions we are talking about now, of course, the pipeline dea ls need to be closed, all that stuff. But, it is just a very different order of magnitude deals that we were talking about 12 -months back. So, just from a seller standpoint, I think the demand environment is just very, very robust. And I think you are righ t. Over the next few years, I think those investments are probably going to be even more than what we have seen so far.

Raja Mohan V.: So, finally, as you complete one more quarter on your long -term goal of being the top -three in each segment of operations , in this dynamic environment, based on your very positive commentary, can we say that we are navigating really well and in more easily realizing this?

Ashish Rai: I mean, I do not know what else to say. I do not think there is any tech company in India wh ich has grown over the last five years as much as we have grown. So, I would like to think we are navigating it okay.

Raja Mohan V.: Thanks a ton, Ashish. Best wishes.

Ashish Rai: Thank you.

Moderator: Thank you. Due to time constraints, that was the last question for the day. I would now like to hand over the call to Mr. Ashish Rai for his closing remarks.

Ashish Rai: Hi, thanks, everyone, for taking the time out of your day and joining the call. I hope it has been useful. There is a lot of change in the world and we will continue to execute against the strategy that we said it is , there is a lot to play for, a big quarter ahead for us , and I look forward to seeing you at the end of the year. Thank you.

Moderator: Thank you, sir. Ladies and gentlemen, this concludes the conference for today. Thank you for your participation. You may all disconnect the lines now.

Call: Jun 2026

15th May, 2026

Sub: Transcript of earning call held on 12th May, 2026 for Q 4 and year ended 31st
March, 26.
Dear Sir/Madam,

In accordance with Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed transcript of the earni ng call held on 12th May, 2026 for the quarter and year ended March 31,2026.

Kindly take the above information on record and confirm compliance.

Thanking you,

Yours faithfully

For Aurionpro Solutions Limited

Ninad Kelkar
Company Secretary

Encl: as above

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Bandra (East), Mumbai -400051
Script Code: AURIONPRO

“Aurionpro Solutions Limited
Q4 & FY26 Earnings Conference Call ”
May 12, 2026

MANAGEMENT : MR. ASHISH RAI – GROUP CEO & VICE CHAIRMAN –
AURIONPRO SOLUTIONS LIMITED
MR. VIPUL PARMAR – CHIEF FINANCIAL OFFICER –
AURIONPRO SOLUTIONS LIMITED
MR. NINAD KELKAR – COMPANY SECRETARY –
AURIONPRO SOLUTIONS LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Aurionpro Solutions Limited Q4 and FY26 Results Conference Call.
Today on this call we have with us from the Management Mr. Ashish Rai – Group CEO and Vice - Chairman, Mr. Vipul Parmar – Chief Financial Officer and Mr. Ninad Kelkar – Company Secretary.
Let me draw your attention to the fact that today's discussion may include certain forward - looking statements which are predictions, projections or other estimates about future events. These statements reflect management's current expectations about the future performance of the company and are subject to c ertain risks and uncertainties that may cause actual results to differ materially.
As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes.
I now hand the conference over to Mr. Ashish Rai – Group CEO and Vice -Chairman at Aurionpro Solutions Limited. Following his comments , we will open the forum for question -and-answer session.
Thank you and over to you, sir.
Ashish Rai: Hi, good afternoon, everyone and thank you for joining the call.
FY26 that we just finished was a year of strong execution from the team against a genuinely complex backdrop. By our own standards, the final result was below par. We can do better and we will.
When w e entered the year, we planned for the revenue to grow close to 30%. Even right up till we entered the second half, the plan was intact. In reality, the revenue actually grew 20.2% to INR 1 ,411 crores. EBITDA margin was 20.02% and PAT margin was 15.02%, we ll within the guided ranges of 20 % to 21 % and 15 % to 16 % but towards the lower end of our planned ranges.
Q4 was shaped by a cluster of factors, some we had clearly not planned for, so let me address those up front :
The biggest impact on Q4 and likely Q1 of this year as well was the war in MEA. The Middle East has become an increasingly important growth engine over the last couple of years, as you would have noted, particularly for Banking and we fell really short the re on both committed Q4 deal closures as well as planned project completions. We believe this is temporary.
The spend appetite in the region is intact once the geopolitical picture clears. Data center business performance was also affected in Q4. A very la rge hyperscaler win that we announced

required us to start execution, start investing, but the revenue slipped from Q4 into Q1 because of planning delays on the project which we had not clearly anticipated.
We also absorbed a one -time impact from labor cod e implementation and as I shared last quarter, we have significantly stepped up both expensed and capitalized investments to meet what we feel are generational opportunities opening up in AI and data centers because the window for us to act is very narrow. While we are convinced these investments are needed to capture these opportunities for our shareholders, the timing of these investments would have been a lot better if we had delivered to the revenue plan in second half of the year, which we clearly didn 't. I want to be candid on one more point.
We have grown rapidly for the last five years. As you would have noted, the business has probably quadrupled over this period. That is generally a good problem to have, but five years of this space has left us str etched in places and the current revenue miss from geopolitics and the speed of AI -led disruption have exposed those vulnerabilities.
We will address these gaps with focus and will leave no stone unturned in making Aurionpro better protected against extran eous shocks. Despite the near -term roadblocks, we are confident that the medium -to-long -term growth drivers across each of our businesses are intact and w

e will execute with discipline to deliver a strong FY27. Each business has been built for precisely th is moment, and each will continue to accelerate because the work we do is increasingly central to wherever customers want to go.
We are approaching inflection points across several businesses at once and that is uncommon enough to deserve a real response f rom us. That is why we are stepping up investments now with urgency, at scale, with our best talent organized around an AI -native way of working that I am leading personally.
In Banking and AI software, we continue to win with multiple strategic go -lives in FY26 as you would have noted, creating strong references across public sector banks, across international markets. We are rebuilding the Banking stack with Aurion AI , starting with a fully AI -native

trade finance platform on agentic architecture that we announced a few weeks back, agents handling workflows, foundation models reasoning over bank data , and decisions in real time.
A series of AI -native applications will follow, each a pi ece of the new stack and this we will take across the entire Aurionpro stack within the next couple of quarters. That is a significant build which we intend to do. Through Arya and through Lexsi Labs , we are investing in proprietary research including foundation models tuned for Banking .
In transit, we secured large strategic wins across India and the pipeline is extremely strong. The business is becoming meaningfully more global and that will acceler ate in the new year.

To compete at scale, we are investing across the full stack, software, systems and hardware. Owning the full stack is what separates an average vendor from a category leader and that distinction matters more as the market expands.
The data center business reached a clear inflection in FY26 .We secured one of India's largest AI-focused data center mandates from a leading hyperscaler alongside several other wins and are fast becoming a partner of choice for hyperscalers in the AI era. En gagements of this size carry elevated investment cycles, and we have chosen to fund them urgently. The opportunity to be foundational to AI infrastructure in India is one we are determined not to miss.
As we get into FY27, I think for some time we will see higher upfront investment than a typical year for us, with larger projects bringing higher working capital needs as they scale. We would rather absorb temporary balance sheet pressure than underinvest when the opportunity is this clear to us. We enter FY27 with an order book exceeding 1800 crores and a healthy pipeline across all segments.
We will remain watchful on the macro, we will remain watchful on geopolitical environment which could continue to delay, you know, some deal closures in MEA especial ly, as we saw in Q4. Our medium -term trajectory, our long -term trajectory is firmly intact and our conviction in Vision 2030 is only strengthened. A change of this scale rewards firms that saw it coming as we have and prepared for it methodically.
That is the work of the last several years that we have done at Aurionpro . We are optimistic, we are ready and we intend to make this decade count for our customers, for our shareholders and people who build this company every day.
With that, let's jump into the q uestions. Thank you.
Moderator: Thank you very much, Sir. Ladies and gentlemen, we will now begin the question and answer session. Participants who wish to ask questions through audio and video can do so by pressing the raise hand icon on the bottom of you r screen and wait for your turn to speak then prompted, you can accept the prompt on your screen, unmute your audio and video and ask questions. Participants who wish to ask questions via chat can click on the Q&A icon at the bottom of your screen and post your questions. Ladies and gentlem

en, we will wait for a
moment while the question queue assembles. The first question comes from the line of Dharmesh Kant . Dharmesh, I request you to accept the prompt on your screen, unmute your audio and video and ask q uestions.
Dharmesh Kant : Yes. Hi, Ashish. Thanks for taking my question and congratulations on the resilient set of numbers in this quarter as the entire IT industry is struggling. But the numbers came better than what the others in the group has been doing so far. So, my first question is, Ashish, I have been looking at how the trajectory has been on the growth f ront of the revenue. So, I mean, 30% kind of growth looks like a distan t past right now, as you see. And last five quarters are

the numbers you see, I mean, Q4 of last year till now. So, the range has been 330, 350 to 370 crores on the top line. And Q4, I mean, earnings has been more reflective of the stagnanc e or if I may say, the lack of growth coming on the top line. The markets were also on the low er side, it was sub 20% for Q4, it was 19% on the operating margin, EBITDA I am talking about. So, I mean, going forward, just in the near term, maybe FY 27 and 28, how are you looking at this margin and revenue profile? Would it be, we will go back to near 30% or we will stagnate and struggle at the same point? This is my first question. Second, I will take up post this.
Ashish Rai: Okay, yes. Hi, Dharmesh. Thanks for the question. Look, it's hard to call. So, I think we clearly missed, even when we entered Q4, as we were entering Q4, we were actually quite confident of the quarter, we had a good set of , sort of deals in commit, and we were executin g against a fairly large order book as well. So, sometimes the things you just can't predict. If I leave that aside, and we clearly missed it, so I would completely take that on as a management responsibility. If we leave that aside, I don't really see an y material change in the demand

picture for this business. Each of the segments that we bet on is only accelerating, I mean, leave small transitionary events, supply chain disruptions, Middle East war aside, and you can obviously argue that it's not transi tionary and the sign of things to come and all that stuff. But I don't know what I don't know. But what I do know is data center space in India, the demand is accelerating from where we sit. And we have got a very strong order book. Transit , we are extreme ly strong right now in India, we are executing against very large orders, but now we are competing very aggressively globally. And we believe over the next few years, we will be a really meaningful global player in that space just because of the strengths that we built up. Banking , we are already a fairly significant player. Our win rates are exceptional. We have got an extremely modern stack. And now, like I have been saying the last couple of quarters, we have been investing heavily against our point of v iew on where the Banking software needs to change to meet the age of agentic execution inside the bank. And we have got a very clear point of view, we believe we are ahead of the market. And we will really invest aggressively over the next two quarters to really create a stack that can compete globally. So, each of these spaces, we believe, have extremely large headroom for growth from where we sit. And I actually, other than the fact that my opinion on the long term demand, if it would have changed, it would have changed to the upside rather than downside. That's what I can say. So, I feel long term, medium term, we will continue to grow very aggressively. Over the short term, we missed some events, we need to make s ure we are resilient against those events. And we will leave no stone unturned to plan and make ourselves completely bulletproof.
Dharmesh Kant : So, Ashish, I mean, can you just put some number on

the guidance like 30% was what we used
to talk about. So, will it be 20% + as we ended the entire year or near about that? And secondly, the verticals, I mean, we are hearing so much about AI , Anthropic and all, I mean, enterprise enabler kind of software’s which are coming into the play. So , your Banking and transaction suite in all how it gets affected by that, I mean, you yourself are rolling out AI products that I know. But is there any competition from platforms like Anthropic and OpenAI to your present

suite? So, that and I mean, just some number Ashish, which we can work on like 10%, 15%, 20%. What is the growth expectation?
Ashish Rai: So, look, what I would advise Dharmesh is for us to like there are a few uncertain events that we don't know how to predict for, right. So, I think it would be very unfair for us to throw a half-baked number out because there are uncertainties we don't kno w, especially around the Middle East. Last couple of years, we had really pivoted to focusing aggressively on Middle East because we saw the spend, which I think the banks still have. We saw our ability to win. And it suddenly became quite important, right . Now, of course, after this, we are trying to diversify more. We actually did expand into Europe. It's just like it's maturing slowly. We are now investing heavily in Southeast Asia. So, we are pivoting to account for this. And I think over the next couple of quarters, we will be much more diversified than we are right now, right. But while we do that, I would say there are uncertain events, which it makes it unfair for us to throw a number so we will not throw. What I will say is, we will continue to grow ahead of the industry growth rate, we will continue to beat that by a meaningful number, I feel very good about it, because just in relative terms, we are extremely strong. Right now, where the market is, we will see. But I think we will continue to beat the industry rates by a fairly good number as we go. And then can we meet? Is there a possibility we can meet last year's rates or the year before? I think, for sure, there is a possibility. But let's discuss that in a quarter or two as things settle down as to what that number would be. I am hesitant to throw a planning number out there, right. But we plan to continue to grow aggressively. On the AI side, the question is a bit more interesting, right. So, there clearly is a lot of news in the market a round not just anthropic foundation models in general . I don't really see. .so, the core space that we have on the Banking side, right, that is essentially core business software that the banks use, right. So , which is where the way to look at software is, it's essentially a codification of the business process that the bank runs, a translate in the form of code. Now, you will say, can Anthropic or any other frontier model firm, come in and compete on the space? I don't see any immediate signs of it. Having said that, there's obviously a lot of skills that Anthropic published out in terms of financial analysis, all that stuff, right. And those are fine. But in terms of executing the core business process, for example, we launched our first fully AI nativ e build from scratch software 2.0 plus agents in the trade finance space. Think of this as our vision of what the future of trade finance should look like, where you can call the whole thing a trade finance agent, or you can say there's a next generation o f Banking software with agents working seamlessly inside it. I would highly recommend you go and check it out. We believe this is clearly the most advanced trade finance platform in the market today. I don't see any frontier model shop or any model shop fo r that matter trying to compete in on that. And we believe the more of these future

products we roll out, the more competitive we will be and the mor

e market share we will be
able to take. In the final picture, so in my head, an agent is essentially 70 -80% software and then obviously you need a model to provide the intelligence behind it, right? The nature of the software chains and hence our view on what the future software should be has changed, right? It doesn't mean software itself is not needed, right? So, that is where we are helping our banks

out on the journey and we feel we will, I think we have like an opportunity to displace the legacy vendors at large scale across the globe if we play this right.

Dharmesh Kant : Yes, fair enough. So, I mean the last part you may answer, I will come back in the Q&A again. But the only thing is like as you said, data center is gaining traction and there will be some balance sheets strain as you are investing more. So , does that mean margins are going to slip further from where we are? I mean, 19% are we looking at 15 -16% kind of a margin trajectory in the near term?

Ashish Rai: We are not planning to. Look, I think we just, when we start taking very large scale orders, I think we just need to get better a t planning the execution on these. These are not necessarily low margin orders. It’s just we got the timing wrong somewhat and I think we just need to get better at executing against this, right? We are not planning on any significant margin dip because th e scale of the orders increases .

Dharmesh Kant : Thank you. Thank you so much. I will come back in.

Ashish Rai: Thank you.

Moderator: The next question comes from the line of Vinay Menon. I request you to accept the prompt on the screen, unmute your audio a nd video, introduce the firm you represent and ask a question.

Vinay Menon: Hi. Thanks for the opportunity. A couple of questions from my side. One , you know, our CAPEX number has gone up significantly in H2. So, if you can just kind of break down where is this going to and is it more TIG or is it anything else?

Ashish Rai: So, CAPEX , look, I think broadly I have messaged the investment plan over the last quarter as well, right? So, I think it's a mix. So, we have been now picking material transactions on the TIG side, both in transit and data center. We are also investing heavily behind building the Banking software stack. We are investing heavily behind building the AI stack as well, right? So, where we are looking at an increase in terms of, especially in terms of intangibles, that is the accelerated development cycle that we sort of mentioned last quarter and it's going to run for the next couple of quarters, right, wh ere we will build out the software 2.0 version of every single Aurionpro product and we will enter net new spaces like we enter ed trade finance, right? So, you will see a whole stack come out over the next few quarters, which is a, I mean, I think by our s ize, a humongous investment in terms of software development, in terms of sort of capability development. But we feel like this is the time to do it and we will be materially meaningfully ahead of the rest of the industry as we roll out all these products, like we did the trade finance thing a few weeks back, right? So, expect a lot of these similar launches to come through over the next couple of quarters.

Vinay Menon: Okay. And on the intangibles and intangible under development, I think together, both those line items are close to 200 odd crores. So, where do we see this investment kind of peaking out and, you know, those numbers to stabilize going ahead and any indic ation on that?

Ashish Rai: Sorry, on where do we see these numbers stabilize ?

Vinay Menon: Yes, that number has like really risen, you know, the last two, three years we have seen.

Vinay Menon: Yes, going from like INR 20 crores to INR 30 crores to INR 200 crores . So, I just want

to know
where are we going to stabilize in that now?

Ashish Rai: So, look, I would think of it this way, think of it as a short -term spurt in development activity that we are funding at the moment across, meaningfully across three different types. One is building out a completely brand new AI native software stack. This will span trade finance. This will span transaction Banking . This will span lending and all the different types of lending, corporate as well as retail. So, this will span across our entire product line. And we will enter a couple of new product lines. I don't want to talk about it before we actually launch into t he market, but we will enter. So, that is one. The second is extremely hard research to solve the really tough enterprise problems when it comes to adoption of enterprise AI, right? This is, we are building out one of the leading sort of research labs on Tabular Foundation models, for example, right? This is what Vinay is personally leading. And we published Orion MSP a couple of months back. You will see us publish the next stronger version of it, which should do very well on global benchmarks, pro bably in the next four to six weeks, right? So, I think that is, or let's say eight weeks, right? So , that is there, but that is just one of those things, the whole AI engineering framework, like the whole set of enterprise capabilities, that's the other a rea, right? The third is on the transit side, we are strengthening our software stack, like we announced with MMRDA, building out the back -office software, CCHS as well, which we are traditionally not done. These are, again, very large builds. I am missing something. Yes, fourth is the payment side, right? Where again, we have become, it's now becoming a meaningful driver of revenue and we have got the scale in terms of merchants, we need to build against it, right? So, I think that's, again, become a siz able business, and it will become much more sizable going into next year. So, we need to build against it as well. All of this also in the backdrop that there is some, let's say there is some thought that we have around emerging risks, around cybersecurity, around what is coming, which also needs us to strengthen a lot of our stacks with some level of urgency. Now, I m ean, you would have probably seen some news articles around Mythos around 5.5 security layer as well. I think there is a need to act with urgency on that space, where again, we will pour in some dollars to build, because honestly, if you are not doing tha t right now, it is a problem, right? So , there is a small window to act. So, those are the sort of areas in which we are really throwing in a lot of development dollars at the moment. I would say think of it as a short -term spurt in development investments to react to one, either the opportunity that we see, which we think this is the window to act and there is no other

choice that is the right thing to do for the shareholder. And the second is a challenge against which we need to again develop, right? So, I think that's sort of how I would characterize it. Happy to get into any details, but that's basically the 30,000 -foot view.

Vinay Menon: Okay. Okay. And we had indicated that by Q4, we should see some deal wins from Europe, US, we are trying a lot to ent er those regions. So, any update on that plus any update on Middle East and when can we see any kind of normalization there?

Ashish Rai: Yes, so look, I want to say this with some hesitation, but I think we already see some deal activity restarting in the Middle East. The reality of the picture is a lot of buying processes were in very advanced stages in the Middle East across especially transaction Banking , which is the main line from us, but also lending, also the interact suite. We have seen some increase in activity already happening. It doesn't m

ean buying processes have started full steam, but what was happening in Q4 was like banks just stopped a lot of the conversations even at the final stages. Now you see, you know, big restarting the proces s, restarting POCs in some cases and things like that. So, I would say it's probably coming back, but let's, like, you know for sure when you know that the whole situation is under control, the war is over and all this stuff, and we are clearly not there. But I feel we are seeing some beginning of activity in the Middle East. Europe, we have certainly matured. I think Fenixys is doing very well. And I think it is continuing to growing strongly in it. We have acquired more clients. We are expanding the busin ess. We are also taking it outside of Europe into Middle East, into South Africa, into US. So, I think that side of the business is doing well. I feel it will grow very strongly into FY27. We are now being considered for more buying processes, more RFPs in Europe. I think it's a matter of time before we start converting that at good pace. We are in reasonably mature processes at the moment. We logged some wins, but they are not obviously at the same scale that we do in Middle East or in Southeast Asia. So, but I feel like next year would be a good one for Europe.

Vinay Menon: Thank you. I will get back in there. Thank you so much.

Moderator: The next question comes from Darshil Jhaveri. Mr. Darshil Javeri.

Darshil Jhaveri: Hi. Thank you so much for taking my question, sir. So, sir, I just wanted to elaborate more on, like you are saying you are going to make some more investments, you know, which are going to be front ended . So, will it impact our P&L or will it be, you know, ro uted more to the balance sheet in terms of our intangibles and the development increases? How would that, you know, look at, sir?

Ashish Rai: Okay. So, look, maybe I slice it by the business. So, there is a whole, there is basically every single product group is at the moment building an AI native bran d new version of their product. This is core software development. This is from zero software development, and everyone will do it. And that is where we are building out the intangibles. If the, I think at least a large chunk of it will get routed to the P &L because we are still expecting a lot of that investment to get backed up by revenue. Of course, Q4, we struggled a bit as you can see, but by and large, I would say we will route a fair amount of that investment into P&L, especially when it's backed by a client project. But in some cases, we will need to front -end it and build it ahead of the client projects because this is not a question of sort of responding to a client RFP. This is a question of going and getting ahead of the market, right? So, we need to invest, we need to build. Some of the stuff like transit, for example, I was saying, I think that is more or less in the past. We now have built out the stack, the back -office software and all I was talking about, we are building it, but it should be done as we do MMRDA and that's like a one -off thing and it will more or less whatever expense happening after that is P&L. On the AI side, I think we will continue to build out, especially the research side. These are extremely hard problems to solve. We feel we can build out completely world -class technology, especially around the AI engineering stack, especially around things like explainability where we have talked in the past about market -leading algos that we have built out, especially around things like Tabular Foundation models. So, we want to continue doubling down on those as we scale and commercialize this technology and this is clearly one has to see that these are relatively less mature spaces and it will take time for this technology to mature, but then, you know, we have got a firs

t grade team, one of the best quality AI research labs, not just in this part of the world, but also extremely high quality team in Europe working at it and we feel very good about our chances of being able to mature and commercialize that tech coming out. So, I think that's essentially how I would put it. You slice it into a few places. I think we should be able to grow strongly into next year, in which case there'll be a lot of client projects to back up ar ound these development projects. So, by and large, think of still a short -term spurt in capitalized investments, but it should taper down over the next couple of quarters.

Darshil Jhaveri: Okay, so just to quantify, in current year, how much would we have spent on our research and development and is it going to be similar in FY27? And just another question, the world of AI is changing so much, you know, like new products and use cases are getting, you know, uploaded every day. So, are the clients wanting to go for a long -term contract where, you know, even something that was not heard of a year ago is now available? So, what is the rate of space that you think things are changing and will that impact the tenure of the contract? Because as a client, would you want to commit for five years when you don't know if the product is even going to be viable after five years or how do you mitigate that?

Ashish Rai: Yes, so look, we have not really seen any material change in the software buying behavior, espec ially in the Banking world or even in the transit world or any of the spaces we are in. I don't think there is any difference in the term of the contracts. When you buy a piece of software as a bank, right, to support one of your core business processes, r ight, whether it's, you know, it's transaction Banking , it's cash, it's trade, it's liquidity management or it's on the lending side, I don't think you can buy with a short -term time horizon in mind , because it's not just software, right, you are bu ilding your whole business process around it. You are right to think that there is change in the market, so you will obviously want to buy from the perspective of what is my readiness for that change, right. So, if you buy a software today, the reason we win a disproportionate number of deals when we go and compete these days is that readiness

for AI angle . It's not that I stop buying software, but you want to buy with the perspective that is the stack ready for the future or not. That's why we are i nvesting so heavily to stay ahead of the market. I don't think the need for software is going away. It's not even a question of thinking. I think anyone who thinks the need of software is going away, I mean, really is not thinking straight, right, because there is no conceivable way in which you can run a business process inside a bank of a LLM or you call an agent. Now, like I was saying, an agent would end up being 70 -80% software and then intelligence model or LLM to back it up, right. That is entirely conceivable, and that is probably how it will be and that's why we rebuild the new stack, right, but the fact that you say I would not use any software, I don't think that future is any time near, and anyone who thinks this through would realize you probably need a slightly different type of software, that is for sure, but you do need software and when you buy software, you cannot buy with the time horizon of one year because it's a massive investment for the bank to sort of shape its work processes, to shape its operational processes around that piece of software, it takes a very long time to implement, it takes a very long time to test, you want to buy for the next 10 years, you want to buy for the next 15 years, you don't want to buy for the next two years.

Darshil Jhaveri: I was asking how much have we invested in terms of research in FY26 and what do we

plan for
FY27? Just why I am asking this in terms of margin, we should be at the similar ra nge, like

overall for the full year, that's why I am asking.
Ashish Rai: Yes, look, so there is a short window of time to react, right, my best guess is we are talking of a number somewhere between 150 and 200 crores, the reason I say it's a guess and it's not a planned number is we are working thro ugh some very specific productivity improvement measures right now which we feel will bear fruit in terms of the size of investment that we need to make especially around software build -outs. So, over the last six months we have invested heavily behind an AI development stack, AI -based code generation, an extremely modern development stack that we feel is beginning to give us material productivity improvements. So, it will meaningfully reduce the size of that spend to the extent that I can get that producti vity gain, right, and we are like, we are sharply focused on getting it right. So, I would think the number is somewhere between 150 and 200 crores over the next four quarters, but we are working very hard to drive productivity improvements and try to shri nk it.
Moderator: Thank you. The next question is from the line of Kuber Jitendra Chauhan, I request you to accept the prompt on your screen, unmute your au dio and video and ask questions. Mr. Kuber Jitendra Chauhan, please unmute your line and speak.
Kuber Jitendra Chauhan: Yes, so, Ashish, you said that we have seen some weakness in Middle East, right, in terms of geographical wise. So, what has led, I mean , it consists of around three percent of our revenue. So, what has led to the major dent in the revenue in Q4 FY26? And do you anticipate it to continue in Q1 as well?

Ashish Rai: Yes, so, it is not three percent of the revenue. So, look, I can speak in terms of what our planned execution numbers was, right. So, when you look at Banking , there is some dependence in terms of one -off licenses. And walking into Q4, we had a number of d eals across our product lines, especially around Transaction Banking and interact that, I mean, that are still there. It is not that the deals have gone away, but which are material sort of license revenues, which did not really translate, righ t. It is certainly way north of that three percent number that you are throwing at me. But I do not want to throw numbers on this because I think that is not the point. The other is, we announced last year, when we actually entered Middle East in a meaning ful way, a number of wins in the market. All of those, especially, you know, with some Saudi Arabian banks and all that we announced, all of those are in execution right now. They have been in execution over the last year. We were expecting to take them to go live. We have been, for various reasons or rather for known reasons, not been able to put teams on site on the ground to drive the execution faster and that has also slowed down the execution, right. So, the Middle East impact actually ended up being a double whammy. It is like not just deal closures and the license revenue coming from it. It is also project closures and the revenue conversion from it, right. Having said that, like I said, we should have planned for it. Of course, we were very confident of where we will end up and we did not, which clearly is a gap in how resilient the setup is. We should plan for such roadblocks and we will try to plan for it more, right. But that is essentially the impact. That is not the only thing. The other thing that I mentioned right up front was obviously the very large hyperscaler contract that we signed which needed us to invest or rather needed us to start and start i nvesting and we mistimed that as well and that is a very large order as we know. There is a 350 -crore deal and yes, so we should just plan it better.
Kuber Jitend

ra Chauhan: Do you see our order book to be growing in Q1 FY27 as well? Have you seen any kin d of budget constraint from any of our clients in India or globally due to this macro uncertainty?
Ashish Rai: I would say to some extent you may see some decision making slow down for sure. Of course, there is a lot of pressure on banks to consider action s around AI. Like every firm, every serious firm right now looks at that as a separate sort of strategy item, separate investment item which you need to prioritize somewhere. So, I think to that extent you do see banks considering it as Aurionpro itself do es. So, I would say every serious organization has to and they are doing it. Cyber security is another area also which every serious organization has to and they have to do it including Aurionpro . So, we would expect our clients to as well. So, to that ext ent you can argue there is some sort of delay in decision making because banks consider their priorities. Having said that, whether you look at India where we are a big player in the public sector Banking space, in the private sector Banking space or wider South Asia or Southeast Asia, we see more or less the same number of RFPs come out, same buying processes run out. MEA is a bit slow at the moment, but I fully expect that to come back the moment situation there stabilizes. And US and Europ e are very small for us, so I don't think it really matters.
Kuber Jitendra Chauhan: Okay. When c an we see the stabilization?

Ashish Rai: Yes. Look, I think the demand situation has not meaningfully changed in my view. The decision cycles may stretch a little bit, but I think the business overall will do better. Again , like I was saying in the opening remark, we have been growing at breakneck speed for five years, so we were obviously stretched and we just need to be better and more resilient as we build this business further. But the demand situation hasn't changed , and I feel very good about us continuing to grow strongly and continue to grow higher than the industry number for sure.
Kuber Jitendra Chauhan: And last question, do you see our revenue mix to be the same like TIG will dominate the Banking vertical in FY27 as well?
Ashish Rai: Yes, I don't know about dominate, I think Banking probably ends up being slightly more than 50 and TIG ends up being slightly less or thereabouts, but one quarter to the other it will change. I would say the change in mix will come down to difference in relative growth rates. We are picking up larger orders on the TIG side, so I would say there is a possibility TIG grows a bit faster going into next year, but longer run I think it's a wash. I don't think there is going to be a meaningful difference in relative growth rates between the two verticals. But yes, from one half to the next things can move here and there a little bit.
Kuber Jitendra Chauhan: Thank you and a ll the best.
Moderator: Thank you. The next question comes from the line of Manav Medewala . I request you to accept the prompt on your screen, unmute your audio and video and ask a questio n. So, Manav, could you please unmute your line and speak?
Manav Medewala : Average book to revenue conversion cycle across key businesses like Banking platforms, transit projects and data center and how much of the INR 1800 crore order book you see as exec utable in FY27? And additionally, if the geopolitical situation in the Middle East were to persist, let's say for another quarter or so, how might that impact order inflows, de al conversions or execution timelines going forward? And how do you see AI shaping both the speed of conversion and nature of deal wins? Do you see some kind of pricing pressure as well or do you think you can command a premium on the work that you deliver?
Ashish Rai: So, Manav, I feel like I may have missed something at the sta rt. Maybe

the line was not very
clear. I picked up three questions, I am going to answer those. And if I missed something, then just come back in and let me know. So, how much of INR 1800 crore order book is executable over the next 12 months? I would say something in the range of 70 %-odd, maybe slightly less, let's say between 68 % and 72 % or something like that. The slight question mark there is because of some genuine supply chain disruptions, because of some genuine Middle East war sort of issues, some o f the execution is constrained. We feel like it's coming back, we feel like it should be fine, but we don't know for sure. So, I think that is sort of one slight question mark I will put against that answer, but otherwise that it's somewhere between 68 % and 72 %. The geopolitics side of it, what happens if this goes on for another quarter? So, we have been asking that ourselves and trying to prepare for it. Like I said, the goal of an organization should be to

build resilience to such shocks. Obviously , we c annot predict it, but we can react better to it than we have. And our response to that has been to really double down on, like get much closer to our customers and prospects in Middle East, really action that well. So, we feel that there is some momentum t hat's coming back, even though you are acting remotely and all that stuff. We feel like we will still be able to get our projects across the line and convert revenue. And we have really been pushing heavily in Southeast Asia and Europe too to try and account for the slowness that may happen in the Middle East, and India as well. So, we feel like if you say over the first half of the year, I think the demand should balance itself out because we have got finite capacity to execute. And I thin k we will be fine. The other sort of where the problem comes in is not so much from the demand sort of slowing down. So, we are in several segments where the segments will load balance the demand. I think the challenge that comes in is when we walk in and invest with the confidence that the revenue is going to happen and it does not happen. I think that causes a lot of problems. So, like I said, walking into Q4, we were very confident of where the revenue is going to be. And obviously, you fell more than INR 100 crores short of it. So, that investment in your expenses beforehand and then missing the revenue, that is what causes the problem. So, we just have to be more conservative in how we plan some of these front -ended investments. And we are doing that. S o, I feel like, one, we will double down on geographies which are like Southeast Asia and Europe. Second, we get much more closer to our customers in Middle East, which we are doing, getting where you would have called twice, you call 10 times, but you jus t focus on the customer because at the end of the day, that is what matters. Get the projects across the line, get the deals across the line. So, we are doing that. And then the sort of demand across the territories loads balances itself. Do not be very co nservative in front -ending costs. I think that's one lesson we have learned. I think it's a function of just growing at the pace we have grown. Four years back, you are a INR 375 crore firm. Today, you are a INR 1,400 -INR 1,500 crore s firm. You are four times the size. Even small leg up in investments actually means hundreds of crores. So, I think that learning is a key one, which will put us in a good place as we exercise more caution when it comes to upfronting costs. So, I think tha t's sort of my thoughts around it, but I would say judge us by our actions and results. I think we missed a couple of clear things. Shocks are shocks. They happen and the entire industry gets shocked, but how you react to those shocks, you can get better a t. And yes, those are the actions we planned, but we planned a whole

set of actions around it.
Manav Medewala : Okay. Okay. Got it.
Moderator: I am very sorry to interrupt you, Mr. Manav. Please join back the Q&A.
Moderator: The next question is from the line of Avi J haveri. I request you to accept the prompt on your screen and mute your audio and video and ask a question.
Avi Jhaveri: My question is with respect to the direct cost associated with the product licenses and hardware. I believe that has materially come down over the last three quarters. I believe primarily you mentioned owning the entire value chain. So, if I calculate the margin or contribution margin to it, so I have seen a meaningful improvement. So, what do you see that

the past three quarters, the contribution margin would sustain on equipment and product license? And what are the reasons for this improvement?
Ashish Rai: Yes. So, I mean, good question . So, I think the way to think about it is this where we own the whole stack, for example, in the transit space, as you point out, where we own the whole stack. The reason we get into that owning every point on the value chain is because we do see that the economics of the business fundamentally changes when you own every point on the value chain versus be a point provider in large contracts, right? So, right now we have the strategic flexibility of being a point provider on larger global consortia where we need to, but then in India, for example, do the whole deals end-to-end and the margin does materially improve when everything is ours. And that is a very new thing for us as well, because we have been investing heavily in that R&D, but only now you see the whole stack getting complete. And even now, therefore, MMRDA, we are kind of finishing up the software side and all, right, like I mentioned. But once you have that, I think your economics are really very, very strong. And I think that is what we are aiming for. Right now, I would say what you see is not the end economics, because the reason a lot of it gets masked is because we have been growing at a very strong pace. And when you are adding on a lot of projects, you are taking on some costs which won't exist when you are steady state, right? So, the margins that the business delivers once it reaches a maturity and is growing at, let's say, single digits or low -teens would be meaningfully better than when the business is both investing right now at the speed it is and growing at the speed it is, right? So, I would say, look over the next couple of years as the business matures, I feel strongly that the margins will get even better. But you are right, as you own the whole stack, they keep going up, right? The same thing on the software side as well. The only slight difference that happened on the software side is, as I think everyone who has been following us for the last four or five years know, we invested heavily in rebuilding the whole stack . We believed we had the most modern stack in the market, which is true, but the need to reinvent the whole stack, we were not anticipating, which came in recently, right? So, although we had the most modern stack in the market, right now we are determined to really go one ste p up and rebuild the whole stack again, which we were not expecting. So, that will temporarily actually bring some of your margins down to the extent that you are expensing some of these investments, right? But longer run, that same logic applies to softwa re as well, as we were seeing over the last couple of years, it's just that the changes that happened in the market that we now need to react to, right? So, that's how I would sort of characterize it, applies to the hardware to software stack, applies to t he software stack, applies to Banking , applies to transit, and you should see the contribution margins meaningfully go up, steadily go up, but you will see the actual

final end state only when the growth rates come down.
Avi Jhaveri: Got it. That was helpf ul.
Moderator: Thank you. The next question comes from the line of Varun Gandhi. I request you to accept the prompt on your screen, unmute your audio and video, and ask a question.

Varun Gandhi: So, my question is mostly on the cross -sell and upsell sides, since we already have an existing

marquee client base, and we have always found success in converting new clients. Just if you could share your strategy about upselling other modules within your tra de finance or your other modules that you could use on your existing distribution channel. If you could elaborate over there, and if you could share some instance where we found success in executing such a strategy.
Ashish Rai: Okay, great question, Varun. So, I think longer run, what happens to a mature software business is, I think as we get to a steady state, we probably should be able to, or even now, we probably should be able to grow 10 %-12%, even if we don't sell a single new logo in the Banking spac e. Why does that really happen is essentially what you point out. One, ability to expand the current sort of footprint that you have in a minor way around new modules, new regulation, all that stuff. The second is our ability to add products, right, next t o it. So, for example, I am in a bank with cash, can I add liquidity next to it, can I add liquidity management next to it, can I add virtual accounts next to it, can I add trade next to it, supply chain finance next to it, right? And I think that is proba bly one of the most efficient ways to grow a software business. We exist as a provider of specialized software. So, when Aurionpro looks at a product, and many of you have heard me before, so it's probably a repeat of it, I have only two asks from a produc t business inside Aurionpro . Ask number one, ‘Product Superiority ’. When Aurionpro builds a product, how are we better than any other option the client has available? Doesn't need to be 100 things, can be 2, 3, 4 things, that clarity goes into the roadmap, that roadmap goes into the product, you build an extremely good product, right? Ask number two is, ‘Never Fail a Customer ’. When someone decides to trust Aurionpro with business, we make sure the client succeeds no matter what ? As long as we stick to those two key principles, we keep our clients forever. And clients, and we are a partner to those clients, we are at the center of change that they are facing, a nd it gives us enormous opportunities to keep helping them with more change, which means add more product s and add more software. What do you need to expand in that way? You need a very big surface area of products ? Why is it that we have expanded o ur stacks so much over the last couple of years through acquisitions, through our own build out? We acquired InfraRisk , we acquired OmniFin, we acquired Fintra, we acquired Arya , so we have gone in and added net new products into the mix. It's essentially for what you say, cross sell and upsell, right? Which means, how can I be a much more meaningful partner to the same bank, rather than every time go out and sell to 20 more banks, right? So, while we want to grow at 30 %-35%, we still want to keep acquiring a lot more new logos, but at a point where new logos dry up, you can still grow from your existing base, because you can add more products and a lot of these investments we are making, a lot of the acquisitions that we do, which you know, we may still mea ningfully do, will go towards expanding that surface area and expanding the relevance of Aurionpro to their bank, right? So, I think that is essentially how we will play it. I think right now in terms of success stories, I would say we work with most large Indian banks, and if you look at Indian banks, typically we were at probably 1.5 or

so product
per bank. I think now we are probably north of 2 products per bank, but there are banks which are using 5 or 6 products from us, right? And I think that's where we would want to take most

of our banking relationships, where an average relationship we have is across 5, 6, 7 Aurionpro Solutions that sing and dance together. There's an enterprise AI partnership, which is meaningful to the bank. And maybe there is even a relationship around transit, around payments, around a lot of other areas that we are in, righ t? So, I think that's sort of the ideal configuration for us. We will keep pressing on it. And I think the strategy is working. It needs to work at a larger scale.
Varun Gandhi: Got you. So, from what I understand, the implication is that we are trying to build the horizontal product stack. We are not yet very aggressive in trying to capture additional wallet share from existing clients. Is that a good understanding?
Ashish Rai: So, we are still relatively small in terms of size. I think we have built out a relatively meaningful account management program. We are pushing, but I would say you are right in the sense that I think we can push a lot more and we are slowly maturing there ? So, I think right now there is a lot of single product relations hips. And to that extent, I think you are right, but we are pushing towards it.
Varun Gandhi: Got you. Just as a last follow -up, any update on the NBFC platform that we had launched earlier this year? Any meaningful news?
Ashish Rai: I think, look, NBFC space in India, I think we now have north of 30 clients, some fairly large size NBFCs. We are very competitive in the space . We have got a policy around the size of deals that we announce. So, we don't always announce NBFC wins because just the value of t he deals tends to be not so large, but expect us to win some really meaningful deals in that space. I think we are one of the more competitive players around in that space. And some of the really

prestigious deals coming in the market, I feel like we will win those. I think we will look at the policy and all and where we announce. Maybe we announce a bunch of them together, so you will see more sort of visibility around it. But I think it's north of 30 clients now and it will only grow.

Varun Gandhi: Thanks for sharing the ethos of the firm and sharing the details. Hope to catch you next quarter and we will make up for this quarter's backdrop. Thank you.

Moderator: The next question comes from the line of Yash Gupta. I request you to accept the prompt on your screen, unmute your audio and video and ask a question or give comments. Mr. Yash Gupta.

Yash Gupta: So, my question is on data center. What exactly our role in the data center deal that we have got recently? One is INR 350 cr ores and another one is the Brownfield facility in Mumbai. Can you throw some light on both the deals?

Ashish Rai: Yes, so we announced a bunch of data center deals. Of course, the really large one. Look, what we do on data center projects is first, it's a very capital -light business for us. We essentially

provide services in that space. We run one of the top design teams in that space. So, we do help around design of the data center, some really complex ones around integrated engineering on the data center and program managing the whole build for the data center as well. So, it depends on the nature of engagement, but in both of these cases, and increasingly in a large number of cases, which we are discussing as well, we will do all of the above. So, we will obviously continue to pick up only specialized design deals and all because they tend to be really high margin and we like doing those. But you will end up doing the entire spectrum design, integrated engineering, program managing

the whole build, handholding the strategic partner right through the process. But it's pure services.

Yash Gupta: And anything on this revenue recognition, when we will going to recognize this revenue?

Ashish Rai: So, we faced some delays in terms of project execution, lik e I said, but I would say a fairly large chunk of it within the year.

Yash Gupta: Second question, in your presentation, you mentioned like in FY27, we need to absorb some transit balance sheet pressure. So, is that only will be a balance sheet on the work ing capital side or it will be on something on the debt side or maybe some P&L heavy transaction?

Ashish Rai: I don't anticipate debt side. Debt to the extent that we need to maintain some things in some banks because of some businesses here and there, I t hink that's different. But on the net, I don't expect, we are more or less comfortable in terms of the overall cash position. We are obviously focusing right now in terms of shoring up that position so the balance sheet is healthier. So, I don't expect us to go into the debt side. So, basically, it is, let's say the growth - oriented side of the balance sheet, which is where I say, expect some transient pressure because we are taking on very large contracts, which will have working capital impact. We are maki ng significant build outs of product, especially the AI native stack, which means a fair amount of investments on that side. But I did not mean that.

Yash Gupta: Can you just quantify the working capital requirement in terms of number, like from here, wher e it will going to be like INR 200 crore to INR 300 crore plus a year on there, or maybe more than that?

Ashish Rai: Yes, look, I think roughly around there. But one of the things that we are trying to do is to really make the business more efficient. So, one of the things that we will try to get into is how can we get even tighter in terms of controls that we have on the relationships and the contracts that we take on. So, I feel like the INR 200 crores – INR 250 crore sort of number is the right number. But we have some very specific plans around trying to make the business more efficient. So, the reason I made that statement is I want us to be aware that, so there are things you know, there are things you don't know, but as you become large r and we start taking on meaningfully larger contracts, like I said, even if you go 12 months back, we would not do, we would probably do INR 100 crore deal in a year. Now you are talking a INR 350 crore deal, a INR 250 crore deal, a INR 150 crore deal, an d a INR 100 crore deal. These are like meaningfully

larger transactions. And as you do those, obviously, they sound like very good ones to do, but you need to be prepared to do it. But having said that, I think we are trying to also get efficient in contra cting, efficient in the payment terms, trying to see to what extent we can minimize that. So, it's a work -in-progress, but I feel you are in the right ballpark.

Moderator: Thank you, ladies and gentlemen due to the time constraints that wa s the last question for the day. I now hand the conference over to Mr. Ashish for his closing comments.

Ashish Rai: Guys, thank you for taking the time out of your days to come and join us. Q4, of course, was not the best quarter and I have been quite upfront with where things could have been better. I think the important thing about building a business over the long run is not sort of events which surprise us. It's not so much around challenges that suddenly come on. It's around how you respond to those challenges. I feel where we have built out the core DNA of the firm over the last few years is in how we respond. We are ve ry clear -eyed about things we can change. We are very clear -eyed about how large we have become , and the scale of problems even relatively sort of harmless

misses can cause, and we will tighten the controls.
I remain as optimistic as I was, if not more, around the demand for each of the major bets that we place in the market. Data center space, it's extremely strong demand. I see no problems in our ability to be able to grow fairly strongly.
Transit space, we are extremely competitive and it's a lar ge global space. I don't see any problems, medium, long, short, any term over demand in that space. We need to execute well.
Banking , we have established ourselves as one of the most credible vendors in the space, and I am convinced we are ahead in our poi nt of view on where the combination of the next generation of Banking Software and Agentic execution needs to go and we are right at the center of it in terms of helping our clients do it right.
So, each of the bets we placed, payments is also coming out to a meaningful size now and it will grow over the next few years. So, no matter which segment I look at it, I am extremely optimistic about the demand. We need to really tighten execution , and we need to continue to scale the business in a disciplined way, which is what we will do, and we will talk more about it as the next few quarters come in and I would say judge us by results and actions. Talk is cheap.
So, with that, thank you for taking the time out of your days and I will see you ag ain next quarter. Thank you.
Moderator: Thank you, S ir. On behalf of Aurionpro Solutions Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

(This document has been edited for readability purpose)

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